FOR THE PERSON PLAYING THE INTERVIEWER

You don't need to know anything about consulting.

This binder gives you everything a real interviewer has: what to say, what information to hand over and when, what a good answer sounds like, and how to score it. Your partner does the thinking. You hold the facts and keep the clock.

What a case interview is, in 30 seconds

Consulting firms test candidates with a short business puzzle, called a **case**. You read out a client's problem, for example "a hot dog stand is losing money, why?". The candidate has to ask good questions, organize the problem, do some math out loud, and end with a clear recommendation. It's a test of **how they think**, not of business trivia.

Your job, in one line each

- **Read** the blue *Say* lines out loud, word for word if you like.
- **Answer** questions using the *If they ask* tables. Anything not on the list: "Not important for this case, make an assumption."
- **Hold back** the yellow *Give* boxes until the moment described. Never volunteer data early.
- **Tick** the *Listen for* boxes as you hear them. That is your evidence for scoring.
- **Never show** the green *Answer key*. It's for you to check the candidate's numbers.
- **Score** at the end with the rubric, then give feedback: 2 strengths, 2 things to fix.

The colors in every case

SAY

Words you read out loud.

GIVE ONLY WHEN…

Data you hand over (read it, or show this box) only when the trigger happens.

ANSWER KEY, DON'T SHOW

The right numbers and what a strong answer contains.

IF THEY'RE STUCK

Hints in order. Give one, wait 30 seconds, then the next.

HOW TO STEER

What the casebook says to do at this point, e.g. "after their framework, tell them the problem is only internal." Follow it so the case goes where it should.

FULL LIST · ASK IF THIN · IF THEY SAY…

A complete checklist to tick (so you see exactly what they missed), follow-up questions to dig deeper when an answer is short, and replies to common mistakes. Use probes before hints: probes make them think, hints give the answer away.

ADDED PARTLY ADDED mark steps, data and answers that go beyond the original case. A line under the step says exactly what was added.

Before you start (2 minutes)

- [ ] Pick a case you haven't read with them. Start with an **Easy** one.
- [ ] Read the case once to yourself, start to finish (about 5 minutes).
- [ ] Give the candidate paper, a pen and a calculator-free zone (no phone calculator; real interviews don't allow one).
- [ ] Sit across a table. Start a timer. Aim for 20–25 minutes per case.

- [ ] Keep a straight, friendly face. Real interviewers don't react much.

THE SIX STAGES

Every case follows the same shape

Each case script below walks you through these stages. Knowing the shape helps you notice when the candidate skips one.

1 You read the prompt

Read slowly. A good candidate writes it down and then repeats it back in their own words. If they don't, tick it as missed.

2 They ask clarifying questions

Usually 2–4 questions: about the goal, the client, the market. Answer from the *If they ask* table. More than ~6 questions is too many.

3 They build a framework

They'll ask for a minute or two of silence. Say "Sure, take your time." Then they explain how they'll break the problem into parts (for example "revenue" and "costs"). Compare with the Answer key.

4 Analysis and math

They ask for data, or estimate it themselves. You give the yellow boxes. They calculate out loud. You check against the Answer key.

5 Insight: "so what?"

After each number, a strong candidate says what it means for the client. If they don't, ask: "What does that mean for the client?"

6 Recommendation

You say the closing line. They should give the answer **first**, then 2–3 reasons, then risks and next steps. Under a minute.

Timing guide for a 25-minute case

Stage	Target	If it runs long
Prompt + questions	2–3 min	"Let's get going. What's your approach?"
Framework	2–4 min	"Which part would you look at first?"
Analysis and math	10–15 min	Give the next hint from the script.
Recommendation	1–2 min	"In one sentence: yes or no?"
Your feedback	5 min	Rubric + 2 strengths, 2 fixes.

Golden rules

1. Make them ask

Data comes out only when they ask for it, or when the script says "give if their estimate is way off". Asking for the right data is part of the test.

2. Let them estimate first

Many cases are **candidate-led**: they should make up reasonable numbers first. Only give the real number if theirs is far off (each script says what "far off" means), or if they ask directly.

3. Don't confirm too fast

When they get a number right, say "Okay, keep going." When it's wrong, say "Can you double-check that?" Never tell them the right number until they've tried twice.

4. Silence is fine

When they ask for time, give it: real interviewers wait. Only speak up after about 60 seconds of total silence.

5. Push back once

Once per case, ask "Why?" or "Are you sure?" even when they're right. It tests whether they stay calm and can defend their logic.

6. Hints in order

If they're stuck, use the red hint boxes one at a time. Every hint you give costs a point on "Drive" in the rubric. Note how many you gave.

Phrase bank

They ask for time to think	"Sure, take a minute."
They ask something not in your script	"Good question, but it's not important here. Make a reasonable assumption."
They ask "Is that right?"	"What do you think?" or "Walk me through how you got there."
They're silent for a long time	"Can you walk me through what you're thinking?"
They ramble or go off-track	"Let's focus. What do you need to answer the client's question?"
They finish a calculation and stop	"So what does that mean for the client?"
They made a math mistake	"Can you double-check that last step?"
They ask you to just give the number	"What would you estimate?" (Give it if the script says so.)
Time is running out	"The CEO just walked in. What's your recommendation?"

USE THIS FOR EVERY CASE

Scoring rubric

How these cases' skills map to the rubric

Each question in these cases tests one skill: **Structuring** → Structure. **Numeracy / Math** → Math. **Judgement and insights** → Business sense. **Creativity** → Business sense and Drive. **Synthesis** → Communication.

Score each area from 1 to 5. A 3 means "would probably pass at a first-round interview". Use the ticks from the case script as evidence. Be honest: a generous score doesn't help them.

Area	1–2: Weak	3: Pass	4–5: Strong
Structure	Jumps into numbers with no plan. Framework is a generic list or misses big pieces.	Clear framework with 2–4 parts that fit the case. Some overlap or gaps.	Framework is tailored to this client, has no overlaps or gaps, and is explained in under 2 minutes. Says which part to look at first and why.
Math	Wrong answers, messy, silent working, or needs a calculator.	Correct with maybe one slip they fix themselves. Talks through steps.	Fast, correct, clean units (per day, per year, $M). Rounds sensibly and announces each step out loud.
Business sense	Reports numbers without meaning. Misses the key insight even after hints.	Explains what numbers mean when asked. Finds the insight with one hint.	Says "so what" on their own, sanity-checks results ("that seems high because..."), spots the key insight unprompted.
Communication	Hard to follow, rambles, recommendation is vague or missing.	Clear enough. Recommendation exists but is buried or long.	Answer-first, organized ("three reasons: first..."), confident, under a minute to close.
Drive	Waits for you to lead. Needed 3+ hints.	Mostly leads. Needed 1–2 hints.	Leads the whole case, asks for the right data at the right time, suggests next steps. No hints needed.

Reading the total (out of 25)

- **21–25**: Offer-level. Move to harder cases.
- **16–20**: Solid. Fix the lowest area.
- **11–15**: Getting there. Redo this case type in a few days.
- **5–10**: Practice the basics: frameworks and mental math.

How to give feedback (5 minutes)

1. Ask them first: "How do you think that went?"
2. Share **2 things they did well**, with specific moments ("you compared LaMode's 4.2% Asia target with its 3% share at home").
3. Share **2 things to fix**, again specific ("you didn't say what $48 vs. $42 meant for the deal").
4. Read them the total score and their lowest area.

PLAIN-ENGLISH GLOSSARY

Words the candidate will use

You don't need to use these. It just helps to know what they mean when you hear them.

Framework / structure	Their plan for breaking the problem into parts.
MECE	"Mutually exclusive, collectively exhaustive": parts that don't overlap and together cover everything. Interviewers love it.
Revenue	Money coming in. Usually price × quantity sold.
Costs: fixed vs. variable	Fixed costs don't change with sales (rent). Variable costs grow with each unit sold (food in each hot dog).
Profit	Revenue minus costs.
Profit margin	Profit as a % of revenue. $10 profit on $100 revenue = 10% margin.
COGS	"Cost of goods sold": what it costs to make the product itself.
Payback period	Years needed to earn back an investment. Investment ÷ yearly profit.
Breakeven	The point where revenue exactly covers costs (profit = 0).
Market sizing	Estimating how big a market is, e.g. "how much is spent on diapers per year".
Market share	The % of a market one company holds.
Market entry	A case about whether a company should start selling in a new market.
Barriers to entry	Things that make it hard to enter a market: licenses, laws, big competitors.
Cross-selling	Selling a second product to an existing customer.
Sanity check	Asking "does this number make sense?" before moving on.
Price elasticity	How much customers buy less when the price goes up.
"So what?"	What a number means for the client's decision.

PICK ONE

The cases

Read the script once on your own before you begin. Each takes 20–35 minutes plus 5 minutes of feedback.

They're listed in the **best order** to run them. The most common types (profitability, market entry, growth, pricing, M&A, AI) come first, then their variations, then less frequent types. The first 17, marked **Core**, cover every case type once. If time is short, run those in order and skip the rest.

1. QT Co. Core

Profitability · Easy · ~20 min

Teaches: The classic profitability tree, and reading two exhibits for the one insight that matters

2. Lab-grown Diamonds Core

Sustainability, Market entry · Easy · ~25 min

Teaches: Market entry for a new line: cannibalization math, and reading a survey for brand risk vs. a new segment

3. Pure Fresh Sandwiches Core

Growth strategy · Easy · ~30 min

Teaches: Revenue tree (stores × visits × spend), a price-vs-volume test, and a first top-down market sizing

4. A-EYE Core

Pricing · Medium · ~30 min

Teaches: Value-based pricing: price from the customer's savings, then protect share

5. FlashFash Core

Mergers & acquisitions · Medium · ~30 min

Teaches: M&A: test the target's plan, size synergies, and weigh buying against building

6. Diagnosis.AI Core

Profitability, AI · Medium · ~30 min

Teaches: Profit by customer segment for an AI company, and why flat-fee 'unlimited' pricing breaks with heavy users

7. Quantum Bank Core

AI, Cost reduction · Medium · ~30 min

Teaches: AI: prioritize use cases, then allocate a budget when some projects are all-or-nothing

8. Space Explorer Core

Market entry · Hard · ~35 min

Teaches: Market entry the hard way: set a price, find breakeven, size a niche market step by step

9. Taxi Empire Core

Investment · Medium · ~25 min

Teaches: Investment: a mini P&L (depreciation, tax), return on equity, and how debt (leverage) changes it

10. Patati Core

Turnaround · Medium · ~30 min

Teaches: Turnaround: diagnose a decline, find a competitor's cost edge, compare invest vs. do-nothing scenarios

11. CBA Fashion Core

Operations · Medium · ~30 min

Teaches: Operations: map a process step by step, plus a probability twist (orders wait for their slowest item)

12. Newlight Solar Cells Core

Product launch · Medium · ~30 min

Teaches: Product launch: bottom-up sizing with adjustments, then picking a go-to-market channel

13. Red Whisk Core

Investment (candidate-led) · Medium · ~35 min

Teaches: Candidate-led format: you drive the case. Investment logic, P&L trends, CAC vs. lifetime value

14. Child Placement Services Core

Cost reduction (public sector) · Hard · ~35 min

Teaches: Cost reduction with a bespoke structure, R^2 scatter plots, and a mix-shift calculation

15. Canadian Wildlife Federation Core

Non-profit strategy · Medium · ~30 min

Teaches: A bespoke framework (births − deaths ± migration) for a non-profit problem

16. Viral Outbreak Core

Public sector strategy · Medium · ~30 min

Teaches: Public sector: what a chart can and can't prove, and expected-value math

17. Singapore Taxis Core

Market sizing · Hard · ~25 min

Teaches: Pure estimation: demand ÷ supply, built from scratch with no data

18. McBurger Co

Growth strategy · Hard · ~35 min

Teaches: Hard growth case: a dense income chart and algebra on a customer-mix shift

19. Department Store Co

Strategy (segmentation) · Medium · ~30 min

Teaches: Atypical opening (segmentation brainstorm) and comparing two campaigns by profit, not volume

20. In-flight Wi-Fi

Market entry · Medium · ~30 min

Teaches: Sizing a one-off retrofit pool vs. a recurring flow, and S-curve adoption

21. MENA Stream

AI, Growth strategy · Medium · ~30 min

Teaches: AI where-to-play from a 3-dimension bubble chart, then a unit business case

22. NUR Vaccine

Public sector strategy · Medium · ~30 min

Teaches: Supply vs. demand framework, and testing an incentive against a target and a budget

23. Low Carbon Housing

Sustainability · Medium · ~30 min

Teaches: Sustainability: emissions lifecycle and cutting the costly, low-impact option to meet a cap

24. Fruit Nation

Market entry · Medium · ~30 min

Teaches: Value-to-customer pricing for a market entry (repeats A-EYE's core tool)

25. Roko Hotel

Profitability · Easy · ~25 min

Teaches: Easy profitability warm-up: revenue from two exhibits (repeats QT Co.'s tree)

26. Clean-All

Growth strategy · Easy · ~30 min

Teaches: Easy growth case: prioritizing services and in-house vs. outsourced cost (repeats earlier tools)

CASE 1 OF 26

QT Co.

Profitability | Easy | ~20 min | Core path

#1 · Tier 1 · Classic types · Teaches: The classic profitability tree, and reading two exhibits for the one insight that matters

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A US baby-products leader (strollers, car seats) has seen profit fall 30% in two years to $70M and wants $100M. The candidate structures profitability, reads two charts (falling volumes; sales shifting online), sizes the profit from selling online, and gives a 30-second update.

THE ANSWER IN ONE LINE, DON'T SHOW

Volume fell **25%** (1.2M → ~900k units), explaining the profit drop. Online is rising (~7% of the market, ~20% in 3 years) but explains only part of it. Selling online (+10% volume) adds **~$7M** profit: still **$23M short** of $100M. Recommend going online and investigating the wider volume decline.

1 Read the prompt

2–3 min

SAY

"Your client is QT Co., a US baby-products manufacturer and the market leader in strollers and car seats. It offers the safest products on the market, which parents value greatly, at prices competitive with other premium brands."

"Despite its leadership, profits have dwindled over the past two years: last quarter was 30% below the same quarter two years earlier."

"The CEO wants to correct this trend. What can QT Co. do to increase profitability?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's the goal?	"$100 million of annual profit, as soon as possible."
Where are profits now?	"$70 million, down 30% from two years ago."
Where do they sell?	"Only the US and Canada."
What products?	"Three: Strollerall, Care seat and Duo. All have seen falling volume."
What about competitors?	"QT Co.'s main rival has started selling exclusively online."
How's the market doing?	"The overall market has been growing."
How do they sell?	"Through big-box and specialty retailers."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks for the target ($100M) and current profit ($70M)
- [ ] Asks about products, channels and competitors
- [ ] Notices: the market grows while QT shrinks

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> To recap: QT Co. leads the US market in strollers and car seats, known for safety at competitive premium prices, but profits are down 30% in two years. The CEO wants to reverse that. Could I ask what the profit target is, where profits are today, and how and where they sell?

2 Framework

2–3 min

SAY

"How can QT Co. improve its profitability?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Increase revenues: volume and price, by product, channel and geography
- [ ] Lower costs: fixed (manufacturing overhead, marketing, R&D) and variable (unit cost, warranties, distribution)

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Revenue by products
- [ ] Revenue by sales channels
- [ ] Revenue by geography
- [ ] Fixed: manufacturing overhead
- [ ] Fixed: marketing
- [ ] Fixed: R&D
- [ ] Variable: manufacturing unit cost
- [ ] Variable: warranties
- [ ] Variable: distribution

ASK IF THEIR ANSWER IS THIN

- "Which angles would you cut revenue by?"
- "What costs does a stroller maker have?"

ANSWER KEY, DON'T SHOW

1. Increase revenues (volume and price) by product, by sales channel, by geography. **2. Lower costs**: fixed (manufacturing overhead, marketing, R&D) and variable (unit manufacturing cost, warranties, distribution).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Profit = revenue − costs
2. Revenue cuts: product, channel, geography
3. Costs: fixed and variable
4. Where you'd start

Phrases to listen for: "Profit is revenue minus costs, so I'd look at both."

EXAMPLE ANSWER, SAID OUT LOUD

> **Profit is revenue minus costs, so I'd look at both.** **Revenue**: volume and price, cut by product, by sales channel and by geography. **Costs**: fixed, like manufacturing overhead, marketing and R&D; and variable, like unit cost, warranties and distribution. **Since the market is growing but our volume is falling, I'd start with revenue.** **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Financial considerations	Customer segmentation & needs	Competitive landscape	Market attractiveness
• Revenue by product, channel, geography • Fixed and variable costs	• Parents shifting to online buying	• Main rival now online-only	• Market growing; channel mix shifting

Classic profitability tree. The book's Competitive and Customer buckets point straight to the online shift.

3 Reading the exhibits

4 min

SAY

"We've gathered information on QT Co.'s sales volumes by product and the market's sales by channel. What can you conclude from these exhibits?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBITS 1 AND 2).

Exhibit 1. QT Co. sales volume by product (units a year)

Product	Y-2	Y-1	Y0
Strollerall	400k	~370k	~350k
Care seat	400k	~350k	~300k
Duo	400k	~300k	~225k
Total	**1.2M**	**~1.02M**	**~0.9M**

Exhibit 2. Market sales value by channel (share of total)

Year	Y-6	Y-4	Y-2	Y-1	Y0	Y1E	Y2E	Y3E
Online	1%	2%	4%	5%	7%	10%	15%	20%
Specialty	25%	24%	23%	23%	22%	22%	21%	21%
Big box	74%	74%	73%	72%	71%	68%	64%	59%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Total volume fell ~25% (1.2M → ~900k): likely explains the 30% profit decline
- [ ] Every product fell; Duo fell most
- [ ] Online gaining share (~7% now, ~20% in 3 years), at big-box and specialty's expense
- [ ] Online explains only a small part of the volume decline
- [ ] Next: should QT sell online? What else caused the decline?

ASK IF THEIR ANSWER IS THIN

- "Which product fell fastest?"
- "Can the online shift alone explain a 25% drop?"

ANSWER KEY, DON'T SHOW

Overall volume fell **25% in two years** (1.2M → ~900k), which likely explains the 30% profit drop. **Online is gaining**, ~7% of the market now and expected ~20% in 3 years, at the expense of big-box and specialty, but that explains only a small part of our decline. Next: should we sell online, and what else is driving the volume loss?

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Takeaway 1: volume decline, with numbers
2. Takeaway 2: channel shift
3. What it does and doesn't explain
4. Next questions

Phrases to listen for: "Two takeaways."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two takeaways.** First, **volume fell about 25% in two years**, from 1.2 million to about 900,000 units, with Duo falling most. That alone likely explains the 30% profit drop. Second, **the market is moving online**: about 7% today, heading to 20% in three years, and we don't sell there. **But that shift only explains part of our loss**, so we need to ask whether to sell online, and what else is going on.

4 Profit from online PARTLY ADDED

5 min

Beyond the original case: Prices are the case's; the 20% margin and Y0 volumes are given as data here (the case shows them only in its answer).

SAY

"The client understands the issue isn't product quality but the channel. An internal analysis shows selling online could boost volumes by 10% per item. How much would this increase QT Co.'s profits?"

GIVE ONLY WHEN: IF ASKED.

- Prices: Strollerall **$400**; Care seat **$250**; Duo **$600**
- Profit margin: **20%** on each product
- Current volumes (Y0): 350k, 300k, 225k

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Profit increase = extra volume × profit per unit
- [ ] Strollerall: 35k × $80 = $2.8M
- [ ] Care seat: 30k × $50 = $1.5M
- [ ] Duo: 22.5k × $120 = $2.7M
- [ ] Total $7M: +10%, but $23M short of $100M
- [ ] Caveats: setup cost, cannibalization, conflict with retailers

ANSWER KEY, DON'T SHOW

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Strollerall: 35k × $80 = $2.8M
Care seat: 30k × $50 = $1.5M
Duo: 22.5k × $120 = $2.7M
Total ≈ $7M (70 → 77, still $23M short of $100M)
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Online setup is costly, may cannibalize revenue and upset offline distributors. Next: which items, what price, fulfillment; and other growth (new product line, international).

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's the profit on one Strollerall?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Formula
2. Product by product
3. Total vs. the target
4. Caveats

Phrases to listen for: "Extra profit is extra volume times profit per unit."

EXAMPLE ANSWER, SAID OUT LOUD

> **Extra profit is extra volume times profit per unit.** Strollerall: 35,000 more at $80, **$2.8 million**. Care seat: 30,000 at $50, **$1.5 million**. Duo: 22,500 at $120, **$2.7 million**. **About $7 million in total**, taking profit to $77 million: **still $23 million short**. And online has costs: setup, cannibalization, and friction with retailers.

5 Recommendation

1 min

SAY

"The CEO just walked into the team room and wants a quick, 30-second synthesis of what you've found. What do you tell her?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Restates the goal ($100M)
- [ ] Recommend selling online: market shifting to ~20% online in 3 years; +$7M a year
- [ ] Only ~25% of the gap: also investigate why volume fell while the market grew (range, pricing, channel performance)

ANSWER KEY, DON'T SHOW

"You asked how QT Co. can get back to $100M of profit. We recommend selling online: the market is moving there, to about 20% in three years, and it would add about $7M a year. That's only about a quarter of the gap, so while we build the online channel, we need to find out why our volume fell despite a growing market, looking at our range, pricing and performance in existing channels."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the goal
2. Recommendation with the number
3. Gap and next steps

Phrases to listen for: "That's only a quarter of the gap."

EXAMPLE ANSWER, SAID OUT LOUD

> **You asked how to get back to $100 million. We recommend selling online**: the market is moving there, to about 20% in three years, and it adds about $7 million a year. **But that's only a quarter of the gap**, so we'll also find out why our volume fell in a growing market, looking at our range, pricing and performance with retailers.

▼ Show the full sample interview

INTERVIEWER

"Your client is QT Co., a US baby-products manufacturer and the market leader in strollers and car seats. It offers the safest products on the market, which parents value greatly, at prices competitive with other premium brands."

"Despite its leadership, profits have dwindled over the past two years: last quarter was 30% below the same quarter two years earlier."

"The CEO wants to correct this trend. What can QT Co. do to increase profitability?"

> CANDIDATE
>
> **To recap**: QT Co. leads the US market in strollers and car seats, known for safety at competitive premium prices, but profits are down 30% in two years. **The CEO wants to reverse that.** Could I ask what the profit target is, where profits are today, and how and where they sell?

INTERVIEWER · FRAMEWORK

"How can QT Co. improve its profitability?"

> CANDIDATE
>
> **Profit is revenue minus costs, so I'd look at both.** **Revenue**: volume and price, cut by product, by sales channel and by geography. **Costs**: fixed, like manufacturing overhead, marketing and R&D; and variable, like unit cost, warranties and distribution. **Since the market is growing but our volume is falling, I'd start with revenue.** **Does that sound good?**

INTERVIEWER · READING THE EXHIBITS

"We've gathered information on QT Co.'s sales volumes by product and the market's sales by channel. What can you conclude from these exhibits?"

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CANDIDATE

Two takeaways. First, **volume fell about 25% in two years**, from 1.2 million to about 900,000 units, with Duo falling most. That alone likely explains the 30% profit drop. Second, **the market is moving online**: about 7% today, heading to 20% in three years, and we don't sell there. **But that shift only explains part of our loss**, so we need to ask whether to sell online, and what else is going on.

INTERVIEWER · PROFIT FROM ONLINE

"The client understands the issue isn't product quality but the channel. An internal analysis shows selling online could boost volumes by 10% per item. How much would this increase QT Co.'s profits?"

- Prices: Strollerall **$400**; Care seat **$250**; Duo **$600**
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CANDIDATE

Extra profit is extra volume times profit per unit. Strollerall: 35,000 more at $80, **$2.8 million**. Care seat: 30,000 at $50, **$1.5 million**. Duo: 22,500 at $120, **$2.7 million**. **About $7 million in total**, taking profit to $77 million: **still $23 million short**. And online has costs: setup, cannibalization, and friction with retailers.

INTERVIEWER · RECOMMENDATION

"The CEO just walked into the team room and wants a quick, 30-second synthesis of what you've found. What do you tell her?"

CANDIDATE

You asked how to get back to $100 million. We recommend selling online: the market is moving there, to about 20% in three years, and it adds about $7 million a year. **But that's only a quarter of the gap**, so we'll also find out why our volume fell in a growing market, looking at our range, pricing and performance with retailers.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 2 OF 26

Lab-grown Diamonds

Sustainability, Market entry | Easy | ~25 min | Core path

#2 · Tier 1 · Classic types · Teaches: Market entry for a new line: cannibalization math, and reading a survey for brand risk vs. a new segment

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A premium Southern European jeweler is considering a line of lab-grown diamonds. The candidate structures the decision, calculates the profit after some existing customers switch (cannibalization), reads a survey comparing existing customers with the public, and weighs a separate online sub-brand against adding the line to the main brand.

THE ANSWER IN ONE LINE, DON'T SHOW

Gross profit rises **€29.25M → €34.65M (+€5.4M)** even with 20% cannibalization. But existing customers see lab-grown as less valuable (brand risk), while the general public shows higher intent, online affinity and gifting potential. Launch as an **online-first sub-brand**, starting with a pilot.

1 Read the prompt

2–3 min

SAY

"Bellagio Jewels is a premium jewelry company operating mainly in Southern Europe. It targets upper-middle-class women aged 30–55, and has built its brand on emotional value, craftsmanship and timeless design."

"The CEO is considering launching a new product line of lab-grown diamonds, given growing consumer interest in sustainability and affordability."

"Should they do it?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's the objective? ADDED	"Decide whether to launch the line, and if so, how."
Who are the customers? ADDED	"Upper-middle-class women aged 30–55."
Where do they sell? ADDED	"Mainly Southern Europe."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: whether AND how to launch
- [ ] Notes brand built on emotional value and craftsmanship
- [ ] Spots the tension: affordable/sustainable vs. premium

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **To recap**: Bellagio is a premium jeweler built on craftsmanship and timeless design, considering a lab-grown diamond line for sustainability- and price-minded buyers. **The question is whether to launch it, and how.** Could I ask who its customers are, where it sells, and how its sales are split between stores and online?

2 Framework

3 min

SAY

"How would you approach the decision of whether Bellagio should enter the lab-grown diamond segment, and how they should go about it?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Market demand and competition
- [ ] Financial impact incl. cannibalization
- [ ] Brand impact
- [ ] Launch strategy: segments, brand, channels

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Market: size and growth, lab-grown vs. mined
- [ ] Market: competition
- [ ] Financial: pricing, margin, cannibalization
- [ ] Financial: incremental profit
- [ ] Brand: dilution of 'timeless luxury'?
- [ ] Brand: can sustainability be premium?
- [ ] Launch: target segments
- [ ] Launch: Bellagio brand or sub-brand
- [ ] Launch: channels (stores, online, new brand)

ANSWER KEY, DON'T SHOW

1. Market demand: size and growth of lab-grown vs. mined; competition. **2. Financial impact**: pricing, margin, cannibalization, incremental profit. **3. Brand impact**: dilution risk; can sustainability be premium? **4. Launch strategy**: target segments, own brand or sub-brand, channels.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Demand
2. Financials
3. Brand
4. Launch

Phrases to listen for: "I'd answer 'whether' and 'how' in four parts."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd answer 'whether' and 'how' in four parts. Demand: how big and fast-growing lab-grown is, and how competitive. Financials: price, margin and how much we'd cannibalize. Brand: would it dilute our timeless luxury image, or can sustainability be premium? Launch: which customers, under the Bellagio name or a sub-brand, and through which channels. Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness	Customer segmentation & needs	Financial considerations	Risks & mitigations
• Lab-grown growth • Competition	• Existing customers vs. public	• Margin, cannibalization	• Brand dilution

The case's Brand bucket matters most here; in the book's terms, it sits between Customer and Risk.

3 Profit impact

4 min

SAY

"Bellagio sells 50,000 diamonds a year at an average of €900, with a 65% gross margin. With a lab-grown line, it estimates 20% of existing customers would switch to lab-grown, priced at €600 with a 75% gross margin. It also forecasts 15,000 new unit sales from first-time buyers. Should it expect annual gross profit to rise or fall?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Baseline: 50,000 × €900 × 65% = €29.25M
- [ ] Switched: 10,000 × €600 × 75% = €4.5M
- [ ] Remaining mined: 40,000 × €900 × 65% = €23.4M
- [ ] New buyers: 15,000 × €600 × 75% = €6.75M
- [ ] Total €34.65M → +€5.4M
- [ ] Sensitivity: higher cannibalization erodes the gain

ANSWER KEY, DON'T SHOW

```
Today: 50,000 × €900 × 65% = €29.25M
Switchers: 10,000 × €600 × 75% = €4.5M
Remaining mined: 40,000 × €900 × 65% = €23.4M
New buyers: 15,000 × €600 × 75% = €6.75M
New total €34.65M → +€5.4M
```

Attractive, assuming only 20% cannibalization. Next: test 30–40% cannibalization, and combine with brand survey data to choose integration vs. sub-brand.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Each switching customer pays less. What profit do we make on them now vs. before?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Baseline
2. Switchers, stayers, new buyers
3. Total and change
4. Sensitivity

Phrases to listen for: "I'll compare gross profit before and after."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll compare gross profit before and after.** Today: 50,000 at €900 at 65%, **€29.25 million**. After: the 10,000 who switch earn €4.5 million, the 40,000 who stay €23.4 million, and 15,000 new buyers €6.75 million, so **€34.65 million**. **That's €5.4 million more a year.** It depends on cannibalization staying near 20%, so I'd test 30 to 40%.

4 Survey insights

4 min

SAY

"What insights can you draw from this survey about Bellagio's chances of success with lab-grown diamonds?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT A).

Exhibit A. Survey: existing Bellagio customers vs. general public (% agree)

Statement	Existing customers	General public
I care about sustainability	82%	85%
I would consider buying lab-grown diamonds	60%	78%
I believe lab-grown are less valuable	58%	42%
I would expect to pay less for lab-grown	92%	94%
I associate Bellagio with timeless craftsmanship	88%	45%
I would consider Bellagio for gifting	52%	74%
I would buy jewelry online	48%	80%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Sustainability matters to both groups: real demand
- [ ] Existing customers see lab-grown as less valuable: brand risk
- [ ] Public: higher intent, online and gifting affinity: a new customer base
- [ ] Opportunity: reach a new, younger, digital-first segment rather than cannibalize

ANSWER KEY, DON'T SHOW

Strong **interest in sustainability** in both groups. **Existing customers** see lab-grown as less valuable (58%), a risk for a brand built on craftsmanship. The **general public** shows higher purchase intent (78%), buys online (80%) and considers Bellagio for gifts (74%). So lab-grown could **reach a new, younger, digital-first segment** rather than cannibalize the current one.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Where do the two groups differ most?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Common ground
2. Existing customers: risk
3. Public: opportunity
4. So what

Phrases to listen for: "Two different audiences."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two different audiences.** Both care about sustainability. But **58% of our customers think lab-grown is less valuable**, a risk for a brand built on craftsmanship. **The public is more open**: 78% would consider it, 80% buy jewelry online, and 74% would consider us for gifts. **So lab-grown is a chance to win new, younger, online customers**, not just shift our own.

5 Sub-brand or main line?

3 min

SAY

"The CMO suggests launching lab-grown as an online-only sub-brand targeting Gen Z for gifting. The new brand would cost €1.5M upfront. What are the pros and cons of a sub-brand vs. integrating lab-grown into the main Bellagio line?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Sub-brand pros: protects luxury image, fits young online buyers, easier to test, clear sustainability story
- [ ] Sub-brand cons: €1.5M upfront, complexity
- [ ] Integration pros: cheaper, faster
- [ ] Integration cons: brand dilution, confused message, cannibalization
- [ ] Takes a side: sub-brand, piloted small

ANSWER KEY, DON'T SHOW

Sub-brand: protects Bellagio's luxury image, fits younger online buyers, easier to test and scale, clear sustainability positioning; but €1.5M upfront and more complexity. **Integration**: cheaper, uses existing infrastructure, faster; but risks brand dilution, confuses traditional customers, and cannibalizes the core. On balance, **a sub-brand**, starting as a limited pilot after customer testing.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Sub-brand pros and cons
2. Integration pros and cons
3. Take a side

Phrases to listen for: "On balance I'd go with a sub-brand."

EXAMPLE ANSWER, SAID OUT LOUD

> **A sub-brand protects the core but costs more.** Pros: it shields Bellagio's luxury image, suits young online buyers, and is easy to test. Cons: €1.5 million upfront and more complexity. **Integration** is cheaper and faster, but risks diluting the brand, confusing loyal customers and cannibalizing more. **On balance I'd go with a sub-brand**, starting with a small pilot.

6 Recommendation

1–2 min

SAY

"Should Bellagio launch a lab-grown diamond line? If so, how?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: yes, via an online-first sub-brand
- [ ] +€5.4M a year even after 20% cannibalization; higher margins
- [ ] Existing customers see lower value: dilution risk
- [ ] Non-customers show intent, sustainability focus, gifting
- [ ] Next: market and competition analysis; pilot with KPIs

ANSWER KEY, DON'T SHOW

"Bellagio should enter lab-grown diamonds, but through a new online-first sub-brand aimed at younger, sustainability-minded buyers. It adds about €5.4M of gross profit a year even after 20% cannibalization, thanks to higher margins and new customers. Our customers see lab-grown as less valuable, so putting it under the main brand risks dilution, while the public shows higher intent, online buying and gifting potential: a new segment, not overlap. Next: analyze market demand and competition, then pilot a limited online collection to track acquisition, brand perception and cannibalization."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: yes, via a sub-brand
2. Profit
3. Brand logic
4. Next steps

Phrases to listen for: "Yes, but as an online-first sub-brand."

EXAMPLE ANSWER, SAID OUT LOUD

Yes, launch lab-grown diamonds, but as an online-first sub-brand. It adds about €5.4 million of gross profit a year, even after some customers switch. Our customers see lab-grown as less valuable, so the main brand is risky, but younger online buyers are keen. **Next**: size the market and competitors, and pilot a small online collection to track new customers, brand perception and cannibalization.

▼ Show the full sample interview

INTERVIEWER

"Bellagio Jewels is a premium jewelry company operating mainly in Southern Europe. It targets upper-middle-class women aged 30–55, and has built its brand on emotional value, craftsmanship and timeless design."

"The CEO is considering launching a new product line of lab-grown diamonds, given growing consumer interest in sustainability and affordability."

"Should they do it?"

CANDIDATE

To recap: Bellagio is a premium jeweler built on craftsmanship and timeless design, considering a lab-grown diamond line for sustainability- and price-minded buyers. **The question is whether to launch it, and how.** Could I ask who its customers are, where it sells, and how its sales are split between stores and online?

INTERVIEWER · FRAMEWORK

"How would you approach the decision of whether Bellagio should enter the lab-grown diamond segment, and how they should go about it?"

CANDIDATE

I'd answer 'whether' and 'how' in four parts. **Demand**: how big and fast-growing lab-grown is, and how competitive. **Financials**: price, margin and how much we'd cannibalize. **Brand**: would it dilute our timeless luxury image, or can sustainability be premium? **Launch**: which customers, under the Bellagio name or a sub-brand, and through which channels. **Does that sound good?**

INTERVIEWER · PROFIT IMPACT

"Bellagio sells 50,000 diamonds a year at an average of €900, with a 65% gross margin. With a lab-grown line, it estimates 20% of existing customers would switch to lab-grown, priced at €600 with a 75% gross margin. It also forecasts 15,000 new unit sales from first-time buyers. Should it expect annual gross profit to rise or fall?"

CANDIDATE

I'll compare gross profit before and after. Today: 50,000 at €900 at 65%, **€29.25 million**. After: the 10,000 who switch earn €4.5 million, the 40,000 who stay €23.4 million, and 15,000 new buyers €6.75 million, so **€34.65 million**. **That's €5.4 million more a year.** It depends on cannibalization staying near 20%, so I'd test 30 to 40%.

INTERVIEWER · SURVEY INSIGHTS

"What insights can you draw from this survey about Bellagio's chances of success with lab-grown diamonds?"

Exhibit A. Survey: existing Bellagio customers vs. general public (% agree)

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CANDIDATE

Two different audiences. Both care about sustainability. But **58% of our customers think lab-grown is less valuable**, a risk for a brand built on craftsmanship. **The public is more open**: 78% would consider it, 80% buy jewelry online, and 74% would consider us for gifts. **So lab-grown is a chance to win new, younger, online customers**, not just shift our own.

INTERVIEWER · SUB-BRAND OR MAIN LINE?

"The CMO suggests launching lab-grown as an online-only sub-brand targeting Gen Z for gifting. The new brand would cost €1.5M upfront. What are the pros and cons of a sub-brand vs. integrating lab-grown into the main Bellagio line?"

CANDIDATE

A sub-brand protects the core but costs more. Pros: it shields Bellagio's luxury image, suits young online buyers, and is easy to test. Cons: €1.5 million upfront and more complexity. **Integration** is cheaper and faster, but risks diluting the brand, confusing loyal customers and cannibalizing more. **On balance I'd go with a sub-brand**, starting with a small pilot.

INTERVIEWER · RECOMMENDATION

"Should Bellagio launch a lab-grown diamond line? If so, how?"

CANDIDATE

Yes, launch lab-grown diamonds, but as an online-first sub-brand. It adds about €5.4 million of gross profit a year, even after some customers switch. Our customers see lab-grown as less valuable, so the main brand is risky, but younger online buyers are keen. **Next**: size the market and competitors, and pilot a small online collection to track new customers, brand perception and cannibalization.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 3 OF 26

Pure Fresh Sandwiches

Growth strategy | Easy | ~30 min | Core path

#3 · Tier 1 · Classic types · Teaches: Revenue tree (stores × visits × spend), a price-vs-volume test, and a first top-down market sizing

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

The world's third-largest sandwich chain wants revenue growth to rise from 1% to 3%+ a year. There's no single answer: the candidate collects several opportunities: a coffee price test, sizing premium sandwiches in India, and ways to raise spend per visit, then pulls them together.

THE ANSWER IN ONE LINE, DON'T SHOW

Revenue tree: stores × visits per store × spend per visit. Latte: $2.50 maximizes direct profit ($325 a day), but **$2 maximizes revenue** and footfall. India premium sandwiches ≈ 1.3B × 40% × 25% × 20% = 26M buyers × 2 a week × $1 ≈ **$2.7B a year**. Plus in-store levers (layout, bundles, upselling, new products).

1 Read the prompt

2–3 min

SAY

"Our client is Pure Fresh Sandwiches, a large sandwich company that competes with Subway and other major chains. It owns and operates the third-largest chain of sandwich stores in the world."

"Like its competitors, it sells premium sandwiches, coffees and teas, soft drinks and snacks. Last year it had sales of $5bn."

"Growth has slowed in recent years, and a new CEO has been hired to increase profits. A team already works on cost reduction; the client needs help finding revenue opportunities to implement over the next five years."

"How can Pure Fresh accelerate revenue growth over the next five years?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's the growth target?	"From 1% a year to 3%+ over this period. The market has also grown 1% a year recently."
What's in scope?	"Opportunities that start paying off within five years. No growth outside the core business, and no new brands."
Should I look at costs?	"No, this is specifically a revenue case."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks for the target (1% → 3%+)
- [ ] Notes the market grows only 1%
- [ ] Confirms scope: revenue, core business, five years

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> To recap: Pure Fresh is the world's third-largest sandwich chain, with $5 billion in sales, but growth has slowed. We're looking for revenue opportunities over the next five years, while another team handles costs. Could I ask what growth target we're aiming for, how fast the market grows, and whether new brands or businesses are in scope?

2 Framework

2–3 min

SAY

"How would you structure your approach to the problem?"

HOW TO STEER

- Original case: if asked, or if the candidate drifts, clarify this is a revenue case, not cost reduction.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Revenue = stores × visits per store × revenue per visit
- [ ] Stores: existing and new geographies
- [ ] Visits: more customers, more frequent
- [ ] Per visit: price, items per visit

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] More stores: existing geographies
- [ ] More stores: new geographies
- [ ] More visits: more customers
- [ ] More visits: more frequent visits
- [ ] Per visit: higher average price
- [ ] Per visit: more items per visit

ANSWER KEY, DON'T SHOW

1. More stores: in existing and new geographies. **2. More visits per store**: more customers, more frequent visits. **3. More revenue per visit**: higher prices, more items per visit.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Revenue = stores × visits × spend per visit
2. Two levers each

Phrases to listen for: "Revenue is stores times visits per store times spend per visit."

EXAMPLE ANSWER, SAID OUT LOUD

> Revenue is stores times visits per store times spend per visit, so I'd grow each. More stores, in current and new countries. More visits, by attracting new customers and bringing existing ones back more often. More spend per visit, through pricing and selling more items per visit. Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness	Customer segmentation & needs	Competitive landscape	Financial considerations
• Market growth 1% • New geographies (India)	• Coffee drinkers vs. sandwich buyers	• Subway, Starbucks	• Price vs. volume • Spend per visit

A revenue tree (stores × visits × spend) fits better than the 8 buckets; the book's Market bucket points to India.

3 Latte price test

4 min

SAY

"The client wants to compete better on coffee against Starbucks and others. It sells its 'Pure Latte' for $3.00 in the US and has trialed lower prices in some stores. Here are the results. What do you think is the optimal price for the Pure Latte?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Pure Latte price trial

Price per cup	$3.00	$2.50	$2.00
Cups sold per store per day	200	250	350
Cost per cup	$1.50	$1.20	$1.10

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Profit = (price – cost) × cups
- [ ] $3: $1.50 × 200 = $300
- [ ] $2.50: $1.30 × 250 = $325
- [ ] $2: $0.90 × 350 = $315
- [ ] Direct profit: $2.50 is best
- [ ] But the goal is revenue: $2 gives $700 vs. $625 vs. $600, plus more footfall for other items

ANSWER KEY, DON'T SHOW

```
$3.00: ($3.00 – $1.50) × 200 = $300 profit · $600 revenue
$2.50: ($2.50 – $1.20) × 250 = $325 profit · $625 revenue
$2.00: ($2.00 – $1.10) × 350 = $315 profit · $700 revenue
```

On direct profit, $2.50 wins. But the client's goal is revenue, and a cheaper latte brings extra footfall and sales of other items, so **$2 is the most favorable**.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What does the client make on one latte at each price?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Profit at each price
2. Best on profit
3. Revisit with the real goal (revenue)
4. Decision

Phrases to listen for: "But our goal is revenue."

EXAMPLE ANSWER, SAID OUT LOUD

> **Profit per store per day is margin times cups.** At $3, $1.50 times 200 is **$300**. At $2.50, $1.30 times 250 is **$325**. At $2, 90 cents times 350 is **$315**. On direct profit, $2.50 wins. **But our goal is revenue**: $2 brings in $700 a day versus $625, and more people coming in for coffee also buy sandwiches. **So I'd go with $2.**

4 India market size

5 min

SAY

"The team is also considering international expansion, in particular launching premium sandwiches in India. Go ahead and estimate the market size for premium sandwiches in India."

HOW TO STEER

- Original case: if the candidate is unsure, say we want an annual market size in dollars, and 'premium sandwiches' means only those bought from a chain like the client's, not homemade.
- If they go off track, steer them toward urban, middle- and higher-income customers.
- Share any of the facts below if prompted.

GIVE ONLY WHEN: IF PROMPTED.

- Population of India: **1.3 billion**
- Urban population: **40%**
- Income needed to buy premium sandwiches: **top quartile** of the urban income distribution
- Expected price: **$1** per sandwich

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Lays out the approach first
- [ ] 1.3B × 40% urban × 25% top quartile ≈ 130M in the market
- [ ] × 20% who'd buy ≈ 26M customers
- [ ] × 2 a week × $1 ≈ $52M a week ≈ $2.7B a year
- [ ] So what: material vs. $5B revenue

ANSWER KEY, DON'T SHOW

```
1.3B × 40% urban × 25% top quartile ≈ 130M
× 20% who'd buy (working adults wanting a light lunch) ≈ 26M
× 2 per week ≈ 52M sandwiches × $1 ≈ $52M a week ≈ $2.7B a year
```

Attractive: even a small share would make a material difference to a $5B company.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Who could realistically buy a premium sandwich in India?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Approach
2. Population filters
3. Purchase rate and frequency
4. Annual $
5. So what

Phrases to listen for: "I'll go from population to buyers to sales."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll go from population to buyers to sales.** 1.3 billion people, 40% urban, top quarter of urban incomes: **about 130 million** who could afford it. Say 20% actually want a premium sandwich, mostly working adults at lunch: **26 million**. Two a week each is 52 million sandwiches at $1, **$52 million a week, or about $2.7 billion a year**. **So what**: for a $5 billion company, even a small share matters.

5 Spend per visit

3 min

SAY

"The client wants entirely new ideas too. At the store level, how else could Pure Fresh grow revenue per customer visit, besides changing the price?"

HOW TO STEER

- Original case: if the candidate is unsure, clarify that we're focusing on sales per visit, not more visits overall, so ideas like geographic expansion aren't relevant.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Keep people in store longer
- [ ] Promotions and upselling
- [ ] Broaden the range

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Better layout and design
- [ ] Better wifi
- [ ] Charging points and facilities
- [ ] Bundles
- [ ] Staff upselling
- [ ] Visual promotion of higher-value items
- [ ] New products in existing categories (new coffees)
- [ ] New categories (mugs, equipment)

ANSWER KEY, DON'T SHOW

Keep people in store longer: layout and design, better wifi, charging points. **Promotions**: bundles, staff upselling, visual promotion of higher-value products. **Wider range**: new products in existing categories (new coffees) and new categories (mugs, sandwich equipment).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Keep people longer
2. Sell more
3. Sell new things

Phrases to listen for: "Three ideas."

EXAMPLE ANSWER, SAID OUT LOUD

> Three ideas. Keep people longer: a nicer layout, good wifi, charging points. Sell more: meal bundles, staff suggesting add-ons, and displays for higher-value items. Sell new things: new coffees in the current range, and new categories like branded mugs.

6 Recommendation

1–2 min

SAY

"Overall, what would you recommend to the client?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Restates the goal: grow revenue over 5 years
- [ ] Three opportunities: pricing (coffee), India (~$2.7B), spend per visit
- [ ] Next: check whether they reach the 3% target

ANSWER KEY, DON'T SHOW

"You asked how Pure Fresh can grow revenue over five years. We see at least three major opportunities. First, price optimization: a cheaper coffee draws more customers and lifts sales. Second, geographic expansion, especially India, a potential $2.7B market. Third, raising spend per visit through promotions and a better store environment. Over the coming weeks, we'll test whether these together reach the 3% annual growth target."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the goal
2. Three opportunities

3. Next: does it reach 3%?

Phrases to listen for: "We see three opportunities."

EXAMPLE ANSWER, SAID OUT LOUD

> **You asked how to grow revenue over five years. We see three opportunities.** **Pricing**: a cheaper coffee draws in customers and lifts total sales. **India**: a $2.7 billion market for premium sandwiches. **Spend per visit**: promotions and a better store experience. **Next**, we'll size each one to check that together they reach 3% growth.

▼ Show the full sample interview

INTERVIEWER

"Our client is Pure Fresh Sandwiches, a large sandwich company that competes with Subway and other major chains. It owns and operates the third-largest chain of sandwich stores in the world."

"Like its competitors, it sells premium sandwiches, coffees and teas, soft drinks and snacks. Last year it had sales of $5bn."

"Growth has slowed in recent years, and a new CEO has been hired to increase profits. A team already works on cost reduction; the client needs help finding revenue opportunities to implement over the next five years."

"How can Pure Fresh accelerate revenue growth over the next five years?"

CANDIDATE

To recap: Pure Fresh is the world's third-largest sandwich chain, with $5 billion in sales, but growth has slowed. **We're looking for revenue opportunities over the next five years**, while another team handles costs. Could I ask what growth target we're aiming for, how fast the market grows, and whether new brands or businesses are in scope?

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the problem?"

CANDIDATE

Revenue is stores times visits per store times spend per visit, so I'd grow each. **More stores**, in current and new countries. **More visits**, by attracting new customers and bringing existing ones back more often. **More spend per visit**, through pricing and selling more items per visit. **Does that sound good?**

INTERVIEWER · LATTE PRICE TEST

"The client wants to compete better on coffee against Starbucks and others. It sells its 'Pure Latte' for $3.00 in the US and has trialed lower prices in some stores. Here are the results. What do you think is the optimal price for the Pure Latte?"

Exhibit 1. Pure Latte price trial

Price per cup	$3.00	$2.50	$2.00
Cups sold per store per day	200	250	350
Cost per cup	$1.50	$1.20	$1.10

CANDIDATE

Profit per store per day is margin times cups. At $3, $1.50 times 200 is **$300**. At $2.50, $1.30 times 250 is **$325**. At $2, 90 cents times 350 is **$315**. On direct profit, $2.50 wins. **But our goal is revenue**: $2 brings in $700 a day versus $625, and more people coming in for coffee also buy sandwiches. **So I'd go with $2.**

INTERVIEWER · INDIA MARKET SIZE

"The team is also considering international expansion, in particular launching premium sandwiches in India. Go ahead and estimate the market size for premium sandwiches in India."

- Population of India: **1.3 billion**
- Urban population: **40%**
- Income needed to buy premium sandwiches: **top quartile** of the urban income distribution
- Expected price: **$1** per sandwich

CANDIDATE

I'll go from population to buyers to sales. 1.3 billion people, 40% urban, top quarter of urban incomes: **about 130 million** who could afford it. Say 20% actually want a premium sandwich, mostly working adults at lunch: **26 million**. Two a week each is 52 million sandwiches at $1, **$52 million a week, or about $2.7 billion a year**. **So what**: for a $5 billion company, even a small share matters.

INTERVIEWER · SPEND PER VISIT

"The client wants entirely new ideas too. At the store level, how else could Pure Fresh grow revenue per customer visit, besides changing the price?"

CANDIDATE

Three ideas. **Keep people longer**: a nicer layout, good wifi, charging points. **Sell more**: meal bundles, staff suggesting add-ons, and displays for higher-value items. **Sell new things**: new coffees in the current range, and new categories like branded mugs.

INTERVIEWER · RECOMMENDATION

"Overall, what would you recommend to the client?"

CANDIDATE

You asked how to grow revenue over five years. We see three opportunities. **Pricing**: a cheaper coffee draws in customers and lifts total sales. **India**: a $2.7 billion market for premium sandwiches. **Spend per visit**: promotions and a better store experience. **Next**, we'll size each one to check that together they reach 3% growth.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 4 OF 26

A-EYE

Pricing | Medium | ~30 min | Core path

#4 · Tier 1 · Classic types · Teaches: Value-based pricing: price from the customer's savings, then protect share

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

An AI company has a camera system that spots manufacturing defects, and must price it for a wind-turbine blade maker. The candidate structures pricing (willingness to pay, costs, competition), calculates the customer's current rework cost, sets a subscription price that still saves the customer 25%, then protects market share and finds new applications.

THE ANSWER IN ONE LINE, DON'T SHOW

Breeze's rework costs **$5.4M a year** (20 late defects × 3 layers × $90k). With AI, late defects halve → **$2.7M**; no QA crew; $1M install amortized at $100k/yr. To deliver 25% savings on $5.7M (→ $4.275M), A-EYE can charge up to **$1,475,000 a year**. Protect share with contracts, switching costs and better product rather than price cuts; expand to solar, batteries, other manufacturing and inspection uses.

1 Read the prompt

2–3 min

SAY

"Your client, A-EYE, has developed an extremely efficient AI visual anomaly detection (VAD) system that can detect manufacturing defects. A wind turbine manufacturer, Breeze, is interested."

"The system can detect defects such as nicks and scratches on a wind turbine during manufacturing and automatically flag them. A-EYE specifically wants to use it to minimize defects while carbon fiber is layered onto Breeze's turbine blades."

"This is A-EYE's first wind turbine blade client, and they need your help pricing the solution."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How are the blades made?	"Breeze's turbines have 3 blades, each 52 meters (170 ft) long, made of 30 layers of carbon fiber composite over a steel scaffolding."
How does the system work?	"A camera on a fixed rail inspects the entire length of the blade; the images feed an AI model, which notifies workers of any defect."
What's A-EYE's goal?	"To become the largest player in the industry, with the largest market share, and a long-term partner to top players like Breeze in sustainability and renewables."
Where are the companies?	"Breeze is in Oslo, Norway; A-EYE is in Montreal, Canada."
How big is A-EYE?	"A small-to-medium AI company with about 100 employees."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: price an AI defect-detection system for its first wind-blade client
- [ ] Asks A-EYE's goal (market share, long-term partner)
- [ ] Asks how blades are made and how the system works

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** A-EYE has an AI system that spots manufacturing defects, and needs to price it for its first wind-turbine client, Breeze, to catch defects as carbon fiber is layered onto blades. **The question is what price to charge.**

> Could I ask: what's A-EYE's goal with this client? How are the blades made? And how does the system work in practice?

2 Framework

3 min

SAY

"What are the key considerations when pricing this solution?"

HOW TO STEER

- Original case: candidates may default to the 3 generic pricing methods (willingness to pay, cost, competition). Push them to specify how they'd assess each, tailored to this product and client.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Breeze's willingness to pay: current costs vs. net benefit (less inspection labor, less rework, fewer returns; happier customers, more capacity)
- [ ] Payment model Breeze could accept: subscription vs. one-off purchase
- [ ] A-EYE's costs and profit ambition: installation, running costs, fixed central costs, margin
- [ ] Competition: similar products and their pricing, upcoming launches, moats

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] WTP: Breeze's current cost and benefit (status quo)
- [ ] WTP: net benefit, lower costs (inspection labor, rework, returns)
- [ ] WTP: net benefit, higher revenue (satisfaction, freed-up capacity)
- [ ] Payment model: subscription
- [ ] Payment model: one-off equipment + license
- [ ] Costs: installation
- [ ] Costs: recurring cost of running the model
- [ ] Costs: fixed central (admin, R&D, sales & marketing)
- [ ] Costs: profit margin ambition
- [ ] Competition: similar products, pricing, effectiveness
- [ ] Competition: products in development
- [ ] Competition: moats and barriers to entry

ASK IF THEIR ANSWER IS THIN

- "How exactly would you measure Breeze's willingness to pay?"
- "What would Breeze save by using the system?"

IF THEY SAY... YOU SAY

Lists 'value, cost, competition' only	"How would you assess each of those for Breeze specifically?"

ANSWER KEY, DON'T SHOW

1. Breeze's willingness to pay: current cost of the status quo vs. net benefit (lower inspection labor, rework, returns; higher satisfaction and capacity), and the payment model they'd accept (subscription vs. one-off). **2. A-EYE's costs and profit ambition**: installation, running costs, fixed central costs, target margin. **3. Competitive pressure**: similar products and pricing, upcoming launches, moats.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Three angles, tailored: Breeze's WTP, A-EYE's costs, competition
2. Make each specific (rework, labor, returns...)
3. Check in

Phrases to listen for: "I'd look at the price from three angles, tailored to Breeze."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd look at the price from three angles, tailored to Breeze.** **First, Breeze's willingness to pay**: what defects cost them today in inspection labor, rework and returns, how much our system saves, and whether they'd prefer a subscription or a one-off purchase. **Second, A-EYE's costs and profit ambition**: installation, running costs, central costs and target margin. **Third, competition**: similar products, upcoming launches, and our moats. **Does that sound good?**

▼ **Book's 8-bucket version also counts**

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Customer segmentation & needs	Financial considerations	Competitive landscape	Risks & mitigations
• Breeze's willingness to pay: savings vs. status quo • Preferred payment model	• A-EYE's install, running and central costs • Margin ambition	• Similar products, launches, moats	• Price war • First client in a new industry

Pricing cases map to the book's three methods (customer value, cost, competition), but the case pushes you to tailor each to Breeze.

3 Rework cost today

5–6 min

SAY

"Each blade has 30 layers of carbon fiber over a steel scaffolding. Breeze's team inspects each layer during manufacturing. If a defect is caught early, before the fiber hardens, it's fixed at no extra cost. If it's caught late, after hardening, the last 3 layers must be reapplied, which costs money."

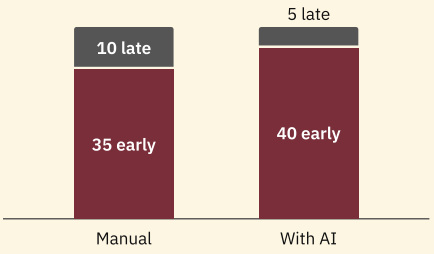
"How much does Breeze's blade rework cost today, per year?"

HOW TO STEER

- Original case: give Exhibits 1 and 2. A great question to see the candidate's quantitative thinking; push on any assumptions.

GIVE ONLY WHEN: EXHIBITS RIGHT AWAY; THE BULLET FACTS IF REQUESTED.

Exhibit 1. Carbon fiber defects per 100 blades



Early = caught before hardening (no extra cost). Late = caught after the fiber has set: 3 layers must be reworked.

Exhibit 2. Manufacturing costs

Total manufacturing cost per blade	$3,500,000
Cost of blade scaffolding	$800,000
Layers of carbon fiber	30
Layers refinished per rework	3

If requested: Breeze makes **200** blades a year; a blade's cost is only scaffolding + carbon fiber; reworking one layer costs the blade's total carbon fiber cost ÷ number of layers.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Annual rework cost = cost per rework × reworks a year
- [ ] Cost per layer = ($3.5M − $0.8M) ÷ 30 = $90,000
- [ ] Cost per rework = 3 × $90k = $270,000
- [ ] Only late defects cost money: 10 per 100 blades → 0.1 × 200 = 20 reworks
- [ ] 20 × $270k = $5.4M

IF THEY SAY… YOU SAY

Counts early defects too	"Do early defects cost anything?"
Divides the full $3.5M by 30	"Is the scaffolding part of the carbon fiber cost?"

ANSWER KEY, DON'T SHOW

```
Cost per layer = ($3,500,000 − $800,000) ÷ 30 = $90,000
Cost per rework = 3 × $90,000 = $270,000
Reworks/year = 10/100 × 200 blades = 20
Annual rework cost = 20 × $270,000 = $5,400,000
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's the formula for the annual rework cost?"
2. "What does one layer of carbon fiber cost?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Formula first
2. Cost per layer → cost per rework
3. Reworks a year (late defects only)
4. Multiply

Phrases to listen for: "Annual rework cost is cost per rework times reworks a year." · "Only late defects cost money."

EXAMPLE ANSWER, SAID OUT LOUD

> **Annual rework cost is cost per rework times reworks a year.** The carbon fiber in a blade costs $3.5 million minus $0.8 million of scaffolding, $2.7 million, so **$90,000 per layer**, and a rework redoes 3 layers: **$270,000**. Only late defects cost money: 10 per 100 blades, so 20 a year on 200 blades. **20 times $270,000 is $5.4 million a year.**

4 Subscription price

5 min

SAY

"What price should A-EYE charge for an annual subscription, if their aim is to deliver Breeze total savings of 25% versus current costs?"

HOW TO STEER

- Original case: the candidate should ask for the facts below while laying out their approach. If they don't, prompt them to think about other costs.
- A very similar calculation to the last one: the key change is the detection efficiency. Guide them to price on Breeze's maximum willingness to pay, while respecting the 25% savings goal.

GIVE ONLY WHEN: AS THEY LAY OUT THEIR APPROACH (OR PROMPT THEM).

- Breeze pays **$300K** a year for a 4-person QA crew doing manual inspection
- The AI model costs **$0** to maintain
- Installation and model training cost **$1M** one-off, paid by Breeze, amortized over **10 years** (ignore cost of capital)
- Breeze's volume and costs stay constant

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Current total cost: $5.4M rework + $0.3M labor = $5.7M
- [ ] Target: 75% × $5.7M = $4.275M
- [ ] New rework: late defects halve (5 per 100) → 0.05 × 200 × $270k = $2.7M
- [ ] Amortization: $1M ÷ 10 = $100k
- [ ] Price = $4.275M − $2.7M − $0.1M = $1.475M
- [ ] Mentions extra benefits: fewer delivery delays, happier customers

IF THEY SAY… YOU SAY

Forgets the QA crew	"What other costs does Breeze have today?"
Forgets the installation cost	"Who pays for installation, and how would you spread it?"

ANSWER KEY, DON'T SHOW

```
Current: $5.4M + $0.3M = $5.7M → target 75% = $4.275M
New rework: 0.05 × 200 × $270k = $2.7M
Amortization: $1M ÷ 10 = $0.1M
Max price = 4.275 − 2.7 − 0.1 = $1.475M per year
```

Extra benefits (fewer delivery delays, higher customer satisfaction) could justify more; check competitor pricing next.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What will Breeze's total cost be after a 25% saving?"
2. "Which costs remain once the AI is installed?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Today's total cost
2. Target cost after 25% saving
3. Costs that remain with AI
4. Price = target − remaining costs
5. Mention extra benefits

Phrases to listen for: "I'll work back from Breeze's target cost."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll work back from Breeze's target cost.** Today Breeze spends $5.4 million on rework plus $300,000 on inspectors, **$5.7 million**. A 25% saving means **$4.275 million**. With AI, late defects halve, so rework falls to **$2.7 million**, the inspectors aren't needed, and installation adds **$100,000 a year**. **So A-EYE can charge up to about $1.475 million a year.** And fewer delivery delays and happier customers could justify more.

5 Protecting market share

3–4 min

SAY

"A competitor is expected to enter with a similarly priced solution. What are some ways A-EYE can protect its market share?"

HOW TO STEER

- Original case: test for comprehensiveness. Lowering the price is possible but not ideal: service costs are near zero for both, so it could start a price war.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Retain clients: long-term contracts, switching costs, compete on value
- [ ] Increase sales and marketing
- [ ] Join forces with the competitor
- [ ] Diversify
- [ ] Says why a price cut is risky

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Lock in clients with long-term contracts
- [ ] Switching costs: integrate with other manufacturing software
- [ ] Switching costs: model improves with historical data
- [ ] Switching costs: limit data export
- [ ] Compete: better performance
- [ ] Compete: outstanding customer service
- [ ] Compete: new features
- [ ] Compete: solutions for other process steps (e.g. scaffolding)
- [ ] Lower prices (risk of price war)
- [ ] Increase sales & marketing
- [ ] Partner with, acquire or merge with the competitor
- [ ] Diversify into new applications

ASK IF THEIR ANSWER IS THIN

- "How could A-EYE make it hard for Breeze to switch?"
- "Why might cutting the price be dangerous here?"

ANSWER KEY, DON'T SHOW

1. Retain clients: long-term contracts; make switching hard (software integration, a model that improves with history, limited data export); compete on performance, service, features and adjacent processes; lower prices only as a last resort. **2. More sales & marketing. 3. Join forces** with the competitor. **4. Diversify** into new applications.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Why not price first
2. Retain clients: contracts, switching costs, value
3. Sales & marketing; join forces; diversify

Phrases to listen for: "I'd avoid leading with a price cut."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd avoid leading with a price cut**: both companies' costs are near zero, so it could start a price war. Instead: **retain clients** with long-term contracts and higher switching costs, by integrating with their software, improving the model on their data, and limiting data export; **compete on value** with better performance, service and features; **step up sales and marketing**; consider **partnering with or acquiring** the competitor; and **diversify** into new applications.

6 Other applications

3 min

SAY

"What are some other areas where A-EYE could apply and market its AI technology?"

HOW TO STEER

- Original case: share that the model learns the 'good' state from images and flags any difference. This question tests creativity and communication.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures: manufacturing defects vs. object identification
- [ ] Many concrete examples

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Defects, sustainability: solar panels, batteries
- [ ] Defects, other manufacturing: defence and space
- [ ] Defects: electronics
- [ ] Defects: automotive
- [ ] Defects: energy, consumer, other advanced industries
- [ ] Identification, process industries: waste management
- [ ] Identification: agriculture
- [ ] Identification: food production
- [ ] Identification: medical scans (X-ray)
- [ ] Identification: emissions control
- [ ] Applications: self-driving cars
- [ ] Applications: augmented reality
- [ ] Applications: smart cities

ASK IF THEIR ANSWER IS THIN

- "Where else do people inspect things visually today?"

ANSWER KEY, DON'T SHOW

1. Manufacturing defects: sustainability (solar panels, batteries); other manufacturing (defence and space, electronics, automotive, energy, consumer). **2. Object identification**: process industries (waste, agriculture, food, medical scans, emissions control) and applications (self-driving cars, AR, smart cities).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Explain why it transfers
2. Group 1: manufacturing defects
3. Group 2: object identification
4. Examples in each

Phrases to listen for: "Because the model learns what 'good' looks like, it can go almost anywhere."

EXAMPLE ANSWER, SAID OUT LOUD

> **Because the model learns what 'good' looks like and flags differences, it can go almost anywhere.** **Manufacturing defects**: solar panels and batteries, then electronics, automotive, aerospace and defence, energy and consumer goods. **Object identification**: waste sorting, agriculture, food production, medical scans and emissions monitoring, and further out, self-driving cars, augmented reality and smart cities.

7 Recommendation

1–2 min

SAY

"What is your overall recommendation at this stage?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: price at ~$1.475M a year
- [ ] Based on Breeze's savings and the 25% goal
- [ ] Extra benefits could support a higher price
- [ ] Protect share: contracts, switching costs, better product
- [ ] Expand into other manufacturing and inspection uses

ANSWER KEY, DON'T SHOW

"We were asked to help A-EYE price its anomaly-detection solution for Breeze. Based on the savings it generates, Breeze's willingness to pay and A-EYE's goal of saving Breeze 25%, we recommend an annual subscription of about $1.475M. That ignores extra benefits like fewer delivery delays and happier customers, which could support a higher price. To protect against the new competitor, A-EYE should lock in long-term contracts, make switching harder and keep improving the product, using price cuts only as a last resort. It should also expand into other manufacturing processes, inside and outside sustainability, and into process industries and new applications."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: the price
2. Why it works for both sides
3. Defend: contracts, switching, product
4. Grow: new markets

Phrases to listen for: "We recommend pricing the solution at about..."

EXAMPLE ANSWER, SAID OUT LOUD

> **We recommend pricing the solution at about $1.475 million a year.** That still saves Breeze 25% on its defect-related costs, and it doesn't yet count benefits like fewer delivery delays, which could support more. **To defend against the new competitor**, A-EYE should lock in long-term contracts, raise switching costs and keep improving the product, rather than cutting price. **To grow**, it should take the technology to other manufacturing and inspection markets, starting with solar panels and batteries.

▼ Show the full sample interview

INTERVIEWER

"Your client, A-EYE, has developed an extremely efficient AI visual anomaly detection (VAD) system that can detect manufacturing defects. A wind turbine manufacturer, Breeze, is interested."

"The system can detect defects such as nicks and scratches on a wind turbine during manufacturing and automatically flag them. A-EYE specifically wants to use it to minimize defects while carbon fiber is layered onto Breeze's turbine blades."

"This is A-EYE's first wind turbine blade client, and they need your help pricing the solution."

> CANDIDATE
>
> **Let me make sure I understand.** A-EYE has an AI system that spots manufacturing defects, and needs to price it for its first wind-turbine client, Breeze, to catch defects as carbon fiber is layered onto blades. **The question is what price to charge.** Could I ask: what's A-EYE's goal with this client? How are the blades made? And how does the system work in practice?

INTERVIEWER · FRAMEWORK

"What are the key considerations when pricing this solution?"

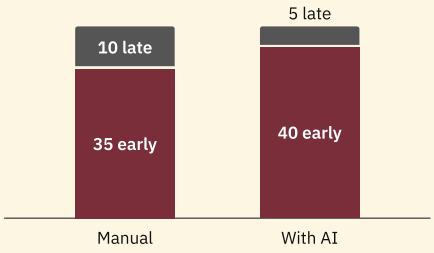
> CANDIDATE
>
> **I'd look at the price from three angles, tailored to Breeze.** **First, Breeze's willingness to pay**: what defects cost them today in inspection labor, rework and returns, how much our system saves, and whether they'd prefer a subscription or a one-off purchase. **Second, A-EYE's costs and profit ambition**: installation, running costs, central costs and target margin. **Third, competition**: similar products, upcoming launches, and our moats. **Does that sound good?**

INTERVIEWER · REWORK COST TODAY

"Each blade has 30 layers of carbon fiber over a steel scaffolding. Breeze's team inspects each layer during manufacturing. If a defect is caught early, before the fiber hardens, it's fixed at no extra cost. If it's caught late, after hardening, the last 3 layers must be reapplied, which costs money."

"How much does Breeze's blade rework cost today, per year?"

Exhibit 1. Carbon fiber defects per 100 blades



Early = caught before hardening (no extra cost). Late = caught after the fiber has set: 3 layers must be reworked.

Exhibit 2. Manufacturing costs

Total manufacturing cost per blade	$3,500,000
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Layers of carbon fiber	30
Layers refinished per rework	3

If requested: Breeze makes **200** blades a year; a blade's cost is only scaffolding + carbon fiber; reworking one layer costs the blade's total carbon fiber cost ÷ number of layers.

CANDIDATE

Annual rework cost is cost per rework times reworks a year. The carbon fiber in a blade costs $3.5 million minus $0.8 million of scaffolding, $2.7 million, so **$90,000 per layer**, and a rework redoes 3 layers: **$270,000**. Only late defects cost money: 10 per 100 blades, so 20 a year on 200 blades. **20 times $270,000 is $5.4 million a year.**

INTERVIEWER · SUBSCRIPTION PRICE

"What price should A-EYE charge for an annual subscription, if their aim is to deliver Breeze total savings of 25% versus current costs?"

- Breeze pays **$300K** a year for a 4-person QA crew doing manual inspection
- The AI model costs **$0** to maintain
- Installation and model training cost **$1M** one-off, paid by Breeze, amortized over **10 years** (ignore cost of capital)
- Breeze's volume and costs stay constant

CANDIDATE

I'll work back from Breeze's target cost. Today Breeze spends $5.4 million on rework plus $300,000 on inspectors, **$5.7 million**. A 25% saving means **$4.275 million**. With AI, late defects halve, so rework falls to **$2.7 million**, the inspectors aren't needed, and installation adds **$100,000 a year**. **So A-EYE can charge up to about $1.475 million a year.** And fewer delivery delays and happier customers could justify more.

INTERVIEWER · PROTECTING MARKET SHARE

"A competitor is expected to enter with a similarly priced solution. What are some ways A-EYE can protect its market share?"

CANDIDATE

I'd avoid leading with a price cut: both companies' costs are near zero, so it could start a price war. Instead: **retain clients** with long-term contracts and higher switching costs, by integrating with their software, improving the model on their data, and limiting data export; **compete on value** with better performance, service and features; **step up sales and marketing**; consider **partnering with or acquiring** the competitor; and **diversify** into new applications.

INTERVIEWER · OTHER APPLICATIONS

"What are some other areas where A-EYE could apply and market its AI technology?"

CANDIDATE

Because the model learns what 'good' looks like and flags differences, it can go almost anywhere. **Manufacturing defects**: solar panels and batteries, then electronics, automotive, aerospace and defence, energy and consumer goods. **Object identification**: waste sorting, agriculture, food production, medical scans and emissions monitoring, and further out, self-driving cars, augmented reality and smart cities.

INTERVIEWER · RECOMMENDATION

"What is your overall recommendation at this stage?"

CANDIDATE

We recommend pricing the solution at about $1.475 million a year. That still saves Breeze 25% on its defect-related costs, and it doesn't yet count benefits like fewer delivery delays, which could support more. **To defend against the new competitor**, A-EYE should lock in long-term contracts, raise switching costs and keep improving the product, rather than cutting price. **To grow**, it should take the technology to other manufacturing and inspection markets, starting with solar panels and batteries.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 5 OF 26

FlashFash

Mergers & acquisitions | Medium | ~30 min | Core path

#5 · Tier 1 · Classic types · Teaches: M&A: test the target's plan, size synergies, and weigh buying against building

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A big US clothing company (FlashFash, $25B revenue, mid-market brands, very fast production) is thinking about buying LaMode, a fast-growing online seller of luxury fashion. The candidate structures the decision, tests whether LaMode's Asia growth plan is realistic, judges the synergies from a data exhibit, brainstorms growth ideas, and makes a recommendation.

THE ANSWER IN ONE LINE, DON'T SHOW

Don't acquire LaMode. Its Asia plan needs **~4.2%** of the Asia online apparel market (above its 3% at home); synergies are **weak**: LaMode's customers are far more premium ($413 vs. $78 per purchase), FlashFash already sells more online ($5B+ vs. $2B), and LaMode's $48 transaction cost exceeds FlashFash's $42 margin per purchase. Only real synergy: helping LaMode expand internationally. Next: scan for other targets with a strong presence in Asia.

1 Read the prompt

2–3 min

SAY

"Our client is FlashFash, a US multinational apparel company with $25 billion of revenue. The company owns some of the best-known mid-market brands. It sells 70% of its products through its own stores, and 30% through multi-brand retail chains."

"FlashFash has a unique business model: instead of committing a large share of production for the next fashion season, it commits a small amount, and uses customer feedback and an efficient production network to replenish stores with new products weekly. New styles take as little as 15 days to go from design to production."

"As part of its growth strategy, FlashFash is considering acquiring LaMode, the leading independent online retailer of luxury brands, with 3% of all online apparel sales in North America. LaMode curates products from the best brands into a unique collection of over 30,000 items. It recently launched its own fashion brand, which already accounts for 5% of its revenue."

"The CEO of FlashFash has asked us: should they acquire LaMode?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's the client's objective?	"To accelerate the growth of FlashFash, in a way that creates value for its shareholders."
Is there a price for LaMode? ADDED	"Not yet. First we need to decide whether it's worth pursuing."
What does mid-market mean here? ADDED	"Affordable everyday fashion, between discount and premium."
How fast does the CEO need an answer? ADDED	"A first view within a few weeks."
Is LaMode profitable? ADDED	"We'll look at its economics shortly."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: $25B mid-market apparel company, fast model, considering an online luxury retailer
- [ ] Asks for the objective (growth that creates shareholder value)
- [ ] Notes the contrast: mid-market vs. luxury, stores vs. online

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** FlashFash is a $25 billion mid-market apparel company, mostly selling through its own stores, with a very fast, demand-driven production model. It's considering buying LaMode, the leading independent online luxury retailer, with 3% of North American online apparel sales and a young own brand. **The question is whether to acquire it.** Could I ask: **what's the client's objective** with this deal? And is there a price yet? **Could I take a minute to structure my thoughts?**

2 Framework

3 min

SAY

"How would you structure your approach to the problem?"

HOW TO STEER

- Original case: if asked, or if the candidate goes off-track, share that the client's goal is to accelerate the growth of FlashFash in a way that creates value for its shareholders.
- This is an interviewer-led case: after the framework, you lead to each question in order.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Value and growth potential of LaMode on its own
- [ ] Whether FlashFash can use LaMode to boost sales and cut costs (synergies)
- [ ] Whether FlashFash can execute the deal and integration

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Value & growth: growth of the online apparel market
- [ ] Value & growth: LaMode's market share
- [ ] Value & growth: LaMode's costs
- [ ] Revenue synergies
- [ ] Cost synergies
- [ ] FlashFash's capability to execute

ASK IF THEIR ANSWER IS THIN

- "How would you know if LaMode is worth buying on its own?"
- "What could FlashFash bring to LaMode, and LaMode to FlashFash?"
- "Even if it's a good deal, could FlashFash pull it off?"

IF THEY SAY... YOU SAY

Only talks about LaMode's market	"What about how the two companies would work together?"

ANSWER KEY, DON'T SHOW

1. Value and growth potential of LaMode: growth of online apparel, LaMode's market share, costs. **2. Can FlashFash use LaMode to boost sales and reduce costs?** Revenue synergies, cost synergies. **3. Does FlashFash have the capability to execute?**

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What would make LaMode a good acquisition?"
2. "Think about LaMode alone, then the two together."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the decision
2. Bucket 1: LaMode's value and growth alone
3. Bucket 2: synergies, revenue and cost

4. Bucket 3: ability to execute
5. Check in

Phrases to listen for: "To decide whether to acquire LaMode, I'd look at three areas." · "Does that sound good?"

EXAMPLE ANSWER, SAID OUT LOUD

> **To decide whether to acquire LaMode, I'd look at three areas. First, LaMode's value and growth potential on its own**: how fast online apparel is growing, LaMode's market share, and its cost structure. **Second, whether FlashFash can use LaMode to boost sales and reduce costs**: revenue synergies, like cross-selling or international expansion, and cost synergies, like sourcing and fulfillment. **Third, whether FlashFash can execute**: integrating an online luxury business is very different from running mid-market stores. **Does that sound good?**

▼ **Book's 8-bucket version also counts**

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness	Financial considerations	Synergies	Company capabilities
• Online apparel growth (global, Asia) • Luxury vs. mid-market trends	• LaMode's growth (31%) and cost structure • Is the Asia plan realistic? • Price vs. value created	• Revenue: international expansion, cross-selling • Cost: fulfillment, sourcing, own-brand COGS	• Can FlashFash run online luxury? • Integration risk

Very close to the case's 3 buckets: the book's Synergies bucket is the case's middle bucket. Add 'customers: luxury vs. mid-market' as a sub-bullet, because that's what kills cross-selling.

3 Asia market share

4–5 min

SAY

"The client believes LaMode could make a third of its global sales in Asia within five years, as the apparel market in Asia is expected to double and the share of purchases made online to triple over this period."

"What share of the Asia online apparel market would LaMode need to reach to capture this opportunity?"

HOW TO STEER

- Original case: let the candidate ask for the data below, but share it even if they don't ask.

GIVE ONLY WHEN: WHEN THEY ASK, OR AFTER THEY LAY OUT THEIR APPROACH.

- LaMode's global sales are **$2B**, and are expected to **triple** over the next 5 years
- The online apparel market in Asia today is **$8B**

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Sets up the formula first: LaMode Asia sales in 5 years ÷ Asia online market in 5 years
- [ ] LaMode Asia sales = (3 × $2B) ÷ 3 = $2B
- [ ] Asia online market = $8B × 2 × 3 = $48B
- [ ] Share = $2B ÷ $48B ≈ 4.2%

IF THEY SAY… YOU SAY

Uses today's $8B market	"What happens to the Asia online market over the five years?"
Grows the market ×2 or ×3, not both	"Both the total market and the online share are changing."
Uses $6B for Asia sales	"Is that LaMode's global sales, or its Asia sales?"

ANSWER KEY, DON'T SHOW

```
Share in 5 yrs = LaMode Asia sales ÷ Asia online market
LaMode Asia sales = (3 × $2B) ÷ 3 = $2B
Asia online market = $8B × 2 × 3 = $48B
Share = $2B ÷ $48B ≈ 4.2%
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What two numbers do you need to divide?"
2. "What will LaMode's global sales be in five years, and what's a third of that?"

▼ **Show example answer**

HOW A STRONG ANSWER IS STRUCTURED

1. Write the formula in words first
2. Numerator: LaMode's Asia sales in 5 years
3. Denominator: Asia online market in 5 years (×2 × ×3)
4. Divide and state the share

Phrases to listen for: "Let me set up the formula first." · "The market grows six times: it doubles, and the online share triples."

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me set up the formula first.** LaMode's share in five years equals its Asia sales in five years, divided by the Asia online apparel market in five years. LaMode's global sales triple from $2 billion to $6 billion, and a third of that is Asia, so **$2 billion**. The Asia online market is $8 billion today; the total market doubles and the online share triples, so it grows six times, to **$48 billion**. **$2 billion divided by $48 billion is about 4.2%.**

4 Sanity check PARTLY ADDED

2 min

Beyond the original case: The comparison with LaMode's 3% is in the case's answer; asking it as its own question is added.

SAY

"What do you make of that number?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Compares with LaMode's 3% share in North America, its core market where it's well established
- [ ] Calls the 4.2% target extremely ambitious
- [ ] Draws the implication: the Asia plan doesn't justify the acquisition

ANSWER KEY, DON'T SHOW

The client's expectations imply LaMode would capture 4.2% of the Asia online apparel market in 5 years. That's extremely ambitious, given its share of its core market, where it is well established, is just 3%. At this stage it doesn't look like FlashFash should acquire LaMode on the basis of its Asia growth plans.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How does 4.2% compare with LaMode's share at home?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Verdict first
2. Benchmark: 3% at home
3. So what for the deal

Phrases to listen for: "It looks extremely ambitious." · "So what: the Asia plan on its own doesn't justify the acquisition."

EXAMPLE ANSWER, SAID OUT LOUD

> **It looks extremely ambitious.** LaMode holds 3% of online apparel in North America, its core market, where it's well established. **The plan asks it to reach a higher share, 4.2%, in a market where it has zero sales today.** **So what:** the Asia growth plan on its own doesn't justify the acquisition.

5 Synergies

5–6 min

SAY

"The client would like you to look at synergies. We've compiled this exhibit with information about both our client and the target."

"Let me know your thoughts on whether there are potential synergies that seem appealing, based on this information."

HOW TO STEER

- If asked, share that transaction costs include the cost of order fulfillment, customer service, payment processing and returns.
- Give them a minute to read the exhibit in silence before they talk.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1.

Global sales, $M	FlashFash	LaMode
Total	25,400	2,014
North America	9,500	1,802
Europe	8,600	212
Asia	5,000	0
Rest of world	2,300	0
Annual growth	4.2%	31.3%
Online presence	**FlashFash**	**LaMode**
% sales online	22%	100%
Transactions	**FlashFash**	**LaMode**
Average purchase	$78	$413
Cost of goods sold	46%	72%
Transaction cost	$6	$48
Own brand, $M	**FlashFash**	**LaMode**
Total sales	25,400	104
Cost of goods sold	11,684	63
Annual growth	4.2%	123.4%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Walks the exhibit table by table, not at random
- [ ] International: FlashFash's experience outside North America could accelerate LaMode abroad
- [ ] Online: FlashFash already sells more online in dollars than LaMode
- [ ] Customers: LaMode is far more premium (5× average purchase), so little cross-selling
- [ ] Distribution: LaMode's transaction cost is above FlashFash's margin per purchase
- [ ] Own brand: FlashFash could help LaMode's COGS, but it's a small cost

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Use FlashFash's international experience to accelerate LaMode abroad
- [ ] FlashFash sells more online than LaMode in absolute terms (22% × $25B ≈ $5B > $2B): no online expertise to gain
- [ ] LaMode is much more premium (average purchase ~5× higher): limited cross-selling
- [ ] LaMode can't distribute FlashFash profitably: $48 transaction cost > $42 margin
- [ ] FlashFash might cut LaMode's own-brand COGS, but it's a small category

ASK IF THEIR ANSWER IS THIN

- "Which company sells more online, in dollars?"
- "How different are their customers?"
- "Could LaMode sell FlashFash's products profitably?"
- "Where is LaMode present, and where is FlashFash?"

IF THEY SAY...	YOU SAY
"LaMode brings online expertise"	"Compare their online sales in dollars, not percentages."
"They can cross-sell to each other's customers"	"Look at the average purchase. Are these the same shoppers?"

ANSWER KEY, DON'T SHOW

- International: FlashFash's experience outside North America could accelerate LaMode's international growth.
- Online: FlashFash already sells more online than LaMode (22% × $25B ≈ $5B > $2B), so it gains no online expertise.
- Customers: LaMode is clearly more premium (average purchase 5× higher), so cross-selling is limited.
- Distribution: LaMode can't distribute FlashFash profitably: its $48 transaction cost is above the $42 margin on a FlashFash purchase.
- Own brand: FlashFash might lower LaMode's own-brand COGS, but it's a small cost category.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Take the exhibit one table at a time."
2. "Start with where each company sells."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Say you'll go table by table
2. For each table: the fact, then what it means
3. Name the one real synergy
4. Overall verdict

Phrases to listen for: "Let me go through the exhibit table by table." · "That's the one real synergy."

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me go through the exhibit table by table.** **Geography**: FlashFash sells $16 billion outside North America while LaMode sells almost nothing there, so **FlashFash could accelerate LaMode's international growth**. That's the one real synergy. **Online**: 22% of $25 billion is about $5 billion, more than LaMode's $2 billion, so **FlashFash has no online expertise to gain**. **Customers**: LaMode's average purchase is $413 versus $78, **about five times higher**, so these are different shoppers and cross-selling is limited. **Distribution**: LaMode's transaction cost is $48, more than FlashFash's roughly $42 margin per purchase, so **LaMode can't sell FlashFash products profitably**. **Own brand**: FlashFash could lower LaMode's own-brand costs, but that's only about $100 million of sales.

6 Online expertise PARTLY ADDED

2 min

Beyond the original case: The 22% × $25B math is in the case's answer; asking it as its own question is added.

SAY

"Let's test one claim. Some argue FlashFash would gain online expertise from LaMode. How much does each company sell online today?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] FlashFash: 22% × $25.4B ≈ $5.6B (the case rounds to $5B)
- [ ] LaMode: 100% × ~$2B = $2B
- [ ] FlashFash already sells 2.5–3× more online: no expertise to gain

ANSWER KEY, DON'T SHOW

```
FlashFash: 22% × $25.4B ≈ $5.6B online
LaMode: 100% × $2.0B = $2.0B online
```

FlashFash already has the bigger online business, so online know-how isn't a reason to buy.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What percent of FlashFash's sales are online?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. FlashFash online $ = share × total
2. LaMode online $
3. Compare and conclude

Phrases to listen for: "So FlashFash already has the bigger online business."

EXAMPLE ANSWER, SAID OUT LOUD

> FlashFash sells 22% of $25.4 billion online, **about $5.6 billion**. LaMode is 100% online, **about $2 billion**. **So FlashFash already has the bigger online business**, almost three times LaMode's, and online know-how isn't a reason to buy.

7 Distribution economics PARTLY ADDED

2–3 min

Beyond the original case: The $48 vs. $42 math is in the case's answer; asking it as its own question is added.

SAY

"Could LaMode sell FlashFash products profitably on its site? What margin does FlashFash make on an average purchase?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Margin = (100% − 46%) × $78 ≈ $42
- [ ] LaMode's transaction cost is $48 per order
- [ ] $48 > $42: LaMode would lose ~$6 on every FlashFash order
- [ ] Explains what transaction costs include if they asked

IF THEY SAY… YOU SAY

Uses FlashFash's $6 transaction cost	"Whose platform would the sale happen on?"

ANSWER KEY, DON'T SHOW

```
FlashFash margin = (100% − 46%) × $78 ≈ $42
LaMode transaction cost = $48 → loss of ~$6 per order
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's left of $78 after 46% cost of goods?"
2. "What does it cost LaMode to process one order?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. FlashFash margin per purchase
2. LaMode cost per order
3. Compare: profit or loss per order
4. Conclude

Phrases to listen for: "LaMode would lose about $6 on every FlashFash order."

EXAMPLE ANSWER, SAID OUT LOUD

> A FlashFash purchase averages $78, with 46% cost of goods, so the **margin is about $42**. LaMode spends **$48 to process an order**: fulfillment, service, payment and returns. **So LaMode would lose about $6 on every FlashFash order**; it can't distribute FlashFash profitably.

8 Synergy verdict

1–2 min

SAY

"So overall, how strong is the case for synergies?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Weak overall
- [ ] Little cross-selling: very different customers
- [ ] No online expertise to gain
- [ ] The only meaningful synergy: LaMode's international expansion
- [ ] Concludes LaMode isn't a good target

ANSWER KEY, DON'T SHOW

Overall this is a weak case for synergies. There's little opportunity to cross-sell given the different customers, and FlashFash has no online expertise to gain. The only meaningful synergy is LaMode's international expansion. This confirms LaMode isn't a good acquisition target for us.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Verdict first: weak
2. Three reasons
3. The one exception
4. Link back to the decision

Phrases to listen for: "Overall, the case for synergies is weak." · "That confirms LaMode isn't a good target for us."

EXAMPLE ANSWER, SAID OUT LOUD

> **Overall, the case for synergies is weak.** The customers are too different to cross-sell, FlashFash has no online expertise to gain, and LaMode can't distribute FlashFash's products profitably. **The only meaningful synergy is helping LaMode expand internationally.** **That confirms LaMode isn't a good target for us.**

9 Organic growth

4 min

SAY

"Beyond potential synergies with FlashFash, what ideas do you have to accelerate the organic growth of LaMode?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structured, e.g. products / channels / customers / geographies
- [ ] Several ideas in each group
- [ ] Uses what we know: own brand growing 123%, no presence in Asia

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] New product types: jewelry
- [ ] New product types: cosmetics
- [ ] New product types: sports gear
- [ ] New product types: furniture
- [ ] New product types: data
- [ ] Sell offline: own stores
- [ ] Sell offline: independent stores
- [ ] Sell indirectly: to other brands
- [ ] Sell indirectly: to third-party distributors
- [ ] Other segments: mid-market
- [ ] Geographies: Asia-Pacific
- [ ] Geographies: Europe
- [ ] Geographies: Latin America
- [ ] Geographies: Middle East and Africa

ASK IF THEIR ANSWER IS THIN

- "What else could LaMode sell besides clothes?"
- "Does LaMode have to stay online only?"
- "Which regions is LaMode missing?"

ANSWER KEY, DON'T SHOW

1. Other product types: jewelry, cosmetics, sports gear, furniture, data. **2. Selling offline**: own stores, independent stores. **3. Selling indirectly**: to other brands, to third-party distributors. **4. Other segments**: mid-market. **5. Other geographies**: Asia-Pacific, Europe, Latin America, Middle East and Africa. Overall, many opportunities to grow LaMode beyond its current scope.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Think about what LaMode sells, how, to whom, and where."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Announce the structure: what, how, to whom, where
2. 2–4 ideas per branch
3. Use facts from the exhibit (own brand growth, no Asia)
4. Wrap up

Phrases to listen for: "I'd think about growth along four dimensions: what, how, to whom, and where."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd think about growth along four dimensions: what LaMode sells, how, to whom, and where.** **What**: new categories such as jewelry, cosmetics, sports gear and furniture, and even monetizing its customer data, and keep pushing the own brand, which is growing over 100% a year. **How**: offline, through its own stores or independent stores, and indirectly, selling to other brands or third-party distributors. **To whom**: a mid-market line. **Where**: Asia-Pacific, Europe, Latin America, and the Middle East and Africa. **Overall, there's a lot of room to grow LaMode beyond its current scope.**

10 Recommendation

1–2 min

SAY

"Overall, what would you recommend to the client?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: LaMode isn't the best acquisition target
- [ ] Brands don't fit LaMode's (luxury) positioning
- [ ] LaMode can't sell FlashFash products profitably
- [ ] The Asia target implies ~4% of the market, above its 3% at home
- [ ] Next step: scan the market for alternative targets, ideally strong in Asia

ANSWER KEY, DON'T SHOW

"You asked us whether FlashFash should acquire LaMode. In our view, it isn't the best acquisition target: your brands aren't a good fit with LaMode's positioning; LaMode's economics mean it couldn't sell FlashFash's products profitably; and its five-year target implies capturing 4% of the Asia online apparel market, above its share of its core US market. Over the next two weeks, we'd like to scan the market for alternative targets, ideally with a strong presence in Asia."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the question and answer it first
2. Three reasons with numbers
3. Next steps

Phrases to listen for: "You asked whether FlashFash should acquire LaMode. In our view..." · "Over the next two weeks, we'd like to..."

EXAMPLE ANSWER, SAID OUT LOUD

> **You asked whether FlashFash should acquire LaMode. In our view, it isn't the best acquisition target, for three reasons.** One, **your brands don't fit LaMode's luxury positioning**, so there's little to cross-sell. Two, **LaMode's economics mean it couldn't sell your products profitably**: its $48 cost per order is above your $42 margin. Three, **its five-year plan implies capturing over 4% of the Asia online apparel market**, more than its 3% share at home. **Over the next two weeks**, we'd like to scan the market for alternative targets, ideally with a strong presence in Asia.

▼ Show the full sample interview

INTERVIEWER

"Our client is FlashFash, a US multinational apparel company with $25 billion of revenue. The company owns some of the best-known mid-market brands. It sells 70% of its products through its own stores, and 30% through multi-brand retail chains."

"FlashFash has a unique business model: instead of committing a large share of production for the next fashion season, it commits a small amount, and uses customer feedback and an efficient production network to replenish stores with new products weekly. New styles take as little as 15 days to go from design to production."

"As part of its growth strategy, FlashFash is considering acquiring LaMode, the leading independent online retailer of luxury brands, with 3% of all online apparel sales in North America. LaMode curates products from the best brands into a unique collection of over 30,000 items. It recently launched its own fashion brand, which already accounts for 5% of its revenue."

"The CEO of FlashFash has asked us: should they acquire LaMode?"

> CANDIDATE
>
> **Let me make sure I understand.** FlashFash is a $25 billion mid-market apparel company, mostly selling through its own stores, with a very fast, demand-driven production model. It's considering buying LaMode, the leading independent online luxury retailer, with 3% of North American online apparel sales and a young own brand. **The question is whether to acquire it.** Could I ask: **what's the client's objective** with this deal? And is there a price yet? **Could I take a minute to structure my thoughts?**

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the problem?"

> CANDIDATE
>
> **To decide whether to acquire LaMode, I'd look at three areas.** **First, LaMode's value and growth potential on its own**: how fast online apparel is growing, LaMode's market share, and its cost structure. **Second, whether FlashFash can use LaMode to**

boost sales and reduce costs: revenue synergies, like cross-selling or international expansion, and cost synergies, like sourcing and fulfillment. **Third, whether FlashFash can execute**: integrating an online luxury business is very different from running mid-market stores. **Does that sound good?**

INTERVIEWER · ASIA MARKET SHARE

"The client believes LaMode could make a third of its global sales in Asia within five years, as the apparel market in Asia is expected to double and the share of purchases made online to triple over this period."

"What share of the Asia online apparel market would LaMode need to reach to capture this opportunity?"

- LaMode's global sales are **$2B**, and are expected to **triple** over the next 5 years
- The online apparel market in Asia today is **$8B**

CANDIDATE

Let me set up the formula first. LaMode's share in five years equals its Asia sales in five years, divided by the Asia online apparel market in five years. LaMode's global sales triple from $2 billion to $6 billion, and a third of that is Asia, so **$2 billion**. The Asia online market is $8 billion today; the total market doubles and the online share triples, so it grows six times, to **$48 billion**. **$2 billion divided by $48 billion is about 4.2%.**

INTERVIEWER · SANITY CHECK

"What do you make of that number?"

CANDIDATE

It looks extremely ambitious. LaMode holds 3% of online apparel in North America, its core market, where it's well established. **The plan asks it to reach a higher share, 4.2%, in a market where it has zero sales today.** **So what:** the Asia growth plan on its own doesn't justify the acquisition.

INTERVIEWER · SYNERGIES

"The client would like you to look at synergies. We've compiled this exhibit with information about both our client and the target."

"Let me know your thoughts on whether there are potential synergies that seem appealing, based on this information."

Exhibit 1.

Global sales, $M	**FlashFash**	**LaMode**
Total	25,400	2,014
North America	9,500	1,802
Europe	8,600	212
Asia	5,000	0
Rest of world	2,300	0
Annual growth	4.2%	31.3%
Online presence	**FlashFash**	**LaMode**
% sales online	22%	100%
Transactions	**FlashFash**	**LaMode**
Average purchase	$78	$413
Cost of goods sold	46%	72%
Transaction cost	$6	$48
Own brand, $M	**FlashFash**	**LaMode**
Total sales	25,400	104
Cost of goods sold	11,684	63
Annual growth	4.2%	123.4%

CANDIDATE

Let me go through the exhibit table by table. **Geography**: FlashFash sells $16 billion outside North America while LaMode sells almost nothing there, so **FlashFash could accelerate LaMode's international growth**. That's the one real synergy. **Online**: 22% of $25 billion is about $5 billion, more than LaMode's $2 billion, so **FlashFash has no online expertise to gain**. **Customers**: LaMode's average purchase is $413 versus $78, **about five times higher**, so these are different shoppers and cross-selling is limited. **Distribution**: LaMode's transaction cost is $48, more than FlashFash's roughly $42 margin per purchase, so **LaMode can't sell FlashFash products profitably**. **Own brand**: FlashFash could lower LaMode's own-brand costs, but that's only about $100 million of sales.

INTERVIEWER · ONLINE EXPERTISE

"Let's test one claim. Some argue FlashFash would gain online expertise from LaMode. How much does each company sell online today?"

CANDIDATE

FlashFash sells 22% of $25.4 billion online, **about $5.6 billion**. LaMode is 100% online, **about $2 billion**. **So FlashFash already has the bigger online business**, almost three times LaMode's, and online know-how isn't a reason to buy.

INTERVIEWER · DISTRIBUTION ECONOMICS

"Could LaMode sell FlashFash products profitably on its site? What margin does FlashFash make on an average purchase?"

CANDIDATE

A FlashFash purchase averages $78, with 46% cost of goods, so the **margin is about $42**. LaMode spends **$48 to process an order**: fulfillment, service, payment and returns. **So LaMode would lose about $6 on every FlashFash order**; it can't distribute FlashFash profitably.

INTERVIEWER · SYNERGY VERDICT

"So overall, how strong is the case for synergies?"

CANDIDATE

Overall, the case for synergies is weak. The customers are too different to cross-sell, FlashFash has no online expertise to gain, and LaMode can't distribute FlashFash's products profitably. **The only meaningful synergy is helping LaMode expand internationally.** **That confirms LaMode isn't a good target for us.**

INTERVIEWER · ORGANIC GROWTH

"Beyond potential synergies with FlashFash, what ideas do you have to accelerate the organic growth of LaMode?"

CANDIDATE

I'd think about growth along four dimensions: what LaMode sells, how, to whom, and where. **What**: new categories such as jewelry, cosmetics, sports gear and furniture, and even monetizing its customer data, and keep pushing the own brand, which is growing over 100% a year. **How**: offline, through its own stores or independent stores, and indirectly, selling to other brands or third-party distributors. **To whom**: a mid-market line. **Where**: Asia-Pacific, Europe, Latin America, and the Middle East and Africa. **Overall, there's a lot of room to grow LaMode beyond its current scope.**

INTERVIEWER · RECOMMENDATION

"Overall, what would you recommend to the client?"

CANDIDATE

You asked whether FlashFash should acquire LaMode. In our view, it isn't the best acquisition target, for three reasons. One, **your brands don't fit LaMode's luxury positioning**, so there's little to cross-sell. Two, **LaMode's economics mean it couldn't sell your products profitably**: its $48 cost per order is above your $42 margin. Three, **its five-year plan implies capturing over 4% of the Asia online apparel market**, more than its 3% share at home. **Over the next two weeks**, we'd like to scan the market for alternative targets, ideally with a strong presence in Asia.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 6 OF 26

Diagnosis.AI

Profitability, AI | Medium | ~30 min | Core path

#6 · Tier 1 · Classic types · Teaches: Profit by customer segment for an AI company, and why flat-fee 'unlimited' pricing breaks with heavy users

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A US AI start-up reads medical scans and sells unlimited-use annual licenses. It grows fast but loses money. The candidate builds a cost/revenue tree, finds that heavy users (imaging centers, hospitals) cost more than they pay, benchmarks competitors with different pricing models, and finds fixes without abandoning unlimited licenses.

THE ANSWER IN ONE LINE, DON'T SHOW

Loss of **$13.9M**: Primary Care +$3.6M, Hospitals −$5.5M, Imaging Centers −$12M. Heavy users do 6–18× the scans but pay only 2.5–7× the revenue: **unlimited use is overused**. Competitors on per-scan or tiered pricing break even but grow slower. Keep unlimited licenses, but add **efficiency nudges, premium tiers priced by segment, and cost cuts**.

1 Read the prompt

2–3 min

SAY

"Your client is Diagnosis.AI, a US medical technology start-up specializing in AI-powered interpretation of medical scans."

"It serves three B2B segments: diagnostic imaging centers, hospitals and primary care centers. It sells licenses: unlimited usage for a fixed annual fee."

"This simple offer has driven fast revenue growth and scale, but the company hasn't reached breakeven, which increasingly worries investors."

"Diagnosis.AI wants to reach breakeven while keeping its fast growth. How would you recommend they do this?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What does the tool do?	"It analyzes an image and gives a diagnosis or recommends more scans or tests."
Is there a target?	"No target beyond breakeven with the current product."
How is pricing set?	"Licenses are sold B2B with different price tiers for Primary Care Centers, Hospitals and Imaging Centers. Each license has unlimited usage."
Where do they operate?	"Only the US, with no plans to expand internationally."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: reach breakeven without losing growth
- [ ] Asks about the pricing model (unlimited licenses by segment)
- [ ] Asks about geography and product scope

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **To recap**: Diagnosis.AI sells unlimited-use licenses for AI scan reading to imaging centers, hospitals and primary care. It's growing fast but isn't profitable. **The goal is breakeven without killing growth.** Could I ask what exactly the tool does, how pricing differs by segment, and whether there's any target beyond breakeven?

2 Framework

3 min

SAY

"What factors would you consider to answer the client's question?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Cost side: cost per scan, number of scans, fixed costs
- [ ] Revenue side: revenue per client, number of clients
- [ ] Links scan volume to the unlimited-use model

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Cost per scan: more efficient inference (power, GPUs)
- [ ] Cost per scan: triage model for simple cases
- [ ] Scan volume: usage caps at peak times
- [ ] Scan volume: quality filters to reject unclear images
- [ ] Fixed: faster, incremental R&D
- [ ] Fixed: cheaper training compute (open-source, partnerships, synthetic data)
- [ ] Fixed: efficient testing and validation
- [ ] Fixed: review overheads
- [ ] Revenue per client: premium tier
- [ ] Revenue per client: upsell new high-margin products
- [ ] Revenue per client: custom support and integrations
- [ ] Revenue per client: raise license price
- [ ] More clients: grow existing (higher-paying) segments
- [ ] More clients: new higher-margin segments (specialty clinics, nursing homes)

ASK IF THEIR ANSWER IS THIN

- "With unlimited usage, what drives your costs?"

ANSWER KEY, DON'T SHOW

1. Cut costs: cost per scan (efficient inference, triage model), number of scans (usage caps, quality filters), fixed costs (R&D focus, training compute, testing, overheads). **2. Increase revenue**: revenue per client (premium tier, upsells, custom products, price increases) and more clients (existing and new, higher-margin segments).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Breakeven = revenue vs. cost
2. Costs: per scan, volume, fixed
3. Revenue: per client, number of clients
4. Hypothesis: volume

Phrases to listen for: "With unlimited usage, I suspect scan volume is key."

EXAMPLE ANSWER, SAID OUT LOUD

> **Breakeven means closing the gap between revenue and cost, so I'd look at both.** **Costs**: the cost per scan, through more efficient computing or a cheaper triage model; the number of scans, through caps or quality filters; and fixed costs like R&D, training and overheads. **Revenue**: more per client, through premium tiers, upsells or price; and more clients, in existing or new segments. **With unlimited usage, I suspect scan volume is key.** **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Financial considerations

- Cost per scan × volume
- Fixed costs
- Price per license by segment

Customer segmentation & needs

- Usage by segment

Competitive landscape

- Competitors' pricing models

Risks & mitigations

- Brand and growth if pricing changes

A classic profit tree; the book's Customer bucket highlights the real issue: heavy users on a flat fee.

3 Profit by segment

5 min

SAY

"Using Exhibit 1, calculate Diagnosis.AI's baseline profitability, overall and by client segment. What is causing the profitability problem?"

HOW TO STEER

- Original case: no other costs to worry about for now. The Board has ruled marketing costs out of scope, as they're in line with competitors.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Performance by client segment (Year 0)

Segment	License revenue ($M)	Number of scans (M)	Cost per scan ($)	Fixed cost ($M)
Primary Care Network	10	0.5	8.75	2
Hospitals	24	3	8.5	4
Imaging Centers	70	9	8	10

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Profit = revenue − scans × cost per scan − fixed cost
- [ ] Primary Care: 10 − 4.4 − 2 = +$3.6M
- [ ] Hospitals: 24 − 25.5 − 4 = −$5.5M
- [ ] Imaging: 70 − 72 − 10 = −$12M
- [ ] Total ≈ −$13.9M
- [ ] Cause: heavy usage. Imaging does 18× the scans of Primary Care for 7× the revenue; Hospitals 6× for 2.4×
- [ ] Next: is this market-wide? Look at competitors

ANSWER KEY, DON'T SHOW

```
Primary Care: 10 − (0.5 × 8.75 = 4.4) − 2 = +$3.6M
Hospitals: 24 − (3 × 8.5 = 25.5) − 4 = −$5.5M
Imaging: 70 − (9 × 8 = 72) − 10 = −$12M
Total ≈ −$13.9M
```

Imaging Centers, the largest segment, lose the most; Hospitals lose too; Primary Care is profitable. The cause is scan volume: Imaging does 18× Primary Care's scans for 7× the revenue, Hospitals 6× for ~2.5×. Unlimited licenses are overused at today's prices. Next: check competitors.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's the total cost of scans for Hospitals?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Formula
2. Each segment
3. Total
4. Root cause with ratios

5. Next step

Phrases to listen for: "Unlimited licenses are being overused at today's prices."

EXAMPLE ANSWER, SAID OUT LOUD

> **Profit is revenue minus scan costs minus fixed costs.** Primary Care: 10 minus 4.4 minus 2, **+$3.6M**. Hospitals: 24 minus 25.5 minus 4, **−$5.5M**. Imaging: 70 minus 72 minus 10, **−$12M**. **Overall, about −$13.9M.** **The cause is usage**: Imaging does 18× Primary Care's scans for 7× the revenue, and Hospitals 6× for about 2.5×. Unlimited licenses are being overused at today's prices. Next, I'd check whether competitors have the same problem.

4 Competitor benchmark

4 min

SAY

"Diagnosis.AI has three main competitors. A charges a small fee per scan. B uses a hybrid: some clients pay per scan, others have tiered licenses with usage limits. C copies Diagnosis.AI: unlimited licenses for a fixed fee. Exhibit 2 shows their quarterly revenue last year; Exhibit 3 their non-marketing costs. How does Diagnosis.AI compare, and what does that say about its profitability problem and possible fixes?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBITS 2 AND 3).

Exhibit 2. Quarterly revenue, Year 0 ($M)

	Q1	Q2	Q3	Q4
Diagnosis.AI	20	24	28	32
Competitor A	23	22	24	26
Competitor B	16	17	18	21
Competitor C	6	7	7	8

Exhibit 3. Quarterly non-marketing costs, Year 0 ($M)

	Q1	Q2	Q3	Q4
Diagnosis.AI	22	28	32	36
Competitor A	24	23	24	23
Competitor B	16	17	16	18
Competitor C	8	9	10	12

Read from stacked bar charts.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Diagnosis.AI is the leader and grows fastest (20 → 32)
- [ ] A, and to a lesser extent B, are in a 3-way race
- [ ] Unlimited model = growth advantage
- [ ] But A and B roughly break even; Diagnosis.AI's cost share exceeds its revenue share
- [ ] C (same model) also loses money: the model hurts profitability

ASK IF THEIR ANSWER IS THIN

- "What do the two unlimited-license players have in common?"

ANSWER KEY, DON'T SHOW

Diagnosis.AI is the **market leader and grows fastest** (20 → 32 a quarter); A and, less so, B are in a three-way race. So the unlimited model helps growth. But A and B **break even**, while Diagnosis.AI's share of industry cost exceeds its share of revenue. Competitor C, with the same unlimited model, also loses money: **the unlimited model is hurting profitability**.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Compare each player's revenue with its costs."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Growth vs. competitors
2. Profit vs. competitors
3. Same-model competitor
4. So what

Phrases to listen for: "We win on growth but lose on profit."

EXAMPLE ANSWER, SAID OUT LOUD

> Two takeaways. **We win on growth**: we're the leader and grew from 20 to 32 a quarter, faster than anyone, so unlimited licenses help sell. **But we lose on profit**: A and B, with per-scan or capped pricing, roughly break even, while our costs outgrow our revenue. And C, with our model, also loses money. **So the unlimited model is what's hurting profitability.**

5 Keeping unlimited licenses

4 min

SAY

"You tell the CEO the losses come from very high scan volumes per user in imaging centers and hospitals, and that Diagnosis.AI is less profitable than competitors using pay-per-use or tiered licenses. The CEO is firmly committed to the single-price, unlimited license: changing it could hurt the brand and slow growth. Within that constraint, how could it reach profitability?"

HOW TO STEER

- Original case: if needed, steer the candidate to work within the single-price unlimited license and how it can be flexed. Pay-per-use is not an option.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Encourage client efficiency
- [ ] Charge more for more value (by segment, premium packages)
- [ ] Reduce costs

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Soft limits with nudges (alerts after X scans per user)
- [ ] Co-develop features that flag wasted scans
- [ ] Cashback for lower usage
- [ ] Premium packages for imaging centers
- [ ] Charge extra for high-usage features (multi-site integration)
- [ ] Segment pricing: higher licenses (with features) for imaging and hospitals
- [ ] Lower cost per scan (efficiency, outsource non-core)
- [ ] Lower fixed costs (R&D, training compute, overheads)

IF THEY SAY… YOU SAY

Suggests pay-per-scan	"The CEO has ruled that out. How can you flex the unlimited license instead?"

ANSWER KEY, DON'T SHOW

Encourage efficiency: soft limits with nudges, features that flag wasted scans, cashback for lower use. **Charge more for more value**: premium packages for imaging centers, extras for high-usage features like multi-site integration, higher segment prices with special features. **Reduce costs**: cost per scan and fixed costs.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Nudge efficiency
2. Charge for value
3. Cut costs

Phrases to listen for: "Keep one unlimited license but change how it's used, priced and served."

EXAMPLE ANSWER, SAID OUT LOUD

> **We can keep one unlimited license but change how it's used, priced and served.** **Nudge efficiency**: soft alerts after a certain number of scans, reports that flag wasted scans, cashback for lighter users. **Charge for value**: premium packages for imaging centers, extras like multi-site integration, and higher prices for heavy-use segments. **Cut costs**: cheaper inference per scan and lower fixed costs.

6 Recommendation

1–2 min

SAY

"The CEO has a quarterly investor update next week. What findings and emerging recommendations can be presented at this point?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Problem located in Imaging Centers and Hospitals: overuse under unlimited licenses
- [ ] Less profitable than competitors, but faster growing
- [ ] Within the constraint: efficiency incentives, segment premium offers, cost cuts
- [ ] Risk: may not fully close the gap
- [ ] Next: talk to customers and sales team about price rises; review cost savings

ANSWER KEY, DON'T SHOW

"Diagnosis.AI is struggling with profitability. The problem is Imaging Centers and, to a lesser extent, Hospitals: they use 18× and 6× the scans of profitable Primary Care, but pay only 7× and 2.5× as much, because unlimited licenses get overused. That makes us less profitable than competitors, though they're slower-growing and smaller, which is why we're keeping the unlimited model. Within it, efficiency incentives, higher-priced premium offers by segment and targeted cost cuts can get us to breakeven. The risk is that it isn't enough. Next: test price rises with customers and our sales team, and size the cost savings."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Problem and cause with numbers
2. Why we keep the model
3. The plan
4. Risk and next steps

Phrases to listen for: "Within that model, ... can get us to breakeven."

EXAMPLE ANSWER, SAID OUT LOUD

> **The losses come from Imaging Centers and Hospitals overusing unlimited licenses**: 18× and 6× the scans of Primary Care for 7× and 2.5× the revenue. That makes us less profitable than per-scan competitors, though we grow faster, which is why we'll keep unlimited licenses. **Within that model, efficiency nudges, premium segment pricing and cost cuts** can get us to breakeven. **The risk** is that it's not enough. **Next**: test price rises with customers and size the cost savings.

▼ Show the full sample interview

INTERVIEWER

"Your client is Diagnosis.AI, a US medical technology start-up specializing in AI-powered interpretation of medical scans."

"It serves three B2B segments: diagnostic imaging centers, hospitals and primary care centers. It sells licenses: unlimited usage for a fixed annual fee."

"This simple offer has driven fast revenue growth and scale, but the company hasn't reached breakeven, which increasingly worries investors."

"Diagnosis.AI wants to reach breakeven while keeping its fast growth. How would you recommend they do this?"

CANDIDATE

To recap: Diagnosis.AI sells unlimited-use licenses for AI scan reading to imaging centers, hospitals and primary care. It's growing fast but isn't profitable. **The goal is breakeven without killing growth.** Could I ask what exactly the tool does, how pricing differs by segment, and whether there's any target beyond breakeven?

INTERVIEWER · FRAMEWORK

"What factors would you consider to answer the client's question?"

CANDIDATE

Breakeven means closing the gap between revenue and cost, so I'd look at both. **Costs**: the cost per scan, through more efficient computing or a cheaper triage model; the number of scans, through caps or quality filters; and fixed costs like R&D, training and overheads. **Revenue**: more per client, through premium tiers, upsells or price; and more clients, in existing or new segments. **With unlimited usage, I suspect scan volume is key.** **Does that sound good?**

INTERVIEWER · PROFIT BY SEGMENT

"Using Exhibit 1, calculate Diagnosis.AI's baseline profitability, overall and by client segment. What is causing the profitability problem?"

Exhibit 1. Performance by client segment (Year 0)

Segment	License revenue ($M)	Number of scans (M)	Cost per scan ($)	Fixed cost ($M)
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CANDIDATE

Profit is revenue minus scan costs minus fixed costs. Primary Care: 10 minus 4.4 minus 2, **+$3.6M**. Hospitals: 24 minus 25.5 minus 4, **−$5.5M**. Imaging: 70 minus 72 minus 10, **−$12M**. **Overall, about −$13.9M.** **The cause is usage**: Imaging does 18× Primary Care's scans for 7× the revenue, and Hospitals 6× for about 2.5×. Unlimited licenses are being overused at today's prices. Next, I'd check whether competitors have the same problem.

INTERVIEWER · COMPETITOR BENCHMARK

"Diagnosis.AI has three main competitors. A charges a small fee per scan. B uses a hybrid: some clients pay per scan, others have tiered licenses with usage limits. C copies Diagnosis.AI: unlimited licenses for a fixed fee. Exhibit 2 shows their quarterly revenue last year; Exhibit 3 their non-marketing costs. How does Diagnosis.AI compare, and what does that say about its profitability problem and possible fixes?"

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Read from stacked bar charts.

CANDIDATE

Two takeaways. **We win on growth**: we're the leader and grew from 20 to 32 a quarter, faster than anyone, so unlimited licenses help sell. **But we lose on profit**: A and B, with per-scan or capped pricing, roughly break even, while our costs outgrow our revenue. And C, with our model, also loses money. **So the unlimited model is what's hurting profitability.**

INTERVIEWER · KEEPING UNLIMITED LICENSES

"You tell the CEO the losses come from very high scan volumes per user in imaging centers and hospitals, and that Diagnosis.AI is less profitable than competitors using pay-per-use or tiered licenses. The CEO is firmly committed to the single-price, unlimited license: changing it could hurt the brand and slow growth. Within that constraint, how could it reach profitability?"

CANDIDATE

We can keep one unlimited license but change how it's used, priced and served. **Nudge efficiency**: soft alerts after a certain number of scans, reports that flag wasted scans, cashback for lighter users. **Charge for value**: premium packages for imaging centers, extras like multi-site integration, and higher prices for heavy-use segments. **Cut costs**: cheaper inference per scan and lower fixed costs.

INTERVIEWER · RECOMMENDATION

"The CEO has a quarterly investor update next week. What findings and emerging recommendations can be presented at this point?"

CANDIDATE

The losses come from Imaging Centers and Hospitals overusing unlimited licenses: 18× and 6× the scans of Primary Care for 7× and 2.5× the revenue. That makes us less profitable than per-scan competitors, though we grow faster, which is why we'll keep unlimited licenses. **Within that model, efficiency nudges, premium segment pricing and cost cuts** can get us to breakeven. **The risk** is that it's not enough. **Next**: test price rises with customers and size the cost savings.

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Use the ticks above and the rubric. 3 = would pass.

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Clear, tailored framework?

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Found the insight, said "so what"?

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Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 7 OF 26

Quantum Bank

AI, Cost reduction | Medium | ~30 min | Core path

#7 · Tier 1 · Classic types · Teaches: AI: prioritize use cases, then allocate a budget when some projects are all-or-nothing

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A large European bank wants to use AI to automate work in its retail banking division and cut costs. The candidate structures how to assess AI use cases, brainstorms where AI fits across the bank, suggests 'moonshot' ideas, then allocates a €10M budget across five projects, some of which only pay off if fully funded.

THE ANSWER IN ONE LINE, DON'T SHOW

Fund **Loan Application Review (€5M → €10M)** and **Fraud Monitoring AI (€4M → €7M)** in full, then put the last **€1M into the Customer Service Chatbot** (linear: €1.67M). Total **~€18.7M a year** of savings, nearly 2× the budget. Compliance Automation has a high ROI but would block the better combination.

1 Read the prompt

2–3 min

SAY

"Your client is Quantum Bank, one of Europe's largest banks, with Retail Banking, Corporate Banking, Wealth Management and Capital Markets."

"Facing cost pressure, regulatory demands and rising customer expectations, its leaders are evaluating AI-powered automation to optimize internal operations and reduce costs."

"Some peer banks have started targeted AI projects; Quantum Bank is considering a large-scale AI automation program, focused on its Retail Banking division."

"The Retail Banking COO needs your support to assess the opportunity."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How big is Retail Banking?	"Over 15,000 employees."
How much of the cost base is it?	"Around 40% of the bank's total operating costs."
Is there a target or budget?	"No specific targets yet. We can discuss the budget later in the case."
Is the goal cost or revenue? ADDED	"Mainly cost reduction, though revenue upside counts too."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: assess a large-scale AI automation program in Retail Banking
- [ ] Asks about scale (employees, share of costs)
- [ ] Asks about targets and budget

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** Quantum Bank, one of Europe's largest banks, wants to know whether a large-scale AI automation program in Retail Banking makes sense, mainly to cut costs. **The COO wants an assessment of the opportunity.** Could I ask how big Retail Banking is, what share of costs it carries, and whether there's a budget or target?

2 Framework

3 min

SAY

"How would you structure your overall assessment of the AI automation opportunity to determine how Quantum Bank should proceed?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Use case identification: which processes suit AI
- [ ] Financial impact: savings, revenue uplift, investment and payback
- [ ] Capabilities and readiness: data and organization

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Use cases: process repetition and volume
- [ ] Use cases: complexity of rules (clear rules vs. expert judgment)
- [ ] Use cases: impact of automation failure (financial, reputational, regulatory)
- [ ] Use cases: existing industry use cases and benchmarks
- [ ] Financial: cost savings (labor)
- [ ] Financial: error-reduction savings (rework, penalties)
- [ ] Financial: revenue uplift (faster approvals, personalization)
- [ ] Financial: investment and payback (build, integration, run)
- [ ] Data: availability, quality, governance
- [ ] Organization: leadership buy-in
- [ ] Organization: AI talent
- [ ] Organization: change management (adoption, unions, retraining)
- [ ] Organization: AI governance (explainability, auditability, regulation)

ASK IF THEIR ANSWER IS THIN

- "How would you decide which processes to automate first?"
- "What could stop the bank from capturing the savings?"

ANSWER KEY, DON'T SHOW

1. Use case identification: repetition and volume, complexity of rules, impact of failure, industry benchmarks. **2. Financial impact**: cost savings (labor, fewer errors), revenue uplift (faster credit, personalization), investment and payback. **3. Capabilities and readiness**: data (availability, quality, governance) and organization (leadership buy-in, AI talent, change management, AI governance).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Which use cases (criteria)
2. Financial impact
3. Readiness: data and organization

Phrases to listen for: "I'd assess it in three steps."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd assess it in three steps. First, which use cases suit AI: high-volume, repetitive processes with clear rules, where failure isn't catastrophic, and where peers already succeed. Second, the financial impact: labor and error savings, any revenue uplift from faster approvals, against the investment and payback. Third, readiness: is our data available, clean and governed, and do we have leadership buy-in, talent, change management and AI governance? Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Company capabilities

- Data readiness
- Talent, change management, governance

Financial considerations

- Savings vs. investment, payback
- All-or-nothing vs. linear projects

Risks & mitigations

- Regulatory risk of automation failure
- Explainability

Competitive landscape

- Peer banks' AI use cases

The case's three buckets (use cases, financials, readiness) map to the book's Capabilities, Financial and Risk buckets; peer benchmarks are the book's Competition bucket.

3 Where AI fits

4 min

SAY

"Before diving into financial analysis, the COO wants to make sure all relevant areas are considered. Please outline examples of key processes across the bank's operations that may benefit from AI solutions."

HOW TO STEER

- Original case: the candidate should structure the opportunities by the bank's operational areas. If they start listing use cases at random, encourage them to go area by area.
- If they gave prioritization criteria in their structure (e.g. repetitiveness), they should use them here. If not, ask how they'd assess these use cases.
- If they don't know banking and focus on one or two areas, tell them the other key areas (below) and ask how AI could help each.

GIVE ONLY WHEN: ONLY IF THEY ARE UNFAMILIAR WITH BANKING.

Key areas: **customer service**, **credit and loan operations**, **fraud and risk monitoring**, **regulatory compliance**, **internal back-office efficiency**.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Goes area by area, not a random list
- [ ] Uses criteria: volume, rule-based, risk if wrong
- [ ] Customer service: high volume, low risk → strong
- [ ] Credit/loans: structured data, clear rules; some moderate risk
- [ ] Fraud: real-time pattern spotting; needs explainability
- [ ] Compliance: rule-heavy but higher regulatory risk
- [ ] Back office: repetitive, low risk, ideal for savings

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Service: chatbots for common questions
- [ ] Service: voice and sentiment routing
- [ ] Service: email and message triage
- [ ] Credit: document recognition (income, ID)
- [ ] Credit: AI credit scoring incl. alternative data
- [ ] Credit: instant pre-approvals
- [ ] Fraud: real-time anomaly detection
- [ ] Fraud: predictive fraud flags
- [ ] Fraud: dynamic customer risk profiles
- [ ] Compliance: KYC/AML checks and onboarding
- [ ] Compliance: watchlist and embargo screening
- [ ] Compliance: standard regulatory reports
- [ ] Back office: staff scheduling
- [ ] Back office: predictive maintenance (ATMs, IT)
- [ ] Back office: process mining and automation

ASK IF THEIR ANSWER IS THIN

- "Which of these would you do first, using your criteria?"

ANSWER KEY, DON'T SHOW

Customer service (high volume, low risk): chatbots, voice and sentiment routing, message triage. **Credit and loans** (structured data, clear rules, some risk): document checks, AI credit scoring, instant pre-approvals. **Fraud and risk** (real-time patterns, high cost of misses, explainability needed): anomaly detection, predictive flags, risk profiles. **Compliance** (rule-heavy, high scrutiny): KYC/AML, watchlist screening, regulatory reports. **Back office** (repetitive, low risk): scheduling, predictive maintenance, process mining.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Go area by area
2. Judge each on volume, rules, risk
3. 2–3 examples per area
4. Say where you'd start

Phrases to listen for: "I'd start where volume is high and risk is low."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd go area by area and judge each on volume, rules and risk.** **Customer service** is the easiest win: chatbots, smart call routing, email triage. **Credit and loans**: document checks and instant pre-approvals. **Fraud**: real-time anomaly detection, as long as models are explainable. **Compliance**: KYC and watchlist screening, carefully, given regulatory scrutiny. **Back office**: scheduling, ATM maintenance, process automation. **I'd start where volume is high and risk is low.**

4 Moonshot ideas

3 min

SAY

"Now imagine Quantum Bank wants to position itself as an AI innovation leader in banking: not just efficient, but cutting-edge. What 'moonshot' or unconventional AI use case could it explore to stand out?"

HOW TO STEER

- Original case: the idea doesn't need to be feasible right away. Push for 2–3 ideas much more ambitious than the previous answer.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] 2–3 ideas clearly beyond automation
- [ ] Each with a clear value to customers or the bank

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Personal AI banker / customer digital twin
- [ ] Real-time AI financial coaching for SMEs
- [ ] Predictive churn prevention
- [ ] Emotion-based security (detect a customer under threat)
- [ ] AI life-stage concierge (baby, home purchase)
- [ ] Synthetic customer personas to test products and policies

ASK IF THEIR ANSWER IS THIN

- "Push further: what would make a customer switch banks for this?"

ANSWER KEY, DON'T SHOW

Examples: a **personal AI banker** (a digital twin that advises, simulates and negotiates rates); **AI coaching for SMEs** on cash flow and tax; **predictive churn prevention**; **emotion-based security** to detect customers under threat; an **AI life-stage concierge**; **synthetic personas** to test products and lending policies safely.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. 2–3 ambitious ideas
2. Each with a clear customer or business value

Phrases to listen for: "Three ideas that go beyond efficiency."

EXAMPLE ANSWER, SAID OUT LOUD

> Three ideas that go beyond efficiency. A personal AI banker for every customer, which advises, simulates decisions and even negotiates rates. An AI life-stage concierge that anticipates a new baby or home purchase and offers pre-approved bundles. And synthetic customer personas to test new products and lending policies before launch, so we innovate faster and more safely.

5 Budget allocation

6 min

SAY

"Quantum Bank has approved a €10 million budget for AI in Retail Banking. The COO has shortlisted five use cases with different costs, savings and investment profiles. Based on Exhibit 1, how should Quantum allocate the €10 million to maximize total annual cost savings?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Selected AI use cases: cost, impact and investment profile

Use case	Implementation cost (€M)	Potential annual cost reduction (€M)	Investment profile
Customer Service Chatbot	3	5	Linear
Loan Application Review	5	10	All-or-nothing
Compliance Automation	2	3.5	All-or-nothing
Fraud Monitoring AI	4	7	All-or-nothing
Call Center Forecasting	4	4.5	Linear

Linear projects save in proportion to what's invested. All-or-nothing projects save only once fully funded.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Computes ROI per use case (savings ÷ cost)
- [ ] Loan 2.0; Compliance 1.75; Fraud 1.75; Chatbot 1.67; Forecasting 1.13
- [ ] Funds Loan (€5M), then Fraud (€4M) rather than Compliance
- [ ] Puts the last €1M into the Chatbot (linear) → €1.67M
- [ ] Total ≈ €18.7M a year, ~1.9× ROI
- [ ] Insight: ranking by ROI alone fails with all-or-nothing projects

IF THEY SAY... YOU SAY

Funds Compliance after Loan (ROI tie)	"Check what's left after that. Can you then fund the rest well?" (Loan + Compliance + Chatbot = €18.5M < €18.67M)
Puts €1M into Compliance or Fraud	"Those are all-or-nothing. What does €1M of Compliance save?"

ANSWER KEY, DON'T SHOW

```
ROI: Loan 10÷5 = 2.00 · Compliance 3.5÷2 = 1.75 · Fraud 7÷4 = 1.75 · Chatbot 5÷3 = 1.67 · Forecasting 4.5÷4 = 1.13
Loan Review (€5M) → €10M · left €5M
Fraud Monitoring (€4M) → €7M · left €1M
Chatbot €1M × (5÷3) → €1.67M
Total ≈ €18.67M a year on €10M
```

Picking Compliance instead of Fraud gives Loan + Compliance + €3M Chatbot = €18.5M. Two projects deliver ~91% of savings. Prioritizing by ROI alone misleads when projects are all-or-nothing.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's the return per euro on each project?"
2. "What can you do with leftover money that won't fully fund a project?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two rules: ROI and profile
2. Rank by ROI
3. Fund all-or-nothing projects that fit
4. Fill the remainder with linear
5. Total, and the insight

Phrases to listen for: "Ranking by ROI alone misleads when projects are all-or-nothing."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two things matter: return per euro, and whether a project can be partly funded.** Returns are: Loan Review 2.0, Compliance and Fraud 1.75, Chatbot 1.67, Forecasting 1.13. **I'd fully fund Loan Review**, €5M for €10M. With €5M left, **Fraud Monitoring beats Compliance**: it uses €4M for €7M, and the last €1M goes into the Chatbot, which is linear, for €1.67M. **Total: about €18.7M a year on €10M.** Picking Compliance instead only gets to €18.5M. **So what: ranking by ROI alone misleads when projects are all-or-nothing.**

6 Recommendation

1–2 min

SAY

"You're meeting the Retail Banking COO. He knows this is preliminary, but wants your initial recommendation. What would you tell him?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: deploy the full €10M into three initiatives
- [ ] ~€18.7M a year of recurring savings, nearly 2× ROI
- [ ] Impact concentrated: Loan + Fraud ≈ 91%
- [ ] All-or-nothing projects change the logic
- [ ] Execution: Loan Review is sensitive, so needs governance and regulator dialogue
- [ ] Next: owners and targets, central AI team, reassess more use cases, explore moonshots

ANSWER KEY, DON'T SHOW

"You asked us to assess AI automation in Retail Banking. Deploy the full €10M into three initiatives: Loan Application Review, Fraud Monitoring AI, and a partly funded Customer Service Chatbot. That's about €18.7M of annual savings, nearly 2× the investment. Two initiatives deliver about 91% of it and can start now. Some projects only pay off if fully funded, so ranking by ROI alone would mislead. Loan Review is sensitive, so pair it with strong governance and regulator dialogue. Next: approve the allocation, assign owners and targets, set up a central AI delivery and governance team, reassess other use cases after the first wave, and start exploring the moonshots."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: the allocation
2. Savings and ROI
3. Concentration and execution risk
4. Next steps

Phrases to listen for: "Invest the full €10M in three projects."

EXAMPLE ANSWER, SAID OUT LOUD

> **Invest the full €10M in three projects: Loan Review, Fraud Monitoring, and part of the Chatbot.** That saves about €18.7M a year, nearly 2× the budget. Two projects deliver over 90% of it and can start now. Loan Review is sensitive, so it needs strong governance and early talks with regulators. **Next**: assign owners and targets, set up a central AI team, reassess the other use cases after the first wave, and start exploring moonshots.

▼ Show the full sample interview

INTERVIEWER

"Your client is Quantum Bank, one of Europe's largest banks, with Retail Banking, Corporate Banking, Wealth Management and Capital Markets."

"Facing cost pressure, regulatory demands and rising customer expectations, its leaders are evaluating AI-powered automation to optimize internal operations and reduce costs."

"Some peer banks have started targeted AI projects; Quantum Bank is considering a large-scale AI automation program, focused on its Retail Banking division."

"The Retail Banking COO needs your support to assess the opportunity."

> CANDIDATE
>
> **Let me make sure I understand.** Quantum Bank, one of Europe's largest banks, wants to know whether a large-scale AI automation program in Retail Banking makes sense, mainly to cut costs. **The COO wants an assessment of the opportunity.** Could I ask how big Retail Banking is, what share of costs it carries, and whether there's a budget or target?

INTERVIEWER · FRAMEWORK

"How would you structure your overall assessment of the AI automation opportunity to determine how Quantum Bank should proceed?"

> CANDIDATE
>
> **I'd assess it in three steps.** **First, which use cases suit AI**: high-volume, repetitive processes with clear rules, where failure isn't catastrophic, and where peers already succeed. **Second, the financial impact**: labor and error savings, any revenue uplift from

faster approvals, against the investment and payback. **Third, readiness**: is our data available, clean and governed, and do we have leadership buy-in, talent, change management and AI governance? **Does that sound good?**

INTERVIEWER · WHERE AI FITS

"Before diving into financial analysis, the COO wants to make sure all relevant areas are considered. Please outline examples of key processes across the bank's operations that may benefit from AI solutions."

Key areas: **customer service**, **credit and loan operations**, **fraud and risk monitoring**, **regulatory compliance**, **internal back-office efficiency**.

CANDIDATE

I'd go area by area and judge each on volume, rules and risk. **Customer service** is the easiest win: chatbots, smart call routing, email triage. **Credit and loans**: document checks and instant pre-approvals. **Fraud**: real-time anomaly detection, as long as models are explainable. **Compliance**: KYC and watchlist screening, carefully, given regulatory scrutiny. **Back office**: scheduling, ATM maintenance, process automation. **I'd start where volume is high and risk is low.**

INTERVIEWER · MOONSHOT IDEAS

"Now imagine Quantum Bank wants to position itself as an AI innovation leader in banking: not just efficient, but cutting-edge. What 'moonshot' or unconventional AI use case could it explore to stand out?"

CANDIDATE

Three ideas that go beyond efficiency. **A personal AI banker** for every customer, which advises, simulates decisions and even negotiates rates. **An AI life-stage concierge** that anticipates a new baby or home purchase and offers pre-approved bundles. And **synthetic customer personas** to test new products and lending policies before launch, so we innovate faster and more safely.

INTERVIEWER · BUDGET ALLOCATION

"Quantum Bank has approved a €10 million budget for AI in Retail Banking. The COO has shortlisted five use cases with different costs, savings and investment profiles. Based on Exhibit 1, how should Quantum allocate the €10 million to maximize total annual cost savings?"

Exhibit 1. Selected AI use cases: cost, impact and investment profile

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Linear projects save in proportion to what's invested. All-or-nothing projects save only once fully funded.

CANDIDATE

Two things matter: return per euro, and whether a project can be partly funded. Returns are: Loan Review 2.0, Compliance and Fraud 1.75, Chatbot 1.67, Forecasting 1.13. **I'd fully fund Loan Review**, €5M for €10M. With €5M left, **Fraud Monitoring beats Compliance**: it uses €4M for €7M, and the last €1M goes into the Chatbot, which is linear, for €1.67M. **Total: about €18.7M a year on €10M.** Picking Compliance instead only gets to €18.5M. **So what: ranking by ROI alone misleads when projects are all-or-nothing.**

INTERVIEWER · RECOMMENDATION

"You're meeting the Retail Banking COO. He knows this is preliminary, but wants your initial recommendation. What would you tell him?"

CANDIDATE

Invest the full €10M in three projects: Loan Review, Fraud Monitoring, and part of the Chatbot. That saves about €18.7M a year, nearly 2× the budget. Two projects deliver over 90% of it and can start now. Loan Review is sensitive, so it needs strong

> governance and early talks with regulators. **Next**: assign owners and targets, set up a central AI team, reassess the other use cases after the first wave, and start exploring moonshots.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 8 OF 26

Space Explorer

Market entry | Hard | ~35 min | Core path

#8 · Tier 1 · Classic types · Teaches: Market entry the hard way: set a price, find breakeven, size a niche market step by step

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A long-time NASA supplier has built a reusable rocket that could fly 20 tourists around the planet. Should it launch a space tourism business? The candidate sets a ticket price from costs and competitors, finds the breakeven, sizes the wealthy-tourist market step by step, and finds how to beat Virgin Galactic.

THE ANSWER IN ONE LINE, DON'T SHOW

Price between cost per seat ($4M ÷ 20 = $200k) and Virgin ($400k): **$300k**, so $100k margin → breakeven **2,500 tickets** ($250M ÷ $100k). Wealthy tourists: $600k holiday ÷ 20% = $3M income → 0.01% × 300M = 30,000 → ⅓ = 10,000 couples → 20,000 US tickets × 2 = **~40,000 tickets**. Go ahead, and win on the NASA heritage and the vertical launch.

1 Read the prompt

2–3 min

SAY

"Our client is a US space exploration company that has supplied NASA for 70 years, taking part in every major space program (e.g. Apollo, Gemini) as a subcontractor providing technologies and rocket parts."

"It has developed a technology it believes can send tourists to space for less than current options: a reusable vertical launcher that takes off and lands vertically on its launch pad. It would carry 20 tourists per trip on a 2.5-hour revolution around the planet."

"It would be the first time the company builds the whole launcher, sells it and operates it itself. It would be ready for its first commercial flight in 4 years."

"Should they go ahead and launch this program?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's the goal?	"Profitability. If the profit potential is attractive, they'll go ahead."
Is there a profit target or payback period?	"No specific profitability target or timeframe to recoup the investment."
Should we look at alternative investments?	"No, they haven't asked us to."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks the objective (profitability)
- [ ] Notes: first time building, selling and operating the whole launcher
- [ ] Notes the 4-year timeline

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me play that back.** A long-time NASA supplier has a reusable rocket that could take 20 tourists around the planet, ready in four years. **It would build, sell and operate it for the first time. Should it go ahead?** Could I ask what the goal is, whether there's a profit target or payback period, and whether we're comparing with other investments?

2 Framework

3 min

SAY

"What factors would you consider to answer the client's question?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Is there a market (can afford, want to)?
- [ ] Can we win share (competitors, preferences, our offer)?
- [ ] Can we break even (investment, cost per flight)?
- [ ] Can we execute (risks, capabilities)?

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Market: who can afford it
- [ ] Market: who wants to do it
- [ ] Position: competitors
- [ ] Position: customer preferences
- [ ] Position: our offering
- [ ] Breakeven: upfront investment and fixed costs
- [ ] Breakeven: cost per flight
- [ ] Risks: accidents, regulation, new competitors
- [ ] Capabilities: development, sales, operations

ASK IF THEIR ANSWER IS THIN

- "What's new for this company compared with its NASA work?"

ANSWER KEY, DON'T SHOW

1. Is there a market? People who can afford it, and of those, who want to. **2. Can we capture share?** Competitors, customer preferences, our offering. **3. Can we break even?** Upfront investment and fixed costs, cost per flight. **4. Can we execute?** Risks (accidents, regulation, new entrants) and capabilities (building, selling, operating).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Market?
2. Can we win?
3. Break even?
4. Execute?

Phrases to listen for: "I'd ask four questions."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd ask four questions.** **Is there a market?** Who can afford it, and who wants to go. **Can we win share?** Competitors, what customers value, and our offer. **Can we break even?** The upfront investment against the margin per flight. **Can we execute?** Safety and regulatory risks, and whether we can sell and operate, which is new for us. **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness

- Who can afford it
- Who wants it

Competitive landscape

- Virgin Galactic
- Russian Space Agency

Financial considerations

- Price vs. cost per seat
- Breakeven tickets

Company capabilities

- First time building, selling, operating

Risks & mitigations

- Accidents, regulation

Market entry maps neatly to the book's buckets; the case adds breakeven math into the Financial bucket.

3 Price and breakeven PARTLY ADDED

4 min

Beyond the original case: The original asks for pricing inside the market-sizing question; it's split into its own step here, with the same facts and guidance.

SAY

"The client agrees a key question is whether there's a market. Before sizing it: what price would you charge for a ticket, and how would you set it?"

HOW TO STEER

- Original case: the candidate should realize a price is needed to work out who can afford this. If they don't suggest looking at competitors and our costs, prompt them.
- Once they suggest a price, encourage them to use $300,000 for ease of calculation.

GIVE ONLY WHEN: ONCE THEY ASK ABOUT COMPETITORS AND COSTS.

Competitors

- **Virgin Galactic**: ready in 2 years. A shuttle launched from under a plane's belly that lands on a runway; 6 tourists per trip, 2.5-hour revolution around the planet; **$400,000** per ticket.
- **Russian Space Agency**: **$30M** per passenger for a 2-week trip to the International Space Station.

Our costs

- **$250M** upfront investment
- **$4M** per flight (we can launch as many flights as we want)

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Floor: cost per seat = $4M ÷ 20 = $200k
- [ ] Ceiling: Virgin's comparable offer at $400k (Russia is a different product)
- [ ] Picks ~$300k
- [ ] Margin $100k → breakeven $250M ÷ $100k = 2,500 tickets = 125 flights

IF THEY SAY… YOU SAY

Compares with the $30M Russian trip	"Is a two-week stay on the space station the same product?"

ANSWER KEY, DON'T SHOW

```
Cost per seat = $4M ÷ 20 = $200k (floor) · Virgin = $400k (ceiling) → price $300k
Margin = $100k per ticket
Breakeven = $250M ÷ $100k = 2,500 tickets = 125 flights
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What does one seat cost us to fly?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Floor: our cost per seat
2. Ceiling: comparable competitor
3. Pick a price
4. Margin and breakeven

Phrases to listen for: "I'd price between our cost and the closest competitor."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd price between our cost and the closest competitor.** Could I ask what competitors charge and what our costs are? *[Virgin $400k; $4M per flight.]* A flight costs $4 million for 20 seats, so **$200,000 per seat** is our floor. Virgin's similar trip at

> $400,000 is the ceiling; Russia's $30 million station trip is a different product. **So about $300,000**, giving $100,000 margin per ticket. **Breakeven: $250 million divided by $100,000, or 2,500 tickets**, about 125 flights.

4 Market size

7 min

SAY

"Now, could you size the potential market? You can assume half the global market is in the US. Lay out your approach first."

HOW TO STEER

- Original case: if the candidate doesn't lay out an approach, ask for it. Then encourage two steps: (1) how many people can afford this, (2) how many of them want to do it.
- Ask what the key types of customers will be: people will make different efforts depending on their motivation. Then ask them to focus on the two segments below, starting with wealthy tourists.
- Let them make their own assumptions, but correct them toward the facts below.

GIVE ONLY WHEN: AFTER THEY'VE DISCUSSED CUSTOMER TYPES.

Two segments

- **Wealthy tourists**: spend about the same ($300,000 per person) on their summer holiday; they'll go to space because they can; they travel as a **couple**.
- **Passionate**: going to space is a lifelong dream; they'll save or borrow for years; they travel **alone**.

Correct their assumptions toward: US population **300M**; wealthy tourists spend **20%** of income on their summer holiday; only **0.01%** of Americans earn more than **$3M**; **a third** of those who can afford it will want to go.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] States the approach: can afford → want to → tickets → global
- [ ] Couple spends 2 × $300k = $600k on a holiday
- [ ] $600k ÷ 20% = $3M income → 0.01% × 300M = 30,000 people
- [ ] ⅓ want to → 10,000 → × 2 tickets = 20,000 US tickets
- [ ] Half the market is US → 40,000 tickets globally
- [ ] vs. breakeven 2,500: very attractive

IF THEY SAY… YOU SAY

Counts people, not tickets	"They travel as couples. How many tickets is that?"
Forgets the non-US half	"What share of the market is in the US?"

ANSWER KEY, DON'T SHOW

```
Couple's holiday = 2 × $300k = $600k → income = $600k ÷ 20% = $3M
People earning $3M+ = 0.01% × 300M = 30,000
Want to go = ⅓ → 10,000 → × 2 tickets = 20,000 US tickets
US is half → ~40,000 tickets globally
```

Breakeven is only 2,500 tickets, so a small share of this market makes the program profitable.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How much would a couple spend on this trip?"
2. "What income would let them spend that on a holiday?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Approach: afford → want → tickets → global
2. Afford: income threshold

3. Want: share
4. Tickets and global
5. Compare with breakeven

Phrases to listen for: "Two steps: who can afford it, then who wants to."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two steps: who can afford it, then who wants to.** A wealthy couple would spend $600,000. If a summer holiday is 20% of income, that's **$3 million a year**, which only 0.01% of Americans earn: **30,000 people**. A third want to go, so **10,000**, each buying two tickets: **20,000 US tickets**. The US is half the market, so **about 40,000 tickets worldwide**. **Against a 2,500-ticket breakeven, that's very attractive.**

5 Passionate segment

2 min

SAY

"What if I tell you the passionate segment is 700 tickets globally?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Not significant vs. 40,000
- [ ] Focus product and marketing on wealthy tourists
- [ ] Still court the passionate as opinion leaders (raffle, promotion)

ANSWER KEY, DON'T SHOW

Small next to 40,000, so **focus on wealthy tourists** in product and marketing. Still worth engaging the passionate as credible opinion leaders, e.g. a raffle or a promotion for thought leaders.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Compare sizes
2. Focus
3. Secondary role

Phrases to listen for: "700 tickets is small next to 40,000."

EXAMPLE ANSWER, SAID OUT LOUD

> **700 tickets is small next to 40,000, so wealthy tourists should be our focus** in product and marketing. But the passionate are great ambassadors, so I'd still reach them, for example with a raffle or seats for well-known space enthusiasts.

6 Beating Virgin

3 min

SAY

"Virgin Galactic will probably reach the same conclusion and target wealthy tourists too. What can you do that Virgin can't, to beat them in this segment?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] NASA heritage: the 'real astronaut' experience and safety credibility
- [ ] Vertical launch feels like real spaceflight
- [ ] Bigger cabin: groups and premium seating
- [ ] US-based, where half the market is

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] NASA partnership: training center, launch site, branded suits
- [ ] Safety credentials from NASA history
- [ ] Vertical launch = real astronaut experience
- [ ] Larger cabin: groups
- [ ] Larger cabin: business/first class at higher prices
- [ ] US company in the biggest market

ANSWER KEY, DON'T SHOW

Use our **70-year NASA history**: partner with NASA for a real astronaut experience (training, launch from Cape Canaveral, named space suits) and safety credibility. Our **vertical launch** feels like real spaceflight, not a plane ride. Our **bigger cabin** allows groups or premium classes at higher prices. We're **US-based**, where half the market is.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Heritage
2. Product (vertical launch)
3. Cabin
4. Home market

Phrases to listen for: "We can offer the real astronaut experience."

EXAMPLE ANSWER, SAID OUT LOUD

> We can offer the real astronaut experience. Our NASA history: partner with NASA for training, a launch from Cape Canaveral and named space suits, and borrow its safety credibility. Vertical launch feels like real spaceflight, not a plane ride. Our bigger cabin fits groups or premium classes at higher prices. And we're American, where half the market is.

7 Recommendation

1–2 min

SAY

"Overall, what would you recommend to the client?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: go ahead
- [ ] 40,000-ticket market vs. 2,500 breakeven
- [ ] Can beat Virgin: NASA history, vertical launch, bigger cabin
- [ ] Next: assess and mitigate safety and operational risks (insurance, crew, safeguards)

ANSWER KEY, DON'T SHOW

"You asked whether to launch this program. It looks very attractive. The wealthy-tourist market is about 40,000 tickets and you break even at 2,500, so a small share recovers the investment. You can beat Virgin: your NASA history, vertical launch and bigger cabin offer a unique, premium 'real astronaut' experience. Over the next few weeks, we'd assess the risks of flying civilians and how to mitigate them: insurance, highly trained crew and other safeguards."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first
2. Market vs. breakeven
3. Right to win
4. Risks and next steps

Phrases to listen for: "Go ahead."

EXAMPLE ANSWER, SAID OUT LOUD

Go ahead. The wealthy-tourist market is about 40,000 tickets and you break even at 2,500, so you only need a small share. You can beat Virgin with your NASA heritage, vertical launch and premium cabin. **Next**: we'll assess the risks of flying civilians and how to manage them, from insurance to crew training and other safeguards.

▼ Show the full sample interview

INTERVIEWER

"Our client is a US space exploration company that has supplied NASA for 70 years, taking part in every major space program (e.g. Apollo, Gemini) as a subcontractor providing technologies and rocket parts."

"It has developed a technology it believes can send tourists to space for less than current options: a reusable vertical launcher that takes off and lands vertically on its launch pad. It would carry 20 tourists per trip on a 2.5-hour revolution around the planet."

"It would be the first time the company builds the whole launcher, sells it and operates it itself. It would be ready for its first commercial flight in 4 years."

"Should they go ahead and launch this program?"

CANDIDATE

Let me play that back. A long-time NASA supplier has a reusable rocket that could take 20 tourists around the planet, ready in four years. **It would build, sell and operate it for the first time. Should it go ahead?** Could I ask what the goal is, whether there's a profit target or payback period, and whether we're comparing with other investments?

INTERVIEWER · FRAMEWORK

"What factors would you consider to answer the client's question?"

CANDIDATE

I'd ask four questions. **Is there a market?** Who can afford it, and who wants to go. **Can we win share?** Competitors, what customers value, and our offer. **Can we break even?** The upfront investment against the margin per flight. **Can we execute?** Safety and regulatory risks, and whether we can sell and operate, which is new for us. **Does that sound good?**

INTERVIEWER · PRICE AND BREAKEVEN

"The client agrees a key question is whether there's a market. Before sizing it: what price would you charge for a ticket, and how would you set it?"

Competitors

- **Virgin Galactic**: ready in 2 years. A shuttle launched from under a plane's belly that lands on a runway; 6 tourists per trip, 2.5-hour revolution around the planet; **$400,000** per ticket.
- **Russian Space Agency**: **$30M** per passenger for a 2-week trip to the International Space Station.

Our costs

- **$250M** upfront investment
- **$4M** per flight (we can launch as many flights as we want)

CANDIDATE

I'd price between our cost and the closest competitor. Could I ask what competitors charge and what our costs are? *[Virgin $400k; $4M per flight.]* A flight costs $4 million for 20 seats, so **$200,000 per seat** is our floor. Virgin's similar trip at $400,000 is the ceiling; Russia's $30 million station trip is a different product. **So about $300,000**, giving $100,000 margin per ticket. **Breakeven: $250 million divided by $100,000, or 2,500 tickets**, about 125 flights.

INTERVIEWER · MARKET SIZE

"Now, could you size the potential market? You can assume half the global market is in the US. Lay out your approach first."

Two segments

- **Wealthy tourists**: spend about the same ($300,000 per person) on their summer holiday; they'll go to space because they can; they travel as a **couple**.
- **Passionate**: going to space is a lifelong dream; they'll save or borrow for years; they travel **alone**.

Correct their assumptions toward: US population **300M**; wealthy tourists spend **20%** of income on their summer holiday; only **0.01%** of Americans earn more than **$3M**; **a third** of those who can afford it will want to go.

CANDIDATE

Two steps: who can afford it, then who wants to. A wealthy couple would spend $600,000. If a summer holiday is 20% of income, that's **$3 million a year**, which only 0.01% of Americans earn: **30,000 people**. A third want to go, so **10,000**, each buying two tickets: **20,000 US tickets**. The US is half the market, so **about 40,000 tickets worldwide**. **Against a 2,500-ticket breakeven, that's very attractive.**

INTERVIEWER · PASSIONATE SEGMENT

"What if I tell you the passionate segment is 700 tickets globally?"

CANDIDATE

700 tickets is small next to 40,000, so wealthy tourists should be our focus in product and marketing. But the passionate are great ambassadors, so I'd still reach them, for example with a raffle or seats for well-known space enthusiasts.

INTERVIEWER · BEATING VIRGIN

"Virgin Galactic will probably reach the same conclusion and target wealthy tourists too. What can you do that Virgin can't, to beat them in this segment?"

CANDIDATE

We can offer the real astronaut experience. **Our NASA history**: partner with NASA for training, a launch from Cape Canaveral and named space suits, and borrow its safety credibility. **Vertical launch** feels like real spaceflight, not a plane ride. **Our bigger cabin** fits groups or premium classes at higher prices. And **we're American**, where half the market is.

INTERVIEWER · RECOMMENDATION

"Overall, what would you recommend to the client?"

CANDIDATE

Go ahead. The wealthy-tourist market is about 40,000 tickets and you break even at 2,500, so you only need a small share. You can beat Virgin with your NASA heritage, vertical launch and premium cabin. **Next**: we'll assess the risks of flying civilians and how to manage them, from insurance to crew training and other safeguards.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 9 OF 26

Taxi Empire

Investment | Medium | ~25 min | Core path

#9 · Tier 2 · Variations on the classics · Teaches: Investment: a mini P&L (depreciation, tax), return on equity, and how debt (leverage) changes it

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A friend earns 10% after tax on €50,000 and wonders whether starting a taxi business in her German town would earn more. The candidate estimates one taxi's revenue, builds a mini P&L (depreciation, tax) to get return on equity, tests a second taxi bought with a loan (leverage), and weighs the risks.

THE ANSWER IN ONE LINE, DON'T SHOW

One taxi: 8h × 250 days × 50 km/h = 100,000 km × 50% × €1.4 = **€70k revenue** → net income **€7k** → ROE **14%** (vs. 10%). A second, loan-funded taxi → net €11.2k → ROE **22.4%**. But it only raises her income from €5k to ~€11k, with real risk and her own time, so **don't start yet**; first test utilization and ways to raise returns.

1 Read the prompt

2–3 min

SAY

"A friend of yours earns a 10% after-tax return on her financial investments. She wonders whether she could earn more by starting her own taxi business in her town in Germany."

"She'd start with one taxi and scale to several vehicles if it works. She'd run the company herself and hire drivers."

"She has €50,000 to invest and has asked whether this is a good idea. What factors would you consider in advising her?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's her objective?	"At least a 10% return, but she also wants the business to be scalable and not overly sensitive to risks and external shocks."
Would she drive herself? ADDED	"No, she'd run the company and hire drivers."
Where would it operate? ADDED	"Only in her local city."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks for the hurdle (10% after tax)
- [ ] Notes she also cares about scalability and risk
- [ ] Notes she manages, others drive

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> Let me play that back. Your friend earns 10% after tax on €50,000 and is considering starting a taxi company in her town, managing it while hired drivers drive. The question is whether she'd beat 10%. Could I ask whether she cares about anything beyond return, like risk or growing the business?

2 Framework

3 min

SAY

"How would you structure your approach to the question?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Return with one taxi: investment, operating profit (taxi margin, overhead)
- [ ] Operational feasibility: licenses, drivers, reaching customers
- [ ] Scalability: demand, running at scale, long-term risks

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Return: upfront investment
- [ ] Return: overhead
- [ ] Return: margin per taxi
- [ ] Feasibility: taxi licenses
- [ ] Feasibility: finding drivers
- [ ] Feasibility: reaching customers (app?)
- [ ] Scale: demand for more taxis
- [ ] Scale: running a larger operation (drivers, call center)
- [ ] Scale: long-term risks (costs, price, regulation, competition)

ANSWER KEY, DON'T SHOW

1. Return with one taxi: upfront investment; operating profit (margin per taxi, overhead). **2. Operational feasibility**: licenses, drivers, reaching customers. **3. Scalability**: demand for more taxis, ability to run a bigger operation, long-term risks (costs, price, regulation, competition).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Return with one taxi
2. Feasibility
3. Scalability and risks

Phrases to listen for: "Three questions."

EXAMPLE ANSWER, SAID OUT LOUD

> Three questions. Does one taxi beat 10%? That's the upfront cost against the profit after the taxi's running costs and overhead. Can she actually run it? Licenses, finding drivers, and getting customers. Can it scale safely? Demand for more taxis, managing a bigger team, and long-term risks like costs, regulation and competition. Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Financial considerations	Company capabilities	Market attractiveness	Risks & mitigations
• Revenue per taxi • Costs, depreciation, tax • ROE vs. 10%	• Licenses, drivers, management time	• Demand for more taxis	• Utilization forecast • Leverage, competition, substitutes

A personal investment case: the book's Financial bucket does most of the work, but Capabilities (her time) decides it.

3 Revenue estimate

4 min

SAY

"You decide to estimate the business's annual revenue first. Assume there's enough demand and she operates only in her city. What's the revenue potential in year 1?"

HOW TO STEER

- Original case: it's a single-vehicle business at this stage, so estimate one taxi, not long-term potential.
- If needed, steer them to: 8-hour days, 250 working days a year, 50 km/h average, €1.4 per km, 50% utilization.

GIVE ONLY WHEN: ONLY IF THEIR ASSUMPTIONS NEED STEERING.

- 8-hour working day
- 250 working days a year
- 50 km/h average speed
- €1.4 per km
- 50% utilization (share of km with a paying customer)

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Capacity: 8 × 250 × 50 = 100,000 km a year
- [ ] Utilization 50% × €1.4/km → €70,000
- [ ] Notes we need costs to compare with 10%

ANSWER KEY, DON'T SHOW

```
8 h × 250 days × 50 km/h = 100,000 km
× 50% paid × €1.4/km = €70,000 a year
```

To compare with her 10%, we need costs and profit.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many kilometers can one taxi drive in a year?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Capacity in km
2. × utilization × price
3. Next: costs

Phrases to listen for: "I'll start from capacity."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll start from capacity.** 8 hours a day for 250 days at 50 km an hour is **100,000 km a year**. If half of that has a paying passenger at €1.40 a km, that's **€70,000 of revenue**. To compare with her 10%, I now need costs.

4 Return on equity

5 min

SAY

"Exhibit 1 shows the first-year costs. Assuming first-year revenue of €70,000, calculate the return on equity and net profit margin."

HOW TO STEER

- Original case: if needed, give the formula: return on equity = net income ÷ equity invested.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Taxi business costs (year 1)

Cost type	Cost
Running costs*	€0.2 per km
Overhead costs**	€30,000
Initial investment	€50,000
Useful life	5 years
Interest rate	8% a year
Corporate tax	30%

* Driver's salary, fuel, maintenance, insurance, road tax. ** Includes the cost of management's time.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Variable: 100,000 km × €0.2 = €20k
- [ ] Gross margin €50k − overhead €30k = EBITDA €20k
- [ ] Depreciation €50k ÷ 5 = €10k → EBIT €10k
- [ ] No interest (all equity); tax 30% → net €7k
- [ ] Net margin 10%; ROE 14% > 10%

IF THEY SAY... YOU SAY

Applies running cost only to paid km	"Does the taxi cost money when it drives empty?"
Forgets depreciation	"The €50,000 taxi lasts five years. How does that show up each year?"

ANSWER KEY, DON'T SHOW

```
Sales                        €70,000
Running costs (100,000 km × €0.2) −€20,000
Overhead                    −€30,000
EBITDA                       €20,000
Depreciation (€50k ÷ 5)     −€10,000
EBIT = EBT                   €10,000
Tax 30%                      −€3,000
Net income                    €7,000
Net margin = 7 ÷ 70 = 10% · ROE = 7 ÷ 50 = 14%
```

14% beats her current 10%.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Build a simple P&L from sales down to net income."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. P&L line by line
2. Net income
3. Margin and ROE
4. Compare with 10%

Phrases to listen for: "I'll build a quick P&L."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll build a quick P&L.** Running costs: 100,000 km at 20 cents, €20,000, leaving €50,000. Minus €30,000 overhead: **€20,000 EBITDA**. The €50,000 car over five years is €10,000 of depreciation, so €10,000 before tax, and after 30% tax, **€7,000 net**. That's a 10% net margin and a **14% return on equity**, **beating her 10%**.

5 Second taxi with a loan

5 min

SAY

"Your friend could buy a second taxi, financed by a bank loan at 8%. Should she, if she wants to maximize return on equity?"

HOW TO STEER

- Original case: revenue and major costs for the second taxi are the same as the first.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Doubles sales and costs: EBIT €20k
- [ ] Interest 8% × €50k = €4k → EBT €16k
- [ ] Tax €4.8k → net €11.2k
- [ ] Equity unchanged at €50k → ROE 22.4%
- [ ] Net margin falls to 8%, but ROE rises: leverage
- [ ] Check: her extra workload, demand for a second taxi

IF THEY SAY... YOU SAY

Divides by €100,000	"How much of her own money is in the business?"

ANSWER KEY, DON'T SHOW

```
Sales €140k − running €40k − overhead €60k = EBITDA €40k
− depreciation €20k = EBIT €20k − interest (8% × €50k) €4k = EBT €16k
− tax 30% €4.8k = net income €11,200
Net margin = 11.2 ÷ 140 = 8% · ROE = 11.2 ÷ 50 = 22.4%
```

Leverage raises ROE from 14% to 22.4%. Check the extra workload and demand for a second taxi.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What changes in the P&L when you borrow?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Double operations
2. Add interest
3. Same equity
4. ROE vs. margin: leverage
5. Checks

Phrases to listen for: "That's leverage."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two taxis double everything**: €20,000 of operating profit. The €50,000 loan at 8% costs €4,000, so €16,000 before tax and **€11,200 after tax**. Her equity is still €50,000, so **return on equity rises to 22.4%**, even though the margin falls to 8%. **That's leverage.** I'd check whether there's demand for a second taxi and how much more of her time it takes.

6 Risks

3 min

SAY

"What additional factors should she consider before investing in the taxi company?"

HOW TO STEER

- Original case: the candidate shouldn't just list factors, but also judge the implications and significance of each.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Forecast error: utilization is hard to predict and very sensitive
- [ ] Leverage raises fixed costs and volatility
- [ ] Market: competition, input costs, regulation, substitutes
- [ ] Personal: her time and skills for €5k → €11k

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Forecasting error (especially utilization)
- [ ] Financial leverage → more volatile income
- [ ] Competition adding capacity
- [ ] Rising costs (fuel, labor)
- [ ] Regulation
- [ ] Substitutes (e-bikes, scooters, ride-hailing)
- [ ] Her time, skills and appetite

ANSWER KEY, DON'T SHOW

Forecast error: results hinge on a few assumptions, especially utilization. **Leverage**: the loan adds fixed costs, making income more volatile. **Market changes**: more competition, rising fuel and labor costs, regulation, substitutes like e-bikes and scooters. **Personal**: does she have the time, skills and appetite to run it, just to raise her income from about €5k to €11k?

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Rank the risks
2. Implication of each
3. Personal trade-off

Phrases to listen for: "Four risks, in order of importance."

EXAMPLE ANSWER, SAID OUT LOUD

> Four risks, in order of importance. Forecast error: everything hinges on 50% utilization; if it's 40%, the profit mostly disappears. Leverage: the loan adds fixed costs, so a bad year hurts more. The market: new competitors, rising fuel and wages, regulation, and substitutes like scooters. Her time: all this to go from about €5,000 to €11,000 a year.

7 Diversifying services

2 min

SAY

"The plan focuses on on-demand taxi rides. She'd consider diversifying if it raises her margin. What ideas do you have?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Pooled journeys
- [ ] Urgent deliveries
- [ ] Night services

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] School or club pick-up / drop-off
- [ ] Airport transfers
- [ ] Urgent medical deliveries (blood, medicine)
- [ ] Urgent business parts and documents
- [ ] Night services

ANSWER KEY, DON'T SHOW

Pooled journeys: school and club runs, airport transfers. **Urgent delivery**: medical supplies for hospitals and doctors; spare parts and documents for businesses. **Night services**.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Pooled rides
2. Urgent deliveries
3. Night services

Phrases to listen for: "Three ideas."

EXAMPLE ANSWER, SAID OUT LOUD

> Three ideas. Pooled rides, like school runs and airport transfers. Urgent deliveries, such as medicine for hospitals or spare parts for businesses. And night services, when there's less competition.

8 Recommendation

1–2 min

SAY

"What action do you recommend your friend takes?"

HOW TO STEER

- Original case: its sample answer says "I would not recommend my friend not to start"; the intended meaning (from its reasoning) is not to start yet.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: not yet
- [ ] On paper: 14% with one taxi, 22% with two (leverage)
- [ ] But only €5k → ~€11k of income, for real risk and her own time
- [ ] Next: raise returns (longer hours, two drivers, premium services); validate utilization

ANSWER KEY, DON'T SHOW

"At this stage I wouldn't start the taxi business. On paper it works: 14% with one taxi and about 22% with a second, loan-funded one. But that only raises her income from about €5,000 to €11,000, while putting her capital at risk (forecast errors, leverage, market changes) and taking her time. Next, I'd look at raising returns, such as running the taxi longer with two drivers or offering premium services, and validate our assumptions, especially utilization."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first
2. Numbers
3. But: risk and effort
4. Next steps

Phrases to listen for: "I wouldn't start the taxi business yet."

EXAMPLE ANSWER, SAID OUT LOUD

> I wouldn't start the taxi business yet. On paper it beats her 10%: 14% with one taxi, about 22% with a second on a loan. But it only lifts her income from about €5,000 to €11,000, while risking her capital and taking her time. Next, I'd look at raising returns, like two drivers on longer shifts or premium services, and validate utilization before she commits.

▼ Show the full sample interview

INTERVIEWER

"A friend of yours earns a 10% after-tax return on her financial investments. She wonders whether she could earn more by starting her own taxi business in her town in Germany."

"She'd start with one taxi and scale to several vehicles if it works. She'd run the company herself and hire drivers."

"She has €50,000 to invest and has asked whether this is a good idea. What factors would you consider in advising her?"

CANDIDATE

Let me play that back. Your friend earns 10% after tax on €50,000 and is considering starting a taxi company in her town, managing it while hired drivers drive. **The question is whether she'd beat 10%.** Could I ask whether she cares about anything beyond return, like risk or growing the business?

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the question?"

CANDIDATE

Three questions. **Does one taxi beat 10%?** That's the upfront cost against the profit after the taxi's running costs and overhead. **Can she actually run it?** Licenses, finding drivers, and getting customers. **Can it scale safely?** Demand for more taxis, managing a bigger team, and long-term risks like costs, regulation and competition. **Does that sound good?**

INTERVIEWER · REVENUE ESTIMATE

"You decide to estimate the business's annual revenue first. Assume there's enough demand and she operates only in her city. What's the revenue potential in year 1?"

- 8-hour working day
- 250 working days a year
- 50 km/h average speed
- €1.4 per km
- 50% utilization (share of km with a paying customer)

CANDIDATE

I'll start from capacity. 8 hours a day for 250 days at 50 km an hour is **100,000 km a year**. If half of that has a paying passenger at €1.40 a km, that's **€70,000 of revenue**. To compare with her 10%, I now need costs.

INTERVIEWER · RETURN ON EQUITY

"Exhibit 1 shows the first-year costs. Assuming first-year revenue of €70,000, calculate the return on equity and net profit margin."

Exhibit 1. Taxi business costs (year 1)

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CANDIDATE

I'll build a quick P&L. Running costs: 100,000 km at 20 cents, €20,000, leaving €50,000. Minus €30,000 overhead: **€20,000 EBITDA**. The €50,000 car over five years is €10,000 of depreciation, so €10,000 before tax, and after 30% tax, **€7,000 net**. That's a 10% net margin and a **14% return on equity**, **beating her 10%**.

INTERVIEWER · SECOND TAXI WITH A LOAN

"Your friend could buy a second taxi, financed by a bank loan at 8%. Should she, if she wants to maximize return on equity?"

CANDIDATE

Two taxis double everything: €20,000 of operating profit. The €50,000 loan at 8% costs €4,000, so €16,000 before tax and **€11,200 after tax**. Her equity is still €50,000, so **return on equity rises to 22.4%**, even though the margin falls to 8%. **That's leverage.** I'd check whether there's demand for a second taxi and how much more of her time it takes.

INTERVIEWER · RISKS

"What additional factors should she consider before investing in the taxi company?"

CANDIDATE

Four risks, in order of importance. **Forecast error**: everything hinges on 50% utilization; if it's 40%, the profit mostly disappears. **Leverage**: the loan adds fixed costs, so a bad year hurts more. **The market**: new competitors, rising fuel and wages, regulation, and substitutes like scooters. **Her time**: all this to go from about €5,000 to €11,000 a year.

INTERVIEWER · DIVERSIFYING SERVICES

"The plan focuses on on-demand taxi rides. She'd consider diversifying if it raises her margin. What ideas do you have?"

CANDIDATE

Three ideas. **Pooled rides**, like school runs and airport transfers. **Urgent deliveries**, such as medicine for hospitals or spare parts for businesses. And **night services**, when there's less competition.

INTERVIEWER · RECOMMENDATION

"What action do you recommend your friend takes?"

CANDIDATE

I wouldn't start the taxi business yet. On paper it beats her 10%: 14% with one taxi, about 22% with a second on a loan. **But** it only lifts her income from about €5,000 to €11,000, while risking her capital and taking her time. **Next**, I'd look at raising returns, like two drivers on longer shifts or premium services, and validate utilization before she commits.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: … / Fix: …

CASE 10 OF 26

Patati

Turnaround | Medium | ~30 min | Core path

#10 · Tier 2 · Variations on the classics · Teaches: Turnaround: diagnose a decline, find a competitor's cost edge, compare invest vs. do-nothing scenarios

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A French potato-fries maker launched potato wedges in the UK, USA and Japan; only the UK is declining. The candidate reads revenue by market, works out why volume fell with no price change, discovers competitors cut prices by growing potatoes locally, and decides whether a $3M investment to do the same pays off.

THE ANSWER IN ONE LINE, DON'T SHOW

UK revenue fell **25%** after a strong launch. Competitors dropped price $6 → $4 by **growing potatoes in UK greenhouses** (75% of cost is potatoes, transport and import duties). Investing $3M: revenue ~$37.5M → **~$7.5M profit**, vs. ~$22.3M → **~$4.5M** if Patati keeps declining. Roughly breaks even in the period and wins long term: **invest**.

1 Read the prompt

2–3 min

SAY

"Patati is a French company selling raw material for potato fries. It's global and known for many varieties of fries."

"Three years ago it launched a new potato wedges product in its top 3 markets: the UK, USA and Japan. It has done well in Japan and the USA, but profits have declined in the UK."

"The CEO is concerned about the UK wedges business and wants you to analyze the situation and advise how to turn it around."

"How should the client go about solving this problem?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How many wedge products do they sell?	"Only one variety / brand of potato wedges."
Is the decline only in the UK?	"Yes. All other markets are performing well."
What would success look like?	"Bringing UK profits back to the level of 3 years ago."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: UK wedge profits falling, other markets fine
- [ ] Asks what success means (back to launch-year profit)
- [ ] Asks about the product range

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> To recap: Patati launched potato wedges in the UK, US and Japan three years ago. The US and Japan are doing well, but UK profits are falling. The CEO wants to turn the UK around. Could I ask whether the decline is only in the UK, what success looks like, and how many wedge products we sell there?

2 Framework

2–3 min

SAY

"How would you structure your approach to the question?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Revenue: volume (market shrinking? losing share?) and price
- [ ] Costs along the value chain: raw material, production, distribution, sales and marketing

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Volume: is the UK wedges market shrinking?
- [ ] Volume: are fewer customers buying ours?
- [ ] Price: has our unit price fallen?
- [ ] Cost: raw material
- [ ] Cost: production
- [ ] Cost: distribution
- [ ] Cost: sales and marketing

ASK IF THEIR ANSWER IS THIN

- "How would you tell a market problem from a Patati problem?"

ANSWER KEY, DON'T SHOW

1. Revenue: volume (is the UK market shrinking, or are fewer customers buying ours?) and price (has it fallen?). **2. Costs** anywhere in the value chain: raw material, production, distribution, sales and marketing.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Profit = revenue − costs
2. Revenue: volume and price
3. Costs along the value chain

Phrases to listen for: "Profit is falling, so I'd check revenue and costs."

EXAMPLE ANSWER, SAID OUT LOUD

> Profit is falling, so I'd check revenue and costs. Revenue: are we selling fewer wedges, either because the UK market is shrinking or because we're losing customers to rivals, and has our price fallen? Costs: have they risen anywhere along the chain: raw materials, production, distribution, or sales and marketing? Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Financial considerations	Competitive landscape	Customer segmentation & needs	Company capabilities
• Volume vs. price • Cost per portion	• Competitors' price cuts • Their cost advantage (local sourcing)	• Shifting preferences	• Ability to farm potatoes in the UK

The case uses a pure profit tree; the book's Competition bucket gets you to the answer faster: competitors cut prices.

3 Revenue by market

3 min

SAY

"The client shares revenue data from the last 3 years. What insights can you draw from it?"

HOW TO STEER

- Original case: candidates naturally comment on the UK's steep decline, but they should also note the launch year was very successful, so something must have changed since.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Patati's potato wedges revenue ($M)

	Year 1	Year 2	Year 3
UK	7.98	6.85	5.98
USA	8.00	10.50	12.83
Japan	8.00	12.89	13.30

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] UK down ~25% from Year 1 to Year 3
- [ ] Year 1 nearly equal across markets, though the UK is probably smallest: launch went well
- [ ] From Year 2 something changed in the UK, while others grow fast
- [ ] Hypothesis: e.g. competitor discounting

ANSWER KEY, DON'T SHOW

UK revenue fell **25%** (7.98 → 5.98). But Year 1 was almost equal across all three markets, even though the UK is likely the smallest, so **the launch was a success**. From Year 2 the UK declined while the others grew fast: **something changed after launch**, e.g. competitors discounting.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How did the UK do in its first year compared with the others?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Size of the UK decline
2. The launch was fine
3. Something changed after: hypothesis

Phrases to listen for: "Something changed after launch."

EXAMPLE ANSWER, SAID OUT LOUD

> UK revenue fell 25%, from about 8 to 6 million. But the launch was a success: in Year 1 the UK sold almost as much as the US and Japan, probably much bigger markets. Since then the other two have grown fast while the UK has declined, so something changed after launch, maybe competitors discounting.

4 Why volume fell

3 min

SAY

"The client tells you our product's price hasn't changed. So what could explain the UK revenue decline after a strong launch year?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Price unchanged → units must have fallen
- [ ] Groups reasons: customers, competition, distribution, product, marketing

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Customers: shift away from wedges (e.g. to regular fries)
- [ ] Customers: shift to a wedge we don't offer (e.g. low-fat)
- [ ] Competition: better or alternative products (e.g. crinkle-cut)
- [ ] Competition: lower prices
- [ ] Distribution: lost distributors
- [ ] Distribution: lost shelf space
- [ ] Product: quality issues or bad reviews
- [ ] Product: portion size less attractive
- [ ] Marketing: too little spend after launch
- [ ] Marketing: wrong channels (TV vs. social)
- [ ] Marketing: messaging not adapted to the UK

ASK IF THEIR ANSWER IS THIN

- "Which of these would you check first, and how?"

ANSWER KEY, DON'T SHOW

If price didn't change, **units fell**. Possible reasons: **customer preferences** (away from wedges, or toward a type we don't sell); **competition** (better products, lower prices); **distribution** (lost distributors or shelf space); **our product** (quality, reviews, portion size); **marketing** (too little, wrong channels, not localized).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Price unchanged → units fell
2. 5 groups of causes
3. Examples in each

Phrases to listen for: "If price didn't change, we're selling fewer units."

EXAMPLE ANSWER, SAID OUT LOUD

> **If price didn't change, we're selling fewer units.** I'd look at five causes. **Customers** moving away from wedges, or toward a type we don't sell, like low-fat. **Competitors** with better or cheaper products. **Distribution**: lost retailers or shelf space. **Our product**: quality issues or bad reviews. **Marketing**: too little spend after launch, or the wrong channels.

5 How competitors cut price

4 min

SAY

"Research suggests competitors cut prices per portion from $6 in Year 1 to $4 in Year 3 without significantly losing profitability. Our price stayed at $6. How do you think competitors made this possible? Feel free to ask for more information."

HOW TO STEER

- Original case: this is a discussion. Let the candidate suggest and debate ideas before sharing the information below.

GIVE ONLY WHEN: AFTER THEY'VE SUGGESTED IDEAS, OR AS THEY ASK.

- **75% of cost** is raw materials, transportation to the factory, and import duties for potatoes. Production, distribution and marketing make up the rest.
- Wedges use a specific potato variety (broad in the middle, less starch), mostly imported into the UK from nearby countries.
- Competitors have invested in **UK greenhouses** to grow this variety domestically, saving import duties and transport.
- There's no other significant difference in how Patati makes wedges vs. competitors.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Competitors must have changed their cost structure
- [ ] Lists cost buckets: raw materials, production, transport, marketing, overhead
- [ ] Focuses on the biggest bucket: potato sourcing
- [ ] Concludes: imported vs. home-grown potatoes is the key cost gap

ANSWER KEY, DON'T SHOW

Cutting price by a third without losing profitability means competitors **cut costs**, most likely in the biggest component. Since 75% of cost is potatoes, transport and import duties, they changed **sourcing**: growing the variety in UK greenhouses saves duties and transport. Patati's reliance on imported potatoes is the key cost disadvantage.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's the biggest cost in making wedges?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Price cut without profit loss → cost cut
2. Ask for the cost breakdown
3. Focus on the biggest cost
4. Conclusion

Phrases to listen for: "Competitors must have cut costs, probably in the biggest cost."

EXAMPLE ANSWER, SAID OUT LOUD

> **Cutting a third of the price without losing profit means competitors cut costs**, probably in the biggest cost. Could I ask what our cost breakdown looks like? *[75% is potatoes, transport and import duties.]* Then the gap is almost certainly in **potato sourcing**. If competitors grow the variety in UK greenhouses, they avoid import duties and transport. **So our imported potatoes are the key cost disadvantage.**

6 UK potato investment

6 min

SAY

"Investing in UK potato farming costs $3M in R&D. Once Patati uses home-grown potatoes, price can fall $1 per portion each year down to a floor of $4. With every $1 drop, Patati expects to sell 500,000 more units a year. Margin stays at 20% as cost falls with price. Should Patati invest the $3M?"

HOW TO STEER

- Original case: if the candidate starts an NPV, tell them to ignore the time value of money and check whether the extra profit covers the investment.
- If they need help: current volume = $6M sales ÷ $6 price ≈ 1M units. Suggest sketching a table and rounding.

GIVE ONLY WHEN: IF ASKED.

- The client wants to evaluate the next 4 years
- If Patati keeps its current price, sales will decline about **15% a year**

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Compares invest vs. don't invest
- [ ] Current volume ≈ 1M units ($6M ÷ $6)
- [ ] Invest: prices 6, 5, 4, 4, 4; units 1, 1.5, 2, 2, 2 → $37.5M → ~$7.5M profit
- [ ] Don't invest: −15% a year → ~$22.3M → ~$4.5M profit
- [ ] $7.5M − $3M ≈ $4.5M: roughly breaks even in the period
- [ ] Longer term: not investing means continued decline, likely exit

IF THEY SAY... YOU SAY

Only computes the invest scenario	"Compared with what? What happens if Patati does nothing?"

ANSWER KEY, DON'T SHOW

```
Invest:     Y0 $6×1M · Y1 $5×1.5M · Y2–4 $4×2M → 6 + 7.5 + 8 + 8 + 8 = $37.5M → ×20% ≈ $7.5M
Don't invest: 1, 0.85, 0.72, 0.61, 0.52M units × $6 → 6 + 5.1 + 4.3 + 3.7 + 3.1 ≈ $22.3M → ≈ $4.5M
Invest net of $3M ≈ $4.5M ≈ no-invest profit
```

Roughly breaks even within the period; over a longer horizon it's clearly better, since the alternative is continued decline and probably exiting UK wedges.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many units does Patati sell today?"
2. "Sketch a table: year, price, units, revenue."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two scenarios
2. Table: price × units = revenue
3. Profit in each
4. Compare net of the investment
5. Long-term view

Phrases to listen for: "I'll compare investing with doing nothing."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll compare investing with doing nothing.** Today we sell about 1 million portions at $6. **If we invest**, price goes 6, 5, then 4, and units 1, 1.5, then 2 million: revenue of about **$37.5 million** over five years, so **$7.5 million profit**. **If we don't**, we lose 15% a year: about $22 million, so **$4.5 million profit**. Net of the $3 million investment, **it roughly breaks even in this window, and wins clearly after that**, because the alternative is to keep declining until we exit.

7 Recommendation

1–2 min

SAY

"What do you recommend to Patati?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: invest and grow potatoes in the UK
- [ ] Reasons: competitors do it successfully; import costs cause our price gap; investment beats decline
- [ ] Next: build the capabilities and expertise needed
- [ ] If more time: short-term demand boosters (e.g. advertising)

ANSWER KEY, DON'T SHOW

"Patati should invest to grow its own potatoes in the UK. All competitors do it successfully and have a cost advantage; our imported potatoes force a higher price that drives customers away; and the investment is clearly better than continued decline. Next, identify the capabilities and expertise needed and build a plan to source or develop them. With more time, I'd look at short-term ways to win back customers, like an innovative advertising campaign."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first
2. Three reasons
3. Next steps

Phrases to listen for: "Patati should invest in growing potatoes in the UK."

EXAMPLE ANSWER, SAID OUT LOUD

Patati should invest in growing potatoes in the UK. Three reasons: competitors already do it successfully and have a cost advantage; our imported potatoes force a higher price that drives customers away; and investing beats continued decline. **Next**, I'd identify the farming skills we'd need and plan how to get them, and look at short-term ways to win customers back.

▼ Show the full sample interview

INTERVIEWER

"Patati is a French company selling raw material for potato fries. It's global and known for many varieties of fries."

"Three years ago it launched a new potato wedges product in its top 3 markets: the UK, USA and Japan. It has done well in Japan and the USA, but profits have declined in the UK."

"The CEO is concerned about the UK wedges business and wants you to analyze the situation and advise how to turn it around."

"How should the client go about solving this problem?"

CANDIDATE

To recap: Patati launched potato wedges in the UK, US and Japan three years ago. The US and Japan are doing well, but UK profits are falling. **The CEO wants to turn the UK around.** Could I ask whether the decline is only in the UK, what success looks like, and how many wedge products we sell there?

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the question?"

CANDIDATE

Profit is falling, so I'd check revenue and costs. **Revenue**: are we selling fewer wedges, either because the UK market is shrinking or because we're losing customers to rivals, and has our price fallen? **Costs**: have they risen anywhere along the chain: raw materials, production, distribution, or sales and marketing? **Does that sound good?**

INTERVIEWER · REVENUE BY MARKET

"The client shares revenue data from the last 3 years. What insights can you draw from it?"

Exhibit 1. Patati's potato wedges revenue ($M)

	Year 1	Year 2	Year 3
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CANDIDATE

UK revenue fell 25%, from about 8 to 6 million. But **the launch was a success**: in Year 1 the UK sold almost as much as the US and Japan, probably much bigger markets. Since then the other two have grown fast while the UK has declined, **so something changed after launch**, maybe competitors discounting.

INTERVIEWER · WHY VOLUME FELL

"The client tells you our product's price hasn't changed. So what could explain the UK revenue decline after a strong launch year?"

CANDIDATE

If price didn't change, we're selling fewer units. I'd look at five causes. **Customers** moving away from wedges, or toward a type we don't sell, like low-fat. **Competitors** with better or cheaper products. **Distribution**: lost retailers or shelf space. **Our product**: quality issues or bad reviews. **Marketing**: too little spend after launch, or the wrong channels.

INTERVIEWER · HOW COMPETITORS CUT PRICE

"Research suggests competitors cut prices per portion from $6 in Year 1 to $4 in Year 3 without significantly losing profitability. Our price stayed at $6. How do you think competitors made this possible? Feel free to ask for more information."

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- There's no other significant difference in how Patati makes wedges vs. competitors.

CANDIDATE

Cutting a third of the price without losing profit means competitors cut costs, probably in the biggest cost. Could I ask what our cost breakdown looks like? *[75% is potatoes, transport and import duties.]* Then the gap is almost certainly in **potato sourcing**. If competitors grow the variety in UK greenhouses, they avoid import duties and transport. **So our imported potatoes are the key cost disadvantage.**

INTERVIEWER · UK POTATO INVESTMENT

"Investing in UK potato farming costs $3M in R&D. Once Patati uses home-grown potatoes, price can fall $1 per portion each year down to a floor of $4. With every $1 drop, Patati expects to sell 500,000 more units a year. Margin stays at 20% as cost falls with price. Should Patati invest the $3M?"

- The client wants to evaluate the next 4 years
- If Patati keeps its current price, sales will decline about **15% a year**

CANDIDATE

I'll compare investing with doing nothing. Today we sell about 1 million portions at $6. **If we invest**, price goes 6, 5, then 4, and units 1, 1.5, then 2 million: revenue of about **$37.5 million** over five years, so **$7.5 million profit**. **If we don't**, we lose 15% a year: about $22 million, so **$4.5 million profit**. Net of the $3 million investment, **it roughly breaks even in this window, and wins clearly after that**, because the alternative is to keep declining until we exit.

INTERVIEWER · RECOMMENDATION

"What do you recommend to Patati?"

CANDIDATE

Patati should invest in growing potatoes in the UK. Three reasons: competitors already do it successfully and have a cost advantage; our imported potatoes force a higher price that drives customers away; and investing beats continued decline. **Next**, I'd identify the farming skills we'd need and plan how to get them, and look at short-term ways to win customers back.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 11 OF 26

CBA Fashion

Operations | Medium | ~30 min | Core path

#11 · Tier 2 · Variations on the classics · Teaches: Operations: map a process step by step, plus a probability twist (orders wait for their slowest item)

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A small UK online menswear retailer wants to cut shipping time from 3.5 to 2 days. The candidate maps the order process (inbound, warehouse, outbound), finds the slow French supplier delays ~20% of orders, switches outbound shipping to a faster tracked carrier within budget, and manages the quality risk.

THE ANSWER IN ONE LINE, DON'T SHOW

Process: inbound 1 day + warehouse 0.5 + outbound 2 = 3.5 days. **Swap the French supplier**: it delays ~19–20% of orders (orders wait for their slowest item) and takes **3 days**; replacing it saves **0.5 day**. **Switch to Apollo's tracked 1-day delivery** (+£0.50, within the £0.80 budget): saves **1 day**. Total 1.5 days → 2 days, with a trial and parallel run to protect quality.

1 Read the prompt

2–3 min

SAY

"Our client is CBA Fashion, a small but growing fashion e-commerce company selling menswear in the UK. It uses bespoke algorithms to recommend clothing and outfits to men, and ships clothes across the country."

"The client doesn't hold its own stock: when a customer orders, it orders from its suppliers, consolidates the items in its own warehouse, then ships them to the customer."

"Partly because of this model, shipping is slow: on average 3.5 days from order to delivery. The client wants to cut 1.5 days, to an average of 2 days."

"How can CBA Fashion reduce shipping time to an average of 2 days?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What exactly is 'shipping time'?	"The time from when a customer places an order to when it arrives at their address."
What are the steps in the 3.5 days?	"Three main steps: inbound logistics (suppliers to our warehouse) 1 day; warehouse processing 0.5 days; outbound logistics (warehouse to customers) 2 days."
Any cost constraints?	"The client wants to avoid big investments now, and can only increase overall processing cost by up to £0.80 per order."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Confirms the definition of shipping time
- [ ] Asks for the process breakdown (1 + 0.5 + 2 days)
- [ ] Asks about cost constraints (£0.80)

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** CBA Fashion sells menswear online in the UK without holding stock: it orders from suppliers, consolidates in its warehouse, then ships. That takes 3.5 days and **it wants 2**. Could I ask how 'shipping time' is measured, how the 3.5 days break down by step, and whether there's a cost limit?

2 Framework

3 min

SAY

"How would you structure your approach to the problem?"

HOW TO STEER

- Original case: this case tests prioritization: the order of topics can follow the candidate's choices.
- Three topics yield no time savings. Discuss briefly, but hint strongly they're not areas of interest: warehouse processing (already optimized; carriers won't collect more often without 5× volume), drop-shipping (client avoids it: loses control of experience, multiple parcels), holding inventory (not practical at this scale; needs wide SKU variety for recommendations).

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Optimize the current process: inbound, warehouse, outbound
- [ ] Redesign the process: drop-ship, hold inventory
- [ ] Uses the step times to prioritize (outbound 2 days is biggest)

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Inbound: speed up supplier logistics
- [ ] Inbound: run our own logistics
- [ ] Warehouse: faster processing
- [ ] Outbound: faster with current carrier
- [ ] Outbound: faster with new carriers
- [ ] Redesign: drop-ship from suppliers to customers
- [ ] Redesign: hold inventory

ASK IF THEIR ANSWER IS THIN

- "Where does most of the 3.5 days go?"
- "Could the process itself look different?"

IF THEY SAY… YOU SAY

Wants to dig into warehouse processing	"It's already as optimized as possible at this scale. Where else could we look?"

ANSWER KEY, DON'T SHOW

1. Optimize the current process: inbound (speed up supplier logistics, run our own), warehouse speed, outbound (current or new carriers).
2. Redesign the process: drop-ship from suppliers, hold inventory.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Optimize each step vs. redesign
2. Use the step times to prioritize
3. Check in

Phrases to listen for: "I'd look at two ways to save time." · "I'd start with the biggest steps."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd look at two ways to save time. Optimize today's process, step by step: inbound from suppliers, warehouse processing, and outbound to customers, where outbound at 2 days is the biggest. Or redesign the process: drop-ship directly from suppliers, or hold our own inventory. I'd start with the biggest steps. Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Process steps (create your own)	Process redesign (create your own)	Financial considerations	Risks & mitigations
• Inbound • Warehouse • Outbound	• Drop-ship • Hold inventory	• £0.80 cost limit	• Quality of new suppliers

Operations cases need a process map, not the classic buckets: 'create your own bucket' for each step.

3 Inbound options

3 min

SAY

"One option is to shorten inbound logistics: the time for items to reach us from suppliers. This step takes 1 day on average. What opportunities exist to reduce it?"

HOW TO STEER

- Confirm inbound takes 1 day on average. Share the facts below only if asked. Before saying how much slower the French supplier is, move on to the next question.

GIVE ONLY WHEN: IF ASKED.

- 10 suppliers, with roughly equal volume
- If we drop a supplier, we can find similar brands to replace it
- One supplier is in France; the rest are in the UK
- The French supplier is notably slower to ship
- Suppliers can't be sped up; we've already pressured them
- We lack the scale to run our own inbound logistics, and it wouldn't help much: most of the time is suppliers' internal processing

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks about the supplier mix
- [ ] Spots variance between suppliers
- [ ] Can't speed suppliers or run own logistics → rationalize the supplier mix
- [ ] Swap the French supplier for a local one, matching style and price

ANSWER KEY, DON'T SHOW

Inbound time varies by supplier. Since we can't run our own inbound logistics or speed suppliers up, **rationalize the supplier mix**: swap the French supplier for a local alternative, matching style and pricing to avoid a gap in the range.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Are all suppliers equally fast?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Ask about supplier variance
2. Rule out what can't change
3. The lever: supplier mix
4. How to swap without a gap

Phrases to listen for: "The lever is our supplier mix."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd first ask whether all suppliers are equally fast.** Since we can't speed suppliers up and can't run our own inbound logistics, **the lever is our supplier mix**. The French supplier is notably slower, so **I'd replace it with a UK supplier with similar styles and prices**, so customers don't notice a gap.

4 French supplier math

5 min

SAY

"Switching out the supplier looks promising, but let's confirm the time saved. The French supplier is 10% of items shipped; orders contain 2 items on average; all UK suppliers ship to us in 0.5 days. How long does the French supplier take? And what's the overall impact of swapping it out?"

HOW TO STEER

- Original case: the key insight is that orders move at the speed of their slowest item.
- If they ask or get stuck, say explicitly: orders wait in our warehouse until complete, so the 10% of items from France slow down more than 10% of orders.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Orders wait for their slowest item
- [ ] P(at least one French item) = 10% + 10% − 1% = 19% ≈ 20%
- [ ] 1 = 0.8 × 0.5 + 0.2 × X → X = 3 days
- [ ] Swapping it brings inbound to 0.5 days: saves half a day overall

IF THEY SAY... YOU SAY

Uses 10% of orders	"An order has two items. If either is French, what happens to the order?"

ANSWER KEY, DON'T SHOW

```
P(order has a French item) = 10% + 10% − 10%×10% = 19% ≈ 20%
1 day = 0.8 × 0.5 + 0.2 × X → 0.6 = 0.2X → X = 3 days
Swap → inbound 0.5 days → saves 0.5 day overall
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "When can an order leave the warehouse?"
2. "What share of orders contain at least one French item?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Key insight: orders wait for the slowest item
2. Share of orders affected
3. Solve for the French time
4. Saving from the swap

Phrases to listen for: "The key is that an order waits for its slowest item."

EXAMPLE ANSWER, SAID OUT LOUD

> **The key is that an order waits for its slowest item.** With 2 items each, the chance that an order includes a French item is 10% plus 10% minus 1%, **about 20%**. The step averages 1 day: 80% of orders at 0.5 days and 20% at X, so 1 equals 0.4 plus 0.2X, and **X is 3 days**. Replacing the supplier brings everything to 0.5 days: **a saving of half a day**.

5 Outbound options

3 min

SAY

"Another option is to shorten outbound logistics: from our warehouse to the customer. This takes 2 days on average. What opportunities exist to reduce it?"

HOW TO STEER

- Confirm outbound takes 2 days. Share the facts below only if asked.

GIVE ONLY WHEN: IF ASKED.

- We use the national mail service's Tracked 48 (a 2-day service)
- Their 1-day option would either cost **£1.20 more per order** (too high) or be **untracked** (not acceptable for quality)
- We lack the scale to run our own outbound logistics
- A new carrier, **Apollo Deliveries**, offers tracked 1-day delivery for **£0.50** more than today
- We can onboard them, but must watch quality

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks about current carrier and options
- [ ] Rules out £1.20 (over the £0.80 budget) and untracked service
- [ ] Switch to Apollo: tracked, 1-day, +£0.50 within budget → saves 1 day
- [ ] Flags quality risk

ANSWER KEY, DON'T SHOW

With tracking required and a £0.80 budget, the best option is to **switch to Apollo Deliveries**: tracked 1-day delivery for +£0.50, saving **1 day** on every order. Watch for quality issues.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What are the options for faster delivery, and what do they cost?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Current service
2. Options vs. constraints (cost, tracking)
3. Pick the option that fits
4. Flag the risk

Phrases to listen for: "Apollo's tracked next-day service fits both constraints."

EXAMPLE ANSWER, SAID OUT LOUD

> **Outbound is 2 days on a tracked 48-hour service.** The current carrier's next-day option costs £1.20 more, over our 80p budget, or is untracked, which we don't want. **Apollo's tracked next-day service at 50p more fits both constraints, saving a full day.** The risk is quality, so we'd need to manage that.

6 Managing quality risk

3 min

SAY

"We want to be sure changing carrier won't cause quality issues such as late deliveries or lost parcels. How would you mitigate that risk?"

HOW TO STEER

- After they answer, share that following these checks, the client is comfortable enough to switch.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Two angles: lower the likelihood, and reduce the impact
- [ ] Likelihood: research, references, trial run
- [ ] Impact: run both carriers in parallel, compensation clauses

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Desktop research on the supplier (reviews)
- [ ] Ask others in the industry
- [ ] Trial run to test real performance
- [ ] Run both carriers in parallel for a while
- [ ] Compensation clause for quality issues

ANSWER KEY, DON'T SHOW

Lower the likelihood: desktop research and reviews, industry references, a trial run. **Reduce the impact**: run both carriers in parallel so we can switch back, and a compensation clause to incentivize performance.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two angles: likelihood and impact
2. 2–3 actions each

Phrases to listen for: "I'd reduce both the chance and the impact of problems."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd reduce both the chance and the impact of problems. Chance: check reviews, ask other retailers, and run a trial. Impact: run both carriers in parallel for a while so we can switch back, and add a compensation clause so Apollo is motivated to perform.

7 Recommendation

1–2 min

SAY

"Overall, what would you recommend to the client?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: two changes deliver the 1.5 days
- [ ] Swap the French supplier: −0.5 day
- [ ] Switch to Apollo's tracked next-day delivery: −1 day, within budget
- [ ] Next: implement while protecting quality (trial, parallel run)

ANSWER KEY, DON'T SHOW

"We were asked how to cut shipping time by 1.5 days. Two steps get there. First, replace the slow French supplier with a local one, saving half a day, because orders wait for their slowest item. Second, switch outbound to Apollo's tracked next-day service, saving a full day for £0.50 more per order, within budget. Over the coming weeks, implement both while protecting quality with a trial and a parallel run."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: two changes = 1.5 days
2. Each change with its saving
3. Next steps

Phrases to listen for: "Two changes cut shipping from 3.5 to 2 days."

EXAMPLE ANSWER, SAID OUT LOUD

> Two changes cut shipping from 3.5 to 2 days. First, replace the slow French supplier with a UK one: since orders wait for their slowest item, that saves half a day. Second, switch to Apollo's tracked next-day delivery: a full day saved for 50p more, within budget. Next, implement both, protecting quality with a trial and a parallel run.

▼ Show the full sample interview

INTERVIEWER

"Our client is CBA Fashion, a small but growing fashion e-commerce company selling menswear in the UK. It uses bespoke algorithms to recommend clothing and outfits to men, and ships clothes across the country."

"The client doesn't hold its own stock: when a customer orders, it orders from its suppliers, consolidates the items in its own warehouse, then ships them to the customer."

"Partly because of this model, shipping is slow: on average 3.5 days from order to delivery. The client wants to cut 1.5 days, to an average of 2 days."

"How can CBA Fashion reduce shipping time to an average of 2 days?"

CANDIDATE

Let me make sure I understand. CBA Fashion sells menswear online in the UK without holding stock: it orders from suppliers, consolidates in its warehouse, then ships. That takes 3.5 days and **it wants 2**. Could I ask how 'shipping time' is measured, how the 3.5 days break down by step, and whether there's a cost limit?

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the problem?"

CANDIDATE

I'd look at two ways to save time. **Optimize today's process**, step by step: inbound from suppliers, warehouse processing, and outbound to customers, where outbound at 2 days is the biggest. **Or redesign the process**: drop-ship directly from suppliers, or hold our own inventory. **I'd start with the biggest steps.** **Does that sound good?**

INTERVIEWER · INBOUND OPTIONS

"One option is to shorten inbound logistics: the time for items to reach us from suppliers. This step takes 1 day on average. What opportunities exist to reduce it?"

- 10 suppliers, with roughly equal volume
- If we drop a supplier, we can find similar brands to replace it
- One supplier is in France; the rest are in the UK
- The French supplier is notably slower to ship
- Suppliers can't be sped up; we've already pressured them
- We lack the scale to run our own inbound logistics, and it wouldn't help much: most of the time is suppliers' internal processing

---

CANDIDATE

I'd first ask whether all suppliers are equally fast. Since we can't speed suppliers up and can't run our own inbound logistics, **the lever is our supplier mix**. The French supplier is notably slower, so **I'd replace it with a UK supplier with similar styles and prices**, so customers don't notice a gap.

INTERVIEWER · FRENCH SUPPLIER MATH

"Switching out the supplier looks promising, but let's confirm the time saved. The French supplier is 10% of items shipped; orders contain 2 items on average; all UK suppliers ship to us in 0.5 days. How long does the French supplier take? And what's the overall impact of swapping it out?"

CANDIDATE

The key is that an order waits for its slowest item. With 2 items each, the chance that an order includes a French item is 10% plus 10% minus 1%, **about 20%**. The step averages 1 day: 80% of orders at 0.5 days and 20% at X, so 1 equals 0.4 plus 0.2X, and **X is 3 days**. Replacing the supplier brings everything to 0.5 days: **a saving of half a day**.

INTERVIEWER · OUTBOUND OPTIONS

"Another option is to shorten outbound logistics: from our warehouse to the customer. This takes 2 days on average. What opportunities exist to reduce it?"

- We use the national mail service's Tracked 48 (a 2-day service)
- Their 1-day option would either cost **£1.20 more per order** (too high) or be **untracked** (not acceptable for quality)
- We lack the scale to run our own outbound logistics
- A new carrier, **Apollo Deliveries**, offers tracked 1-day delivery for **£0.50** more than today

- We can onboard them, but must watch quality

> CANDIDATE
>
> **Outbound is 2 days on a tracked 48-hour service.** The current carrier's next-day option costs £1.20 more, over our 80p budget, or is untracked, which we don't want. **Apollo's tracked next-day service at 50p more fits both constraints, saving a full day.** The risk is quality, so we'd need to manage that.

INTERVIEWER · MANAGING QUALITY RISK

"We want to be sure changing carrier won't cause quality issues such as late deliveries or lost parcels. How would you mitigate that risk?"

> CANDIDATE
>
> **I'd reduce both the chance and the impact of problems.** **Chance**: check reviews, ask other retailers, and run a trial. **Impact**: run both carriers in parallel for a while so we can switch back, and add a compensation clause so Apollo is motivated to perform.

INTERVIEWER · RECOMMENDATION

"Overall, what would you recommend to the client?"

> CANDIDATE
>
> **Two changes cut shipping from 3.5 to 2 days.** First, **replace the slow French supplier** with a UK one: since orders wait for their slowest item, that saves half a day. Second, **switch to Apollo's tracked next-day delivery**: a full day saved for 50p more, within budget. **Next**, implement both, protecting quality with a trial and a parallel run.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 12 OF 26

Newlight Solar Cells

Product launch | Medium | ~30 min | Core path

#12 · Tier 2 · Variations on the classics · Teaches: Product launch: bottom-up sizing with adjustments, then picking a go-to-market channel

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A European solar company wants to launch thin-film solar cells (built into windows) in Germany. The candidate sizes the household market, adjusts it for sunlight and shading, chooses a go-to-market route (B2B vs. B2C, which segment), and sizes the renovation market as a first beachhead.

THE ANSWER IN ONE LINE, DON'T SHOW

Households: ~40M × ~7.6 windows ≈ 304M m² × €200 ≈ **€61B** theoretical. Adjust: −50% for north/east/west windows, −20% for shading → **~€24B**. Go **B2B through renovation companies** (fast, cheaper, open to innovation). Windows last ~20 years, so renovation market ≈ **€1.2B a year**.

1 Read the prompt

2–3 min

SAY

"Our client is Newlight, a European high-tech solar power equipment producer that wants to enter the German market with its latest innovation: 'thin-film' solar cells."

"Thin-film cells are placed within glass windows, unlike conventional standalone solar cells. They're generally cheaper, but less efficient at converting energy."

"The relevant market is in principle every property with windows in Germany. However, the film only works with smooth window surfaces, and windows must be fully replaced rather than retrofitted."

"Newlight has no sales structure or business in Germany yet, but it's the first mover, with no competition expected soon. The CEO wants to know: what's the overall market potential in Germany, and what market entry strategy should Newlight use?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Is there any competition?	"None expected in the near future: Newlight is the first mover."
Does Newlight have a presence in Germany?	"No sales structure or business set up there yet."
Can existing windows be retrofitted?	"No, windows must be completely replaced."
What's the price? ADDED	"We'll come to pricing shortly."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back both questions: market potential AND entry strategy
- [ ] Notes the constraints: full window replacement, no German presence
- [ ] Notes first-mover advantage

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **To recap**: Newlight wants to launch thin-film solar cells, built into windows, in Germany. They're cheaper but less efficient than standard panels, only work when windows are fully replaced, and Newlight has no presence there but no competition either. **Two questions: how big is the market, and how should Newlight enter?** Could I ask how the product is priced?

2 Framework

3 min

SAY

"How would you structure your approach to the question?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Market size: quantity (buildings by type × windows × penetration) and price (payoff, production cost, margin)
- [ ] Entry options: B2C vs. B2B (construction, renovation, window makers)
- [ ] Capabilities: local relationships, sales capabilities, regulation

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Size: number of houses, public and commercial buildings
- [ ] Size: windows per building type
- [ ] Size: penetration rate by building type
- [ ] Price: electricity generated per window (payoff)
- [ ] Price: production cost and margin
- [ ] Entry: B2C (website, TV ads, door-to-door)
- [ ] Entry: B2B: construction industry
- [ ] Entry: B2B: renovation companies
- [ ] Entry: B2B: window manufacturers
- [ ] Capability: local relationships in property/construction
- [ ] Capability: local sales skills (language)
- [ ] Capability: German regulations

ASK IF THEIR ANSWER IS THIN

- "How would you actually count the windows in Germany?"
- "Who could sell this product for Newlight?"

ANSWER KEY, DON'T SHOW

1. Market size: quantity (buildings by type, windows per building, penetration) and price (payoff per window, production cost and margin). **2. Entry options**: B2C (website, TV, door-to-door) vs. B2B (construction, renovation, window manufacturers). **3. Capabilities**: local relationships, sales skills, regulation.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Tie to both questions: size + entry
2. Market size: quantity and price
3. Entry options: B2C vs. B2B
4. Capabilities

Phrases to listen for: "I'd answer the two questions with three areas."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd answer the two questions with three areas.** **Market size**: how many buildings of each type, windows per building and likely penetration, times the price, checking the payoff and margin. **Entry options**: selling directly to consumers versus through B2B partners like builders, renovators or window makers. **Capabilities**: local relationships, sales skills, and German regulations. **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness	Customer segmentation & needs	Company capabilities	Financial considerations
		• No German presence	• Price vs. value of electricity

• Buildings × windows × penetration • Payoff per window	• Households vs. commercial vs. public • Renovation timing	• Sales skills, relationships	• Production cost, margin

The case's 3 buckets (size, entry options, capabilities) map well; the book's Customer bucket helps pick the renovation segment.

3 Household market

5–6 min

SAY

"The client aims to price a 1m² thin-film panel at €200, which also reflects the value of the electricity it could generate in a year. Focusing only on private households in Germany, what's the theoretical market size?"

HOW TO STEER

- 'Theoretical' means if every available window were fitted. Let the candidate estimate; offer the hints below if needed.

GIVE ONLY WHEN: IF REQUIRED OR HELPFUL.

- Assume every window is the same size: **1m²**
- Average household: **2 people**
- Split homes into 3 sizes; one window per room, plus **4 extra windows** for kitchen and bathroom
- We want the theoretical maximum: all available windows fitted

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] ~80M people ÷ 2 = ~40M households
- [ ] Segments homes: small (6 windows), medium (8), large (12)
- [ ] 96M + 160M + 48M = 304M m²
- [ ] × €200 = ~€61B
- [ ] Notes it assumes 100% adoption, but excludes commercial and public buildings

ANSWER KEY, DON'T SHOW

```
80M people ÷ 2 = 40M households
Small 40%: 16M × 6 = 96M m²
Medium 50%: 20M × 8 = 160M m²
Large 10%: 4M × 12 = 48M m²
Total 304M m² × €200 ≈ €60.8B
```

Very large, but assumes every household adopts; it also excludes commercial and public buildings.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many households are there in Germany?"
2. "How many windows does a typical home have?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. People → households
2. Segment homes by size and windows
3. Total m² × price
4. Caveats

Phrases to listen for: "I'll go from people to windows."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll go from people to windows.** About 80 million Germans at 2 per household is **40 million households**. Say 40% are small with 6 windows, 50% medium with 8, and 10% large with 12: that's 96, 160 and 48 million square meters, **about 304 million in total**. At €200 each, **roughly €61 billion**. That's a theoretical ceiling: it assumes every home adopts, but it also leaves out commercial and public buildings.

4 Sun and shading

3–4 min

SAY

"Because of the sun's path during the day and dense housing in cities, some adjustments are needed. What's a reasonable reduction in the market size, given natural physical limits on the relevant windows?"

GIVE ONLY WHEN: IF REQUIRED.

The sun's radiation is strongest on **south-facing** windows, and there's none on **north-facing** windows.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] North 0%, East/West 50%, South 100% → average 50%
- [ ] Shading in dense cities: a further reduction, e.g. 20%
- [ ] €60.8B × 0.5 × 0.8 ≈ €24.3B
- [ ] Still very large, before commercial and public buildings

ANSWER KEY, DON'T SHOW

```
Orientation: (0% + 50% + 50% + 100%) ÷ 4 = 50% → €30.4B
Shading (urban Germany): −20% → €24.3B
```

Less than half the original, but still very large.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which way do windows face, and how much sun does each get?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Orientation adjustment
2. Shading adjustment
3. New size, still large?

Phrases to listen for: "Two adjustments."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two adjustments.** **Orientation**: north-facing windows get no sun, east and west about half, south all of it, so on average we keep about half: €30 billion. **Shading** in dense German cities removes another 20% or so: **about €24 billion**. Still very large.

5 Entry strategy

4 min

SAY

"Newlight has no sales structure in Germany yet, so it's considering all options. Which sales strategies suit an efficient, rapid development of the German market? And which segments of the real estate market look most promising?"

HOW TO STEER

- Original case: if the candidate is unsure, ask them to think creatively about segments and strategies first, then judge which suits this client and product.
- Many B2B answers are acceptable. If they don't land on renovation companies, say afterwards that those are likely the most attractive: they have incentives to innovate and add value for clients.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Compares direct B2C vs. indirect B2B
- [ ] B2C: time- and cost-intensive, needs mass education
- [ ] B2B: one partner gives access to many windows; fast growth, economies of scale
- [ ] Lists B2B segments: construction, window and glass makers, architects, developers, renovation
- [ ] Picks renovation firms: no opportunity cost, open to innovation

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] B2C via website, TV ads, door-to-door: slow and costly
- [ ] B2B partnerships: fast access to many properties, scale
- [ ] Segments: construction companies
- [ ] Segments: window / glass manufacturers
- [ ] Segments: architects, property developers
- [ ] Segments: renovation and maintenance firms (most promising)

ASK IF THEIR ANSWER IS THIN

- "Why would one partnership be worth more than many direct sales?"
- "Which type of company is already replacing windows?"

ANSWER KEY, DON'T SHOW

B2C (web, TV, door-to-door) is the most time- and cost-intensive and needs mass education. **B2B** partnerships give access to many properties per deal, so faster growth and scale. The best segment is likely **renovation companies**: no opportunity cost, since windows are being replaced anyway, and an incentive to offer innovative value to their clients.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Direct vs. indirect
2. Pros and cons
3. Pick a segment and say why

Phrases to listen for: "Of the B2B options, renovation companies look best."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd compare direct and indirect sales. Direct to consumers is slow and expensive: we'd have to educate the mass market. B2B partnerships give access to many windows per deal, so faster growth and scale. Of the B2B options, renovation companies look best: they're replacing windows anyway, so there's no opportunity cost, and they want innovations to offer clients.

6 Renovation market

3 min

SAY

"As a first step, the client will sell only to firms renovating private houses. What's the annual size of this market?"

GIVE ONLY WHEN: IF REQUIRED.

The average lifetime of a window is **20 years**. We still want the theoretical market size.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Windows replaced every ~20 years, evenly spread → 1/20 of homes a year
- [ ] €24.3B ÷ 20 ≈ €1.2B a year
- [ ] Calls it a large, attractive beachhead

ANSWER KEY, DON'T SHOW

€24.32B × 1/20 ≈ €1.2B a year

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How often does a home replace its windows?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Replacement cycle
2. Share per year
3. Annual market

Phrases to listen for: "About 1/20 of homes replace windows each year."

EXAMPLE ANSWER, SAID OUT LOUD

> If windows last about 20 years and renovations are evenly spread, **about 1/20 of homes replace windows each year**. €24 billion divided by 20 is **about €1.2 billion a year**, an attractive first segment.

7 Recommendation

1–2 min

SAY

"Based on what we've covered, what's your overall recommendation to the client?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: enter Germany via partnerships with renovation companies
- [ ] Reasons: B2B is faster and cheaper than B2C; renovation firms most open to innovation; ~€1.2B a year in renovations alone
- [ ] Next steps: target major renovation players; later assess commercial and public buildings

ANSWER KEY, DON'T SHOW

"We were asked how big the opportunity is and how to enter. It looks very attractive, and Newlight should enter by partnering with renovation companies: B2B is faster and cheaper than B2C; renovation firms are the most open to innovative products; and the renovation market alone is about €1.2B a year. Next, identify the major renovation players and build a business-development plan; then assess commercial and public buildings."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first
2. Three reasons
3. Next steps

Phrases to listen for: "Newlight should enter Germany, starting with..."

EXAMPLE ANSWER, SAID OUT LOUD

> **Newlight should enter Germany, starting with partnerships with renovation companies.** B2B is faster and cheaper than selling direct; renovation firms are the most open to new products; and renovations alone are worth about €1.2 billion a year. **Next steps**: identify the major renovation players and build a partnership plan, then assess commercial and public buildings.

▼ Show the full sample interview

INTERVIEWER

"Our client is Newlight, a European high-tech solar power equipment producer that wants to enter the German market with its latest innovation: 'thin-film' solar cells."

"Thin-film cells are placed within glass windows, unlike conventional standalone solar cells. They're generally cheaper, but less efficient at converting energy."

"The relevant market is in principle every property with windows in Germany. However, the film only works with smooth window surfaces, and windows must be fully replaced rather than retrofitted."

"Newlight has no sales structure or business in Germany yet, but it's the first mover, with no competition expected soon. The CEO wants to know: what's the overall market potential in Germany, and what market entry strategy should Newlight use?"

CANDIDATE

To recap: Newlight wants to launch thin-film solar cells, built into windows, in Germany. They're cheaper but less efficient than standard panels, only work when windows are fully replaced, and Newlight has no presence there but no competition either. **Two questions: how big is the market, and how should Newlight enter?** Could I ask how the product is priced?

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the question?"

CANDIDATE

I'd answer the two questions with three areas. **Market size**: how many buildings of each type, windows per building and likely penetration, times the price, checking the payoff and margin. **Entry options**: selling directly to consumers versus through B2B partners like builders, renovators or window makers. **Capabilities**: local relationships, sales skills, and German regulations. **Does that sound good?**

INTERVIEWER · HOUSEHOLD MARKET

"The client aims to price a 1m² thin-film panel at €200, which also reflects the value of the electricity it could generate in a year. Focusing only on private households in Germany, what's the theoretical market size?"

- Assume every window is the same size: **1m²**
- Average household: **2 people**
- Split homes into 3 sizes; one window per room, plus **4 extra windows** for kitchen and bathroom
- We want the theoretical maximum: all available windows fitted

CANDIDATE

I'll go from people to windows. About 80 million Germans at 2 per household is **40 million households**. Say 40% are small with 6 windows, 50% medium with 8, and 10% large with 12: that's 96, 160 and 48 million square meters, **about 304 million in total**. At €200 each, **roughly €61 billion**. That's a theoretical ceiling: it assumes every home adopts, but it also leaves out commercial and public buildings.

INTERVIEWER · SUN AND SHADING

"Because of the sun's path during the day and dense housing in cities, some adjustments are needed. What's a reasonable reduction in the market size, given natural physical limits on the relevant windows?"

The sun's radiation is strongest on **south-facing** windows, and there's none on **north-facing** windows.

CANDIDATE

Two adjustments. **Orientation**: north-facing windows get no sun, east and west about half, south all of it, so on average we keep about half: €30 billion. **Shading** in dense German cities removes another 20% or so: **about €24 billion**. Still very large.

INTERVIEWER · ENTRY STRATEGY

"Newlight has no sales structure in Germany yet, so it's considering all options. Which sales strategies suit an efficient, rapid development of the German market? And which segments of the real estate market look most promising?"

CANDIDATE

I'd compare direct and indirect sales. **Direct to consumers** is slow and expensive: we'd have to educate the mass market. **B2B partnerships** give access to many windows per deal, so faster growth and scale. **Of the B2B options, renovation companies look best**: they're replacing windows anyway, so there's no opportunity cost, and they want innovations to offer clients.

INTERVIEWER · RENOVATION MARKET

"As a first step, the client will sell only to firms renovating private houses. What's the annual size of this market?"

The average lifetime of a window is **20 years**. We still want the theoretical market size.

CANDIDATE

If windows last about 20 years and renovations are evenly spread, **about 1/20 of homes replace windows each year**. €24 billion divided by 20 is **about €1.2 billion a year**, an attractive first segment.

INTERVIEWER · RECOMMENDATION

"Based on what we've covered, what's your overall recommendation to the client?"

CANDIDATE

Newlight should enter Germany, starting with partnerships with renovation companies. B2B is faster and cheaper than selling direct; renovation firms are the most open to new products; and renovations alone are worth about €1.2 billion a year. **Next steps**: identify the major renovation players and build a partnership plan, then assess commercial and public buildings.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 13 OF 26

Red Whisk

Investment (candidate-led) | Medium | ~35 min | Core path

#13 · Tier 2 · Variations on the classics · Teaches: Candidate-led format: you drive the case. Investment logic, P&L trends, CAC vs. lifetime value

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A US supermarket chain's new venture fund is asked to invest in Red Whisk, a meal-kit subscription company. The candidate leads the case: they test the market, Red Whisk's path to profit (reading a P&L and a churn table to compare customer acquisition cost with lifetime value), and synergies, then recommend.

THE ANSWER IN ONE LINE, DON'T SHOW

Market grew ~4.5× but is crowded and Red Whisk is losing share (50% → 30%). Losses are widening: marketing rose to **35% of sales**. CAC = $735M ÷ 1.43M ≈ **$515** vs. LTV ≈ 7.5 months × 3.5 boxes × $5 ≈ **$131**: growth is bought. Synergies (−5% COGS, −20% marketing ≈ $225M) still leave **~−$280M**. **Don't invest now**; revisit in 1–2 years.

1 Read the prompt

2–3 min

SAY

"Our client is BigCart, a national US grocery retailer with about 5,000 stores and an online business delivering groceries to customers' homes."

"BigCart recently unveiled a five-year strategic plan promising 'a great food option for every meal occasion'. The rationale: fewer Americans cook from scratch; they buy pre-made meals or meal kits, or get hot meals delivered via UberEATS or Postmates."

"BigCart has launched a venture fund to invest in businesses that (a) are profitable investments and (b) advance its core strategy."

"Red Whisk, a subscription meal-kit company that sends customers a weekly box with recipes and ingredients for meals cooked in under 30 minutes, has approached BigCart for investment. BigCart has hired you to recommend whether or not to invest."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Has the fund invested before?	"No, this is the first investment the venture fund is looking at."
How does Red Whisk compare with competitors?	"It has the largest share of the subscription meal-kit market, but there are many competitors."
Do we need to value it?	"No. The price is out of scope: we're only assessing whether the investment makes strategic sense."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back both criteria: profitable investment AND advances the core strategy
- [ ] Asks about Red Whisk's position and competition
- [ ] Confirms valuation is out of scope

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** BigCart's new venture fund is considering its first investment, in Red Whisk, a meal-kit subscription company. **It should invest only if Red Whisk is a profitable investment AND advances BigCart's 'every meal occasion' strategy.** Could I ask how Red Whisk compares with competitors, and whether we need to value the deal?

2 Framework

3 min

SAY

"This case is candidate-led: you drive it. How would you structure your recommendation?"

HOW TO STEER

- Original case: the candidate leads. After the framework, let them choose where to go, and hand over each exhibit when they reach that driver.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Hypothesis-driven: invest if (1) the market is attractive, (2) Red Whisk has a path to profit, (3) there are synergies
- [ ] Market: size, growth, competition
- [ ] Profit path: revenue (volume, price), costs (COGS, last mile, marketing)
- [ ] Synergies both ways

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Market: size and growth
- [ ] Market: competitive landscape
- [ ] Red Whisk: sales volume
- [ ] Red Whisk: price
- [ ] Red Whisk: COGS
- [ ] Red Whisk: last mile
- [ ] Red Whisk: marketing
- [ ] Synergies for Red Whisk: joint sourcing
- [ ] Synergies for Red Whisk: joint last mile
- [ ] Synergies for Red Whisk: joint marketing
- [ ] Synergies for Red Whisk: new channel (BigCart stores, website)
- [ ] Synergies for BigCart: new offer for customers
- [ ] Synergies for BigCart: learn the subscription model

ASK IF THEIR ANSWER IS THIN

- "What would have to be true for BigCart to invest?"

ANSWER KEY, DON'T SHOW

BigCart should invest if: **1. The meal-kit market is attractive** (size, growth, competition). **2. Red Whisk has a sustainable business with a path to profit** (volume and price; COGS, last mile, marketing). **3. There are synergies**: for Red Whisk (joint sourcing, last mile, marketing, new sales channel) and for BigCart (new offer, learning the subscription model).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Invest if three things are true
2. Market
3. Path to profit
4. Synergies
5. Where to start

Phrases to listen for: "BigCart should invest if three things are true."

EXAMPLE ANSWER, SAID OUT LOUD

> **BigCart should invest if three things are true.** **One, the meal-kit market is attractive**: big, growing, and not too competitive. **Two, Red Whisk has a path to profit**: healthy volume and price, and costs (ingredients, delivery, marketing) that fall as it grows. **Three, there are real synergies**: cheaper sourcing, delivery and marketing for Red Whisk, and a new offer for BigCart's customers. **I'd start with the market.**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness	Competitive landscape	Financial considerations	Synergies (create your own)
• Size, growth • Is it taking grocery share?	• New entrants, share shifts • VC-funded losses	• P&L trend • CAC vs. LTV	• Cost: sourcing, last mile, marketing

- Revenue: BigCart channels

Investment cases use the book's buckets as hypotheses (invest if...); 'Synergies' is a bucket you create for this case.

3 Market and competition

4 min

SAY

"BigCart's strategy team researched the meal-kit market. What do you see?"

HOW TO STEER

- Original case: good = spots the growth trend; strong = estimates growth (~4.5× in 4 years) and explains why it's slowing; excellent = asks whether meal kits take share from BigCart's core business.
- Competition: good = 1–2 observations; strong = all 3 (new entrants, Red Whisk losing share, positions switching); excellent = why competition grows and what it implies.

GIVE ONLY WHEN: WHEN THEY EXPLORE THE MARKET (EXHIBIT 1).

Exhibit 1. US subscription meal-kit market ($M) and market shares

	Year -4	Year -3	Year -2	Year -1	Year 0
Market size	1,500	2,100	3,500	5,500	7,000
Red Whisk	50%	40%	40%	30%	30%
Competitor 1	20%	15%	10%	15%	15%
Competitor 2	20%	15%	15%	20%	15%
Competitor 3	10%	15%	10%	15%	20%
Competitor 4	–	15%	15%	10%	10%
Competitor 5	–	–	10%	10%	10%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Market grew ~4.5× (1.5 → 7.0B)
- [ ] Growth rate slowing: normal as it matures
- [ ] Is growth coming from grocery (BigCart's core)?
- [ ] New entrants: 4 players → 6
- [ ] Red Whisk losing share: 50% → 30%
- [ ] Shares switch each year: low loyalty
- [ ] Implications: low barriers, VC-funded rivals, price war, margin pressure

ANSWER KEY, DON'T SHOW

The market grew **~4.5×** in four years (1.5 → 7.0B), though growth is slowing, as expected for a maturing market. If it's taking share from grocers, that's a reason for BigCart to be present. But competition is intense: **new entrants** (4 → 6 players), **Red Whisk losing share** (50% → 30%), and **positions switching** every year. Implications: low barriers, VC-backed rivals willing to lose money, likely price wars and margin pressure, disloyal customers.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's happening to Red Whisk's share?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Growth with a number
2. Is slowing a problem?
3. Competition: three observations
4. Implications

Phrases to listen for: "The market is attractive but crowded."

EXAMPLE ANSWER, SAID OUT LOUD

> **The market is attractive but crowded.** It grew about four and a half times in four years, to $7 billion; growth is slowing, which is normal as it matures. And if meal kits take share from grocers, BigCart should be there. **But** competitors went from four to six, **Red Whisk's share fell from 50% to 30%**, and rankings change every year. So barriers are low, rivals may be VC-funded, and customers aren't loyal: expect price wars.

4 Path to profitability

7 min

SAY

"Let's look at whether Red Whisk is a sustainable business. Here's its P&L. What do you see, and where would you dig deeper?"

HOW TO STEER

- Original case: share Exhibit 2 when they explore this driver. Share Exhibit 3 only once they identify marketing as the main risk. If they struggle with Exhibit 3, explain it shows the % of each cohort who stopped using Red Whisk by each month of their first year.
- Share the CAC and LTV definitions if asked. Good = flags marketing; strong = shows via CAC vs. LTV that growth was bought; excellent = explains why churn is worsening and whether it's structural.

GIVE ONLY WHEN: EXHIBIT 2 FIRST; FACTS AND EXHIBIT 3 WHEN THEY FOCUS ON MARKETING.

Exhibit 2. Red Whisk P&L ($M)

	Year -2	Year -1	Year 0
Revenue	1,400	1,650	2,100
COGS	1,120	1,237.5	1,470
Marketing	280	495	735
Product, tech, G&A	420	400	400
Net income	**-420**	**-482.5**	**-505**

- This year Red Whisk gained **1,428,571** new customers
- Customers order **3.5 boxes a month** on average; gross margin per box is **$5**
- COGS = raw materials (largest), packaging, last-mile delivery
- Largest marketing cost: big first-time discounts ('first three boxes free')
- All competitors have negative net income
- **CAC** = marketing expense ÷ new customers. **LTV** = lifespan (months) × orders a month × margin per order. A healthy subscription business has CAC:LTV ≈ **1:2**.

Exhibit 3. % of each cohort who had churned by the end of each month of their first year

Cohort	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11	M12
Year 0	11%	23%	32%	43%	50%	57%	64%	70%	73%	79%	82%	83%
Year -1	13%	25%	39%	44%	47%	59%	60%	62%	63%	65%	67%	70%
Year -2	11%	13%	15%	29%	35%	37%	38%	42%	47%	48%	51%	55%
Year -3	12%	22%	24%	26%	28%	30%	33%	35%	39%	43%	45%	48%
Year -4	9%	13%	17%	21%	25%	28%	29%	31%	32%	35%	38%	40%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Net income negative and worsening in $; slightly better as % of sales
- [ ] Revenue growing fast: deprioritize topline
- [ ] Gross margin improving: 20% → 25% → 30%
- [ ] Overheads flat or falling
- [ ] Marketing 20% → 30% → 35% of sales: the red flag
- [ ] Marketing +$240M vs. gross margin +$217.5M last year: growth is bought
- [ ] CAC = $735M ÷ 1.43M ≈ $515
- [ ] LTV ≈ 7.5 months × 3.5 × $5 ≈ $131 → CAC:LTV ≈ 4:1 vs. healthy 1:2
- [ ] Churn worsening by cohort: free-trial customers, more competition

IF THEY SAY... YOU SAY

Stops at 'gross margin is improving, so it's fine'	"What's happening to marketing as a share of sales?"

ANSWER KEY, DON'T SHOW

```
Gross margin: (1,400 − 1,120) ÷ 1,400 = 20% → 25% → (2,100 − 1,470) ÷ 2,100 = 30%
Marketing ÷ sales: 280 ÷ 1,400 = 20% → ~30% → 735 ÷ 2,100 = 35%
CAC = $735M ÷ 1,428,571 ≈ $515
Lifespan ≈ 83% × 5 + 12% × 16 + 5% × 30 ≈ 7.5 months
LTV ≈ 7.5 × 3.5 × $5 ≈ $131 → CAC:LTV ≈ 4:1 (healthy ≈ 1:2)
```

Gross margin improves with scale, but marketing (mostly free-box discounts) is growing faster than gross margin: Red Whisk is **buying growth**. Churn worsens with each cohort (40% → 83% in year one), probably because discount-driven customers don't stick and competition is rising: a structural risk.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which cost line is growing fastest as a share of sales?"
2. "How much does it cost to win a customer, and how much margin do they bring?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Headline: losses
2. Each P&L line
3. The red flag: marketing
4. CAC vs. LTV vs. benchmark
5. Why churn worsens

Phrases to listen for: "It pays four dollars to earn one."

EXAMPLE ANSWER, SAID OUT LOUD

> **Red Whisk loses more money each year**, so I'd check each line. Gross margin is improving, from 20% to 30%, and overheads are flat. **The problem is marketing**: from 20% to 35% of sales. Could I check acquisition cost against customer value? **CAC**: $735 million over 1.43 million new customers, about **$515**. **LTV**: from the churn table, customers stay about 7.5 months, ordering 3.5 boxes at $5 margin, about **$131**. **So it pays four dollars to earn one, when healthy is one to two.** Churn also worsens with each cohort, likely because free-box customers don't stick.

5 Synergies

4 min

SAY

"Are there any synergies or strategic upsides if BigCart and Red Whisk partnered?"

HOW TO STEER

- Original case: weak = a laundry list; good = grouped into revenue and cost synergies; great = also judges how easy each is to implement.
- After the discussion, share: synergies won't increase the top line, but would cut COGS by 5% and marketing by 20%. Good candidates see this isn't enough to break even.

GIVE ONLY WHEN: AS THEY ASK; THE SYNERGY SIZES AFTER THE BRAINSTORM.

- BigCart is North America's largest buyer of raw food, with better supplier terms than competitors
- BigCart runs online grocery delivery with its own trucks and drivers
- Red Whisk delivers all boxes once a week, on **Tuesdays**
- BigCart has a large loyalty program with a weekly newsletter
- BigCart once piloted in-store meal kits: it went badly and was dropped as unprofitable
- BigCart's own-brand pre-made meals are a strategic priority; inventing new recipes is a big challenge

After the brainstorm: synergies won't raise revenue, but cut **COGS by 5%** and **marketing by 20%**.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Cost: joint sourcing, joint last mile, joint marketing via loyalty program
- [ ] Revenue: new channel through BigCart stores and website
- [ ] Feasibility: Tuesday-only delivery may exceed BigCart's capacity; in-store kits failed before
- [ ] BigCart: strategy fit; recipes for pre-made meals; cannibalization happens anyway
- [ ] 5% × 1,470 ≈ $75M + 20% × 735 ≈ $150M = ~$225M → still ~−$280M

ANSWER KEY, DON'T SHOW

For Red Whisk: cost synergies (sourcing on BigCart's terms, last mile at cost, cheaper marketing through the loyalty program) and a revenue channel (BigCart stores and website). **Feasibility**: all boxes go out on Tuesdays, which BigCart's fleet may not handle; in-store meal kits failed before. **For BigCart**: fits the 'every meal occasion' strategy, helps with pre-made meal recipes; meal kits take grocery share regardless.

```
COGS −5%: 0.05 × 1,470 ≈ $75M
Marketing −20%: 0.2 × 735 ≈ $150M
Total ≈ $225M → net income ≈ −505 + 225 ≈ −$280M: still loss-making
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Group them: which cut costs, which add revenue?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Cost vs. revenue synergies
2. Feasibility of each
3. Size them
4. Enough to break even?

Phrases to listen for: "I'd split synergies into cost and revenue, and check feasibility."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd split synergies into cost and revenue, and check feasibility.** **Cost**: BigCart's purchasing terms, its delivery fleet, and its loyalty program for cheaper marketing. **Revenue**: selling kits in BigCart's stores and website. **But** Red Whisk ships everything on Tuesdays, which BigCart's fleet may not handle, and BigCart's own in-store kits failed. **With 5% off COGS and 20% off marketing**, we save about $75 million plus $150 million, $225 million. **Red Whisk still loses about $280 million.**

6 Recommendation

1–2 min

SAY

"What is your recommendation to BigCart?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: don't invest now
- [ ] Three reasons: competition and retention; worsening losses, CAC far above LTV; synergies don't close the gap
- [ ] Next: revisit in 1–2 years; if losses fall to ~$225M or less, synergies could make it profitable

ANSWER KEY, DON'T SHOW

"We recommend BigCart doesn't invest in Red Whisk now, for three reasons. First, the market is growing fast but crowded: new entrants keep coming and Red Whisk has lost share. Second, Red Whisk is losing more money each year: marketing has grown to 35% of sales, and it costs about $515 to win a customer worth about $131, so its growth is bought. Third, synergies of about $225M still leave it losing roughly $280M. Since meal kits matter strategically, revisit in one to two years: if losses fall to about $225M or less, BigCart could invest and use the synergies to make it profitable."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: no, not now
2. Three reasons with numbers
3. Condition to revisit

Phrases to listen for: "Don't invest now, for three reasons."

EXAMPLE ANSWER, SAID OUT LOUD

> **Don't invest in Red Whisk now, for three reasons.** The market is growing but crowded, and Red Whisk keeps losing share. It loses more every year, spending about $515 to win a customer worth about $131. And even $225 million of synergies leaves it deep in the red. **But meal kits matter strategically**, so revisit in one to two years: if losses fall to about $225 million, BigCart could invest and use the synergies to reach profitability.

▼ Show the full sample interview

INTERVIEWER

"Our client is BigCart, a national US grocery retailer with about 5,000 stores and an online business delivering groceries to customers' homes."

"BigCart recently unveiled a five-year strategic plan promising 'a great food option for every meal occasion'. The rationale: fewer Americans cook from scratch; they buy pre-made meals or meal kits, or get hot meals delivered via UberEATS or Postmates."

"BigCart has launched a venture fund to invest in businesses that (a) are profitable investments and (b) advance its core strategy."

"Red Whisk, a subscription meal-kit company that sends customers a weekly box with recipes and ingredients for meals cooked in under 30 minutes, has approached BigCart for investment. BigCart has hired you to recommend whether or not to invest."

> CANDIDATE
>
> **Let me make sure I understand.** BigCart's new venture fund is considering its first investment, in Red Whisk, a meal-kit subscription company. **It should invest only if Red Whisk is a profitable investment AND advances BigCart's 'every meal occasion' strategy.** Could I ask how Red Whisk compares with competitors, and whether we need to value the deal?

INTERVIEWER · FRAMEWORK

"This case is candidate-led: you drive it. How would you structure your recommendation?"

> CANDIDATE
>
> **BigCart should invest if three things are true.** **One, the meal-kit market is attractive**: big, growing, and not too competitive. **Two, Red Whisk has a path to profit**: healthy volume and price, and costs (ingredients, delivery, marketing) that fall as it grows. **Three, there are real synergies**: cheaper sourcing, delivery and marketing for Red Whisk, and a new offer for BigCart's customers. **I'd start with the market.**

INTERVIEWER · MARKET AND COMPETITION

"BigCart's strategy team researched the meal-kit market. What do you see?"

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Competitor 4	–	15%	15%	10%	10%
Competitor 5	–	–	10%	10%	10%

CANDIDATE

The market is attractive but crowded. It grew about four and a half times in four years, to $7 billion; growth is slowing, which is normal as it matures. And if meal kits take share from grocers, BigCart should be there. **But** competitors went from four to six, **Red Whisk's share fell from 50% to 30%**, and rankings change every year. So barriers are low, rivals may be VC-funded, and customers aren't loyal: expect price wars.

INTERVIEWER · PATH TO PROFITABILITY

"Let's look at whether Red Whisk is a sustainable business. Here's its P&L. What do you see, and where would you dig deeper?"

Exhibit 2. Red Whisk P&L ($M)

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Year -3	12%	22%	24%	26%	28%	30%	33%	35%	39%	43%	45%	48%
Year -4	9%	13%	17%	21%	25%	28%	29%	31%	32%	35%	38%	40%

CANDIDATE

Red Whisk loses more money each year, so I'd check each line. Gross margin is improving, from 20% to 30%, and overheads are flat. **The problem is marketing**: from 20% to 35% of sales. Could I check acquisition cost against customer value? **CAC**: $735 million over 1.43 million new customers, about **$515**. **LTV**: from the churn table, customers stay about 7.5 months, ordering 3.5 boxes at $5 margin, about **$131**. **So it pays four dollars to earn one, when healthy is one to two.** Churn also worsens with each cohort, likely because free-box customers don't stick.

INTERVIEWER · SYNERGIES

"Are there any synergies or strategic upsides if BigCart and Red Whisk partnered?"

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After the brainstorm: synergies won't raise revenue, but cut **COGS by 5%** and **marketing by 20%**.

CANDIDATE

I'd split synergies into cost and revenue, and check feasibility. **Cost**: BigCart's purchasing terms, its delivery fleet, and its loyalty program for cheaper marketing. **Revenue**: selling kits in BigCart's stores and website. **But** Red Whisk ships everything on Tuesdays, which BigCart's fleet may not handle, and BigCart's own in-store kits failed. **With 5% off COGS and 20% off marketing**, we save about $75 million plus $150 million, $225 million. **Red Whisk still loses about $280 million.**

INTERVIEWER · RECOMMENDATION

"What is your recommendation to BigCart?"

CANDIDATE

Don't invest in Red Whisk now, for three reasons. The market is growing but crowded, and Red Whisk keeps losing share. It loses more every year, spending about $515 to win a customer worth about $131. And even $225 million of synergies leaves it deep in the red. **But meal kits matter strategically**, so revisit in one to two years: if losses fall to about $225 million, BigCart could invest and use the synergies to reach profitability.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 14 OF 26

Child Placement Services

Cost reduction (public sector) | Hard | ~35 min | Core path

#14 · Tier 2 · Variations on the classics · Teaches: Cost reduction with a bespoke structure, R² scatter plots, and a mix-shift calculation

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

Germany's government wants to cut the cost of caring for 105,000 children in foster homes and residential care. The candidate builds a custom structure, reads scatter plots and R² (what explains differences between districts), brainstorms how to recruit foster families, and calculates how many children must move from residential to foster care to cut costs 10%.

THE ANSWER IN ONE LINE, DON'T SHOW

District spend is driven by **number of children in care** ($R^2 \approx 0.45$) and the **residential vs. foster mix**: residential is ~5× the cost (€4,000 vs. €800 a week); weekly prices barely matter ($R^2 < 0.06$). Moving about **16%** of residential children (~23 of 140 in an average district) to better-supported foster care cuts costs **10%**.

1 Read the prompt

2–3 min

SAY

"Germany's federal government is reviewing its spending on social services and has asked you to identify cost reduction opportunities in its Child Placement Services."

"These services oversee full-time care for 105,000 children who can't be looked after by their families, due to abuse, neglect, family dysfunction or acute stress, or because they are unaccompanied asylum-seeking children."

"Germany's 400 local districts are responsible: each assesses local children's needs and provides and funds the care."

"45% of children in care are placed in foster homes (private homes of certified caregivers) and 55% in residential care (orphanages, usually run by private companies). Residential care is normally for more severe cases needing round-the-clock, one-on-one attention, often linked to age."

"The cost of child placement has risen 15% in the last 5 years. You were hired to identify cost reduction opportunities."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Who decides and pays? ADDED	"The 400 local districts assess needs and provide and fund care."
What's the split of care types? ADDED	"45% foster homes, 55% residential care."
Is there a savings target? ADDED	"No fixed target yet. We'll test a 10% reduction later."
Can we reduce the number of children cared for? ADDED	"Only where care isn't actually needed: children's welfare comes first."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: identify cost reduction in child placement
- [ ] Notes the residential vs. foster split and that districts decide
- [ ] Signals sensitivity: welfare first

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** Germany's 400 districts care for 105,000 children, 55% in costly residential care and 45% in foster homes, and costs have risen 15% in five years. **We need to find ways to cut costs, without harming children's welfare.** Could I ask who decides on placements, whether there's a savings target, and what's driven the 15% rise?

2 Framework

3 min

SAY

"What factors are likely driving the cost of child placement in a given district?"

HOW TO STEER

- Original case: this needs a bespoke structure. A generic profit tree doesn't fit; look for number of children × severity × cost per child.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Number of children needing care
- [ ] Severity of cases
- [ ] Cost to provide the service: care type mix, cost per night

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Children: economic deprivation
- [ ] Children: asylum seekers
- [ ] Children: substance abuse epidemics
- [ ] Severity: age profile
- [ ] Severity: abuse and other factors
- [ ] Severity: early intervention
- [ ] Cost: whether districts provide care when needed
- [ ] Cost: type of care (residential vs. foster)
- [ ] Cost: cost per night by type (location)

ANSWER KEY, DON'T SHOW

1. Number of children needing care: deprivation, asylum seekers, substance abuse. **2. Severity of cases**: age, abuse, whether early intervention prevents severe cases. **3. Cost to provide care**: whether districts provide care when needed, the type of care (residential vs. foster), and cost per night by type and location.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Cost = number × severity × cost of care
2. Drivers of each

Phrases to listen for: "A district's cost is roughly number times severity times cost of care."

EXAMPLE ANSWER, SAID OUT LOUD

> **A district's cost is roughly the number of children, times how severe their needs are, times the cost of care.** **Number of children**: driven by deprivation, asylum seekers, and things like substance abuse. **Severity**: older children and abuse cases need more, and early intervention can prevent severe cases. **Cost of care**: whether districts provide care when needed, the mix of residential and foster care, and the price per night in each area. **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Customer segmentation & needs	Financial considerations	Company capabilities	Risks & mitigations
• Number of children	• Cost per type of care • Residential vs. foster mix	• Foster family supply • District practices	• Children's welfare

- Severity, age

A bespoke structure (number × severity × cost) beats the 8 buckets here; the book's Risk bucket keeps child welfare in view.

3 Spend vs. children in care

5 min

SAY

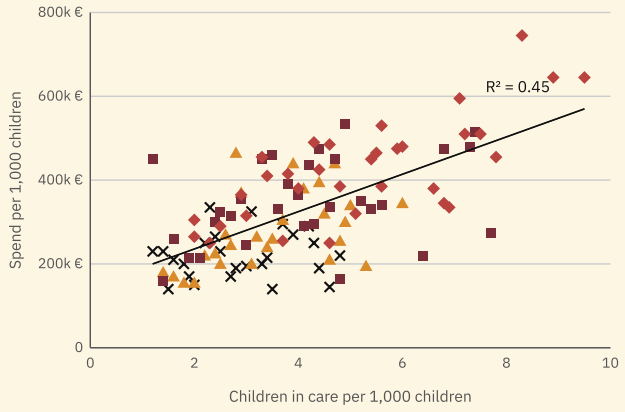
"To find what drives cost, we'd like to compare how much different districts spend. Based on Exhibit 1, why do some districts spend more than others?"

HOW TO STEER

- Original case: you may need to explain that R^2 measures how much of the output variable is explained by the input variable.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Spend on child placement vs. number of children in care (each point is a district; redrawn approximately)



LISTEN FOR: TICK WHAT YOU HEAR

- [ ] ~44% of the difference is explained by the number of children in care
- [ ] Average cost ≈ €100,000 per child: very expensive
- [ ] Prosperous and not-deprived districts: fewer children, lower spend per child
- [ ] Deprived and very deprived districts are scattered: different local situations or policies
- [ ] Risk: some children in deprived districts may not get care

IF THEY SAY... YOU SAY

Says more children in care is the whole story	"R^2 is 0.45. What explains the other 55%?"

ANSWER KEY, DON'T SHOW

The **number of children in care explains ~44%** of the difference in spend. Spend per child is about **€100,000** (e.g. 300k per 3 children), which is very high. Prosperous and not-deprived districts have fewer children in care and spend less per child (less severe cases, more foster families). Deprived and very deprived districts are all over the place, suggesting different local situations or policies, and a risk that some children who need care don't get it.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What does $R^2 = 0.45$ tell you?"
2. "Where do the prosperous districts sit?"

▼ **Show example answer**

HOW A STRONG ANSWER IS STRUCTURED

1. What R^2 says

2. Cost per child
3. Prosperous vs. deprived
4. Implication: policy differences, unmet need

Phrases to listen for: "The number of children explains about 44% of the difference."

EXAMPLE ANSWER, SAID OUT LOUD

> **The number of children in care explains about 44% of the difference in spend.** Each child costs about €100,000 a year, which is very high. **Prosperous districts** have fewer children in care and spend less per child, probably because cases are less severe and foster families easier to find. **Deprived districts are all over the place**, which suggests different local policies, and a risk that some children who need care aren't getting it.

4 What else drives cost?

5 min

SAY

"So 44% of the difference is explained by the number of children in care. Based on Exhibit 2, what else could explain the rest?"

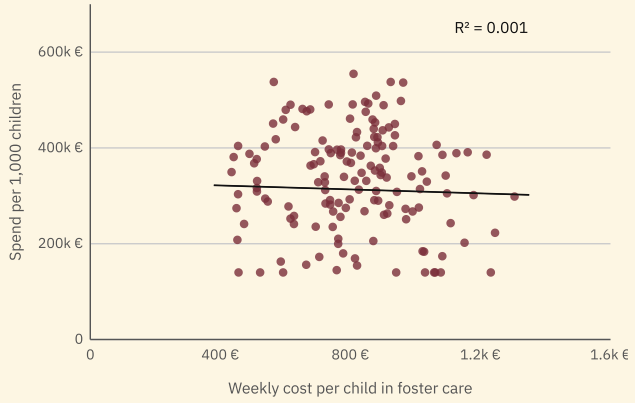
HOW TO STEER

- Original case: you may need to clarify that spend on child placement = spend on foster care + spend on residential care. You may ask what they conclude from the R^2 values.

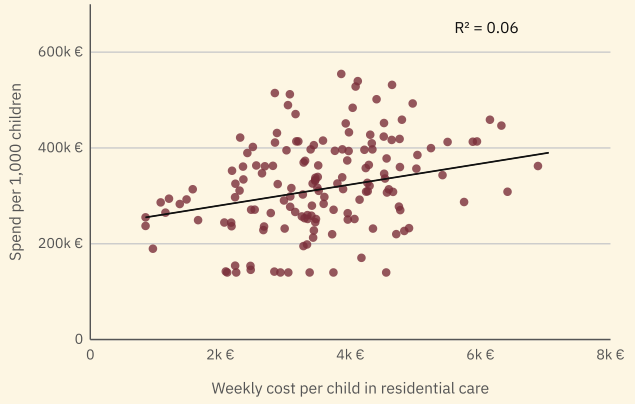
GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 2).

Exhibit 2. Spend on child placement vs. weekly cost per child (each point is a district; redrawn approximately)

Foster care (typical ~€800 a week)



Residential care (typical ~€4,000 a week)



LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Residential ~5× foster (€4,000 vs. €800 a week), with big variation
- [ ] Weekly cost of a given type does NOT explain spend ($R^2 < 6\%$)
- [ ] So the mix of residential vs. foster must be the key remaining driver
- [ ] Logic: spend = number × cost per type × mix; two of three explain only about half

ANSWER KEY, DON'T SHOW

Residential care costs **~5× foster care** (€4,000 vs. €800 a week), with big variation between districts. But the **weekly price of each type doesn't explain spend** (R^2 0.001 and 0.06). Spend = number of children × cost per type × **mix of types**; the first two explain only about half, so the **residential vs. foster mix** must be the other key driver.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Spend is number × price × mix. Which have we checked?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Spend = number × price × mix
2. Price gap between types
3. Price doesn't explain spend
4. So: the mix

Phrases to listen for: "The mix must be the other big driver."

EXAMPLE ANSWER, SAID OUT LOUD

> **Spend is the number of children, times the cost of each type of care, times the mix.** Residential care costs about **five times** foster care, €4,000 versus €800 a week. **But the price of each type barely explains spend**: R^2 is close to zero. Since the number of children explains about half, **the mix between residential and foster care must be the other big driver.**

5 More foster places

3 min

SAY

"Residential care is ~5× more expensive than foster care, and similar districts use very different mixes. Some districts seem to use residential care because there aren't enough foster places. What could be done to increase foster places?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Recruit more foster families: outreach, targeting, pay, easier fostering
- [ ] Get existing families to take more children
- [ ] Free places by returning children home when ready

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Outreach: advertising
- [ ] Outreach: religious organizations
- [ ] Outreach: community organizations
- [ ] Target: teaching or social care backgrounds
- [ ] Target: people who were fostered
- [ ] Target: spare bedroom, not full-time employed
- [ ] Higher pay for foster families
- [ ] Training
- [ ] 24/7 support
- [ ] Subsidies for an extra bedroom
- [ ] Holiday cover
- [ ] Incentives for existing families to take more children
- [ ] Return children to families as soon as they're ready

ANSWER KEY, DON'T SHOW

Recruit more families: outreach (advertising, religious and community groups); target likely carers (teaching or social-care backgrounds, former foster children, spare bedrooms); better pay; make fostering easier (training, 24/7 support, bedroom subsidies, holiday cover). **Get existing carers to take more children. Free up places** by returning children home as soon as they're ready.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Recruit
2. Expand existing carers
3. Free up places

Phrases to listen for: "Three ways."

EXAMPLE ANSWER, SAID OUT LOUD

> Three ways. Recruit more foster families: advertise through churches and community groups, target people with teaching or care backgrounds or spare rooms, pay more, and make it easier with training, 24/7 support and holiday cover. Ask existing families to take another child. Free up places by returning children home as soon as it's safe.

6 Shifting the mix

6 min

SAY

"Countries like the UK place up to 80% of children in foster care and 20% in residential. We think better support for foster carers would let us move some children from residential to foster care, but it would raise the cost of foster care by 10%. What proportion of children in residential care would need to move for an average district to cut its child placement cost by 10%?"

GIVE ONLY WHEN: AS THEY ASK.

An average local district:

- cares for **260** children full-time
- **45%** are in foster care at **€30k** each a year
- **55%** are in residential care at **€150k** each a year

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Residential ≈ 140 × €150k = €21M; foster 120 × €30k = €3.6M; total €24.6M
- [ ] Target 10% = €2.46M
- [ ] Extra support for existing foster children: 10% × €30k × 120 = €0.36M
- [ ] Saving per child moved: €150k − €33k ≈ €117k
- [ ] (2.46 + 0.36) ÷ 0.12 ≈ 23 children → 23 ÷ 140 ≈ 16%
- [ ] So what: modest vs. countries like the UK

IF THEY SAY... YOU SAY

Forgets the extra cost for children already in foster care	"The 10% support increase applies to all foster children, including the 120 already there."

ANSWER KEY, DON'T SHOW

```
Residential: 55% × 260 ≈ 140 × €150k = €21.0M
Foster: 120 × €30k = €3.6M → total €24.6M → target = €2.46M
Extra foster support: 10% × €30k × 120 = €0.36M
Saving per child moved: €150k − €33k ≈ €0.12M
Children to move: (2.46 + 0.36) ÷ 0.12 ≈ 23 → 23 ÷ 140 ≈ 16%
```

Moving about 16% of residential children cuts total cost 10%, which seems very achievable compared with countries like the UK.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What does an average district spend today?"
2. "How much do you save on each child who moves?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Baseline cost
2. Target
3. Extra support cost
4. Saving per child
5. Children and %
6. So what

Phrases to listen for: "Each child moved saves about €120,000."

EXAMPLE ANSWER, SAID OUT LOUD

> **An average district spends about €24.6 million**: 140 children in residential care at €150,000, and 120 in foster care at €30,000. **10% is €2.46 million**. Better foster support adds 10% for the 120 foster children, €0.36 million, so **we need to save €2.8 million**. Each child moved saves €150,000 minus €33,000, **about €120,000**. That's about **23 children, or 16% of residential care**. **So what: very achievable**, given countries like the UK.

7 Recommendation

1–2 min

SAY

"The client asks what you've found so far. What would you say?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Drivers: number of children in care and the residential/foster mix (residential ~5×)
- [ ] Levers: more foster capacity; better support for foster families
- [ ] ~16% moved → −10% cost
- [ ] Share best practices on when and what care to use (ensures needed care, not just savings)
- [ ] Next: district-by-district plans

ANSWER KEY, DON'T SHOW

"You asked what drives child placement costs and how to reduce them. Cost is driven by the number of children in care and the mix of residential vs. foster care, with residential about five times more expensive. You can cut spend significantly by increasing foster capacity, for example through outreach, and better supporting foster families so they can care for children now in residential care: moving just 16% of residential children would cut total cost by 10%. We also recommend sharing best practices between districts on when to provide care and which type; that won't necessarily save money, but it ensures more children get the care they need. We'll take this to the districts and come back with a plan for each."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Drivers
2. Lever and its impact
3. Best-practice sharing
4. Next steps

Phrases to listen for: "The biggest lever is more and better-supported foster care."

EXAMPLE ANSWER, SAID OUT LOUD

> **Costs are driven by how many children are in care and how many are in residential care, which costs five times more.** The biggest lever is **more and better-supported foster care**: moving just 16% of residential children into foster homes cuts total cost by 10%. We'd also **share best practices** between districts on when and how to provide care; that may not save money, but it makes sure every child who needs care gets it. **Next**: a plan for each district.

▼ Show the full sample interview

INTERVIEWER

"Germany's federal government is reviewing its spending on social services and has asked you to identify cost reduction opportunities in its Child Placement Services."

"These services oversee full-time care for 105,000 children who can't be looked after by their families, due to abuse, neglect, family dysfunction or acute stress, or because they are unaccompanied asylum-seeking children."

"Germany's 400 local districts are responsible: each assesses local children's needs and provides and funds the care."

"45% of children in care are placed in foster homes (private homes of certified caregivers) and 55% in residential care (orphanages, usually run by private companies). Residential care is normally for more severe cases needing round-the-clock, one-on-one attention, often linked to age."

"The cost of child placement has risen 15% in the last 5 years. You were hired to identify cost reduction opportunities."

> CANDIDATE
>
> **Let me make sure I understand.** Germany's 400 districts care for 105,000 children, 55% in costly residential care and 45% in foster homes, and costs have risen 15% in five years. **We need to find ways to cut costs, without harming children's welfare.** Could I ask who decides on placements, whether there's a savings target, and what's driven the 15% rise?

INTERVIEWER · FRAMEWORK

"What factors are likely driving the cost of child placement in a given district?"

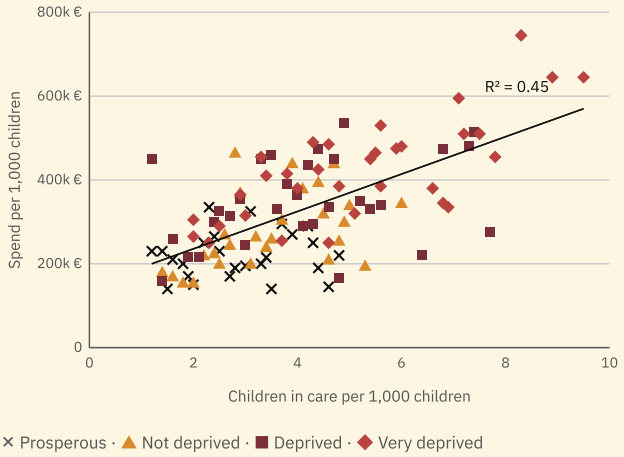
> CANDIDATE
>
> **A district's cost is roughly the number of children, times how severe their needs are, times the cost of care. Number of children**: driven by deprivation, asylum seekers, and things like substance abuse. **Severity**: older children and abuse cases

need more, and early intervention can prevent severe cases. **Cost of care**: whether districts provide care when needed, the mix of residential and foster care, and the price per night in each area. **Does that sound good?**

INTERVIEWER · SPEND VS. CHILDREN IN CARE

"To find what drives cost, we'd like to compare how much different districts spend. Based on Exhibit 1, why do some districts spend more than others?"

Exhibit 1. Spend on child placement vs. number of children in care (each point is a district; redrawn approximately)



× Prosperous · ▲ Not deprived · ■ Deprived · ◆ Very deprived

CANDIDATE

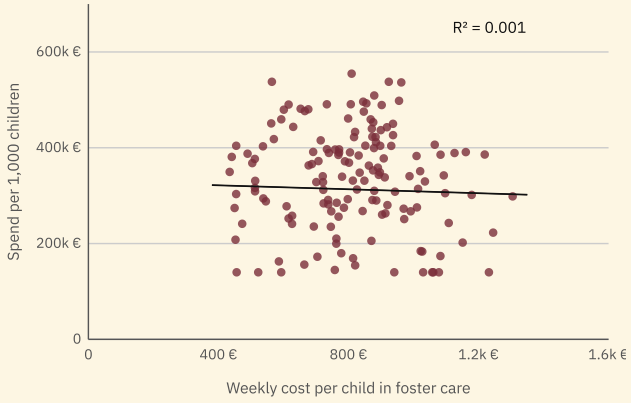
The number of children in care explains about 44% of the difference in spend. Each child costs about €100,000 a year, which is very high. **Prosperous districts** have fewer children in care and spend less per child, probably because cases are less severe and foster families easier to find. **Deprived districts are all over the place**, which suggests different local policies, and a risk that some children who need care aren't getting it.

INTERVIEWER · WHAT ELSE DRIVES COST?

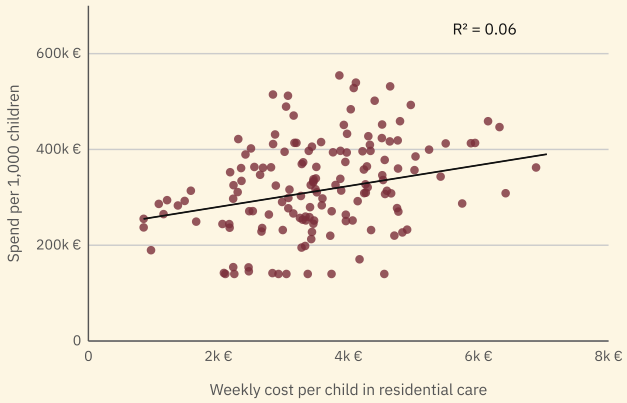
"So 44% of the difference is explained by the number of children in care. Based on Exhibit 2, what else could explain the rest?"

Exhibit 2. Spend on child placement vs. weekly cost per child (each point is a district; redrawn approximately)

Foster care (typical ~€800 a week)



Residential care (typical ~€4,000 a week)



CANDIDATE

Spend is the number of children, times the cost of each type of care, times the mix. Residential care costs about **five times** foster care, €4,000 versus €800 a week. **But the price of each type barely explains spend**: R² is close to zero. Since the number of children explains about half, **the mix between residential and foster care must be the other big driver.**

INTERVIEWER · MORE FOSTER PLACES

"Residential care is ~5× more expensive than foster care, and similar districts use very different mixes. Some districts seem to use residential care because there aren't enough foster places. What could be done to increase foster places?"

CANDIDATE

Three ways. **Recruit more foster families**: advertise through churches and community groups, target people with teaching or care backgrounds or spare rooms, pay more, and make it easier with training, 24/7 support and holiday cover. **Ask existing families to take another child.** **Free up places** by returning children home as soon as it's safe.

INTERVIEWER · SHIFTING THE MIX

"Countries like the UK place up to 80% of children in foster care and 20% in residential. We think better support for foster carers would let us move some children from residential to foster care, but it would raise the cost of foster care by 10%. What proportion of children in residential care would need to move for an average district to cut its child placement cost by 10%?"

An average local district:

- cares for **260** children full-time
- **45%** are in foster care at **€30k** each a year
- **55%** are in residential care at **€150k** each a year

CANDIDATE

An average district spends about €24.6 million: 140 children in residential care at €150,000, and 120 in foster care at €30,000. **10% is €2.46 million**. Better foster support adds 10% for the 120 foster children, €0.36 million, so **we need to save €2.8 million**. Each child moved saves €150,000 minus €33,000, **about €120,000**. That's about **23 children, or 16% of residential care**. **So what: very achievable**, given countries like the UK.

INTERVIEWER · RECOMMENDATION

"The client asks what you've found so far. What would you say?"

CANDIDATE

Costs are driven by how many children are in care and how many are in residential care, which costs five times more. The biggest lever is **more and better-supported foster care**: moving just 16% of residential children into foster homes cuts total cost by 10%. We'd also **share best practices** between districts on when and how to provide care; that may not save money, but it makes sure every child who needs care gets it. **Next**: a plan for each district.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 15 OF 26

Canadian Wildlife Federation

Non-profit strategy | Medium | ~30 min | Core path

#15 · Tier 3 · Less frequent · Teaches: A bespoke framework (births – deaths ± migration) for a non-profit problem

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A wildlife non-profit wants to know why the swift fox population is collapsing and how to stop it. The candidate structures the problem as births, deaths and migration, reads two exhibits (highways splitting the population; gender and disease by group), calculates next year's population change, and gives a 30-second public statement.

THE ANSWER IN ONE LINE, DON'T SHOW

Structure: **fewer births / more deaths / net migration**. Highways split the foxes into 4 groups with **gender imbalance** (fewer pairs) and high **disease**. Next year: ~525 births – ~810 disease deaths – ~420 natural deaths ≈ **–705, about –14%**; without the disease the population would be roughly stable. Priorities: tackle the disease, then fix the gender imbalance.

1 Read the prompt

2–3 min

SAY

"Your client is the Canadian Wildlife Federation (CWF), a government-affiliated non-profit that aims to educate Canadians about wildlife and promote responsible human actions and conservation."

"One endangered species, the swift fox, has been declining dramatically."

"CWF has asked your firm to help figure out what's causing this decline, and what they can do to stop it declining any further."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Has the population always been falling?	"Swift fox populations were historically stable until this past year."
Is there a recovery target?	"No specific targets for the population recovery."
What do swift foxes eat?	"The swift fox is an omnivore."
Has the environment changed?	"Environmental factors have remained relatively unchanged over time."
Is CWF worried about anything specific?	"Yes: a new outbreak of a deadly gastrointestinal disease has affected several Canadian forests, including the swift fox's habitat."
Are they hunted?	"There are no hunting licenses for swift foxes."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: endangered fox, sudden decline this past year, find causes and solutions
- [ ] Asks what changed recently (finds the disease outbreak)
- [ ] Asks about hunting and environment

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** CWF is a government-affiliated conservation non-profit. The endangered swift fox population has been falling dramatically, and **CWF wants to know why, and how to stop it**. Could I ask: has it always been falling? Has anything changed recently in their habitat, such as disease or hunting? And is there a recovery target?

2 Framework

3 min

SAY

"What factors would you consider to answer the client's questions?"

HOW TO STEER

- Original case: this is an unusual question to structure. Look for a population equation: change = births – deaths ± migration.
- Share the clarifying facts above if asked.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Fewer births: health, gender imbalance
- [ ] More deaths: hunting, shortage of food/water/shelter, disease
- [ ] More net migration (departures – arrivals): habitat destruction or change, human interference

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Fewer births: deterioration in health
- [ ] Fewer births: gender imbalance
- [ ] More deaths: hunting
- [ ] More deaths: shortage of food, water or shelter
- [ ] More deaths: more disease
- [ ] Net migration: destruction or change of habitat
- [ ] Net migration: more human interference

ASK IF THEIR ANSWER IS THIN

- "What makes any population go up or down?"
- "Could foxes simply be leaving?"

IF THEY SAY… YOU SAY

Uses a business framework (market, competitors…)	"Think of it like a population: what adds foxes and what removes them?"

ANSWER KEY, DON'T SHOW

1. Fewer births: deteriorating health, gender imbalance. **2. More deaths**: hunting, shortage of food/water/shelter, disease. **3. Higher net migration** (departures – arrivals): habitat destruction or change, human interference.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How does a population change from one year to the next?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Population equation: births – deaths ± migration
2. 2 drivers under each
3. Say where you'd start, and why

Phrases to listen for: "A population changes through births, deaths and migration."

EXAMPLE ANSWER, SAID OUT LOUD

> A population changes through births, deaths and migration, so I'd use those three buckets. Fewer births: worse health, or a gender imbalance that limits pairs. More deaths: hunting, shortages of food, water or shelter, or disease. Higher net migration: foxes leaving because their habitat was destroyed or changed, or because of human interference. Given the new disease outbreak, I'd start with deaths. Does that sound good?

▼ **Book's 8-bucket version also counts**

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Births (create your own)	Deaths (create your own)	Migration / habitat (create your own)	Risks & mitigations
• Health • Gender balance → number of pairs	• Disease • Food, water, shelter • Hunting	• Highways splitting habitat • Human interference	• Disease spread between groups • Isolation of groups

A non-business case: the book's 'create your own bucket' is the way in. Births / deaths / migration is the natural structure.

3 Reading the exhibits

4–5 min

SAY

"The swift fox population was split into four groups by new interprovincial highways built five years ago. We've gathered this data on each group's habitat and demographics. What can you conclude from these exhibits?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBITS 1 AND 2).

Exhibit 1. Current swift fox habitat

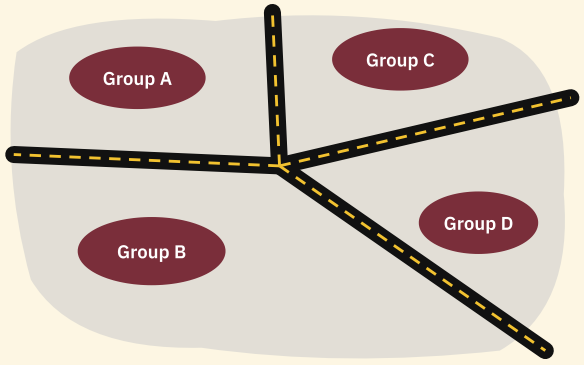


Exhibit 2. Swift fox demographics by group

Group	Fraction of population	% male	% female	% affected by disease
A	1/4	10%	90%	25%
B	1/8	30%	70%	40%
C	3/8	50%	50%	10%
D	1/4	40%	60%	5%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Gender imbalance: only Group C is 50-50; A, B and D have more females
- [ ] The highways split the population unevenly, which may drive the imbalance and lower births
- [ ] Disease rates are inconsistent and high in three of four groups; maybe linked to each side of the highway
- [ ] No link between disease and group size or gender balance
- [ ] Unclear why: maybe males roam further and die crossing highways
- [ ] Conclusion: decline driven by disease and gender imbalance

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Gender distribution unbalanced (A, B, D more females)
- [ ] Highways split the population disproportionately → imbalance → fewer births
- [ ] Disease inconsistent and high in three groups, maybe tied to environment on each side
- [ ] No correlation between disease and size or gender balance
- [ ] Possible cause: males travel further and are killed on highways
- [ ] Next: study the disease, ways to reduce it, and rebalancing the genders

ASK IF THEIR ANSWER IS THIN

- "What does a 10% male group mean for births?"
- "Is disease related to group size?"

ANSWER KEY, DON'T SHOW

The population decline seems driven by **disease** and **gender imbalance** within groups. Only Group C is balanced; three groups have high and uneven disease rates; the highways split the population and may cause the imbalance (e.g. males roaming further and dying on the roads). Next: investigate the disease, ways to reduce it, and how to rebalance the gender mix.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Go column by column in Exhibit 2."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Say what each exhibit shows
2. Insight 1: gender imbalance → fewer pairs
3. Insight 2: disease, high and uneven
4. What you can't conclude
5. So what

Phrases to listen for: "Two things stand out." · "So the decline seems driven by disease and gender imbalance."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two things stand out.** **First, gender imbalance**: only Group C is 50-50; Groups A, B and D have far more females, Group A only 10% male. That limits pairs and births, and the highways may be the cause, perhaps because males roam further and die crossing them. **Second, disease**: rates are high and uneven, 40% in B and 25% in A, with no link to group size or gender, perhaps tied to the environment on each side of the highway. **So the decline seems driven by disease and gender imbalance.**

4 Births next year PARTLY ADDED

4–5 min

Beyond the original case: The math is the case's; splitting the question into births, deaths and change is added.

SAY

"The client is curious how much the disease and the gender disparity matter for the overall population. Let's build it up. How many foxes will be born next year?"

HOW TO STEER

- Original case: share the facts below if asked.

GIVE ONLY WHEN: WHEN ASKED.

- There are **5,000** swift foxes
- Swift foxes choose only one mate for life
- Mating season is once a year (1 litter), but pairs mate once every **five** years
- Diseased foxes can give birth
- The average litter yields **1.5** foxes
- All deaths not caused by disease are natural
- Life expectancy is **10 years**, but foxes with the disease live only **one** year
- Net migration is zero

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Pairs are limited by the scarcer sex in each group
- [ ] A: 1,250 × 10% = 125; B: 625 × 30% ≈ 190; C: 1,875 × 50% ≈ 940; D: 1,250 × 40% = 500 → ~1,750 pairs
- [ ] Births per pair per year = 1.5 × 2 litters per life ÷ 10 years = 0.3
- [ ] 1,750 × 0.3 = 525

IF THEY SAY… YOU SAY

Counts all foxes ÷ 2 as pairs	"If a group has 10 males and 90 females, how many pairs can form?"
Uses 1.5 births per pair per year	"How often does a pair actually mate?"

ANSWER KEY, DON'T SHOW

```
Births per pair per year = 1.5 × (10 ÷ 5) litters ÷ 10 years = 0.3
Pairs: A 125 + B ~190 + C ~940 + D 500 ≈ 1,750
Births ≈ 1,750 × 0.3 = 525
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many pairs can form in a group with 10% males?"
2. "How many litters does a pair have in a lifetime?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Pairs limited by the scarcer sex
2. Pairs per group, total
3. Births per pair per year
4. Multiply

Phrases to listen for: "Births are limited by the number of possible pairs."

EXAMPLE ANSWER, SAID OUT LOUD

> **Births are limited by the number of possible pairs**, which depends on the scarcer sex in each group. Group A: 1,250 foxes, 10% male, so 125 pairs; B about 190; C about 940; D 500: **about 1,750 pairs**. A pair mates every 5 years over a 10-year life, so 2 litters of 1.5, which is **0.3 births per pair per year**. **About 525 births.**

5 Deaths next year PARTLY ADDED

4 min

Beyond the original case: The math is the case's; splitting the question into births, deaths and change is added.

SAY

"And how many will die next year?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Disease deaths: all diseased foxes die within a year: A ~310, B 250, C ~190, D ~60 → ~810
- [ ] Natural deaths = healthy population ÷ 10
- [ ] Healthy: 940 + 375 + 1,685 + 1,190 ≈ 4,190 → ~420
- [ ] Total ≈ 1,230

ANSWER KEY, DON'T SHOW

```
Disease: A 1,250×25% ≈ 310, B 625×40% = 250, C 1,875×10% ≈ 190, D 1,250×5% ≈ 60 → ~810
Healthy: 940 + 375 + 1,685 + 1,190 ≈ 4,190 → natural deaths ≈ 4,190 ÷ 10 ≈ 420
Total ≈ 1,230
```

The original prints 1,865 for Group C's healthy foxes; the correct figure is 1,685 (the total, ~4,190, is right).

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which foxes die from disease, and which die naturally?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Disease deaths by group
2. Healthy population ÷ life expectancy
3. Total

Phrases to listen for: "Two kinds of deaths."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two kinds of deaths.** **Disease**: diseased foxes live only a year, so all of them die: about 310 in A, 250 in B, 190 in C and 60 in D, **about 810**. **Natural deaths**: the healthy population, about 4,190, divided by a 10-year life expectancy, **about 420**. **So about 1,230 deaths.**

6 Population change

2–3 min

SAY

"So by how much would you expect the population to decline next year, and what does that tell you?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Δ = 525 − 810 − 420 ≈ −705 ≈ −14%
- [ ] A 14% yearly decline is highly concerning
- [ ] Without the disease: 525 births vs. 500 natural deaths ≈ +0.5%: roughly stable
- [ ] Actions: cure the disease, separate diseased foxes, find and remove its source; fix the gender imbalance to restore males in A, B, D

ANSWER KEY, DON'T SHOW

```
Δ = 525 − 810 − 420 ≈ −705 ≈ −14% of 5,000
```

Without the disease the population would be about stable (525 − 500 = +25, +0.5%). So: reduce disease deaths (cures, isolating diseased foxes, removing the source) and increase births (restore males in groups A, B and D).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Births − deaths = change, as a %
2. Verdict
3. Counterfactual without the disease
4. Actions

Phrases to listen for: "So what: without the disease, the population would be stable."

EXAMPLE ANSWER, SAID OUT LOUD

525 births minus 1,230 deaths is **about minus 705, a 14% decline in one year**. **That's alarming.** **So what**: without the disease, births of 525 would roughly match 500 natural deaths, so the population would be stable. **The priority is the disease**: find cures, separate diseased foxes, and remove its source; **then restore males** in groups A, B and D to increase births.

7 Public statement

1 min

SAY

"The chairman of CWF has an upcoming public statement and would like a 30-second synopsis of key findings to share with the local community. What would you tell her?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Restates the question
- [ ] Finding: ~14% decline a year, mostly from the disease (life expectancy 10 → 1 year) and gender imbalance
- [ ] Next steps: a cure-and-eradicate plan (capital and time), and a root-cause analysis of the gender imbalance
- [ ] Short and suitable for the public

ANSWER KEY, DON'T SHOW

"You asked us what's causing the dramatic decline in the swift fox population, and how to stop it. We found the population is declining about 14% a year, mostly because of a gastrointestinal disease that cuts life expectancy from 10 years to 1, and a gender imbalance between groups. Over the next couple of weeks we'll build a plan to cure and eradicate the disease, with the capital and time required, and analyze the root cause of the gender imbalance to design a rebalancing strategy."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the question
2. Key finding in plain words
3. What happens next

Phrases to listen for: "Over the next two weeks, we'll..."

EXAMPLE ANSWER, SAID OUT LOUD

You asked us what's causing the swift fox decline and how to stop it. The population is falling about 14% a year, mainly because of a gastrointestinal disease that cuts a fox's life from ten years to one, and because the highways have left some groups with too few males. **Over the next two weeks**, we'll build a plan to cure and eradicate the disease, with the time and funding it needs, and identify why the genders are imbalanced so we can rebalance them.

▼ Show the full sample interview

INTERVIEWER

"Your client is the Canadian Wildlife Federation (CWF), a government-affiliated non-profit that aims to educate Canadians about wildlife and promote responsible human actions and conservation."

"One endangered species, the swift fox, has been declining dramatically."

"CWF has asked your firm to help figure out what's causing this decline, and what they can do to stop it declining any further."

CANDIDATE

Let me make sure I understand. CWF is a government-affiliated conservation non-profit. The endangered swift fox population has been falling dramatically, and **CWF wants to know why, and how to stop it**. Could I ask: has it always been falling? Has anything changed recently in their habitat, such as disease or hunting? And is there a recovery target?

INTERVIEWER · FRAMEWORK

"What factors would you consider to answer the client's questions?"

CANDIDATE

A population changes through births, deaths and migration, so I'd use those three buckets. **Fewer births**: worse health, or a gender imbalance that limits pairs. **More deaths**: hunting, shortages of food, water or shelter, or disease. **Higher net migration**: foxes leaving because their habitat was destroyed or changed, or because of human interference. **Given the new disease outbreak, I'd start with deaths.** **Does that sound good?**

INTERVIEWER · READING THE EXHIBITS

"The swift fox population was split into four groups by new interprovincial highways built five years ago. We've gathered this data on each group's habitat and demographics. What can you conclude from these exhibits?"

Exhibit 1. Current swift fox habitat

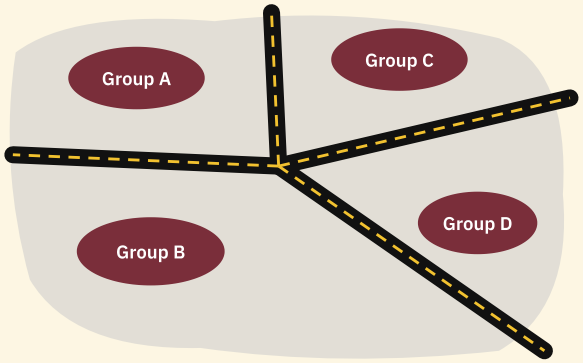


Exhibit 2. Swift fox demographics by group

Group	Fraction of population	% male	% female	% affected by disease
A	1/4	10%	90%	25%
B	1/8	30%	70%	40%
C	3/8	50%	50%	10%
D	1/4	40%	60%	5%

CANDIDATE

Two things stand out. **First, gender imbalance**: only Group C is 50-50; Groups A, B and D have far more females, Group A only 10% male. That limits pairs and births, and the highways may be the cause, perhaps because males roam further and die crossing them. **Second, disease**: rates are high and uneven, 40% in B and 25% in A, with no link to group size or gender, perhaps tied to the environment on each side of the highway. **So the decline seems driven by disease and gender imbalance.**

INTERVIEWER · BIRTHS NEXT YEAR

"The client is curious how much the disease and the gender disparity matter for the overall population. Let's build it up. How many foxes will be born next year?"

- There are **5,000** swift foxes
- Swift foxes choose only one mate for life
- Mating season is once a year (1 litter), but pairs mate once every **five** years
- Diseased foxes can give birth
- The average litter yields **1.5** foxes
- All deaths not caused by disease are natural
- Life expectancy is **10 years**, but foxes with the disease live only **one** year
- Net migration is zero

CANDIDATE

Births are limited by the number of possible pairs, which depends on the scarcer sex in each group. Group A: 1,250 foxes, 10% male, so 125 pairs; B about 190; C about 940; D 500: **about 1,750 pairs**. A pair mates every 5 years over a 10-year life, so 2 litters of 1.5, which is **0.3 births per pair per year**. **About 525 births.**

INTERVIEWER · DEATHS NEXT YEAR

"And how many will die next year?"

CANDIDATE

Two kinds of deaths. **Disease**: diseased foxes live only a year, so all of them die: about 310 in A, 250 in B, 190 in C and 60 in D, **about 810**. **Natural deaths**: the healthy population, about 4,190, divided by a 10-year life expectancy, **about 420**. **So about 1,230 deaths.**

INTERVIEWER · POPULATION CHANGE

"So by how much would you expect the population to decline next year, and what does that tell you?"

CANDIDATE

525 births minus 1,230 deaths is **about minus 705, a 14% decline in one year**. **That's alarming.** **So what**: without the disease, births of 525 would roughly match 500 natural deaths, so the population would be stable. **The priority is the disease**: find cures, separate diseased foxes, and remove its source; **then restore males** in groups A, B and D to increase births.

INTERVIEWER · PUBLIC STATEMENT

"The chairman of CWF has an upcoming public statement and would like a 30-second synopsis of key findings to share with the local community. What would you tell her?"

CANDIDATE

You asked us what's causing the swift fox decline and how to stop it. The population is falling about 14% a year, mainly because of a gastrointestinal disease that cuts a fox's life from ten years to one, and because the highways have left some groups with too few males. **Over the next two weeks**, we'll build a plan to cure and eradicate the disease, with the time and funding it needs, and identify why the genders are imbalanced so we can rebalance them.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 16 OF 26

Viral Outbreak

Public sector strategy | Medium | ~30 min | Core path

#16 · Tier 3 · Less frequent · Teaches: Public sector: what a chart can and can't prove, and expected-value math

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A country's health commission wants to prevent an outbreak of a new airborne virus. The candidate structures prevention, diagnosis and treatment, reads flu-season charts carefully (what the data does and does not prove), compares a pill vaccine with an injection using expected values, and designs border measures.

THE ANSWER IN ONE LINE, DON'T SHOW

Country A has the worst flu infection curve (first past 15 per 100k); learn from Countries B and C. The hospitalization chart can't show who is most at risk without more data. **Adopt the pill**: injection 60%×0.01% + 40%×10% = 4.006% vs. pill 90%×0.83% + 10%×10% = 1.747% → **~11M fewer infections** across 500M people. Add border measures.

1 Read the prompt

2–3 min

SAY

"The World Health Organization has identified a new strain of airborne virus and warned it could lead to an epidemic if countries aren't prepared."

"Country A's Health Commission is concerned. The country has had several damaging epidemics and wants to avoid another outbreak, so it has asked your team for support."

"How can the Health Commission prevent a viral outbreak in Country A?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What counts as an outbreak?	"More than 15 infections per 100,000 people for two consecutive weeks."
How big is the country?	"500 million people."
Is there a vaccine? ADDED	"We'll come to vaccines shortly."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks how an outbreak is defined (15 per 100k for 2 weeks)
- [ ] Plays back: prevent, not treat, an outbreak

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** A new airborne virus could cause an epidemic, and Country A, which has suffered badly before, **wants to prevent an outbreak**. Could I ask how an outbreak is defined, how big the population is, and whether a vaccine exists?

2 Framework

3 min

SAY

"How would you structure your approach to this problem?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Prevention: awareness, vaccine, tools, measures to slow spread
- [ ] Diagnosis: test available, accessible, capacity, speed
- [ ] Treatment: effective, accessible, capacity

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Prevention: awareness of prevention and symptoms
- [ ] Prevention: vaccine available, affordable, accessible
- [ ] Prevention: other tools (masks)
- [ ] Prevention: quarantines, travel restrictions
- [ ] Diagnosis: reliable test
- [ ] Diagnosis: accessible test
- [ ] Diagnosis: testing capacity
- [ ] Diagnosis: fast results
- [ ] Treatment: effective treatment
- [ ] Treatment: accessible
- [ ] Treatment: capacity to treat

ASK IF THEIR ANSWER IS THIN

- "Once someone is infected, how do you stop them infecting others?"

ANSWER KEY, DON'T SHOW

1. Prevention: awareness of prevention and symptoms; vaccine available, affordable, accessible; other tools like masks; measures to slow transmission. **2. Diagnosis**: a reliable, accessible test with enough capacity and fast results. **3. Treatment**: an effective, accessible treatment and enough capacity.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Follow an infection: prevent, diagnose, treat
2. Availability, accessibility, capacity in each

Phrases to listen for: "I'd follow the path of a single infection."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd follow the path of a single infection. Prevention: do people know how to protect themselves, is there an affordable, accessible vaccine, are there masks, and are measures like quarantine ready? Diagnosis: is there a reliable, accessible test, with enough capacity and fast results? Treatment: is there an effective treatment, and enough capacity to treat patients? Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Customer segmentation & needs

- Population awareness, behavior
- At-risk groups

Company capabilities

- Testing and treatment capacity
- Distribution reach

Financial considerations

- Vaccine affordability

Risks & mitigations

- Imported cases
- Measures to slow transmission

Public-health cases fit Prevention → Diagnosis → Treatment better than the 8 buckets; the book's Risk bucket adds the border angle early.

3 Flu season data

5 min

SAY

"The client shared two exhibits on infection rates and hospitalizations in a typical flu season. The Health Commission thinks flu is a reasonable proxy for how the new virus could spread. What can you conclude?"

HOW TO STEER

- Original case: the key judgement is on Exhibit 2. It shows the mix of hospitalized patients, not hospitalization rates, so it can't prove older people or those with pre-existing conditions are more at risk.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBITS 1 AND 2).

Exhibit 1. Infection rates in a typical flu season (infections per 100,000 people, read from a bar chart)

Week	1	2	3	4	5	6	7	8	9
Country A	0	1	2	3	4	5	8	14	20
Country B	0	1	1.5	2.5	3	4	4.5	6	7
Country C	0	1	2.5	4	4.5	5	5.5	7	7.5
Country D	0	0	0	1	2	4.5	6	10	15
Country E	0	0	0	0	0.5	1	2	3	5.5

Exhibit 2. Hospitalized flu patients by age, with and without a pre-existing condition[1] (share of hospitalized patients)

Age	<5	5–15	16–44	45–64	65+
With	19%	42%	48%	69%	76%
Without	81%	58%	52%	31%	24%

[1] Any condition that weakens or compromises a person's immune system.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Country A has among the highest rates and is first past 15 per 100k
- [ ] Gap with neighbors widening: A's prevention looks weaker
- [ ] B and C keep infections low: benchmarks
- [ ] Exhibit 2: older patients more often have pre-existing conditions (19% → 76%)
- [ ] But it can't show older people or those with conditions are more likely hospitalized: need rates by age and condition prevalence
- [ ] Next: study B and C's measures; get hospitalization rates

IF THEY SAY… YOU SAY

Says older people are more likely to be hospitalized	"Does this chart tell you how many people of each age are hospitalized?"

ANSWER KEY, DON'T SHOW

Exhibit 1: a widening gap between Country A and its neighbors. A is first past the 15 per 100k threshold, so its prevention looks weaker; B and C limit infections well and could be benchmarks. **Exhibit 2**: among hospitalized patients, the share with pre-existing conditions rises with age (19% → 76%). But it **doesn't show** that older people are more likely to be hospitalized (no rates by age), or that conditions raise the risk (no prevalence data in the general population). Next: learn B and C's measures; get hospitalization rates and condition prevalence by age.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which country crosses the outbreak threshold first?"
2. "What would you need to know to say a group is at higher risk?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Exhibit 1: A vs. neighbors
2. Benchmarks
3. Exhibit 2: what it shows
4. What it can't show
5. Data needed next

Phrases to listen for: "But it doesn't prove older people are more at risk."

EXAMPLE ANSWER, SAID OUT LOUD

> **Exhibit 1**: Country A's infections rise much faster than its neighbors' and it's the first past the outbreak threshold, so **its prevention looks weaker**; B and C hold infections down and could be benchmarks. **Exhibit 2 needs care**: older hospitalized patients more often have pre-existing conditions, from 19% to 76%. **But it doesn't prove older people are more at risk**: we'd need hospitalization rates by age and how common these conditions are overall.

4 Pill vs. injection

5 min

SAY

"A major pharmaceutical company has developed a vaccine that can be taken as a pill instead of an injection. The Commission believes the pill would be easier to distribute and could reach 90% of the population, vs. 60% for the injection. But it's slightly less effective: the probability of infection for vaccinated people is 0.83% with the pill vs. 0.01% with the injection. Without vaccination it's 10%. Should the Health Commission adopt the pill?"

HOW TO STEER

- Original case: the candidate should compare expected infection rates for injection vs. pill and quantify the impact on total infections.

GIVE ONLY WHEN: IF ASKED.

Country A has a population of **500 million**.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Expected rate = % vaccinated × vaccinated rate + % unvaccinated × 10%
- [ ] Injection: 60%×0.01% + 40%×10% = 4.006%
- [ ] Pill: 90%×0.83% + 10%×10% = 1.747%
- [ ] Difference ≈ 2.26% × 500M ≈ 11M fewer infections
- [ ] Adopt the pill: coverage beats per-person efficacy
- [ ] Next: affordability, distribution at scale

ANSWER KEY, DON'T SHOW

```
Injection: 60% × 0.01% + 40% × 10% = 0.006% + 4% = 4.006%
Pill:      90% × 0.83% + 10% × 10% = 0.747% + 1% = 1.747%
Difference ≈ 2.26% × 500M ≈ 11M fewer infections
```

Adopt the pill: it's less effective per person, but much higher coverage more than offsets that. Next: confirm affordability and distribution at scale.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's the expected infection rate across the whole population with each option?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Expected rate formula
2. Each option
3. Difference × population
4. Decision and why

Phrases to listen for: "Coverage matters more than per-person effectiveness."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll compare expected infection rates.** **Injection**: 60% at 0.01% plus 40% unvaccinated at 10%, so about **4.0%**. **Pill**: 90% at 0.83% plus 10% at 10%, about **1.75%**. That's 2.26 points lower, and across 500 million people, **about 11 million fewer infections**. **So adopt the pill**: coverage matters more than per-person effectiveness. Next, check cost and distribution at scale.

5 Imported cases

3 min

SAY

"So far we've focused on transmission within Country A. The Director is encouraged, but worried about infected travelers bringing the virus in. What measures could reduce this risk?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Three layers: stop entry, detect early, limit onward spread

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Entry requirements (vaccination, testing)
- [ ] Travel restrictions for high-risk regions
- [ ] Health declarations, symptom screening
- [ ] Monitoring at airports, ports, borders
- [ ] Testing high-risk travelers
- [ ] Contact tracing and surveillance
- [ ] Quarantine or isolation
- [ ] Public awareness on symptoms
- [ ] Rapid-response protocols

ANSWER KEY, DON'T SHOW

Stop infected people entering: entry requirements, restrictions on high-risk regions, declarations and screening. **Detect imported cases early**: border monitoring, testing high-risk travelers, contact tracing and surveillance. **Limit onward spread**: quarantine, awareness campaigns, rapid-response protocols.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Keep out
2. Catch early
3. Stop spread

Phrases to listen for: "Three layers of defense."

EXAMPLE ANSWER, SAID OUT LOUD

> **Three layers of defense.** **Keep infected people out**: vaccination or test requirements, restrictions on high-risk regions, health declarations. **Catch cases early**: monitoring at airports and borders, testing high-risk travelers, contact tracing. **Stop onward spread**: quarantine, public awareness, and a rapid-response plan.

6 Recommendation

1–2 min

SAY

"The Director is about to meet the Health Minister and wants a brief update on your findings."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: adopt the pill vaccine (~11M fewer infections)
- [ ] Why it matters: A's history of high infection rates
- [ ] Identify at-risk groups (needs more data)
- [ ] Border measures for imported cases
- [ ] Next: affordability and scale, B and C benchmarks, hospitalization data

ANSWER KEY, DON'T SHOW

"You asked how to prevent an outbreak. We recommend adopting the pill vaccine: slightly less effective than the injection, but its higher coverage could prevent about 11 million infections. That matters because Country A has had much higher infection rates than its neighbors. We should also identify the groups most at risk of hospitalization, which needs more data, and reduce imported cases with entry requirements, border monitoring, targeted testing and quarantine. Next: confirm the pill is affordable and scalable, study Countries B and C, and collect hospitalization rates and condition prevalence by age."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: the pill
2. Why it matters
3. Other findings
4. Next steps

Phrases to listen for: "We recommend adopting the pill vaccine."

EXAMPLE ANSWER, SAID OUT LOUD

> **We recommend adopting the pill vaccine**: less effective per person, but its reach could prevent about 11 million infections, which matters given Country A's history of higher infection rates. We also need more data to identify who's most at risk of hospitalization, and border measures against imported cases. **Next**: confirm cost and scale, learn from Countries B and C, and collect hospitalization data by age.

▼ Show the full sample interview

INTERVIEWER

"The World Health Organization has identified a new strain of airborne virus and warned it could lead to an epidemic if countries aren't prepared."

"Country A's Health Commission is concerned. The country has had several damaging epidemics and wants to avoid another outbreak, so it has asked your team for support."

"How can the Health Commission prevent a viral outbreak in Country A?"

CANDIDATE

> **Let me make sure I understand.** A new airborne virus could cause an epidemic, and Country A, which has suffered badly before, **wants to prevent an outbreak**. Could I ask how an outbreak is defined, how big the population is, and whether a vaccine exists?

INTERVIEWER · FRAMEWORK

"How would you structure your approach to this problem?"

CANDIDATE

> **I'd follow the path of a single infection.** **Prevention**: do people know how to protect themselves, is there an affordable, accessible vaccine, are there masks, and are measures like quarantine ready? **Diagnosis**: is there a reliable, accessible test, with enough capacity and fast results? **Treatment**: is there an effective treatment, and enough capacity to treat patients? **Does that sound good?**

INTERVIEWER · FLU SEASON DATA

"The client shared two exhibits on infection rates and hospitalizations in a typical flu season. The Health Commission thinks flu is a reasonable proxy for how the new virus could spread. What can you conclude?"

Exhibit 1. Infection rates in a typical flu season (infections per 100,000 people, read from a bar chart)

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Exhibit 2. Hospitalized flu patients by age, with and without a pre-existing condition[1] (share of hospitalized patients)

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[1] Any condition that weakens or compromises a person's immune system.

CANDIDATE

Exhibit 1: Country A's infections rise much faster than its neighbors' and it's the first past the outbreak threshold, so **its prevention looks weaker**; B and C hold infections down and could be benchmarks. **Exhibit 2 needs care**: older hospitalized patients more often have pre-existing conditions, from 19% to 76%. **But it doesn't prove older people are more at risk**: we'd need hospitalization rates by age and how common these conditions are overall.

INTERVIEWER · PILL VS. INJECTION

"A major pharmaceutical company has developed a vaccine that can be taken as a pill instead of an injection. The Commission believes the pill would be easier to distribute and could reach 90% of the population, vs. 60% for the injection. But it's slightly less effective: the probability of infection for vaccinated people is 0.83% with the pill vs. 0.01% with the injection. Without vaccination it's 10%. Should the Health Commission adopt the pill?"

Country A has a population of **500 million**.

CANDIDATE

I'll compare expected infection rates. **Injection**: 60% at 0.01% plus 40% unvaccinated at 10%, so about **4.0%**. **Pill**: 90% at 0.83% plus 10% at 10%, about **1.75%**. That's 2.26 points lower, and across 500 million people, **about 11 million fewer infections**. **So adopt the pill**: coverage matters more than per-person effectiveness. Next, check cost and distribution at scale.

INTERVIEWER · IMPORTED CASES

"So far we've focused on transmission within Country A. The Director is encouraged, but worried about infected travelers bringing the virus in. What measures could reduce this risk?"

CANDIDATE

Three layers of defense. **Keep infected people out**: vaccination or test requirements, restrictions on high-risk regions, health declarations. **Catch cases early**: monitoring at airports and borders, testing high-risk travelers, contact tracing. **Stop onward spread**: quarantine, public awareness, and a rapid-response plan.

INTERVIEWER · RECOMMENDATION

"The Director is about to meet the Health Minister and wants a brief update on your findings."

CANDIDATE

We recommend adopting the pill vaccine: less effective per person, but its reach could prevent about 11 million infections, which matters given Country A's history of higher infection rates. We also need more data to identify who's most at risk of hospitalization, and border measures against imported cases. **Next**: confirm cost and scale, learn from Countries B and C, and collect hospitalization data by age.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 17 OF 26

Singapore Taxis

Market sizing | Hard | ~25 min | Core path

#17 · Tier 3 · Less frequent · Teaches: Pure estimation: demand ÷ supply, built from scratch with no data

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

Estimate how many taxis there are in Singapore. The candidate splits the problem into demand (rides by residents and by visitors) and supply (rides one taxi can handle in a year), estimates each, divides, then explains why the real fleet is shrinking.

THE ANSWER IN ONE LINE, DON'T SHOW

Demand: residents ~5.5M × ~50 rides × 50% taxi share ≈ **140M rides**; visitors ~10M × ~8 rides × 50% ≈ **40M**. Supply: ~3,000 busy hours ÷ 0.5 h per ride ≈ **6,000 rides per taxi**. Fleet ≈ 180M ÷ 6,000 ≈ **30,000 taxis** (the real fleet was ~23k in 2017, down from ~29k in 2014).

1 Read the prompt

2–3 min

SAY

"The taxi industry has been disrupted by e-hailing startups such as Uber. In Singapore, taxis still command 50% of total ride services volume."

"Please estimate the size of the taxi fleet in Singapore."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What exactly are we counting?	"The number of vehicles used as taxis in Singapore, excluding decommissioned taxis."
Do we include e-hailing cars? ADDED	"No, taxis only. Taxis are 50% of ride volume."
Is there a time frame? ADDED	"Today's fleet."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Confirms the definition (vehicles in use, not decommissioned)
- [ ] Notes the 50% taxi share

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Just to confirm**: we want the number of vehicles currently used as taxis in Singapore, excluding decommissioned ones, and taxis have 50% of ride volume, with e-hailing the rest. **Could I take a minute to structure my approach?**

2 Framework

3 min

SAY

"How would you approach this estimate?"

HOW TO STEER

- Original case: a strong candidate notes that the fleet size is driven by the demand for taxi rides and the number of rides each taxi can fulfil. Demand comes from both the domestic population and foreign visitors (tourists, business travelers).

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Fleet = total taxi rides ÷ rides one taxi can handle
- [ ] Demand from residents: population × rides per person × taxi share
- [ ] Demand from visitors: visitors × rides per visitor × taxi share
- [ ] Supply per taxi: operating hours ÷ average ride duration

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Taxi rides from residents: population size
- [ ] Residents: rides per person
- [ ] Residents: % share by taxis
- [ ] Taxi rides from visitors: number of foreign visitors
- [ ] Visitors: rides per visitor
- [ ] Visitors: % share by taxis
- [ ] Rides per taxi: operating hours
- [ ] Rides per taxi: average ride duration

ASK IF THEIR ANSWER IS THIN

- "What determines how many taxis a city needs?"
- "Who takes taxis in Singapore besides residents?"

IF THEY SAY... YOU SAY

Tries a top-down shortcut like 'X taxis per 1,000 people'	"How would you justify that ratio? Can you build it from demand and supply?"

ANSWER KEY, DON'T SHOW

Size of taxi fleet = number of taxi rides ÷ rides handled by each taxi

- **Taxi rides from residents** = population × rides per person × % share by taxis
- **Taxi rides from foreign visitors** = visitors × rides per visitor × % share by taxis
- **Rides per taxi** = operating hours of a taxi ÷ average duration of a ride

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Think demand and supply."
2. "How many rides can one taxi do in a year?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Fleet = rides ÷ rides per taxi
2. Demand: residents + visitors
3. Supply: hours ÷ ride length
4. Check in

Phrases to listen for: "The fleet size depends on demand for rides and how many rides each taxi can handle."

EXAMPLE ANSWER, SAID OUT LOUD

> **The fleet size depends on demand for taxi rides and how many rides each taxi can handle**, so fleet equals total rides divided by rides per taxi. **Demand comes from two groups**: residents, as population times rides per person times the taxi share; and foreign visitors, as visitors times rides per visitor times the taxi share. **Supply per taxi** is its operating hours divided by the average ride time. **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Demand (a formula)

- Residents × rides × taxi share
- Visitors × rides × taxi share

Supply per taxi (a formula)

- Hours × utilization ÷ ride length

Customer segmentation

- Daily / frequent / occasional users
- Business / tourist / backpacker

A pure estimation: the book says to use a formula, not buckets. Segmenting customers is where the 8-bucket thinking helps.

3 Rides by residents PARTLY ADDED

4–5 min

Beyond the original case: The case answers this in one calculation; splitting it into steps is added.

SAY

"Let's start with residents. How many taxi rides do they take a year?"

HOW TO STEER

- Candidate-led estimate. If they don't know Singapore, share the facts in the exhibit.
- Look for segmentation of riders, e.g. daily, frequent, average, occasional and non-users.

GIVE ONLY WHEN: IF THE CANDIDATE ISN'T FAMILIAR WITH SINGAPORE.

- Population: ~**5.5M**
- Car ownership is low because cars are expensive (~**10%** of households)
- Most people commute by bus and subway

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Segments riders by frequency
- [ ] Weighted average ≈ 50 rides a person a year
- [ ] Applies the 50% taxi share
- [ ] 5.5M × 50 × 50% ≈ 140M rides

ANSWER KEY, DON'T SHOW

Rider type	Frequency	% pop.	Rides/yr
Daily	12/week	5%	~31
Frequent	2/week	10%	~10
Average	2/month	20%	~5
Occasional	2/year	50%	1
Non-users	0	15%	0

```
≈ 47 → ~50 rides per person per year
5.5M × 50 × 50% ≈ 140M rides/year
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Do all residents take taxis equally often?"
2. "Try a few user types with different frequencies."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Segment by frequency
2. Weighted rides per person
3. × population × taxi share

Phrases to listen for: "I'll segment residents by how often they ride."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll segment residents by how often they ride.** Daily users, 5%, take about 12 rides a week, roughly 31 a year on a weighted basis. Frequent users, 10%, about 10. Average users, 20%, about 5. Occasional users, half the population, 1. And 15% never

> ride. **That's about 50 rides per person a year.** With 5.5 million people and taxis taking 50%, **that's about 140 million taxi rides**.

4 Rides by visitors PARTLY ADDED

4 min

Beyond the original case: The case answers this in one calculation; splitting it into steps is added.

SAY

"Now foreign visitors. How many taxi rides do they take a year?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Estimates visitors, e.g. from airport arrivals
- [ ] Removes transit passengers
- [ ] Segments visitors (business, tourists, backpackers)
- [ ] 10M visitors × ~8 rides × 50% ≈ 40M rides

ANSWER KEY, DON'T SHOW

```
Arrivals: 20 planes/hr × 14 hrs × 365 × 200 people ≈ 20M
50% are transit → ~10M visitors a year (3-day stays)
```

Visitor	Rides/trip	% visitors	Weighted
Business	4/day × 3 = 12	50%	6
Tourist	2/day × 3 = 6	30%	~2
Backpacker	2	20%	~0.5

```
≈ 8 rides per visitor
10M × 8 × 50% ≈ 40M rides/year
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How could you estimate visitor numbers from the airport?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Estimate visitors (airport)
2. Remove transit
3. Segment visitors
4. × rides × taxi share

Phrases to listen for: "I'll estimate visitors from the airport."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll estimate visitors from the airport.** About 20 planes an hour, 14 hours a day, with 200 passengers each, is about 20 million arrivals; half are transiting, so **10 million visitors**, staying about 3 days. Business travelers, half, take about 12 rides; tourists, 30%, about 6; backpackers, 20%, just 2. **That's about 8 rides per visitor**, so 10 million times 8 times 50% is **about 40 million rides**.

5 Rides per taxi PARTLY ADDED

3 min

Beyond the original case: The case answers this in one calculation; splitting it into steps is added.

SAY

"How many rides can one taxi handle in a year?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Operating hours a day and days a year
- [ ] Utilization: not every hour has a passenger
- [ ] Average ride length (small country: ~30 min)
- [ ] 12 h × 70% × 350 days ≈ 3,000 h ÷ 0.5 h ≈ 6,000 rides

ANSWER KEY, DON'T SHOW

```
12 h/day × 70% utilized × 350 days ≈ 2,940 → ~3,000 hours
3,000 ÷ 0.5 h per ride = 6,000 rides per taxi per year
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Is a taxi carrying passengers every hour it's on the road?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Hours a day × days
2. × utilization
3. ÷ ride length

Phrases to listen for: "Roughly 3,000 busy hours a year."

EXAMPLE ANSWER, SAID OUT LOUD

> A taxi runs about 12 hours a day, 350 days a year, but only carries passengers about 70% of the time: **roughly 3,000 busy hours**. Singapore is small, so a ride takes about half an hour. **That's about 6,000 rides per taxi a year.**

6 Fleet size PARTLY ADDED

2 min

Beyond the original case: The case answers this in one calculation; splitting it into steps is added.

SAY

"So how many taxis are there?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] (140M + 40M) ÷ 6,000 ≈ 30,000 taxis
- [ ] States the answer clearly with the main assumptions

ANSWER KEY, DON'T SHOW

```
(140M + 40M) ÷ 6,000 ≈ 30,000 taxis
```

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Add demand
2. Divide by supply per taxi
3. State the answer

Phrases to listen for: "About 30,000 taxis."

EXAMPLE ANSWER, SAID OUT LOUD

> 140 million plus 40 million is 180 million rides, divided by 6,000 per taxi: **about 30,000 taxis**.

7 Interpretation

3 min

SAY

"According to the Land Transport Authority, the taxi fleet in Singapore was about 23,000 at the end of 2017, down from a peak of about 29,000 in 2014. What factors might have led to this decline?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures: lower taxi share / smaller relevant population / higher utilization
- [ ] Several reasons in each

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Taxi share: e-hailing (Uber) reduced demand
- [ ] Taxi share: better public transport
- [ ] Taxi share: higher taxi fares
- [ ] Taxi share: poor reputation of drivers
- [ ] Population: fewer foreign visitors
- [ ] Population: aging, fewer commuters
- [ ] Utilization: technology matching riders and taxis, less downtime
- [ ] Utilization: shorter rides (less congestion, GPS apps)

ASK IF THEIR ANSWER IS THIN

- "Could the same demand be served by fewer taxis?"

ANSWER KEY, DON'T SHOW

Lower taxi share: e-hailing, better public transport, higher fares, poor driver reputation. **Smaller relevant population**: fewer visitors, aging population with fewer commutes. **Higher utilization**: technology cuts downtime; shorter rides thanks to less congestion and GPS apps.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Three groups: share, population, utilization
2. 2–3 reasons each

Phrases to listen for: "I'd group the reasons into three."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd group the reasons into three.** **Taxis' share fell**: e-hailing took riders, public transport improved, fares rose, or drivers' reputation suffered. **The relevant population shrank**: fewer visitors, or an aging population commuting less. **Each taxi became more productive**: apps match riders faster, and GPS and less congestion make rides shorter.

8 Wrap-up ADDED

1 min

Beyond the original case: The original has no synthesis question.

SAY

"Give me your answer in 30 seconds."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: about 30,000 taxis
- [ ] How it was built: demand ÷ capacity per taxi
- [ ] Biggest assumption and how to refine it

ANSWER KEY, DON'T SHOW

"About 30,000 taxis: roughly 180 million taxi rides a year, 140 million from residents and 40 million from visitors, divided by about 6,000 rides a taxi can handle. The most sensitive assumption is rides per resident; I'd refine it with ride-volume data. The real fleet, about 23,000, is lower, likely because e-hailing took share and taxis are used more efficiently."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first

2. How it was built
3. Most sensitive assumption
4. Compare with reality

Phrases to listen for: "The most sensitive assumption is..."

EXAMPLE ANSWER, SAID OUT LOUD

> **Singapore has about 30,000 taxis**: roughly 180 million taxi rides a year, 140 million from residents and 40 million from visitors, divided by about 6,000 rides per taxi. **The most sensitive assumption is rides per resident**, which I'd refine with real ride data. The actual fleet, about 23,000, is lower, likely because e-hailing took share and taxis are used more efficiently.

▼ Show the full sample interview

INTERVIEWER

"The taxi industry has been disrupted by e-hailing startups such as Uber. In Singapore, taxis still command 50% of total ride services volume."

"Please estimate the size of the taxi fleet in Singapore."

> CANDIDATE
>
> **Just to confirm**: we want the number of vehicles currently used as taxis in Singapore, excluding decommissioned ones, and taxis have 50% of ride volume, with e-hailing the rest. **Could I take a minute to structure my approach?**

INTERVIEWER · FRAMEWORK

"How would you approach this estimate?"

> CANDIDATE
>
> **The fleet size depends on demand for taxi rides and how many rides each taxi can handle**, so fleet equals total rides divided by rides per taxi. **Demand comes from two groups**: residents, as population times rides per person times the taxi share; and foreign visitors, as visitors times rides per visitor times the taxi share. **Supply per taxi** is its operating hours divided by the average ride time. **Does that sound good?**

INTERVIEWER · RIDES BY RESIDENTS

"Let's start with residents. How many taxi rides do they take a year?"

- Population: ~**5.5M**
- Car ownership is low because cars are expensive (~**10%** of households)
- Most people commute by bus and subway

> CANDIDATE
>
> **I'll segment residents by how often they ride.** Daily users, 5%, take about 12 rides a week, roughly 31 a year on a weighted basis. Frequent users, 10%, about 10. Average users, 20%, about 5. Occasional users, half the population, 1. And 15% never ride. **That's about 50 rides per person a year.** With 5.5 million people and taxis taking 50%, **that's about 140 million taxi rides**.

INTERVIEWER · RIDES BY VISITORS

"Now foreign visitors. How many taxi rides do they take a year?"

> CANDIDATE
>
> **I'll estimate visitors from the airport.** About 20 planes an hour, 14 hours a day, with 200 passengers each, is about 20 million arrivals; half are transiting, so **10 million visitors**, staying about 3 days. Business travelers, half, take about 12 rides; tourists, 30%, about 6; backpackers, 20%, just 2. **That's about 8 rides per visitor**, so 10 million times 8 times 50% is **about 40 million rides**.

INTERVIEWER · RIDES PER TAXI

"How many rides can one taxi handle in a year?"

> CANDIDATE

A taxi runs about 12 hours a day, 350 days a year, but only carries passengers about 70% of the time: **roughly 3,000 busy hours**. Singapore is small, so a ride takes about half an hour. **That's about 6,000 rides per taxi a year.**

INTERVIEWER · FLEET SIZE

"So how many taxis are there?"

CANDIDATE

140 million plus 40 million is 180 million rides, divided by 6,000 per taxi: **about 30,000 taxis**.

INTERVIEWER · INTERPRETATION

"According to the Land Transport Authority, the taxi fleet in Singapore was about 23,000 at the end of 2017, down from a peak of about 29,000 in 2014. What factors might have led to this decline?"

CANDIDATE

I'd group the reasons into three. **Taxis' share fell**: e-hailing took riders, public transport improved, fares rose, or drivers' reputation suffered. **The relevant population shrank**: fewer visitors, or an aging population commuting less. **Each taxi became more productive**: apps match riders faster, and GPS and less congestion make rides shorter.

INTERVIEWER · WRAP-UP

"Give me your answer in 30 seconds."

CANDIDATE

Singapore has about 30,000 taxis: roughly 180 million taxi rides a year, 140 million from residents and 40 million from visitors, divided by about 6,000 rides per taxi. **The most sensitive assumption is rides per resident**, which I'd refine with real ride data. The actual fleet, about 23,000, is lower, likely because e-hailing took share and taxis are used more efficiently.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 18 OF 26

McBurger Co

Growth strategy | Hard | ~35 min

#18 · Optional · Repeats tools you've seen · Teaches: Hard growth case: a dense income chart and algebra on a customer-mix shift

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A global fast-food chain wants to grow faster in China. The candidate reads an income-distribution chart by city tier (the middle class is exploding), calculates how much revenue would rise if customers were as engaged as competitors' customers, solves an algebra problem for a bigger target, and brainstorms engagement ideas.

THE ANSWER IN ONE LINE, DON'T SHOW

The Mainstream segment will roughly **triple in Tier 1** and become the majority in **Tier 2–3 cities** (70% of urban population): open stores aggressively there. Matching competitors' engagement adds a one-off **+5%** ($7.00 → $7.35). Reaching +6.5% would need Fully Engaged **+5.75pp** and Engaged **+23pp** (30% → ~59%), which is very ambitious.

1 Read the prompt

2–3 min

SAY

"McBurger Co is a multinational fast-food company, one of the oldest and most respected in the industry."

"It has been trying to establish itself in China with varying success. It's one of the leaders, but growth has fallen below expectations."

"Over the last five years, it and its competitors faced several food safety scandals, but minimized the damage and kept sales. The CEO feels the firm is ready to focus on growth again."

"You were hired to help the CEO identify what actions McBurger Co can take to grow faster in China."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What are the objectives?	"Get back to sustainable long-run revenue growth, and at least 8% a year to match the industry."
What do operations look like?	"2,000 stores, 80% in Tier 1 cities, all owned and operated by the company. The target is 'Mainstream' customers. The menu is similar worldwide with some local adaptations."
How big is the market?	"Fast food in China made $136B in Y0, growing 8.3%. Over the last 5 years it grew 10.1% a year."
What are city tiers?	"Chinese cities are grouped by tier: Tier 1 are the largest and most prosperous, Tier 4 the smallest and least advanced."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks for the growth target (≥8% a year)
- [ ] Asks where the stores are (80% Tier 1)
- [ ] Asks about market size and growth

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **To recap**: McBurger is a global fast-food leader whose growth in China has fallen short, after a few years spent managing food safety scandals. **The CEO wants to know how to grow faster.** Could I ask what growth target we're aiming for, where the stores are, and how the market is growing?

2 Framework

3 min

SAY

"What factors would you want to consider when thinking about this problem?"

HOW TO STEER

- Original case: share the additional information (objectives, operations, market) as the candidate asks; it's all in the clarifying answers.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Market: size and growth by segment; changing preferences
- [ ] Share: competitors and our positioning
- [ ] Growth plan: stores, offering, brand, price, resources

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Market: size and growth by region, food type, price point
- [ ] Market: changing customer preferences
- [ ] Share: competitors (segments, share, foreign/local, formats)
- [ ] Share: our position in fast-growing segments
- [ ] Share: competitiveness (value, product, brand)
- [ ] Plan: store openings (locations, formats)
- [ ] Plan: products and services
- [ ] Plan: brand and marketing
- [ ] Plan: price and revenue
- [ ] Plan: resources and costs

ASK IF THEIR ANSWER IS THIN

- "Where could new customers come from?"
- "How would you compare yourself with competitors?"

ANSWER KEY, DON'T SHOW

1. Market: size and growth by segment (region, food type, price); changing customer preferences. **2. Share**: competitors (segments, share, offering, formats); our positioning in fast-growing segments and competitiveness. **3. Growth plan**: store openings, offering, brand and marketing, price, resources and costs.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness	Customer segmentation & needs	Competitive landscape	Company capabilities
• Growth by city tier • Rising Mainstream	• Income segments • Engagement levels	• Competitors' engagement • Bids for store sites	• Store network (80% Tier 1) • Capital to expand

Phrases to listen for: "I'd look at three areas."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd look at three areas.** **The market**: how big it is and which segments grow fastest, by region, food type and price, and how preferences are shifting. **Our share**: who the competitors are, and how well we're positioned in the fast-growing segments on value, product and brand. **The growth plan**: where to open stores, what to offer, brand, pricing, and the resources it needs.
>
> **Does that sound good?**

The case's Market / Share / Growth plan structure matches the book's Market, Competition and Capabilities buckets; the book adds an explicit Customer bucket.

3 Income distribution

5 min

SAY

"McBurger Co has shared this exhibit on changes in income distribution in China. What can you conclude?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Income distribution by city tier (% of population)

Tier	Segment	Y-5	Y0	Y+5
Tier 1 13 cities · 27% of urban GDP · 15% of urban pop.	Affluent	2	5	16
	Mainstream	6	24	71
	Value	88	67	12
	Poor	4	3	2
Tier 2 35 cities · 35% of GDP · 26% of pop.	Affluent	0	2	7
	Mainstream	1	5	67
	Value	88	86	22
	Poor	11	6	4
Tier 3 369 cities · 33% of GDP · 45% of pop.	Affluent	0	1	4
	Mainstream	0	3	43
	Value	75	81	44
	Poor	25	15	9
Tier 4 188 cities · 5% of GDP · 14% of pop.	Affluent	0	1	3
	Mainstream	0	2	24
	Value	53	64	56
	Poor	47	33	17

Read from stacked bar charts; some columns round to 99–101%.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Mainstream roughly triples in Tier 1 (24% → 71%), where McBurger is
- [ ] Tier 1: more visits and spend per visit, plus new stores
- [ ] Tier 2 and 3 (~70% of urban population): Mainstream becomes the majority or near it
- [ ] Opportunity to expand into Tier 2–3
- [ ] Next steps: link income to fast-food spend; map stores vs. income; test Tier 2–3 feasibility

ASK IF THEIR ANSWER IS THIN

- "Where is our target customer going to be in 5 years?"
- "Why do Tier 2 and 3 matter so much?"

IF THEY SAY... YOU SAY

Focuses on Tier 4	"How much of urban GDP and population is Tier 4?"

ANSWER KEY, DON'T SHOW

Very fast growth ahead: the **Mainstream segment roughly triples in Tier 1** (24% → 71%), where McBurger is established: drive more visits and spend per visit, and open stores to meet demand. **Tier 2 and 3** hold ~70% of the urban population, and Mainstream becomes the majority (or close to it) there: a major expansion opportunity. Next: income vs. fast-food spending, current store locations vs. income concentration, feasibility of Tier 2–3 expansion.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which segment is McBurger targeting? How does it change?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Headline: the target segment explodes
2. Tier 1: what it means
3. Tiers 2–3: the bigger prize
4. Next steps

Phrases to listen for: "Our target customer is about to multiply."

EXAMPLE ANSWER, SAID OUT LOUD

> **The headline: our target customer is about to multiply.** In Tier 1, where we are, Mainstream goes from 24% to about 71% of the population in five years: roughly triple. So we should get more visits and spend from existing stores and open new ones. **The bigger prize is Tiers 2 and 3**: they hold about 70% of the urban population, and Mainstream becomes most of it. **Next**, I'd check how income links to fast-food spending, map our stores against income, and test expansion into Tiers 2 and 3.

4 Engagement impact

5 min

SAY

"The client asked us to look at customer engagement with the brand. The team believes that driving more customers to the restaurants will increase engagement, with a big impact on sales. Exhibit 2 shows the client's and competitors' engagement distributions and the spend per segment. What would be the impact on revenue if the client attained the same engagement distribution as its competitors?"

HOW TO STEER

- Original case: push the candidate to calculate a relative (%) increase in revenue.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 2).

Exhibit 2. Customer engagement and spending

Segment	Client	Competitors	Avg. monthly spend per customer
Fully Engaged	10%	20%	$9
Engaged	20%	25%	$8
Not Engaged	50%	40%	$7
Actively Disengaged	20%	15%	$5

Fully Engaged: strong emotional attachment, won't accept substitutes, brand ambassadors. **Engaged**: attached but can be tempted by a better offer. **Not Engaged**: brand-agnostic. **Actively Disengaged**: detached, switch easily.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Current average spend: 10%×9 + 20%×8 + 50%×7 + 20%×5 = $7.00
- [ ] Change: +10pp×9 + 5pp×8 – 10pp×7 – 5pp×5 = +$0.35
- [ ] +5% revenue
- [ ] One-off; doesn't deliver 8% a year alone
- [ ] But more engagement → word of mouth, higher sales per store, winning bids for the best sites

ANSWER KEY, DON'T SHOW

```
Current average spend = 10%×$9 + 20%×$8 + 50%×$7 + 20%×$5 = $7.00
Change = (+10%)×9 + (+5%)×8 + (−10%)×7 + (−5%)×5 = +$0.35
% change = 0.35 ÷ 7 = +5%
```

A one-off +5%, not a recurring 8% a year. But higher engagement drives word of mouth and sales per store, which helps win bids for the best new locations.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What does an average customer spend today?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Current average spend
2. Change in average spend
3. % impact
4. So what: one-off vs. annual target

Phrases to listen for: "I'll compare average spend per customer."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll compare average spend per customer.** Today: 10% at $9, 20% at $8, 50% at $7 and 20% at $5, so **$7.00**. With competitors' mix, we gain 10 points at $9 and 5 at $8, and lose 10 at $7 and 5 at $5: **plus 35 cents, or 5%**. **So what**: it's a one-off 5%, not 8% a year. But engagement also drives word of mouth and sales per store, which helps us win the best new locations.

5 Engagement target

5 min

SAY

"Based on experience, for every 0.5 percentage point increase in the share of 'Fully Engaged' customers, 'Engaged' rises by 2pp, while 'Not Engaged' and 'Actively Disengaged' fall by 2pp and 0.5pp. By how many percentage points would the Fully Engaged and Engaged shares have to rise to increase sales by 6.5%?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Target change in spend: $7 × 6.5% ≈ $0.46
- [ ] Let Δ = change in Fully Engaged; Engaged +4Δ; Not Engaged −4Δ; Disengaged −Δ
- [ ] 9Δ + 32Δ − 28Δ − 5Δ = 8Δ = 0.46 → Δ ≈ 5.75pp
- [ ] Fully Engaged ~16%; Engaged ~43%
- [ ] Engaged + Fully Engaged doubles (~30% → ~59%): very ambitious
- [ ] Next: did any competitor achieve this? What drives engagement?

IF THEY SAY... YOU SAY

Sets the ratio as 1:2 instead of 1:4	"Fully Engaged moves 0.5pp for every 2pp of Engaged. What's the ratio?"

ANSWER KEY, DON'T SHOW

```
Target change = $7 × 6.5% ≈ $0.46
9Δ + 8(4Δ) + 7(−4Δ) + 5(−Δ) = 0.46
9Δ + 32Δ − 28Δ − 5Δ = 8Δ = 0.46 → Δ ≈ 5.75pp
Fully Engaged: 10% → ~16% · Engaged: 20% + 23pp → ~43%
```

Engaged + Fully Engaged would need to double, from 30% to about 60%: extremely ambitious. Check whether any competitor has done this, and study what drives engagement.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Write each segment's change in terms of the Fully Engaged change."
2. "What change in average spend is 6.5%?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Target in $
2. Express all shifts in Δ
3. Solve
4. Translate into new shares
5. Is it realistic?

Phrases to listen for: "That doubles our engaged customers, which is very ambitious."

EXAMPLE ANSWER, SAID OUT LOUD

> **6.5% of $7 is about 46 cents.** If Fully Engaged rises by Δ, Engaged rises 4Δ, Not Engaged falls 4Δ and Disengaged falls Δ. So 9Δ plus 32Δ minus 28Δ minus 5Δ, which is **8Δ, equals 0.46**, and **Δ is about 5.75 points**. Fully Engaged goes to about 16% and Engaged to about 43%. **That doubles our engaged customers from 30% to nearly 60%, which is very ambitious.** I'd check whether any competitor has done it.

6 Engagement ideas

3 min

SAY

"The client is looking for ideas to improve customer engagement. What would you suggest?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Organizes ideas: loyalty, satisfaction, emotional attachment
- [ ] Concrete examples in each

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Loyalty: reward programs
- [ ] Loyalty: products and services not found elsewhere
- [ ] Satisfaction: excellent product quality
- [ ] Satisfaction: outstanding customer experience
- [ ] Satisfaction: fair prices
- [ ] Attachment: iconic brand people want to belong to
- [ ] Attachment: personal relationships (staff, community events)
- [ ] Attachment: small acts of kindness (free coffee)

ANSWER KEY, DON'T SHOW

Goal: loyal, satisfied customers who promote the brand and feel attached to it. **Loyalty**: rewards, exclusive products. **Satisfaction**: quality, customer experience, fair prices. **Emotional attachment**: an iconic brand, personal relationships with staff and community, small acts of kindness.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Three drivers: loyalty, satisfaction, attachment
2. 2–3 ideas each

Phrases to listen for: "I'd build engagement on three things."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd build engagement on three things.** **Loyalty**: a rewards program and products you can't get elsewhere. **Satisfaction**: great food, a great experience, fair prices. **Emotional attachment**: a brand people want to belong to, staff who know their regulars, community events, and small surprises like a free coffee.

7 Recommendation

1–2 min

SAY

"The CEO is about to talk to the Board and wants to know what your team has found so far."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Restates the goal: ≥8% a year growth
- [ ] Answer: open stores aggressively in Tiers 1–3, riding the Mainstream boom
- [ ] Tier 1 Mainstream triples; Tier 2–3 (70% of pop.) becoming Mainstream
- [ ] Engagement gap: catching up = one-off +5%; matters for sales per store and site bids
- [ ] Next: store opening plan, test engagement ideas

ANSWER KEY, DON'T SHOW

"You asked how McBurger can reach 8% annual growth. Our Mainstream focus positions us to beat that if we open stores aggressively in the first three tiers of cities. The Mainstream segment will roughly triple in Tier 1, where we're established, and become most of the population in Tiers 2 and 3, which hold about 70% of urban China, where we're not yet present. We also lag competitors on engagement, which hurts sales per store and our ability to win the best sites; catching up adds a one-off 5%, through loyalty, satisfaction and emotional attachment. Next: draw up a store-opening plan and test the engagement ideas."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the 8% goal
2. Answer: store expansion in Tiers 1–3
3. Engagement as a secondary lever
4. Next steps

Phrases to listen for: "Our Mainstream focus lets us beat the target if..."

EXAMPLE ANSWER, SAID OUT LOUD

> **You asked how to reach 8% growth. Our Mainstream focus lets us beat it if we open stores aggressively in the first three tiers.** Mainstream will triple in Tier 1, where we're strong, and become most of Tiers 2 and 3, home to 70% of urban China. **We also lag on engagement**: catching up is a one-off 5%, but it matters for sales per store and winning sites. **Next**: a store-opening plan, and pilots of loyalty and experience ideas.

▼ Show the full sample interview

INTERVIEWER

"McBurger Co is a multinational fast-food company, one of the oldest and most respected in the industry."

"It has been trying to establish itself in China with varying success. It's one of the leaders, but growth has fallen below expectations."

"Over the last five years, it and its competitors faced several food safety scandals, but minimized the damage and kept sales. The CEO feels the firm is ready to focus on growth again."

"You were hired to help the CEO identify what actions McBurger Co can take to grow faster in China."

CANDIDATE

> **To recap**: McBurger is a global fast-food leader whose growth in China has fallen short, after a few years spent managing food safety scandals. **The CEO wants to know how to grow faster.** Could I ask what growth target we're aiming for, where the stores are, and how the market is growing?

INTERVIEWER · FRAMEWORK

"What factors would you want to consider when thinking about this problem?"

CANDIDATE

> **I'd look at three areas.** **The market**: how big it is and which segments grow fastest, by region, food type and price, and how preferences are shifting. **Our share**: who the competitors are, and how well we're positioned in the fast-growing segments on value, product and brand. **The growth plan**: where to open stores, what to offer, brand, pricing, and the resources it needs. **Does that sound good?**

INTERVIEWER · INCOME DISTRIBUTION

"McBurger Co has shared this exhibit on changes in income distribution in China. What can you conclude?"

Exhibit 1. Income distribution by city tier (% of population)

Tier	Segment	Y-5	Y0	Y+5
Tier 1 13 cities · 27% of urban GDP · 15% of urban pop.	Affluent	2	5	16
	Mainstream	6	24	71
	Value	88	67	12
	Poor	4	3	2
Tier 2 35 cities · 35% of GDP · 26% of pop.	Affluent	0	2	7
	Mainstream	1	5	67
	Value	88	86	22
	Poor	11	6	4
Tier 3 369 cities · 33% of GDP · 45% of pop.	Affluent	0	1	4
	Mainstream	0	3	43
	Value	75	81	44
	Poor	25	15	9
Tier 4 188 cities · 5% of GDP · 14% of pop.	Affluent	0	1	3
	Mainstream	0	2	24
	Value	53	64	56
	Poor	47	33	17

Read from stacked bar charts; some columns round to 99–101%.

CANDIDATE

The headline: our target customer is about to multiply. In Tier 1, where we are, Mainstream goes from 24% to about 71% of the population in five years: roughly triple. So we should get more visits and spend from existing stores and open new ones. **The bigger prize is Tiers 2 and 3**: they hold about 70% of the urban population, and Mainstream becomes most of it. **Next**, I'd check how income links to fast-food spending, map our stores against income, and test expansion into Tiers 2 and 3.

INTERVIEWER · ENGAGEMENT IMPACT

"The client asked us to look at customer engagement with the brand. The team believes that driving more customers to the restaurants will increase engagement, with a big impact on sales. Exhibit 2 shows the client's and competitors' engagement distributions and the spend per segment. What would be the impact on revenue if the client attained the same engagement distribution as its competitors?"

Exhibit 2. Customer engagement and spending

Segment	Client	Competitors	Avg. monthly spend per customer
Fully Engaged	10%	20%	$9
Engaged	20%	25%	$8
Not Engaged	50%	40%	$7
Actively Disengaged	20%	15%	$5

Fully Engaged: strong emotional attachment, won't accept substitutes, brand ambassadors. **Engaged**: attached but can be tempted by a better offer. **Not Engaged**: brand-agnostic. **Actively Disengaged**: detached, switch easily.

CANDIDATE

I'll compare average spend per customer. Today: 10% at $9, 20% at $8, 50% at $7 and 20% at $5, so **$7.00**. With competitors' mix, we gain 10 points at $9 and 5 at $8, and lose 10 at $7 and 5 at $5: **plus 35 cents, or 5%**. **So what**: it's a one-off 5%, not 8% a year. But engagement also drives word of mouth and sales per store, which helps us win the best new locations.

INTERVIEWER · ENGAGEMENT TARGET

"Based on experience, for every 0.5 percentage point increase in the share of 'Fully Engaged' customers, 'Engaged' rises by 2pp, while 'Not Engaged' and 'Actively Disengaged' fall by 2pp and 0.5pp. By how many percentage points would the Fully Engaged and Engaged shares have to rise to increase sales by 6.5%?"

> CANDIDATE
>
> **6.5% of $7 is about 46 cents.** If Fully Engaged rises by Δ, Engaged rises 4Δ, Not Engaged falls 4Δ and Disengaged falls Δ. So 9Δ plus 32Δ minus 28Δ minus 5Δ, which is **8Δ, equals 0.46**, and **Δ is about 5.75 points**. Fully Engaged goes to about 16% and Engaged to about 43%. **That doubles our engaged customers from 30% to nearly 60%, which is very ambitious.** I'd check whether any competitor has done it.

INTERVIEWER · ENGAGEMENT IDEAS

"The client is looking for ideas to improve customer engagement. What would you suggest?"

> CANDIDATE
>
> **I'd build engagement on three things.** **Loyalty**: a rewards program and products you can't get elsewhere. **Satisfaction**: great food, a great experience, fair prices. **Emotional attachment**: a brand people want to belong to, staff who know their regulars, community events, and small surprises like a free coffee.

INTERVIEWER · RECOMMENDATION

"The CEO is about to talk to the Board and wants to know what your team has found so far."

> CANDIDATE
>
> **You asked how to reach 8% growth. Our Mainstream focus lets us beat it if we open stores aggressively in the first three tiers.** Mainstream will triple in Tier 1, where we're strong, and become most of Tiers 2 and 3, home to 70% of urban China. **We also lag on engagement**: catching up is a one-off 5%, but it matters for sales per store and winning sites. **Next**: a store-opening plan, and pilots of loyalty and experience ideas.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: … / Fix: …

CASE 19 OF 26

Department Store Co

Strategy (segmentation) | Medium | ~30 min

#19 · Optional · Repeats tools you've seen · Teaches: Atypical opening (segmentation brainstorm) and comparing two campaigns by profit, not volume

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A US department store chain is losing market share. The case opens unusually, with a brainstorm on customer segmentation. The candidate then structures growth strategies, compares two marketing campaigns' profit (Trendy vs. Bargain shoppers), and proposes ways to raise Trendy shoppers' spend.

THE ANSWER IN ONE LINE, DON'T SHOW

Target the **Trendy** segment: +10pp penetration = 24M × 10% × $240 = **$576M** profit, vs. Bargain +15pp = 48M × 15% × $60 = **$432M**. Higher spend and margin beat the bigger penetration gain. Then raise Trendy spend through assortment, digital engagement and incentives.

1 Read the prompt

2–3 min

SAY

"Department Store Co. is a leading US national department store, selling apparel, footwear, home goods and kitchen supplies, online and in physical stores."

"Despite its historic leadership, it faces a declining department store sector: less foot traffic, shrinking profitability, and more competition from e-commerce and digitally native brands."

"It has recently lost market share. The team has been asked to identify the key customer segments in the market and choose which ones to focus on to improve profitability."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's the time frame?	"Strategies that can be implemented within the next three years."
Can they enter new businesses or countries?	"No. The goal is to increase market share and profitability of the existing business, not new opportunities or geographies."
Online and offline? ADDED	"Both: it operates stores and a website."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: lost market share; find and choose customer segments
- [ ] Asks about time frame (3 years)
- [ ] Asks about scope (existing business only)

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> To recap: Department Store Co. is a US leader in a declining sector, losing share to e-commerce and digital brands. **We need to find the key customer segments and pick which ones to focus on to improve profitability.** Could I ask what time frame we have, and whether new businesses or countries are in scope?

2 Segment brainstorm

4 min

SAY

"Let's start with a brainstorm. Department Store Co. wants to understand the different groups, or 'segments', of customers that shop at its stores and website. What attributes would you consider when thinking about groups of people it might target?"

HOW TO STEER

- Original case: after the attributes, ask the candidate to propose 3 or 4 customer segments.
- Explain that a segment is usually a mix of demographic, behavioral and attitudinal attributes, e.g. 'female shoppers over 60'.
- Steer them if needed toward both qualitative and quantitative attributes. There's no single correct answer.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Groups attributes: demographic, attitudinal, behavioral
- [ ] Then proposes 3–4 named segments

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Demographic: age, gender
- [ ] Demographic: household income
- [ ] Demographic: life stage (student, professional, parent)
- [ ] Attitude: fashion interest (trendy, classic, disengaged)
- [ ] Attitude: price sensitivity vs. brand loyalty
- [ ] Attitude: quality vs. affordability
- [ ] Attitude: convenience, sustainability, exclusivity
- [ ] Behavior: annual spend at department stores
- [ ] Behavior: breadth of retailers shopped
- [ ] Behavior: channel (in-store, online, omnichannel)
- [ ] Behavior: frequency and returns

ASK IF THEIR ANSWER IS THIN

- "Now name 3 or 4 segments using those attributes."

ANSWER KEY, DON'T SHOW

Demographic (age, gender, income, life stage), **attitudinal** (fashion interest, price sensitivity vs. loyalty, quality vs. affordability, convenience, sustainability, exclusivity), **behavioral** (annual spend, breadth of retailers, channel, frequency and returns). Example segments: **Trendy Student** (<30, frequent, trend-led, price-conscious, omnichannel); **Classic Parent** (45+, household shopper, quality over trend, in-store); **Value Hunter** (all ages, price-sensitive, low loyalty, many channels).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Three types of attributes
2. Examples of each
3. Combine into 3–4 named segments

Phrases to listen for: "I'd group attributes into three types."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd group attributes into three types.** **Who they are**: age, gender, income, life stage. **What they value**: fashion interest, price versus brand loyalty, quality versus affordability, convenience. **How they shop**: annual spend, how many retailers they use, online or in-store, how often they buy and return. **Combining them, I'd see three segments**: the Trendy Student, young and trend-led; the Classic Parent, 45-plus, quality-first and in-store; and the Value Hunter, price-driven at any age.

3 Structure: growth strategies

3 min

SAY

"What are some strategies Department Store Co. could pursue to increase its market share and address its challenges?"

HOW TO STEER

- Original case: if the candidate starts brainstorming, guide them to organize their ideas after the first few.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures: more customers × more visits × more spend per visit
- [ ] Concrete ideas in each

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Customers: expand digital (e-commerce, mobile, pop-ups)
- [ ] Customers: target younger segments (influencers, social)
- [ ] Customers: new categories (beauty, wellness)
- [ ] Customers: tailored messaging per shopper type
- [ ] Frequency: loyalty program
- [ ] Frequency: win back lapsed customers
- [ ] Frequency: omnichannel (click-and-collect, easy returns)
- [ ] Spend: bundles and lifestyle collections
- [ ] Spend: personalized promotions
- [ ] Spend: broader assortment (accessories, home)

ANSWER KEY, DON'T SHOW

1. More customers: digital channels and pop-ups, younger segments via influencers and social, new categories, tailored messaging. **2. More frequent visits**: loyalty program, win back lapsed customers, better omnichannel. **3. Higher spend per visit**: bundles and collections, personalized promotions, wider assortment.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Customers × visits × spend per visit
2. 2–4 ideas each

Phrases to listen for: "Sales are customers times visits times spend per visit."

EXAMPLE ANSWER, SAID OUT LOUD

> **Sales are customers times visits times spend per visit, so I'd grow each.** **More customers**: stronger digital, influencers to reach younger shoppers, new categories like beauty. **More visits**: a loyalty program, win-back offers, and easy click-and-collect and returns. **More spend**: bundles and curated collections, personalized promotions, and a broader assortment.

4 Trendy vs. Bargain

6 min

SAY

"Given time and resources, the client wants to focus on increasing share among lower-penetration segments. Internal research identified three segments that together make up the market. The marketing team believes a campaign could achieve either +10pp penetration among Trendy shoppers (30% → 40%) or +15pp among Bargain shoppers (30% → 45%). With equal marketing costs, and only penetration changing, which option generates more additional profit?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBITS 1 AND 2).

Exhibit 1. Overview of customer segments

Segment	Age group	Fashion focus	Price sensitivity
Bargain	All ages	Low: durability and basics over style	High
Classic	45+	Medium: timeless, high-quality clothing	Low
Trendy	<30	High: seasonal, fashion-forward looks	Moderate

Exhibit 2. Segment share and profitability

Segment	% of US households	Avg. spend per year at dept. stores	% of spend at Dept. Store Co.	Avg. COGS per customer
Bargain	40%	$200	30%	$140
Classic	40%	$1,000	60%	$650
Trendy	20%	$600	30%	$360

Assume 120M households, one shopper each; fixed costs don't change.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Formula: households × segment share × penetration gain × profit per customer
- [ ] Bargain: 48M × 15% × ($200 – $140) = $432M
- [ ] Trendy: 24M × 10% × ($600 – $360) = $576M
- [ ] Choose Trendy: higher spend and margin beat the larger gain
- [ ] Next: test whether +10pp is feasible; pilot

IF THEY SAY... YOU SAY

Uses spend instead of profit	"Which number tells you what we keep from each customer?"

ANSWER KEY, DON'T SHOW

```
Bargain: 120M × 40% = 48M × 15% × ($200 – $140 = $60) = $432M
Trendy:  120M × 20% = 24M × 10% × ($600 – $360 = $240) = $576M
```

Prioritize **Trendy**: a smaller penetration gain, but 4× the profit per customer. Next: validate the 10pp assumption with a pilot and track segment performance.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many Trendy shoppers are there?"
2. "How much profit does one Trendy shopper bring?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Formula
2. Each segment
3. Pick and why
4. Validate

Phrases to listen for: "Each Trendy shopper is worth four times as much."

EXAMPLE ANSWER, SAID OUT LOUD

> **Extra profit is shoppers times penetration gain times profit per shopper.** **Bargain**: 48 million households, plus 15 points, times $60 profit each, is **$432 million**. **Trendy**: 24 million, plus 10 points, times $240, is **$576 million**. **So Trendy wins**: a smaller gain, but each shopper is worth four times as much. I'd validate the 10-point assumption with a pilot.

5 Raising Trendy spend

3 min

SAY

"We've looked at increasing Trendy penetration. The client now wants a second lever: increasing average spend per customer. What specific strategies could raise the annual spend of Trendy shoppers?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Three levers: product assortment, digital engagement, purchase incentives
- [ ] Ideas fit young, trend-led shoppers

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Limited-edition capsule collections and drops
- [ ] Adjacent high-margin categories (accessories, beauty, wellness)
- [ ] 'Shop the look' bundles
- [ ] Personalized recommendations and promotions
- [ ] AI styling and virtual try-on
- [ ] User-generated content and influencer proof
- [ ] Tiered points-based loyalty
- [ ] Time-limited spend offers
- [ ] CRM to re-engage lapsed Trendy shoppers

ANSWER KEY, DON'T SHOW

Assortment: capsule drops, high-margin adjacencies (accessories, beauty, wellness), 'shop the look' bundles. **Digital engagement**: personalized recommendations, AI styling and virtual try-on, social proof. **Purchase incentives**: tiered loyalty, time-limited spend offers, CRM win-back.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Assortment
2. Digital
3. Incentives

Phrases to listen for: "Three levers."

EXAMPLE ANSWER, SAID OUT LOUD

> Three levers. Assortment: limited-edition drops, accessories and beauty, and 'shop the look' bundles. Digital: personalized recommendations, virtual try-on, and influencer and customer content. Incentives: tiered loyalty points, time-limited spend offers, and win-back offers for lapsed shoppers.

6 Recommendation

1–2 min

SAY

"You run into the CEO in the cafeteria at the client site. She asks what you think about Department Store Co.'s ability to increase market share and profitability. What do you tell her?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Restates the question
- [ ] Answer: clear opportunity in the under-penetrated, high-margin Trendy segment
- [ ] Strong in Classic; pressure from digital players among the young
- [ ] Trendy: 20% of market, we capture 30% of spend; +10pp ≈ $576M
- [ ] No silver bullet: marketing, fast-moving product, digital
- [ ] Next: pilot and scale; digital and personalization; longer-term levers; adapt to other segments

ANSWER KEY, DON'T SHOW

"There's a clear opportunity: the under-penetrated but high-margin Trendy segment. We're strong with Classic shoppers, but digital-first players are pressuring us with younger customers. Trendy is 20% of households and we capture only 30% of their spend; raising that to 40% would add about $576M in profit. There's no silver bullet, but tailored marketing, fast-moving products and a better digital experience can get us there. Next: pilot and scale Trendy initiatives, invest in personalization, look at longer-term levers like partnerships or new formats, and see which ideas could grow share of wallet in our other segments."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer: the Trendy opportunity
2. Context: strengths and threats
3. The number
4. How
5. Next steps

Phrases to listen for: "There's a clear opportunity in the Trendy segment."

EXAMPLE ANSWER, SAID OUT LOUD

> **There's a clear opportunity in the Trendy segment.** We're strong with Classic shoppers, but digital players are taking young customers. Trendy is 20% of households and we capture only 30% of their spend; **reaching 40% adds about $576 million of profit**. No silver bullet, but tailored marketing, fast-moving products and a better digital experience will get us there. **Next**: pilot these ideas, invest in personalization, and test which could work for our other segments.

▼ Show the full sample interview

INTERVIEWER

"Department Store Co. is a leading US national department store, selling apparel, footwear, home goods and kitchen supplies, online and in physical stores."

"Despite its historic leadership, it faces a declining department store sector: less foot traffic, shrinking profitability, and more competition from e-commerce and digitally native brands."

"It has recently lost market share. The team has been asked to identify the key customer segments in the market and choose which ones to focus on to improve profitability."

> CANDIDATE
>
> **To recap**: Department Store Co. is a US leader in a declining sector, losing share to e-commerce and digital brands. **We need to find the key customer segments and pick which ones to focus on to improve profitability.** Could I ask what time frame we have, and whether new businesses or countries are in scope?

INTERVIEWER · SEGMENT BRAINSTORM

"Let's start with a brainstorm. Department Store Co. wants to understand the different groups, or 'segments', of customers that shop at its stores and website. What attributes would you consider when thinking about groups of people it might target?"

> CANDIDATE
>
> **I'd group attributes into three types.** **Who they are**: age, gender, income, life stage. **What they value**: fashion interest, price versus brand loyalty, quality versus affordability, convenience. **How they shop**: annual spend, how many retailers they use,

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INTERVIEWER · STRUCTURE: GROWTH STRATEGIES

"What are some strategies Department Store Co. could pursue to increase its market share and address its challenges?"

CANDIDATE

Sales are customers times visits times spend per visit, so I'd grow each. **More customers**: stronger digital, influencers to reach younger shoppers, new categories like beauty. **More visits**: a loyalty program, win-back offers, and easy click-and-collect and returns. **More spend**: bundles and curated collections, personalized promotions, and a broader assortment.

INTERVIEWER · TRENDY VS. BARGAIN

"Given time and resources, the client wants to focus on increasing share among lower-penetration segments. Internal research identified three segments that together make up the market. The marketing team believes a campaign could achieve either +10pp penetration among Trendy shoppers (30% → 40%) or +15pp among Bargain shoppers (30% → 45%). With equal marketing costs, and only penetration changing, which option generates more additional profit?"

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INTERVIEWER · RAISING TRENDY SPEND

"We've looked at increasing Trendy penetration. The client now wants a second lever: increasing average spend per customer. What specific strategies could raise the annual spend of Trendy shoppers?"

CANDIDATE

Three levers. **Assortment**: limited-edition drops, accessories and beauty, and 'shop the look' bundles. **Digital**: personalized recommendations, virtual try-on, and influencer and customer content. **Incentives**: tiered loyalty points, time-limited spend offers, and win-back offers for lapsed shoppers.

INTERVIEWER · RECOMMENDATION

"You run into the CEO in the cafeteria at the client site. She asks what you think about Department Store Co.'s ability to increase market share and profitability. What do you tell her?"

CANDIDATE

There's a clear opportunity in the Trendy segment. We're strong with Classic shoppers, but digital players are taking young customers. Trendy is 20% of households and we capture only 30% of their spend; **reaching 40% adds about $576 million of profit**. No silver bullet, but tailored marketing, fast-moving products and a better digital experience will get us there. **Next**: pilot these ideas, invest in personalization, and test which could work for our other segments.

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Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 20 OF 26

In-flight Wi-Fi

Market entry | Medium | ~30 min

#20 · Optional · Repeats tools you've seen · Teaches: Sizing a one-off retrofit pool vs. a recurring flow, and S-curve adoption

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

The leading supplier of cockpit communication equipment wants to sell in-flight Wi-Fi equipment, both for new planes and to retrofit existing ones. The candidate sizes the market from fleet and production charts, judges how fast retrofits will be adopted (an S-curve), and works out how to convince a reluctant low-cost airline.

THE ANSWER IN ONE LINE, DON'T SHOW

New aircraft: 1,200 × $1.5M = **$1.8B a year**. Retrofit: 70% of 38,000 = 26,600 planes × $1.5M ≈ **$40B one-off**; at +5pp adoption a year ≈ **$2.85B** in Year N. Total ≈ **$4.65B** (~70% of SkyCo's $7B sales). Recommend preparing entry, with a stage-gated investment.

1 Read the prompt

2–3 min

SAY

"Your client, SkyCo, is the leading telecommunications equipment supplier to aviation. Its hardware and software let pilots talk to air traffic controllers, and it works with major aircraft makers like Airbus and Boeing."

"SkyCo wants to accelerate revenue growth and is considering entering the in-flight Wi-Fi equipment market. It would supply hardware and software to aircraft makers for new aircraft, and to airlines to retrofit existing aircraft without Wi-Fi."

"The equipment is a one-time installation that lasts the aircraft's lifetime, with no ongoing maintenance. Airlines control the passenger Wi-Fi service and may earn money from it; that revenue is out of scope."

"SkyCo has asked for your support in evaluating this opportunity."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How big is SkyCo?	"The leading player in aviation telecom equipment, with ~$7B in sales last year."
What's the objective?	"Significant revenue growth without hurting overall profitability. No specific revenue target."
Can they build it?	"It would need end-to-end development, but R&D is confident: the technology is simpler than SkyCo's current products."
Which geography?	"It's a global opportunity."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: two customer groups (new aircraft, retrofits), one-time sale
- [ ] Asks about objective and SkyCo's size
- [ ] Asks about technical capability

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** SkyCo leads in cockpit communication equipment and wants to grow by selling in-flight Wi-Fi equipment, to manufacturers for new planes and to airlines for retrofits. It's a one-time sale per plane. **The question is whether to enter.** Could I ask how big SkyCo is, what the objective is, and whether it has the technical capability?

2 Framework

3 min

SAY

"How should we evaluate this opportunity?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Market attractiveness: size (new vs. retrofit) and growth
- [ ] SkyCo's ability to win: customers' needs, competitors, differentiation
- [ ] Profitability: investment, revenue, running costs
- [ ] Capabilities and risks

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Market: size (new aircraft, retrofits)
- [ ] Market: growth and its drivers
- [ ] Customers: manufacturers (cost, reliability, weight, space)
- [ ] Customers: airlines (same, plus fast installation)
- [ ] Competitors vs. purchase criteria
- [ ] SkyCo's edge
- [ ] Profit: initial investment (R&D, factories)
- [ ] Profit: revenue
- [ ] Profit: fixed and variable running costs
- [ ] Capabilities: Wi-Fi and satellite R&D for aviation, low-cost manufacturing
- [ ] Risks: R&D overrun, disruption, competitive response, air-travel shocks

ASK IF THEIR ANSWER IS THIN

- "What do airlines care about that manufacturers don't?"

ANSWER KEY, DON'T SHOW

1. Is the market attractive? Size (new aircraft, retrofits) and growth (drivers, sustainability). **2. Can SkyCo win?** Customers and their criteria (manufacturers: cost, reliability, weight, space; airlines: also fast installation), competitors, SkyCo's edge. **3. Is it profitable?** Investment, revenue, running costs. **4. Capabilities and risks**: aviation-grade Wi-Fi R&D and manufacturing; R&D overruns, disruption, competitor response, air-travel shocks.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Market attractive?
2. Can we win?
3. Profitable?
4. Capabilities and risks

Phrases to listen for: "I'd ask four questions."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd ask four questions.** **Is the market attractive?** Its size, from new planes and retrofits, and its growth. **Can SkyCo win?** What manufacturers and airlines each need, such as cost, weight, reliability and fast installation, and how SkyCo compares to competitors. **Is it profitable?** Investment, revenue and running costs. **What capabilities and risks** are involved? **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness	Customer segmentation & needs	Competitive landscape	Company capabilities
• New aircraft vs. retrofit • Growth, adoption	• Manufacturers vs. airlines	• Rivals vs. purchase criteria	• R&D, manufacturer relationships

The case's four questions match the book's market-entry buckets almost one for one; the book splits Customers out explicitly.

3 Market size

6 min

SAY

"Let's estimate the revenue potential. Based on Exhibits 1 and 2, can you estimate the potential market size (in $) for in-flight Wi-Fi equipment globally, in Year N?"

HOW TO STEER

- Original case: the candidate should size both new aircraft and retrofits.
- For the annual retrofit market they need a yearly uptake. If they need a hint, suggest using the speed of adoption. Slightly different answers are fine with different assumptions.

GIVE ONLY WHEN: EXHIBITS RIGHT AWAY; THE PRICE IF ASKED.

Exhibit 1. Commercial passenger aircraft: worldwide fleet and in-flight Wi-Fi adoption

Year	N-9	N-8	N-7	N-6	N-5	N-4	N-3	N-2	N-1	N (today)
Fleet (aircraft)	32,300	32,900	33,500	34,100	34,500	35,000	35,800	36,500	37,300	38,000
Wi-Fi adoption	5%	6%	7%	9%	11%	14%	17%	21%	25%	30%

Exhibit 2. Annual production of new commercial passenger aircraft

Year	N-9	N-8	N-7	N-6	N-5	N-4	N-3	N-2	N-1	N
New aircraft	740	800	860	920	1,000	1,050	1,070	1,100	1,120	1,200

If asked: price per unit today (Year N) is **$1.5M**.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Segments: new aircraft vs. retrofit
- [ ] New: 1,200 × $1.5M = $1.8B a year (assumes 100% equipped)
- [ ] Retrofit stock: 70% × 38,000 = 26,600 × $1.5M ≈ $40B one-off
- [ ] Year N retrofits: adoption +5pp → 38,000 × 5% × $1.5M = $2.85B
- [ ] Total ≈ $4.65B, ~70% of SkyCo's sales
- [ ] Caveats: not every plane needs Wi-Fi; price may fall; retrofit is one-off; production growing

ANSWER KEY, DON'T SHOW

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New aircraft: 1,200 × $1.5M = $1.8B a year
Retrofit pool: 70% × 38,000 = 26,600 × $1.5M ≈ $39.9B (one-off, over years)
Year N retrofits: 38,000 × 5% (adoption +5pp) × $1.5M = $2.85B
Year N total ≈ $4.65B (vs. SkyCo's ~$7B)
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Caveats: assumes 100% adoption (low-cost or short-haul planes may skip it) and a stable price (it may fall with competition). New-aircraft demand grows with production; the retrofit market is one-off and depends on adoption speed.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What are the two sources of demand?"
2. "How many planes got Wi-Fi last year? Look at the adoption line."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two sources

2. New aircraft
3. Retrofit pool and this year's share
4. Total vs. SkyCo
5. Caveats

Phrases to listen for: "Two sources of demand."

EXAMPLE ANSWER, SAID OUT LOUD

> **Two sources of demand.** **New planes**: 1,200 a year at $1.5M each is **$1.8 billion a year**, if all are equipped. **Retrofits**: 70% of the 38,000-plane fleet has no Wi-Fi, so 26,600 planes, **about $40 billion** in total over many years. Adoption rose 5 points last year, so this year that's 1,900 planes, **$2.85 billion**. **Total: about $4.65 billion this year**, close to 70% of SkyCo's sales. **So it's large**, but retrofits are one-off and prices may fall.

4 Retrofit adoption speed

4 min

SAY

"Let's dive into the retrofit opportunity: equipping existing aircraft. How fast do you think this market will be captured, and what factors, positive and negative, would influence the speed of adoption?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] S-curve: slow, then fast, then saturation
- [ ] Accelerators and barriers
- [ ] Uses the data: +1pp (N-8), +3pp (N-3), +5pp (N): still accelerating
- [ ] Estimate: retrofit unfolds over ~10–15 years

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Accelerator: passengers expect connectivity
- [ ] Accelerator: airline competition and differentiation
- [ ] Accelerator: ancillary revenue
- [ ] Accelerator: partnerships, bundled retrofits
- [ ] Accelerator: falling costs
- [ ] Barrier: $1.5M upfront capex
- [ ] Barrier: grounding during installation
- [ ] Barrier: logistics across varied fleets
- [ ] Barrier: downturns, fuel shocks
- [ ] Barrier: uneven regulation

ASK IF THEIR ANSWER IS THIN

- "What does the adoption trend tell you about where we are on the curve?"

ANSWER KEY, DON'T SHOW

Expect an **S-curve**. **Accelerators**: passenger expectations, airline competition, ancillary revenue, partnerships with makers or lessors, falling costs. **Barriers**: $1.5M upfront per plane, grounding time, logistics across mixed fleets, economic shocks, uneven regulation. Adoption grew +1pp in N-8, +3pp in N-3 and +5pp in N: **still accelerating**. A realistic estimate: the retrofit market unfolds over **10–15 years**, accelerating for a few more years before slowing.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. S-curve
2. Accelerators
3. Barriers
4. What the data shows

5. Estimate

Phrases to listen for: "I'd expect an S-curve."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd expect an S-curve**: slow, then fast, then flattening. **Accelerators**: passengers expect Wi-Fi, airlines compete on it, it can earn money, and costs fall. **Barriers**: $1.5M per plane, grounding time, mixed fleets and economic shocks. **The data says we're accelerating**: adoption grew 1 point a year early on, 3 points mid-period and 5 last year. **So I'd expect the retrofit market to play out over 10 to 15 years.**

5 Convincing a low-cost airline

3 min

SAY

"Imagine a low-cost airline's CEO is reluctant to invest in Wi-Fi equipment. How could SkyCo convince them?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Reframe Wi-Fi as a strategic asset, not a cost
- [ ] Address the upfront cost and downtime concerns

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Flexible pricing: revenue-sharing or leasing
- [ ] Ancillary revenue: paid access, ads, e-commerce
- [ ] Operational gains: real-time flight data, crew tools
- [ ] Customer experience and competitiveness
- [ ] Quick-install, lightweight equipment

ANSWER KEY, DON'T SHOW

Reframe Wi-Fi as a **strategic asset**: flexible pricing (revenue-sharing, leasing) to avoid upfront cost; ancillary revenue from paid access, ads and e-commerce; operational gains (real-time data, crew tools); better customer experience; fast-install, lightweight kits to cut downtime.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Reframe as investment
2. Remove upfront cost
3. Show revenue and operational gains
4. Reduce downtime

Phrases to listen for: "I'd sell Wi-Fi as an investment, not a cost."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd sell Wi-Fi as an investment, not a cost.** Remove the upfront hit with **leasing or revenue-sharing**. Show the **new revenue** from paid access, ads and onboard shopping. Add **operational benefits** like real-time data for crews. And offer a **light, quick-install kit** so planes aren't grounded for long.

6 Recommendation

1–2 min

SAY

"What is your recommendation to your client at this stage, and what are the next steps?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: investigate further and prepare to enter
- [ ] ~$4.65B a year (~70% of current revenue); ~$40B retrofit pool, adoption accelerating
- [ ] Relationships with manufacturers; technology within capability
- [ ] Caveats: upfront investment, high unit price, retrofit is one-off
- [ ] Next: business case, competitors, customer interviews, operating model, stage-gated plan

ANSWER KEY, DON'T SHOW

"You asked us to evaluate in-flight Wi-Fi. I'd recommend preparing to enter: the market is about $4.65B a year, nearly 70% of SkyCo's revenue, with a ~$40B retrofit pool and accelerating adoption. SkyCo already has relationships with aircraft makers and the technology is within its R&D capabilities. Caveats: significant upfront investment, a high $1.5M price that requires convincing customers, and a retrofit market that eventually ends, so plan recurring revenue early. Next: a detailed business case, a competitor map, customer interviews, an operating model, and a stage-gated investment plan."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first
2. Size and growth
3. Right to win
4. Caveats
5. Next steps

Phrases to listen for: "I'd recommend SkyCo prepares to enter."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd recommend SkyCo prepares to enter.** The market is about $4.65 billion a year, nearly 70% of its revenue, with a $40 billion retrofit pool and accelerating adoption. It already knows the manufacturers, and the technology is within reach. **Caveats**: big upfront investment, a high price to justify, and retrofits that eventually run out. **Next**: a full business case, a competitor map, customer interviews, and a stage-gated investment plan.

▼ Show the full sample interview

INTERVIEWER

"Your client, SkyCo, is the leading telecommunications equipment supplier to aviation. Its hardware and software let pilots talk to air traffic controllers, and it works with major aircraft makers like Airbus and Boeing."

"SkyCo wants to accelerate revenue growth and is considering entering the in-flight Wi-Fi equipment market. It would supply hardware and software to aircraft makers for new aircraft, and to airlines to retrofit existing aircraft without Wi-Fi."

"The equipment is a one-time installation that lasts the aircraft's lifetime, with no ongoing maintenance. Airlines control the passenger Wi-Fi service and may earn money from it; that revenue is out of scope."

"SkyCo has asked for your support in evaluating this opportunity."

CANDIDATE

> **Let me make sure I understand.** SkyCo leads in cockpit communication equipment and wants to grow by selling in-flight Wi-Fi equipment, to manufacturers for new planes and to airlines for retrofits. It's a one-time sale per plane. **The question is whether to enter.** Could I ask how big SkyCo is, what the objective is, and whether it has the technical capability?

INTERVIEWER · FRAMEWORK

"How should we evaluate this opportunity?"

CANDIDATE

> **I'd ask four questions. Is the market attractive?** Its size, from new planes and retrofits, and its growth. **Can SkyCo win?** What manufacturers and airlines each need, such as cost, weight, reliability and fast installation, and how SkyCo compares to competitors. **Is it profitable?** Investment, revenue and running costs. **What capabilities and risks** are involved? **Does that sound good?**

INTERVIEWER · MARKET SIZE

"Let's estimate the revenue potential. Based on Exhibits 1 and 2, can you estimate the potential market size (in $) for in-flight Wi-Fi equipment globally, in Year N?"

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If asked: price per unit today (Year N) is **$1.5M**.

CANDIDATE

Two sources of demand. **New planes**: 1,200 a year at $1.5M each is **$1.8 billion a year**, if all are equipped. **Retrofits**: 70% of the 38,000-plane fleet has no Wi-Fi, so 26,600 planes, **about $40 billion** in total over many years. Adoption rose 5 points last year, so this year that's 1,900 planes, **$2.85 billion**. **Total: about $4.65 billion this year**, close to 70% of SkyCo's sales. **So it's large**, but retrofits are one-off and prices may fall.

INTERVIEWER · RETROFIT ADOPTION SPEED

"Let's dive into the retrofit opportunity: equipping existing aircraft. How fast do you think this market will be captured, and what factors, positive and negative, would influence the speed of adoption?"

CANDIDATE

I'd expect an S-curve: slow, then fast, then flattening. **Accelerators**: passengers expect Wi-Fi, airlines compete on it, it can earn money, and costs fall. **Barriers**: $1.5M per plane, grounding time, mixed fleets and economic shocks. **The data says we're accelerating**: adoption grew 1 point a year early on, 3 points mid-period and 5 last year. **So I'd expect the retrofit market to play out over 10 to 15 years.**

INTERVIEWER · CONVINCING A LOW-COST AIRLINE

"Imagine a low-cost airline's CEO is reluctant to invest in Wi-Fi equipment. How could SkyCo convince them?"

CANDIDATE

I'd sell Wi-Fi as an investment, not a cost. Remove the upfront hit with **leasing or revenue-sharing**. Show the **new revenue** from paid access, ads and onboard shopping. Add **operational benefits** like real-time data for crews. And offer a **light, quick-install kit** so planes aren't grounded for long.

INTERVIEWER · RECOMMENDATION

"What is your recommendation to your client at this stage, and what are the next steps?"

CANDIDATE

I'd recommend SkyCo prepares to enter. The market is about $4.65 billion a year, nearly 70% of its revenue, with a $40 billion retrofit pool and accelerating adoption. It already knows the manufacturers, and the technology is within reach. **Caveats**: big upfront investment, a high price to justify, and retrofits that eventually run out. **Next**: a full business case, a competitor map, customer interviews, and a stage-gated investment plan.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 21 OF 26

MENA Stream

AI, Growth strategy | Medium | ~30 min

#21 · Optional · Repeats tools you've seen · Teaches: AI where-to-play from a 3-dimension bubble chart, then a unit business case

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A Middle East video streaming platform piloted an AI engine that targets ads better. The candidate frames a where-to-play decision (which advertiser segments and markets), reads a bubble chart of pilot results, builds the FMCG business case, and suggests ways to improve the economics before a selective rollout.

THE ANSWER IN ONE LINE, DON'T SHOW

Prioritize **Telecom and FMCG** (big revenue pools, good uplift, manageable cost-to-serve); Luxury is attractive but small; SMEs are expensive to serve. FMCG case: revenue $21M → ~$28.6M (+$7.6M), minus $2.0M inference and $1.6M support = **~$4M net benefit**. Recommend **scaling selectively, starting with FMCG**, while testing premium pricing or minimum spend thresholds.

1 Read the prompt

2–3 min

SAY

"Your client, StreamCo, runs an ad-supported video streaming platform across the Middle East."

"They have piloted an AI-powered ad targeting engine that improves ad targeting for advertisers on the platform."

"They now need to decide whether to scale the AI targeting engine across MENA, which advertiser segments and markets to prioritize, and the optimal rollout model to maximize returns."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How does StreamCo make money?	"Users pay a low subscription fee in exchange for seeing ads. Advertisers pay StreamCo to show ads, and StreamCo earns more when it sells more ad space and targets ads better."
What's in scope?	"Only whether and how to scale this AI targeting product."
Could they move to non-targeted ads instead?	"No, that's out of scope. The client is committed to targeted ads as the core model."
How did the pilot go? ADDED	"We'll look at the pilot results shortly."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back the three decisions: whether to scale, where (segments, markets), and how (rollout model)
- [ ] Asks how StreamCo makes money from ads
- [ ] Clarifies scope (targeted ads only)

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** StreamCo runs an ad-supported streaming platform in the Middle East and has piloted an AI engine for better ad targeting. **There are really three questions: whether to scale it, where first, and how to roll it out.** Could I ask how StreamCo makes money from ads, and whether anything is out of scope?

2 Framework

3 min

SAY

"Which hypotheses would you test to decide whether and how StreamCo should scale the AI ad-targeting engine across MENA?"

HOW TO STEER

- Original case: a generic 'revenues vs. costs' structure is not enough on its own. A strong candidate frames this as a where-to-play decision: which advertiser segments and markets are most attractive.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Revenue upside: price per impression, retention and spend; is the uplift meaningful?
- [ ] Cost to scale: AI processing, sales and support costs; do benefits exceed costs?
- [ ] Prioritization: which segments and markets benefit most; is value broad or concentrated?
- [ ] Execution risks: operations across markets, data protection, low-value segments diluting returns

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Revenue: incremental revenue (price per impression, retention, spend)
- [ ] Revenue: is the uplift meaningful for the economics?
- [ ] Cost: incremental technology and AI processing costs
- [ ] Cost: extra sales, support and operating costs
- [ ] Cost: do benefits outweigh the full cost to scale?
- [ ] Prioritize: which advertiser segments benefit most
- [ ] Prioritize: which MENA markets to scale first
- [ ] Prioritize: broad-based or concentrated value
- [ ] Risk: operational ability to scale across markets
- [ ] Risk: data-protection rules varying by market
- [ ] Risk: low-value segments diluting returns

ASK IF THEIR ANSWER IS THIN

- "Would every advertiser benefit equally?"
- "What could make the rollout fail even if the economics work?"

IF THEY SAY… YOU SAY

Gives only revenue vs. costs	"Fine, but where should StreamCo play? Which advertisers and countries first?"

ANSWER KEY, DON'T SHOW

1. Revenue upside (price per impression, advertiser retention and spend; is it meaningful?). **2. Cost to scale** (AI processing, sales and support; do benefits outweigh costs?). **3. Prioritization by segment and market** (who benefits most, which markets first, broad or concentrated?). **4. Execution risks** (operations across markets, data protection, dilution from low-value segments).

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Is this decision 'yes or no', or also 'where first'?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Frame as whether + where + how
2. Revenue upside

3. Cost to scale
4. Prioritization by segment and market
5. Execution risks

Phrases to listen for: "I'd test four hypotheses." · "This is really a where-to-play decision."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd test four hypotheses.** **One, the revenue upside is meaningful**: higher prices per impression and more advertiser spend. **Two, the benefits outweigh the cost to scale**: AI processing plus sales and support. **Three, the value is concentrated** in certain advertiser segments and markets, which decides where we play first. **Four, we can execute**: operating across markets, data-protection rules, and not diluting returns with low-value advertisers. **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Customer segmentation & needs	Financial considerations	Market attractiveness	Risks & mitigations
• Which advertiser segments gain most • Revenue pool by segment	• Incremental revenue (price, monetization) • Inference, sales and support costs	• Which MENA markets first	• Privacy rules by market • Low-value segments diluting returns

The case insists on a where-to-play decision: the book's Customer segmentation bucket is what makes this framework strong.

3 Which segments?

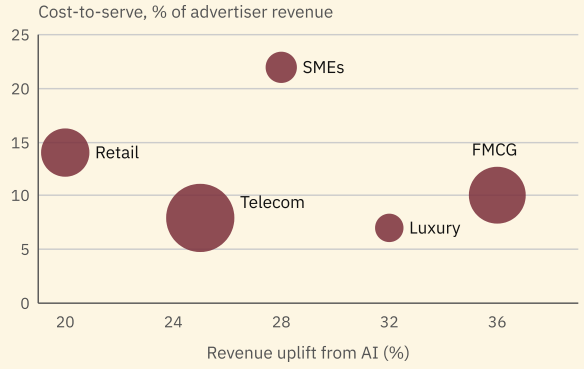
4 min

SAY

"The client has segmented its advertiser base into five categories: Telecom, FMCG, Retail, Luxury and SMEs. Here's a chart from the pilot. What stands out, and which segments would you prioritize?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Advertiser segments: pilot results (bubble size = current advertiser revenue base)



Segment	Revenue uplift from AI	Cost-to-serve (% of revenue)	Revenue base
Retail	~20%	~14%	Medium
Telecom	~25%	~8%	Largest
SMEs	~28%	~22%	Small
Luxury	~32%	~7%	Small
FMCG	~36%	~10%	Large

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Reads all three dimensions: uplift, cost-to-serve, revenue pool
- [ ] Telecom and FMCG most attractive: high uplift, big pools, manageable cost
- [ ] Luxury attractive per account but too small to move the needle
- [ ] SMEs expensive to serve with a small base, despite decent uplift
- [ ] Retail in the middle
- [ ] Value is concentrated, not across the whole base

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Telecom and FMCG: high uplift + largest pools + manageable cost
- [ ] Luxury: strong uplift, low cost, but too small
- [ ] SMEs: expensive to serve, small base
- [ ] Retail: some upside, less compelling
- [ ] Overall: value concentrated in Telecom and FMCG

ASK IF THEIR ANSWER IS THIN

- "What does the size of each bubble tell you?"
- "Why not Luxury, with high uplift and low cost?"

IF THEY SAY... YOU SAY

Picks Luxury first	"Look at the size of the bubble. Would it move the needle?"

ANSWER KEY, DON'T SHOW

Telecom and FMCG are most attractive: relatively high uplift, the largest revenue pools, manageable cost-to-serve. **Luxury** is attractive per account (strong uplift, low cost) but too small. **SMEs** are expensive to serve with a small base. **Retail** is in the middle. Most of the value sits in Telecom and FMCG, not across the whole base.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "There are three things on this chart. What are they?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Name the three dimensions on the chart
2. Best segments and why
3. Attractive-but-small and expensive segments
4. So what: value is concentrated

Phrases to listen for: "The chart shows three things: uplift, cost-to-serve, and the size of each pool."

EXAMPLE ANSWER, SAID OUT LOUD

> The chart shows three things: uplift, cost-to-serve, and the size of each revenue pool. Telecom and FMCG stand out: good uplift, the biggest pools, and manageable cost. Luxury looks great per account, but it's too small to move the needle. SMEs cost too much to serve for a small base. Retail is in the middle. So the value is concentrated in Telecom and FMCG.

4 FMCG business case

6 min

SAY

"The client wants to know whether the business case works for one of the most promising segments: FMCG. Here are the economics. Is the business case attractive?"

HOW TO STEER

- Original case: if the candidate is unsure how to calculate revenue from the data, supply the formulas below.

GIVE ONLY WHEN: EXHIBIT RIGHT AWAY; THE FORMULAS ONLY IF THEY'RE UNSURE.

Exhibit 2. Economics of scaling the AI engine (annual)

Metric	FMCG
Total ad impressions available	4.0bn
Monetized impressions (% of total)	75%
Current price per 1,000 impressions	$7
AI impact on % monetized	+10 pp
AI impact on price	+20%
Inference cost per 1,000 impressions processed	$0.50
Incremental sales & support cost	$1.6M

All impressions are AI-processed. If needed: Revenue = monetized impressions ÷ 1,000 × price per 1,000; monetized impressions = total × % monetized.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] States the plan: incremental revenue minus inference and support costs
- [ ] Current revenue: 4.0bn × 75% ÷ 1,000 × $7 = $21M
- [ ] Post-AI: 4.0bn × 85% ÷ 1,000 × $8.40 ≈ $28.6M → +$7.6M
- [ ] Inference: 4.0bn ÷ 1,000 × $0.50 = $2.0M
- [ ] Net: 7.6 – 2.0 – 1.6 ≈ $4M: attractive
- [ ] Notes about half the uplift is eaten by costs; pilot results may not hold; support cost creep; privacy rules
- [ ] Suggests looking at Telecom next

IF THEY SAY… YOU SAY

Applies the +10pp as +10% of 75%	"pp means percentage points: 75% becomes 85%."
Applies inference cost only to monetized impressions	"Which impressions does the AI process?"

ANSWER KEY, DON'T SHOW

```
Current: 4.0bn × 75% ÷ 1,000 × $7 = $21.0M
Post-AI: 4.0bn × 85% ÷ 1,000 × $8.40 ≈ $28.6M
Incremental revenue ≈ $7.6M
Inference: 4.0bn ÷ 1,000 × $0.50 = $2.0M
Net benefit ≈ 7.6 − 2.0 − 1.6 = ~$4.0M
```

Attractive, but roughly half the uplift goes to inference and support costs, so it only works where pools are large and service is controlled. Risks: pilot uplift may not repeat, support costs creep, privacy rules differ by market. Analyze Telecom next.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How do you turn impressions into revenue?"
2. "Which numbers change with AI?"

▼ **Show example answer**

HOW A STRONG ANSWER IS STRUCTURED

1. State the approach
2. Current revenue
3. Post-AI revenue and the uplift
4. Costs: inference + support

5. Net benefit, verdict, risks

Phrases to listen for: "I'll compute incremental revenue, then subtract the AI and support costs."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll compute incremental revenue, then subtract the AI and support costs.** Today: 4 billion impressions, 75% monetized, at $7 per thousand, **$21 million**. With AI: 85% monetized at $8.40, **about $28.6 million**, so **$7.6 million more**. Processing all 4 billion impressions at 50 cents per thousand is **$2 million**, plus $1.6 million of support. **Net benefit: about $4 million a year, so the case is attractive.** But costs eat about half the uplift, so it only works for big segments, and I'd watch the pilot uplift, support costs and privacy rules.

5 Improving the economics

3–4 min

SAY

"The client is encouraged, but wants to improve returns before scaling more broadly. They don't want to restrict access too aggressively, because the AI engine is becoming an important part of the sales story. How could StreamCo improve the economics while keeping commercial momentum?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Capture more value per advertiser
- [ ] Reduce cost to serve
- [ ] Strengthen the AI proposition to hold the price premium

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Charge a higher premium for AI targeting
- [ ] Minimum spend thresholds so AI is used where it pays back
- [ ] Performance-based pricing
- [ ] Bundle AI into premium advertiser tiers
- [ ] Sales incentives toward high-value AI accounts
- [ ] Self-serve tools for smaller accounts
- [ ] Less manual support for lower-value advertisers
- [ ] Standardized onboarding and campaign setup
- [ ] Data partnerships (telcos, payment platforms)
- [ ] New AI ad formats (shoppable, interactive)

ASK IF THEIR ANSWER IS THIN

- "How could you serve small advertisers more cheaply?"
- "How do you keep advertisers paying a premium?"

ANSWER KEY, DON'T SHOW

Capture more value: higher premium, minimum spend thresholds, performance-based pricing, premium bundles, sales incentives. **Reduce cost to serve**: self-serve tools, less manual support, standardized onboarding. **Strengthen the proposition**: data partnerships, shoppable and interactive AI ad formats.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Three levers: capture value, lower cost, protect premium
2. 2–4 ideas each

Phrases to listen for: "Three levers."

EXAMPLE ANSWER, SAID OUT LOUD

Three levers. **Capture more value**: charge a premium for AI targeting, set minimum spends, use performance-based pricing, bundle AI into premium tiers. **Lower the cost to serve**: self-serve tools and standard onboarding for smaller advertisers. **Protect the premium**: richer data through telco and payment partners, and new AI ad formats like shoppable ads.

6 Recommendation

1–2 min

SAY

"What is your overall recommendation at this stage?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: scale selectively, starting with FMCG, not a universal rollout
- [ ] Value is real but concentrated
- [ ] FMCG case positive (~$4M) after all costs, but not big enough to scale everywhere automatically
- [ ] Improve pricing and support economics before expanding
- [ ] Next: FMCG phase, test premium pricing or minimum spend, validate in largest markets
- [ ] Risk: too fast dilutes returns; too slow underinvests

ANSWER KEY, DON'T SHOW

"You asked whether and how to scale the AI ad-targeting engine. I'd scale selectively, starting with FMCG, rather than universally, while improving pricing and support economics. The upside is real but concentrated: FMCG combines a large pool, strong uplift and manageable cost, and its case is positive at about $4M a year after inference and support costs. Next, launch with FMCG, test premium pricing or minimum spend thresholds, and validate in the largest markets. The risk: too broad too fast dilutes returns; too cautious underinvests in a capability that's working."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: selective rollout
2. Why: concentrated value, FMCG case
3. Next steps
4. Risk both ways

Phrases to listen for: "I recommend scaling selectively, starting with FMCG."

EXAMPLE ANSWER, SAID OUT LOUD

I recommend scaling the AI engine selectively, starting with FMCG, not across everyone. The value is real but concentrated: FMCG has a large pool, strong uplift and manageable costs, and nets about $4 million a year after all costs. **Next**, launch with FMCG, test premium pricing or minimum spend, and validate in the largest markets. **The risk** cuts both ways: too broad dilutes returns, too cautious underinvests in something that works.

▼ Show the full sample interview

INTERVIEWER

"Your client, StreamCo, runs an ad-supported video streaming platform across the Middle East."

"They have piloted an AI-powered ad targeting engine that improves ad targeting for advertisers on the platform."

"They now need to decide whether to scale the AI targeting engine across MENA, which advertiser segments and markets to prioritize, and the optimal rollout model to maximize returns."

CANDIDATE

Let me make sure I understand. StreamCo runs an ad-supported streaming platform in the Middle East and has piloted an AI engine for better ad targeting. **There are really three questions: whether to scale it, where first, and how to roll it out.** Could I ask how StreamCo makes money from ads, and whether anything is out of scope?

INTERVIEWER · FRAMEWORK

"Which hypotheses would you test to decide whether and how StreamCo should scale the AI ad-targeting engine across MENA?"

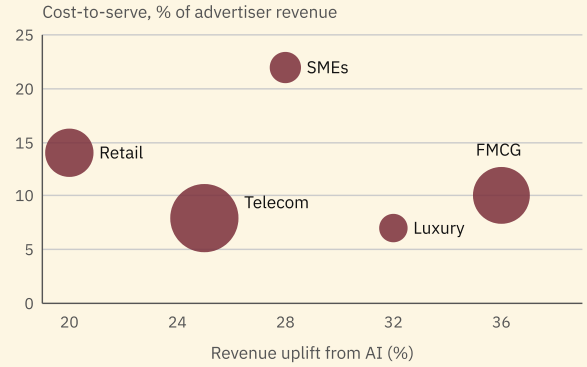
CANDIDATE

I'd test four hypotheses. **One, the revenue upside is meaningful**: higher prices per impression and more advertiser spend. **Two, the benefits outweigh the cost to scale**: AI processing plus sales and support. **Three, the value is concentrated** in certain advertiser segments and markets, which decides where we play first. **Four, we can execute**: operating across markets, data-protection rules, and not diluting returns with low-value advertisers. **Does that sound good?**

INTERVIEWER · WHICH SEGMENTS?

"The client has segmented its advertiser base into five categories: Telecom, FMCG, Retail, Luxury and SMEs. Here's a chart from the pilot. What stands out, and which segments would you prioritize?"

Exhibit 1. Advertiser segments: pilot results (bubble size = current advertiser revenue base)



Segment	Revenue uplift from AI	Cost-to-serve (% of revenue)	Revenue base
Retail	~20%	~14%	Medium
Telecom	~25%	~8%	Largest
SMEs	~28%	~22%	Small
Luxury	~32%	~7%	Small
FMCG	~36%	~10%	Large

CANDIDATE

The chart shows three things: uplift, cost-to-serve, and the size of each revenue pool. **Telecom and FMCG stand out**: good uplift, the biggest pools, and manageable cost. **Luxury** looks great per account, but it's too small to move the needle. **SMEs** cost too much to serve for a small base. Retail is in the middle. **So the value is concentrated in Telecom and FMCG.**

INTERVIEWER · FMCG BUSINESS CASE

"The client wants to know whether the business case works for one of the most promising segments: FMCG. Here are the economics. Is the business case attractive?"

Exhibit 2. Economics of scaling the AI engine (annual)

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CANDIDATE

I'll compute incremental revenue, then subtract the AI and support costs. Today: 4 billion impressions, 75% monetized, at $7 per thousand, **$21 million**. With AI: 85% monetized at $8.40, **about $28.6 million**, so **$7.6 million more**. Processing all 4 billion impressions at 50 cents per thousand is **$2 million**, plus $1.6 million of support. **Net benefit: about $4 million a year, so the case is attractive.** But costs eat about half the uplift, so it only works for big segments, and I'd watch the pilot uplift, support costs and privacy rules.

INTERVIEWER · IMPROVING THE ECONOMICS

"The client is encouraged, but wants to improve returns before scaling more broadly. They don't want to restrict access too aggressively, because the AI engine is becoming an important part of the sales story. How could StreamCo improve the economics while keeping commercial momentum?"

CANDIDATE

Three levers. **Capture more value**: charge a premium for AI targeting, set minimum spends, use performance-based pricing, bundle AI into premium tiers. **Lower the cost to serve**: self-serve tools and standard onboarding for smaller advertisers. **Protect the premium**: richer data through telco and payment partners, and new AI ad formats like shoppable ads.

INTERVIEWER · RECOMMENDATION

"What is your overall recommendation at this stage?"

CANDIDATE

I recommend scaling the AI engine selectively, starting with FMCG, not across everyone. The value is real but concentrated: FMCG has a large pool, strong uplift and manageable costs, and nets about $4 million a year after all costs. **Next**, launch with FMCG, test premium pricing or minimum spend, and validate in the largest markets. **The risk** cuts both ways: too broad dilutes returns, too cautious underinvests in something that works.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 22 OF 26

NUR Vaccine

Public sector strategy | Medium | ~30 min

#22 · Optional · Repeats tools you've seen · Teaches: Supply vs. demand framework, and testing an incentive against a target and a budget

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A newly elected Nigerian governor wants to raise child vaccination from 25% to 40% with a one-off $5M budget. The candidate frames supply vs. demand, compares four cities, costs a $15 cash incentive in the two best cities (it misses the target and the budget), and designs a mobile vaccination team.

THE ANSWER IN ONE LINE, DON'T SHOW

Prioritize **City B** (13% vaccinated, +120% response) and **City C** (28%, +40%). But the incentive there costs **$5.7M** (over the $5M budget) for 380k new vaccinations, reaching only **~32%**, short of 40%, and it doesn't fix root causes. Don't fund it as is: consider a smaller version in City B, and explore the mobile team.

1 Read the prompt

2–3 min

SAY

"Our client is the newly elected governor of a region in Nigeria. The region faces serious health challenges, especially low child vaccination rates against the NUR disease."

"Only 25% of the 5 million eligible children (aged 5 to 15) are vaccinated."

"The governor has secured a one-off $5 million budget and wants to raise vaccination coverage to 40%."

"How can the governor increase child vaccination rates?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How is the region organized?	"There are 4 main cities, each with different existing coverage and different responsiveness to incentives."
How wealthy is the region?	"It's economically underdeveloped: average income is under $60 a month."
Is the budget recurring? ADDED	"No, it's a one-off $5 million."
What's the target? ADDED	"40% coverage, up from 25%."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: 25% → 40% of 5M children, with a one-off $5M
- [ ] Asks how the region is split (4 cities)
- [ ] Asks about income levels

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me play that back.** Only 25% of 5 million eligible children are vaccinated against NUR, and the governor has a one-off $5M **to reach 40%**, about 750,000 more children. Could I ask how the region is organized, how wealthy families are, and what's been tried before?

2 Framework

3 min

SAY

"What factors would you consider to help the governor find solutions to increase the vaccination rate?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Demand: can families afford it; do they know, trust and accept it
- [ ] Supply: centers, doses, nurses, storage and distribution

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Demand: can families afford vaccination?
- [ ] Demand: is the vaccine state-funded?
- [ ] Demand: social security reimbursement?
- [ ] Demand: awareness of the vaccine
- [ ] Demand: belief in its effectiveness
- [ ] Demand: comfort and perceived safety
- [ ] Supply: enough vaccination centers, functional and good quality
- [ ] Supply: enough doses
- [ ] Supply: enough nursing staff
- [ ] Supply: storage and distribution facilities

ASK IF THEIR ANSWER IS THIN

- "Is the problem that families don't come, or that there's nowhere to go?"

ANSWER KEY, DON'T SHOW

1. Increase demand: financial (affordability, state funding, reimbursement); culture and education (awareness, belief in effectiveness, perceived safety). **2. Increase supply**: vaccination centers (enough, functional), doses, nursing staff, storage and distribution.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Demand vs. supply
2. Demand: affordability, awareness and trust
3. Supply: centers, doses, staff, logistics

Phrases to listen for: "I'd split demand and supply."

EXAMPLE ANSWER, SAID OUT LOUD

> Vaccination needs both families who want it and the means to deliver it, so I'd split demand and supply. Demand: can families afford it, is it free or reimbursed, and do they know about the vaccine, trust it and feel safe with it? Supply: are there enough working vaccination centers, doses and nurses, and the storage and distribution to reach every child? Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Customer segmentation & needs

- Families' affordability, awareness, trust
- Differences by city

Company capabilities

- Centers, nurses, doses
- Storage and distribution

Financial considerations

- $5M one-off budget
- Cost per new vaccination

Risks & mitigations

- Short-term fix vs. root causes

The case uses Demand vs. Supply, which fits public-health problems better than the book's buckets; the book's Financial bucket keeps the $5M constraint in view.

3 Which cities?

5 min

SAY

"The governor is considering a $15 cash incentive to families for each newly vaccinated child. We've estimated the program's impact in Exhibits 1 and 2. What's the current vaccination rate in each city? Which cities would you prioritize for this initiative?"

HOW TO STEER

- Original case: the candidate should calculate current rates per city but doesn't need the program's exact impact yet (that's the next question).
- A strong candidate suggests why responsiveness differs between cities; if not, ask them to.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBITS 1 AND 2).

Exhibit 1. Distribution of eligible children (aged 5 to 15)

City	A	B	C	D
Eligible children	2.0M	1.5M	1.25M	0.25M

Exhibit 2. Unvaccinated eligible children and forecast impact of the program

City	A	B	C	D
Unvaccinated children	1.3M	1.3M	0.9M	0.2M
Forecast impact on number of children vaccinated	+10%	+120%	+40%	+30%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] A: (2 − 1.3) ÷ 2 = 35%
- [ ] B: 0.2 ÷ 1.5 = 13%
- [ ] C: 0.35 ÷ 1.25 = 28%
- [ ] D: 0.05 ÷ 0.25 = 20%
- [ ] Prioritize B (lowest rate, large, highest response) and C; deprioritize A (low response) and D (small)
- [ ] Drivers: access and infrastructure, income, trust and culture, operational barriers

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Driver: access and infrastructure (urban hubs have more clinics)
- [ ] Driver: economic context ($15 matters more in poorer cities)
- [ ] Driver: trust, awareness, culture
- [ ] Driver: operational barriers (distance, hours, parents' time)

ASK IF THEIR ANSWER IS THIN

- "Why might City A respond so little to cash?"

ANSWER KEY, DON'T SHOW

```
A: 2 − 1.3 = 0.7M → 35%
B: 1.5 − 1.3 = 0.2M → 13%
C: 1.25 − 0.9 = 0.35M → 28%
D: 0.25 − 0.2 = 0.05M → 20%
```

Prioritize City B (lowest rate, ~30% of children, +120% response) and **City C** (+40%, many unvaccinated). City A responds weakly (+10%); City D is only 5% of children. Why responses differ: access and infrastructure, income (where $15 matters more), trust and culture, operational barriers.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many children in City A are vaccinated today?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Rate for each city
2. Rank on rate × size × response
3. Priorities and why
4. Drivers of different responses

Phrases to listen for: "I'd prioritize City B, then City C."

EXAMPLE ANSWER, SAID OUT LOUD

> **Current rates first.** City A: 0.7 of 2 million, **35%**. City B: 0.2 of 1.5, **13%**. City C: 0.35 of 1.25, **28%**. City D: 0.05 of 0.25, **20%**. **I'd prioritize City B**: the lowest rate, a large population and by far the strongest response, +120%. **Then City C**, at +40%. A barely responds and D is tiny. The differences probably come from access to clinics, income, since $15 matters more in poorer cities, and trust in health programs.

4 Impact and cost

4 min

SAY

"What would be the impact and cost of launching the program in City B and City C?"

HOW TO STEER

- Original case: the candidate can reuse the previous calculations.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] B: 0.2M × 120% = 240k new → × $15 = $3.6M
- [ ] C: 0.35M × 40% = 140k new → × $15 = $2.1M
- [ ] 380k new; 1.25M + 0.38M ≈ 1.6M → ~32%, short of 40%
- [ ] $5.7M > $5M budget
- [ ] One-off cash doesn't fix underlying supply or demand issues

IF THEY SAY... YOU SAY

Applies the % to unvaccinated children	"The impact is on the number of children vaccinated today."

ANSWER KEY, DON'T SHOW

```
City B: 0.2M × 120% = 240k × $15 = $3.6M
City C: 0.35M × 40% = 140k × $15 = $2.1M
Total: 380k children for $5.7M
Coverage: (1.25M + 0.38M) ÷ 5M ≈ 32%
```

Short of the 40% target and over the $5M budget, leaving nothing for other cities; a one-time payment doesn't address root causes.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many children are vaccinated in City B today?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. New vaccinations per city
2. Cost per city
3. Total vs. target
4. Total vs. budget
5. So what

Phrases to listen for: "We miss the 40% target and overspend the $5M."

EXAMPLE ANSWER, SAID OUT LOUD

> **City B**: 0.2 million vaccinated today, plus 120%, is **240,000** children, at $15 each, **$3.6M**. **City C**: 0.35 million plus 40% is **140,000**, **$2.1M**. Together, 380,000 children for **$5.7M**. Coverage goes from 1.25 to about 1.6 million, **32%**. **So what: we miss the 40% target and overspend the $5M**, and a one-off payment doesn't fix the root causes.

5 Mobile team

3 min

SAY

"The governor is also considering a mobile vaccination team traveling to rural areas with very low vaccination. Beyond financial incentives, what can he do to maximize the number of vaccinations this team gives?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Education and awareness
- [ ] Easy access
- [ ] Community and local partnerships
- [ ] Operational improvements

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Talks with local leaders, teachers, religious figures
- [ ] Local radio and loudspeakers with trusted testimonials
- [ ] Visits at schools, markets, churches
- [ ] Flexible hours around farming and work
- [ ] Train mothers, elders, teachers as advocates
- [ ] Partner with NGOs, health missions, local businesses
- [ ] Peer outreach: families bring neighbors
- [ ] Village announcements and SMS reminders
- [ ] Pre-visit sign-up lists via community leaders

ANSWER KEY, DON'T SHOW

Education and awareness: community talks with trusted local figures; radio and testimonials. **Easy access**: go where people already gather; flexible hours. **Community partnerships**: local advocates, NGOs and businesses, peer outreach. **Operations**: announcements and SMS reminders, pre-visit sign-ups to manage flow and supply.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Four areas: awareness, access, partners, operations
2. 1–2 ideas each

Phrases to listen for: "I'd tackle four areas."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd tackle four areas.** **Awareness**: community talks with trusted local leaders, and local radio with real testimonials. **Access**: go to schools, markets and churches, at hours that suit farmers. **Partners**: train mothers and elders as advocates, and work with NGOs and local businesses. **Operations**: SMS and village announcements before each visit, and sign-up lists so we bring enough doses.

6 Recommendation

1–2 min

SAY

"What is your final recommendation to the client?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: don't spend the $5M on the $15 incentive in B and C as designed
- [ ] $5.7M → only ~32%, two cities, over budget
- [ ] Short-term boost, not a root-cause fix
- [ ] Option: smaller-scale version in City B
- [ ] Next: other uses of the budget; mobile team impact

ANSWER KEY, DON'T SHOW

"You asked how to raise child vaccination against NUR. I wouldn't spend the $5M on the $15 cash incentive in Cities B and C: it would cost $5.7M, over budget, and only lift coverage to about 32%, short of 40%, in just two cities. It's a short-term boost that doesn't solve the underlying problem. A smaller version in City B, where it creates the most momentum, could make sense. Next: look for more efficient, longer-term uses of the budget, and assess the mobile vaccination team."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Answer first: don't fund as designed
2. Why: target, budget, root causes
3. Alternative
4. Next steps

Phrases to listen for: "I wouldn't spend the $5M on this as designed."

EXAMPLE ANSWER, SAID OUT LOUD

> **I wouldn't spend the $5M on the cash incentive in Cities B and C as designed.** It costs $5.7M, over budget, and only reaches about 32%, short of 40%, in two cities, without fixing the root causes. **A smaller pilot in City B**, where response is strongest, could still make sense. **Next**, I'd look for longer-lasting uses of the budget and size the mobile team's impact.

▼ Show the full sample interview

INTERVIEWER

"Our client is the newly elected governor of a region in Nigeria. The region faces serious health challenges, especially low child vaccination rates against the NUR disease."

"Only 25% of the 5 million eligible children (aged 5 to 15) are vaccinated."

"The governor has secured a one-off $5 million budget and wants to raise vaccination coverage to 40%."

"How can the governor increase child vaccination rates?"

CANDIDATE

> **Let me play that back.** Only 25% of 5 million eligible children are vaccinated against NUR, and the governor has a one-off $5M **to reach 40%**, about 750,000 more children. Could I ask how the region is organized, how wealthy families are, and what's been tried before?

INTERVIEWER · FRAMEWORK

"What factors would you consider to help the governor find solutions to increase the vaccination rate?"

CANDIDATE

> **Vaccination needs both families who want it and the means to deliver it, so I'd split demand and supply. Demand**: can families afford it, is it free or reimbursed, and do they know about the vaccine, trust it and feel safe with it? **Supply**: are there enough working vaccination centers, doses and nurses, and the storage and distribution to reach every child? **Does that sound good?**

INTERVIEWER · WHICH CITIES?

"The governor is considering a $15 cash incentive to families for each newly vaccinated child. We've estimated the program's impact in Exhibits 1 and 2. What's the current vaccination rate in each city? Which cities would you prioritize for this initiative?"

Exhibit 1. Distribution of eligible children (aged 5 to 15)

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CANDIDATE

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INTERVIEWER · IMPACT AND COST

"What would be the impact and cost of launching the program in City B and City C?"

CANDIDATE

City B: 0.2 million vaccinated today, plus 120%, is **240,000** children, at $15 each, **$3.6M**. **City C**: 0.35 million plus 40% is **140,000**, **$2.1M**. Together, 380,000 children for **$5.7M**. Coverage goes from 1.25 to about 1.6 million, **32%**. **So what: we miss the 40% target and overspend the $5M**, and a one-off payment doesn't fix the root causes.

INTERVIEWER · MOBILE TEAM

"The governor is also considering a mobile vaccination team traveling to rural areas with very low vaccination. Beyond financial incentives, what can he do to maximize the number of vaccinations this team gives?"

CANDIDATE

I'd tackle four areas. **Awareness**: community talks with trusted local leaders, and local radio with real testimonials. **Access**: go to schools, markets and churches, at hours that suit farmers. **Partners**: train mothers and elders as advocates, and work with NGOs and local businesses. **Operations**: SMS and village announcements before each visit, and sign-up lists so we bring enough doses.

INTERVIEWER · RECOMMENDATION

"What is your final recommendation to the client?"

CANDIDATE

I wouldn't spend the $5M on the cash incentive in Cities B and C as designed. It costs $5.7M, over budget, and only reaches about 32%, short of 40%, in two cities, without fixing the root causes. **A smaller pilot in City B**, where response is strongest, could still make sense. **Next**, I'd look for longer-lasting uses of the budget and size the mobile team's impact.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 23 OF 26

Low Carbon Housing

Sustainability | Medium | ~30 min

#23 · Optional · Repeats tools you've seen · Teaches: Sustainability: emissions lifecycle and cutting the costly, low-impact option to meet a cap

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A real estate developer is bidding to build a landmark low-emission residential district in the Middle East. The candidate structures emission levers across the building's life, sets criteria for picking greener materials, finds which low-carbon material to drop to keep costs within 110% of the baseline, and suggests ways to help residents cut emissions.

THE ANSWER IN ONE LINE, DON'T SHOW

Low-carbon materials cut material emissions **72,275 → 33,800 t CO_2** but raise cost **$23.6M → $28.3M** (cap: 110% ≈ $26M). **Keep mineral wool instead of hempcrete**: saves $2.8M (→ ~$25.5M) and loses only 225 t (<1%). Emissions still fall **~50%**. Add resident initiatives (mobility, energy, awareness, circular economy).

1 Read the prompt

2–3 min

SAY

"Your client is a real estate developer that wants to answer a Request for Proposal (RFP) to develop a new residential district in a Middle Eastern country. The district should be a landmark for environmental impact."

"They want our support to be competitive in this RFP. The priority is to show how they'd minimize the project's greenhouse gas (GHG) emissions while keeping costs competitive with other bidders."

"How could you support your client in achieving this objective?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Which emissions count?	"Emissions during construction and during residents' use of the district, including emissions from suppliers. We can ignore the design phase and the end of the buildings' life."
Is there an emissions target?	"No overall target. We'll discuss specific targets as we go."
Does the client build in the region?	"No. It has no capabilities in the Middle East and would subcontract engineering, construction management and construction."
Only GHG, or other environmental impacts too?	"Purely GHG emissions for now."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: minimize GHG while staying cost-competitive in the bid
- [ ] Asks which emissions count (construction, use, suppliers)
- [ ] Asks about targets and the client's capabilities

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** Our client is bidding to build a landmark low-emission residential district in the Middle East. **To win, it must show minimal greenhouse gas emissions at a competitive cost.** Could I ask which emissions count, whether there's a target, and whether the client builds in the region itself?

2 Framework

3 min

SAY

"What drivers can our client consider to reduce the GHG emissions of this project?"

HOW TO STEER

- Original case: candidates who know GHG reporting may use Scope 1 (direct), Scope 2 (energy bought) and Scope 3 (suppliers and customers). For a generalist, a structure following the project's lifecycle is appropriate.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Lifecycle structure: construction vs. use (or Scopes 1–3)
- [ ] Construction: materials, transport, process
- [ ] Use: district energy, building design, renewables, transport, carbon capture
- [ ] Keeps the cost constraint in view

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Construction: lower-carbon materials
- [ ] Construction: local sourcing, greener logistics
- [ ] Construction: equipment, on-site energy
- [ ] Use: district energy (e.g. underground links to cut cooling)
- [ ] Use: efficient design (passive cooling, orientation, insulation, HVAC, smart meters)
- [ ] Use: on-site solar
- [ ] Use: EV charging, public transport
- [ ] Use: carbon capture (nature- or tech-based)

ASK IF THEIR ANSWER IS THIN

- "Where would you expect most emissions to come from?"

ANSWER KEY, DON'T SHOW

1. During construction (within cost limits): low-carbon materials, local sourcing and greener logistics, cleaner construction equipment and on-site energy. **2. During use**: district energy (shared cooling links), energy-efficient design (passive cooling, orientation, insulation, HVAC, smart meters), on-site renewables, sustainable transport (EV charging, public transport), carbon capture.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Lifecycle: construction vs. use
2. Levers in each
3. Cost constraint throughout

Phrases to listen for: "I'd follow the project's life."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd follow the project's life. During construction: lower-carbon materials, local sourcing and cleaner transport, and cleaner equipment and on-site energy. During use: shared district cooling, energy-efficient design with passive cooling, good orientation and insulation, on-site solar, EV charging and public transport, and possibly carbon capture. Throughout, we'd check every lever against cost, since the bid must stay competitive. Does that sound good?

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Financial considerations	Company capabilities	Risks & mitigations	Customer segmentation & needs
• Cost premium of low-carbon options	• No local presence: subcontractors	• Material availability, building standards	• Residents' behavior in use

- 110% of baseline cap

Sustainability cases follow the emissions lifecycle (or Scopes 1–3) better than the 8 buckets; the book adds a useful Financial check.

3 Material criteria

3 min

SAY

"The client has already analyzed emission cuts from efficient design and construction processes. Now they want help reducing emissions by sourcing more sustainable materials. Which criteria would you use to select the most promising materials?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Groups criteria: environmental, economic, practical, market and regulatory, social

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Environment: emissions in production, transport, installation
- [ ] Environment: renewability
- [ ] Environment: energy efficiency
- [ ] Environment: local availability
- [ ] Economic: initial cost
- [ ] Economic: lifecycle cost
- [ ] Economic: scalability
- [ ] Practical: performance and durability
- [ ] Practical: compatibility
- [ ] Practical: constructability
- [ ] Market: supplier network
- [ ] Regulatory: safety and building standards
- [ ] Regulatory: government incentives
- [ ] Social: aesthetics
- [ ] Social: user comfort

ANSWER KEY, DON'T SHOW

Environmental: emissions across production, transport and installation; renewability; energy efficiency; local availability. **Economic**: initial and lifecycle cost, scalability. **Practical**: performance and durability, compatibility, constructability. **Market and regulatory**: supplier network, building standards, incentives. **Social**: aesthetics, comfort.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Five groups
2. 2–3 criteria each

Phrases to listen for: "I'd use five groups of criteria."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd use five groups of criteria.** **Environmental**: emissions from production to installation, renewability, local availability. **Economic**: upfront and lifetime cost, and whether it scales. **Practical**: performance, durability, ease of construction. **Market and regulatory**: enough suppliers, building standards, incentives. **Social**: how it looks and feels for residents.

4 Materials within budget

6 min

SAY

"The client shared the project's emission reductions using alternative materials. They're pleased with the reductions, but worried higher costs hurt competitiveness. Which low-carbon materials could be removed to keep costs under 110% of the baseline, and what would the impact be on cost and emissions?"

HOW TO STEER

- Original case: if the candidate goes line by line computing every total, prompt them to look for shortcuts. If they struggle, walk through the relative cost per ton of concrete vs. low-carbon concrete as an example.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Emissions and costs: baseline vs. low-carbon materials

Baseline material	Mass (t)	Emission factor (kg CO_2/t)	Cost ($/t)
Concrete	90,000	450	110
Steel	15,000	1,900	700
Bricks	10,000	275	150
Mineral wool	7,500	70	225
Total		**72,275 t CO_2**	**$23.6M**

Low-carbon material	Mass (t)	Emission factor (kg CO_2/t)	Cost ($/t)
Low-carbon concrete	90,000	150	120
Recycled steel	15,000	1,200	750
Low-carbon concrete bricks	10,000	200	175
Hempcrete	7,500	40	600
Total		**33,800 t CO_2**	**$28.3M**

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Cap: 110% × $23.6M ≈ $26M; low-carbon costs $28.3M, so cut ~$2.3M+
- [ ] Shortcut: concrete and steel drive emissions with <10% cost premium: keep
- [ ] Hempcrete costs 2.7× mineral wool: drop it
- [ ] Cost delta (600 – 225) × 7,500 ≈ $2.8M → ~$25.5M
- [ ] Emissions delta (70 – 40) × 7,500 = 225 t: <1%
- [ ] Emissions still ~50% lower

IF THEY SAY… YOU SAY

Drops recycled steel	"Steel is a big emitter with a small premium. Which material has the biggest premium for the least impact?"

ANSWER KEY, DON'T SHOW

```
Cap = 110% × $23.6M ≈ $26.0M (low-carbon = $28.3M)
Hempcrete vs. mineral wool cost: (600 − 225) × 7,500 ≈ $2.8M → $28.3M − $2.8M ≈ $25.5M ✓
Emissions: (70 − 40) kg × 7,500 t = 225 t CO₂ → 225 ÷ 72,275 < 1%
New emissions ≈ 34,025 t: still ~50% below 72,275
```

Concrete and steel deliver most of the reduction for a small cost premium; hempcrete adds a lot of cost for almost no emissions benefit.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which material has the biggest cost premium per ton?"
2. "What's 110% of the baseline cost?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Compute the cap
2. Shortcut: keep the big, cheap reducers
3. Drop the expensive, low-impact one
4. Cost and emissions impact

Phrases to listen for: "Concrete and steel drive most emissions for a small premium."

EXAMPLE ANSWER, SAID OUT LOUD

> **The cap is 110% of $23.6 million, about $26 million**, and the low-carbon version costs $28.3 million. **Shortcut**: concrete and steel drive most emissions and cost under 10% more, so keep them. **Hempcrete costs nearly three times mineral wool.** Keeping mineral wool saves 375 dollars a ton on 7,500 tons, **about $2.8 million**, bringing us to **$25.5 million**, within budget. It adds just 225 tons of CO_2, **under 1%**, so **we still cut emissions by about half**.

5 Resident initiatives

3 min

SAY

"For the RFP, the client also wants initiatives that enable and encourage future residents to reduce their emissions. What ideas can you suggest?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Groups ideas: mobility, energy, awareness, circular economy

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Public transport with local authorities
- [ ] Walkable, shaded streets and cycle lanes
- [ ] EV charging and incentives
- [ ] Renewable energy subscriptions
- [ ] Smart energy tracking
- [ ] Urban gardens
- [ ] Gamified energy-saving app
- [ ] Sustainability campaigns and challenges
- [ ] Easy access to carbon offsets
- [ ] Shared tools and appliances
- [ ] Home waste sorting
- [ ] Community composting
- [ ] Recycling rewards

ANSWER KEY, DON'T SHOW

Mobility: public transport, walkable shaded streets and cycle lanes, EV charging and perks. **Energy**: renewable subscriptions, smart tracking, urban gardens. **Awareness**: gamified app, campaigns, collective challenges, carbon offsets. **Circular economy**: shared tools, waste sorting, composting, recycling rewards.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Mobility

2. Energy
3. Awareness
4. Circular economy

Phrases to listen for: "Four areas."

EXAMPLE ANSWER, SAID OUT LOUD

> **Four areas.** **Mobility**: public transport, shaded walkable streets, cycle lanes and EV charging. **Energy**: renewable tariffs and smart meters. **Awareness**: a gamified energy app and community challenges. **Circular economy**: shared tools, home waste sorting, composting and recycling rewards.

6 Recommendation

1–2 min

SAY

"What is your final recommendation to your client?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Restates the objective: minimize GHG, stay cost-competitive
- [ ] Material plan: low-carbon concrete, steel, bricks; keep mineral wool → ~50% less, within 110%
- [ ] Add resident initiatives
- [ ] Next: assess the most impactful initiatives

ANSWER KEY, DON'T SHOW

"You asked how to show minimal emissions at a competitive cost. Design and construction are already optimized, so strengthen the bid with materials and resident initiatives. Switch concrete, steel and bricks to low-carbon versions but keep mineral wool: that halves material emissions while keeping cost within 110% of conventional materials. Also propose initiatives that help residents cut emissions: sustainable mobility, clean energy and energy-saving programs. Next, assess which initiatives have the most impact on emissions."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the objective
2. Materials plan with numbers
3. Resident package
4. Next step

Phrases to listen for: "That halves material emissions within 110% of the cost."

EXAMPLE ANSWER, SAID OUT LOUD

> **You asked how to show minimal emissions at a competitive cost.** Switch concrete, steel and bricks to low-carbon versions but **keep mineral wool**: that **halves material emissions within 110% of the conventional cost**. Add a package of resident initiatives for mobility, clean energy and saving energy. **Next**, rank those initiatives by their emissions impact.

▼ Show the full sample interview

INTERVIEWER

"Your client is a real estate developer that wants to answer a Request for Proposal (RFP) to develop a new residential district in a Middle Eastern country. The district should be a landmark for environmental impact."

"They want our support to be competitive in this RFP. The priority is to show how they'd minimize the project's greenhouse gas (GHG) emissions while keeping costs competitive with other bidders."

"How could you support your client in achieving this objective?"

CANDIDATE

> **Let me make sure I understand.** Our client is bidding to build a landmark low-emission residential district in the Middle East. **To win, it must show minimal greenhouse gas emissions at a competitive cost.** Could I ask which emissions count, whether there's a target, and whether the client builds in the region itself?

INTERVIEWER · FRAMEWORK

"What drivers can our client consider to reduce the GHG emissions of this project?"

CANDIDATE

I'd follow the project's life. **During construction**: lower-carbon materials, local sourcing and cleaner transport, and cleaner equipment and on-site energy. **During use**: shared district cooling, energy-efficient design with passive cooling, good orientation and insulation, on-site solar, EV charging and public transport, and possibly carbon capture. **Throughout, we'd check every lever against cost, since the bid must stay competitive.** **Does that sound good?**

INTERVIEWER · MATERIAL CRITERIA

"The client has already analyzed emission cuts from efficient design and construction processes. Now they want help reducing emissions by sourcing more sustainable materials. Which criteria would you use to select the most promising materials?"

CANDIDATE

I'd use five groups of criteria. **Environmental**: emissions from production to installation, renewability, local availability. **Economic**: upfront and lifetime cost, and whether it scales. **Practical**: performance, durability, ease of construction. **Market and regulatory**: enough suppliers, building standards, incentives. **Social**: how it looks and feels for residents.

INTERVIEWER · MATERIALS WITHIN BUDGET

"The client shared the project's emission reductions using alternative materials. They're pleased with the reductions, but worried higher costs hurt competitiveness. Which low-carbon materials could be removed to keep costs under 110% of the baseline, and what would the impact be on cost and emissions?"

Exhibit 1. Emissions and costs: baseline vs. low-carbon materials

Baseline material	Mass (t)	Emission factor (kg CO_2/t)	Cost ($/t)
Concrete	90,000	450	110
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Mineral wool	7,500	70	225
Total		**72,275 t CO_2**	**$23.6M**

Low-carbon material	Mass (t)	Emission factor (kg CO_2/t)	Cost ($/t)
Low-carbon concrete	90,000	150	120
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Low-carbon concrete bricks	10,000	200	175
Hempcrete	7,500	40	600
Total		**33,800 t CO_2**	**$28.3M**

CANDIDATE

The cap is 110% of $23.6 million, about $26 million, and the low-carbon version costs $28.3 million. **Shortcut**: concrete and steel drive most emissions and cost under 10% more, so keep them. **Hempcrete costs nearly three times mineral wool.** Keeping mineral wool saves 375 dollars a ton on 7,500 tons, **about $2.8 million**, bringing us to **$25.5 million**, within budget. It adds just 225 tons of CO_2, **under 1%**, so **we still cut emissions by about half**.

INTERVIEWER · RESIDENT INITIATIVES

"For the RFP, the client also wants initiatives that enable and encourage future residents to reduce their emissions. What ideas can you suggest?"

CANDIDATE

Four areas. **Mobility**: public transport, shaded walkable streets, cycle lanes and EV charging. **Energy**: renewable tariffs and smart meters. **Awareness**: a gamified energy app and community challenges. **Circular economy**: shared tools, home waste sorting, composting and recycling rewards.

INTERVIEWER · RECOMMENDATION

"What is your final recommendation to your client?"

CANDIDATE

You asked how to show minimal emissions at a competitive cost. Switch concrete, steel and bricks to low-carbon versions but **keep mineral wool**: that **halves material emissions within 110% of the conventional cost**. Add a package of resident initiatives for mobility, clean energy and saving energy. **Next**, rank those initiatives by their emissions impact.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 24 OF 26

Fruit Nation

Market entry | Medium | ~30 min

#24 · Optional · Repeats tools you've seen · Teaches: Value-to-customer pricing for a market entry (repeats A-EYE's core tool)

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A small UK chemicals company has a fertilizer that lets goji berry farmers harvest earlier and sell for 12% more. The candidate structures the launch decision, calculates the fertilizer's value to a farmer, discusses the challenges and risks of selling in China, and finds the market is too small.

THE ANSWER IN ONE LINE, DON'T SHOW

Value to a farmer ≈ **£30 per acre per harvest** (a third harvest + 12% price premium), so price around **£15**. With a £9 production cost, margin is only **£6/acre**; China has just 200 farmers (24,000 acres), so revenue ≈ **£1M a year**. Plus over-supply and China challenges: **don't commercialize**; consider licensing or other fruits.

1 Read the prompt

2–3 min

SAY

"Fruit Nation is a small, pioneering chemicals company based in Cambridge, UK, with annual revenue of £5M. It has recently developed a new fertilizer that affects the growth and ripening of fresh fruit."

"It works especially well with goji berries and has two major benefits: farmers can harvest an impressive two months earlier, and it improves the nutritional value of the harvest by increasing the vitamin C in the fruit, so a farmer can sell the produce for a 12% higher price than the current market rate."

"Goji berries can be harvested all year round, and farmers typically do two harvests a year, since goji berries take six months to grow. The fruit is mostly grown in China, which is where Fruit Nation plans to sell the product if it launches."

"Fruit Nation would like to know whether it should commercialize this fertilizer."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's Fruit Nation's goal?	"To make a profit with this product."
Are there competing products?	"No competing products. Goji berry farmers don't currently use fertilizer."
Is demand for goji berries growing?	"Yes, at a steady rate in line with GDP."
Is the product protected?	"Fruit Nation has filed a patent for the chemical; it's currently pending."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back the two benefits (earlier harvest, 12% price premium)
- [ ] Asks the goal (profit)
- [ ] Asks about competitors and patents

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me play it back.** Fruit Nation is a £5M UK chemicals company with a new fertilizer for goji berries: two months' earlier harvest, and 12% higher prices thanks to more vitamin C. It would sell in China, where most goji berries are grown. **The**

question is whether to commercialize it. Could I ask: is the goal profit? Are there competing products? And is the product protected by a patent?

2 Framework

3 min

SAY

"How would you structure your approach to the question?"

HOW TO STEER

- Original case: if asked, share the clarifying facts above (goal is profit; no competitors; demand growing with GDP; patent pending).

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Potential size of the market
- [ ] Ability to sell profitably: revenues (share, willingness to pay) and costs (variable and fixed)
- [ ] Capabilities: scale, supply chain, local knowledge
- [ ] Risks: being copied, import rules, bad press

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Market: size of goji berry farming in China
- [ ] Market: share of farmers open to chemical fertilizer
- [ ] Market: would it attract more farmers into goji berries?
- [ ] Revenue: share of the addressable market we could capture
- [ ] Revenue: farmers' willingness to pay
- [ ] Variable costs: production, shipping to China, distribution in China
- [ ] Fixed costs: salaries, manufacturing equipment
- [ ] Capabilities: produce at scale
- [ ] Capabilities: supply chain to reach farmers
- [ ] Capabilities: local market knowledge and language
- [ ] Risk: being copied; patent protection
- [ ] Risk: import restrictions now and later
- [ ] Risk: bad press hurting demand

ASK IF THEIR ANSWER IS THIN

- "How would you know if this could be profitable?"
- "What could go wrong selling in China?"

ANSWER KEY, DON'T SHOW

1. Potential market size (China goji farming, share open to fertilizer, new entrants). **2. Ability to sell profitably** (revenue: share, willingness to pay; costs: production, shipping, distribution, fixed). **3. Capabilities** (scale, supply chain, local knowledge, language). **4. Risks** (copying and patents, import restrictions, bad press).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Four buckets: market, profitability, capabilities, risks
2. 2–3 sub-questions each
3. Check in

Phrases to listen for: "I'd look at four areas."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd look at four areas.** **One, the market**: how big goji farming in China is, how many farmers would use fertilizer, and whether it would draw new farmers in. **Two, profitability**: what share we could win and what farmers would pay, against production, shipping, distribution and fixed costs. **Three, capabilities**: producing at scale, a supply chain to reach farmers, and local knowledge. **Four, risks**: being copied, import rules, and bad press. **Does that sound good?**

▼ **Book's 8-bucket version also counts**

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Market attractiveness	Financial considerations	Company capabilities	Risks & mitigations
• Goji farming in China: size, growth • Share of farmers open to fertilizer	• Willingness to pay (value to farmer) • Production, shipping, distribution, fixed costs	• Scale, supply chain, local knowledge	• Copying, patents, import rules, bad press, over-supply

Almost identical to the case's own 4 buckets: market, profitability, capabilities, risks.

3 Value to a farmer

5–6 min

SAY

"You decide to calculate the value of the chemical to a typical farmer, to understand what price they may be willing to pay. Using the information in Exhibit 1, estimate the value of the product for a farmer, per acre of land, per harvest."

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1). SHARE THE TWO EXTRA FACTS ONLY IF REQUIRED.

Exhibit 1. Information for an average goji berry farm

Acres	120
Revenue per harvest	£8,000
Labor cost per 30 days	£1.70 / acre
Number of workers	8

If required: with the fertilizer, farmers can harvest 3 times a year (2 × 6-month seasons become 3 × 4-month seasons). No extra labor is needed for the third harvest; time spent weeding or tending can be used for harvesting.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Price benefit: £8,000 × 12% = £960 per harvest × 2 = £1,920 a year
- [ ] Third harvest at the higher price: £8,000 × 1.12 = £8,960
- [ ] Total extra: £10,880 a year ÷ 120 acres ≈ £90.67 per acre
- [ ] ÷ 3 harvests ≈ £30 per acre per harvest
- [ ] Realizes labor cost doesn't change

IF THEY SAY… YOU SAY

Forgets the third harvest	"Harvesting two months earlier: how many harvests a year does that allow?"
Adds labor costs	"Does the farmer need extra workers for the third harvest?"

ANSWER KEY, DON'T SHOW

```
Price premium: £8,000 × 0.12 = £960 per harvest × 2 = £1,920/year
Third harvest: £8,000 × 1.12 = £8,960
Per acre: (£1,920 + £8,960) ÷ 120 = £90.67/year
Per harvest: £90.67 ÷ 3 ≈ £30.22 per acre
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What two benefits does the farmer get?"
2. "How many harvests a year with the fertilizer?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Name the two sources of value
2. Price premium per year
3. Value of the third harvest
4. Total per acre per year, then per harvest

Phrases to listen for: "The fertilizer creates value in two ways." · "Divided by three harvests, about £30 per acre per harvest."

EXAMPLE ANSWER, SAID OUT LOUD

> **The fertilizer creates value in two ways.** **Higher prices**: 12% of £8,000 is £960 per harvest, or £1,920 a year on the current two harvests. **A third harvest**: two months earlier means three 4-month seasons instead of two 6-month ones, worth £8,000 times 1.12, £8,960, with no extra labor. **Together, about £10,880 a year**, divided by 120 acres is about £91 per acre a year, and **divided by three harvests, about £30 per acre per harvest**.

4 Setting the price PARTLY ADDED

2 min

Beyond the original case: The £15 suggestion is in the case's answer; asking it as its own question is added.

SAY

"So what price would you charge farmers?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] £30 is the theoretical maximum, but at that price farmers gain nothing
- [ ] Price well below, e.g. about half: £15
- [ ] Shows the farmer still gains: ~£10,880 − £5,400 ≈ £5,500 a year on top of ~£16,000
- [ ] Next: need the number of farmers and the production cost

ANSWER KEY, DON'T SHOW

Maximum is £30/acre/harvest, but then farmers have no reason to switch. Around half, **£15** (or another reasonable amount), leaves farmers ~£5,400 a year better off vs. their current ~£16,000. Next we'd need the number of farmers in China and the production cost.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Maximum = value to the farmer
2. Why price below it
3. Pick a price and show the farmer still gains
4. What you need next

Phrases to listen for: "£30 is the most a farmer could pay, but at that price they'd gain nothing."

EXAMPLE ANSWER, SAID OUT LOUD

> **£30 is the most a farmer could pay, but at that price they'd gain nothing.** I'd price at around half, **£15 per acre per harvest**. That costs a farmer about £5,400 a year and still leaves them about £5,500 better off, on top of roughly £16,000 today. **To judge the opportunity, I'd next need the number of farmers and our production cost.**

5 Challenges in China

3 min

SAY

"Fruit Nation has never sold a product in China before and wants to understand the potential challenges. What do you think the main challenges of selling the product in China are?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures: legal vs. capability challenges
- [ ] 2–4 concrete points in each

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Legal: may need a local partner to operate
- [ ] Legal: high import taxes
- [ ] Legal: approval from food or agricultural authorities
- [ ] Legal: IP infringement by local competitors
- [ ] Capability: inadequate storage (e.g. temperature control)
- [ ] Capability: reliable, fast, trackable transport
- [ ] Capability: cultural and time differences in manufacturing
- [ ] Capability: communicating with the local supply chain without language skills

ASK IF THEIR ANSWER IS THIN

- "What permissions might a foreign chemicals company need?"
- "How would the product physically get to farmers?"

ANSWER KEY, DON'T SHOW

Legal: local partner requirement, import taxes, regulatory approval, IP infringement. **Capability**: storage conditions, reliable transport and tracking, cultural and time differences, language barriers with the supply chain.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two groups: legal / capability
2. 3–4 points each

Phrases to listen for: "I'd split the challenges into legal and capability."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd split the challenges into legal and capability. Legal: we may need a local partner, import taxes could be high, we'd need approval from food or agricultural authorities, and our IP could be infringed. Capability: storage may need specific temperatures, transport must be fast and trackable, manufacturing across cultures and time zones is hard, and we lack the language skills to work with the local supply chain.

6 Launch risks

3 min

SAY

"In addition to those challenges, what do you think the main risks are in launching this product?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures: customer risks vs. market risks
- [ ] Spots the over-supply effect: 3 harvests = +50% supply, pushing goji prices down

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Customer: farmers skeptical of a new product, low adoption
- [ ] Customer: health concerns about a new chemical on food
- [ ] Market: new entrants competing
- [ ] Market: the 12% premium disappears if all farmers adopt
- [ ] Market: 3 harvests = +50% supply, likely above demand → lower goji prices → lower value of the fertilizer

ASK IF THEIR ANSWER IS THIN

- "What happens to goji berry prices if every farmer harvests three times a year?"

ANSWER KEY, DON'T SHOW

Customer risks: skeptical farmers, health concerns. **Market risks**: new entrants; the 12% premium erodes if everyone adopts; a 50% jump in supply would push prices, and so the fertilizer's value, down.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two groups: customers / market
2. Highlight the over-supply effect

Phrases to listen for: "Three harvests means 50% more supply."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd split risks into customers and market.** **Customers**: farmers may be skeptical of a new product, and there may be health concerns about a new chemical on food. **Market**: new entrants may copy us, and **if every farmer adopts it, the 12% premium disappears**. Worse, three harvests means **50% more supply**, which would push goji prices down, and with them the value of our fertilizer.

7 Production cost

3–4 min

SAY

"Fruit Nation estimates the variable production cost of the chemical at £9 per acre. How does this impact your conclusion?"

GIVE ONLY WHEN: IF REQUIRED.

There are **200** goji berry farmers in China, so **24,000 acres** of farmland (average farm of 120 acres, from Exhibit 1).

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Margin: £15 − £9 = £6 per acre, before distribution and fixed costs
- [ ] Market: 24,000 acres × £15 = £360k per harvest × 3 ≈ £1.08M a year
- [ ] Profit under £400k
- [ ] ~20% of current revenue, but little growth potential
- [ ] Suggests alternatives: licensing, other fruits

ANSWER KEY, DON'T SHOW

```
Margin: £15 − £9 = £6/acre (before distribution and fixed costs)
Revenue: 24,000 × £15 = £360k/harvest × 3 ≈ £1.08M/year; profit < £400k
```

About 20% of Fruit Nation's current revenue, but a small market with little growth. Too small on its own: look at licensing or other fruits.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How much is left per acre after the £9 cost?"
2. "How big is the whole market in a year?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Margin per acre
2. Market size per harvest and per year
3. Compare with current revenue
4. So what, and alternatives

Phrases to listen for: "We make only £6 per acre." · "On its own, it looks too small."

EXAMPLE ANSWER, SAID OUT LOUD

At £15 and a £9 cost, **we make only £6 per acre**, before distribution and fixed costs. With 200 farmers on 24,000 acres, the market is £360,000 per harvest, **about £1.1 million a year**, with profit under £400,000. **So what**: that's 20% of today's revenue, but a small market with little room to grow. **On its own, it looks too small**; I'd look at licensing or other fruits.

8 Recommendation

1–2 min

SAY

"Based on the information you have, would you recommend Fruit Nation commercializes the product?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: no
- [ ] Profit opportunity too small: £6/acre before other costs; ~£1M revenue a year
- [ ] Over-supply would erode goji prices and the fertilizer's value
- [ ] Many China challenges outside their control
- [ ] Next steps: licensing to a local manufacturer, other fruits

ANSWER KEY, DON'T SHOW

"We were asked if Fruit Nation should commercialize the fertilizer. I don't recommend it. First, the profit opportunity is too small: at £15/acre, variable profit is £6/acre before distribution and fixed costs, and revenue would be just over £1M a year. Second, the fertilizer could cause over-supply, pushing down goji prices and the value of the product. Third, there are many challenges in selling into China, some outside Fruit Nation's control. With more time, I'd look at licensing to a local manufacturer with existing infrastructure, or using it on other fruits."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate and answer: no
2. Three reasons
3. Alternatives as next steps

Phrases to listen for: "I recommend it doesn't, for three reasons."

EXAMPLE ANSWER, SAID OUT LOUD

We were asked whether Fruit Nation should commercialize its fertilizer. I recommend it doesn't, for three reasons. One, **the profit opportunity is too small**: £6 per acre before distribution and fixed costs, and about £1 million of revenue a year. Two, **over-supply** could push goji prices down and erode the fertilizer's value. Three, **selling into China brings many challenges**, some outside our control. **With more time**, I'd explore licensing the technology to a local manufacturer, or applying it to other fruits.

▼ Show the full sample interview

INTERVIEWER

"Fruit Nation is a small, pioneering chemicals company based in Cambridge, UK, with annual revenue of £5M. It has recently developed a new fertilizer that affects the growth and ripening of fresh fruit."

"It works especially well with goji berries and has two major benefits: farmers can harvest an impressive two months earlier, and it improves the nutritional value of the harvest by increasing the vitamin C in the fruit, so a farmer can sell the produce for a 12% higher price than the current market rate."

"Goji berries can be harvested all year round, and farmers typically do two harvests a year, since goji berries take six months to grow. The fruit is mostly grown in China, which is where Fruit Nation plans to sell the product if it launches."

"Fruit Nation would like to know whether it should commercialize this fertilizer."

CANDIDATE

Let me play it back. Fruit Nation is a £5M UK chemicals company with a new fertilizer for goji berries: two months' earlier harvest, and 12% higher prices thanks to more vitamin C. It would sell in China, where most goji berries are grown. **The**

question is whether to commercialize it. Could I ask: is the goal profit? Are there competing products? And is the product protected by a patent?

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the question?"

CANDIDATE

I'd look at four areas. **One, the market**: how big goji farming in China is, how many farmers would use fertilizer, and whether it would draw new farmers in. **Two, profitability**: what share we could win and what farmers would pay, against production, shipping, distribution and fixed costs. **Three, capabilities**: producing at scale, a supply chain to reach farmers, and local knowledge. **Four, risks**: being copied, import rules, and bad press. **Does that sound good?**

INTERVIEWER · VALUE TO A FARMER

"You decide to calculate the value of the chemical to a typical farmer, to understand what price they may be willing to pay. Using the information in Exhibit 1, estimate the value of the product for a farmer, per acre of land, per harvest."

Exhibit 1. Information for an average goji berry farm

Acres	120
Revenue per harvest	£8,000
Labor cost per 30 days	£1.70 / acre
Number of workers	8

If required: with the fertilizer, farmers can harvest 3 times a year (2 × 6-month seasons become 3 × 4-month seasons). No extra labor is needed for the third harvest; time spent weeding or tending can be used for harvesting.

CANDIDATE

The fertilizer creates value in two ways. **Higher prices**: 12% of £8,000 is £960 per harvest, or £1,920 a year on the current two harvests. **A third harvest**: two months earlier means three 4-month seasons instead of two 6-month ones, worth £8,000 times 1.12, £8,960, with no extra labor. **Together, about £10,880 a year**, divided by 120 acres is about £91 per acre a year, and **divided by three harvests, about £30 per acre per harvest**.

INTERVIEWER · SETTING THE PRICE

"So what price would you charge farmers?"

CANDIDATE

£30 is the most a farmer could pay, but at that price they'd gain nothing. I'd price at around half, **£15 per acre per harvest**. That costs a farmer about £5,400 a year and still leaves them about £5,500 better off, on top of roughly £16,000 today. **To judge the opportunity, I'd next need the number of farmers and our production cost.**

INTERVIEWER · CHALLENGES IN CHINA

"Fruit Nation has never sold a product in China before and wants to understand the potential challenges. What do you think the main challenges of selling the product in China are?"

CANDIDATE

I'd split the challenges into legal and capability. **Legal**: we may need a local partner, import taxes could be high, we'd need approval from food or agricultural authorities, and our IP could be infringed. **Capability**: storage may need specific temperatures, transport must be fast and trackable, manufacturing across cultures and time zones is hard, and we lack the language skills to work with the local supply chain.

INTERVIEWER · LAUNCH RISKS

"In addition to those challenges, what do you think the main risks are in launching this product?"

CANDIDATE

I'd split risks into customers and market. **Customers**: farmers may be skeptical of a new product, and there may be health concerns about a new chemical on food. **Market**: new entrants may copy us, and **if every farmer adopts it, the 12% premium**

disappears. Worse, three harvests means **50% more supply**, which would push goji prices down, and with them the value of our fertilizer.

INTERVIEWER · PRODUCTION COST

"Fruit Nation estimates the variable production cost of the chemical at £9 per acre. How does this impact your conclusion?"

There are **200** goji berry farmers in China, so **24,000 acres** of farmland (average farm of 120 acres, from Exhibit 1).

CANDIDATE

At £15 and a £9 cost, **we make only £6 per acre**, before distribution and fixed costs. With 200 farmers on 24,000 acres, the market is £360,000 per harvest, **about £1.1 million a year**, with profit under £400,000. **So what**: that's 20% of today's revenue, but a small market with little room to grow. **On its own, it looks too small**; I'd look at licensing or other fruits.

INTERVIEWER · RECOMMENDATION

"Based on the information you have, would you recommend Fruit Nation commercializes the product?"

CANDIDATE

We were asked whether Fruit Nation should commercialize its fertilizer. I recommend it doesn't, for three reasons. One, **the profit opportunity is too small**: £6 per acre before distribution and fixed costs, and about £1 million of revenue a year. Two, **over-supply** could push goji prices down and erode the fertilizer's value. Three, **selling into China brings many challenges**, some outside our control. **With more time**, I'd explore licensing the technology to a local manufacturer, or applying it to other fruits.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 25 OF 26

Roko Hotel

Profitability | Easy | ~25 min

#25 · Optional · Repeats tools you've seen · Teaches: Easy profitability warm-up: revenue from two exhibits (repeats QT Co.'s tree)

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A small family-owned hotel near Paris is less profitable than last year. The candidate builds a revenue/cost structure, calculates this year's and last year's room revenue from two exhibits, finds that weekend bookings collapsed, explains why, and suggests fixes and new revenue streams.

THE ANSWER IN ONE LINE, DON'T SHOW

Room revenue fell from **~$850k to $728k** (−$120k) because **weekend occupancy roughly halved** (standard 100% → 60%, premium 80% → 40%); weekdays are unchanged and premium rooms are full on weekdays. Fix: raise premium weekday prices, win back weekends (packages, weddings), add new revenue streams, then check costs.

1 Read the prompt

2–3 min

SAY

"Your client is Roko Hotel, a family-owned, independent hotel in suburban Paris. Until last year, the hotel maintained strong profitability, but it's now facing declining profitability and the owners don't understand why."

"The hotel is in the suburbs, a 20-minute tram ride from the city center, and isn't part of a chain."

"The owners have asked you to help identify the reasons for the decline and recommend how to turn the situation around."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How big is the hotel?	"The hotel has 30 rooms."
How big is the decline? ADDED	"We don't have the exact figure yet; that's part of what we need to find."
What's the owners' goal? ADDED	"Get back to last year's profitability."
Who stays at the hotel? ADDED	"A mix of guests; we'll look at the data shortly."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: independent suburban Paris hotel, profitability fell this year
- [ ] Asks how many rooms (30)
- [ ] Asks for the goal

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me make sure I understand.** Roko is an independent, family-owned hotel in suburban Paris, 20 minutes from the center by tram. It was strongly profitable until last year, profitability has dropped, and **the owners want to know why and how to fix it**. Could I ask how many rooms it has, and whether we know how big the drop is? **Could I take a moment to structure my thoughts?**

2 Framework

2–3 min

SAY

"How would you structure your approach to the question?"

HOW TO STEER

- Original case: a good structure uses a revenue/cost framework tailored to the situation. It's unnecessary to include a driver for solutions; they'll come naturally from the root causes.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Revenue: rooms × utilization × price × operating days
- [ ] Other revenue: food and beverages, additional services
- [ ] Fixed costs: salaries, building maintenance, insurance and taxes
- [ ] Variable costs: utilities, food and beverages, booking fees

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Revenue: number of rooms
- [ ] Revenue: average utilization (%)
- [ ] Revenue: price per room
- [ ] Revenue: operating days
- [ ] Other revenue: food & beverages
- [ ] Other revenue: additional services
- [ ] Fixed: salaries
- [ ] Fixed: building maintenance
- [ ] Fixed: insurance & taxes
- [ ] Variable: utility costs
- [ ] Variable: food & beverages
- [ ] Variable: booking fees

ASK IF THEIR ANSWER IS THIN

- "How exactly would you calculate room revenue?"
- "Which costs change with the number of guests?"

IF THEY SAY… YOU SAY

Lists generic buckets (customers, competitors…)	"How would you tailor that to a 30-room hotel's profit?"

ANSWER KEY, DON'T SHOW

1. Revenue factors: [rooms] × [average utilization] × [price per room] × [operating days]; other revenue: F&B, additional services. **2. Cost factors**: fixed (salaries, building maintenance, insurance & taxes) and variable (utilities, F&B, booking fees).

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What drives a hotel's room revenue?"
2. "Split costs into fixed and variable."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Name the case type: profitability
2. Revenue formula, then other revenue
3. Costs: fixed vs. variable

4. Say where you'd start, then check in

Phrases to listen for: "Room revenue is rooms × utilization × price × days." · "I'd start with room revenue."

EXAMPLE ANSWER, SAID OUT LOUD

> **Since this is a profitability decline, I'd look at revenue and costs.** **On revenue**: room revenue is the number of rooms, times average utilization, times price per room, times operating days; then other revenue like food and beverages and additional services. **On costs**: fixed costs such as salaries, building maintenance, insurance and taxes; and variable costs such as utilities, food and beverages, and booking fees. **I'd start with room revenue**, since it's likely the biggest driver. **Does that sound good?**

▼ **Book's 8-bucket version also counts**

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Financial considerations (revenue)	Financial considerations (costs)	Customer segmentation & needs	Competitive landscape
• Rooms × utilization × price × days • Weekday vs. weekend, standard vs. premium • F&B and other services	• Fixed: salaries, maintenance, insurance • Variable: utilities, F&B, booking fees	• Business travelers (weekdays) vs. tourists (weekends)	• New hotels, Airbnb, chains' prices

The case wants a tailored revenue/cost tree. The book's Customer and Competition buckets help later, to explain why weekends collapsed.

3 This year's revenue

5 min

SAY

"Here's this year's data. Based on this exhibit, what's the annual revenue for this hotel?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Prices and utilization this year

Room type	# rooms	Price
Standard	25	$100
Premium	5	$140

Average utilization	Weekdays	Weekends
Standard	60%	60%
Premium	100%	40%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Standard rooms per week: 25 × 60% × 5 + 25 × 60% × 2 = 75 + 30 = 105
- [ ] Premium rooms per week: 5 × 100% × 5 + 5 × 40% × 2 = 25 + 4 = 29
- [ ] Weekly revenue: 105 × $100 + 29 × $140 = $14,560
- [ ] Annual: × 50 weeks ≈ $728,000
- [ ] Insight: premium rooms are full on weekdays (room to raise prices); weak demand for standard rooms and premium weekends
- [ ] Next step: compare with last year

IF THEY SAY… YOU SAY

Uses 7 nights at one rate	"Is utilization the same every night of the week?"
Uses 52 weeks	"Fine. The case uses 50 weeks; either is OK if you say why."

ANSWER KEY, DON'T SHOW

```
Standard: 25×60%×5 + 25×60%×2 = 75 + 30 = 105 rooms/week
Premium: 5×100%×5 + 5×40%×2 = 25 + 4 = 29 rooms/week
Weekly: 105×$100 + 29×$140 = $10,500 + $4,060 = $14,560
Annual: $14,560 × 50 weeks = $728,000
```

Premium rooms are at capacity during the week: an opportunity to raise their price or add more. Standard rooms, and premium on weekends, lack demand.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Work out rooms filled per week, weekdays and weekends separately."
2. "Then multiply by the price of each room type."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Rooms filled per week, by type, weekdays and weekends
2. × price = weekly revenue
3. × 50 weeks
4. One insight from the data
5. Next step

Phrases to listen for: "Let me work out rooms filled per week, weekdays and weekends separately." · "One insight already:..."

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me work out rooms filled per week, weekdays and weekends separately.** Standard: 25 rooms at 60%, so 15 a night; 75 on weekdays and 30 on weekends, **105 a week**. Premium: 5 rooms, full on 5 weekdays, so 25, plus 40% on 2 weekend nights, 4: **29 a week**. Weekly revenue is 105 times $100 plus 29 times $140, **$14,560**, and over 50 weeks, **about $728,000 a year**. **One insight already**: premium rooms are full on weekdays, so there may be room to raise their price. **Next, I'd compare with last year.**

4 Last year's revenue

4 min

SAY

"Based on the additional data in Exhibit 2 on last year's performance, what insights can you draw about recent changes in annual revenue?"

HOW TO STEER

- Original case: strong candidates identify shortcuts for the calculation, and adjust their previous calculation for the weekend utilization only.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 2). IF ASKED: PRICES HAVE NOT CHANGED YEAR TO YEAR.

Exhibit 2. Utilization last year

Average utilization	Weekdays	Weekends
Standard	60%	100%
Premium	100%	80%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Weekday occupancy unchanged; weekend occupancy dropped sharply
- [ ] Standard: 125 rooms a week → $10,500 × 125/105 ≈ $12,500
- [ ] Premium: 33 rooms a week → $4,060 × 33/29 ≈ $4,600
- [ ] Annual ≈ $17,100 × 50 ≈ $850,000: about $120,000 more than this year
- [ ] Driver: weekend utilization nearly halved

IF THEY SAY... YOU SAY

Recomputes everything from scratch	"Fine, but what changed vs. this year? Could you just adjust that part?"

ANSWER KEY, DON'T SHOW

```
Standard last year: 25×60%×5 + 25×100%×2 = 125 rooms → $12,500/week
Premium last year: 5×100%×5 + 5×80%×2 = 33 rooms → ~$4,600/week
Annual ≈ $17,100 × 50 ≈ $850,000 vs. $728,000 → ~$120,000 less this year
```

Weekday occupancy is constant; weekend utilization fell by nearly half.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which numbers in Exhibit 2 differ from Exhibit 1?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Spot what changed (weekends only)
2. Adjust just that part: the shortcut
3. Annual figure and the gap
4. Name the driver

Phrases to listen for: "Weekdays haven't changed; only weekends have, so I'll just adjust those." · "So the decline is driven by weekend utilization."

EXAMPLE ANSWER, SAID OUT LOUD

> **Weekdays haven't changed; only weekends have, so I'll just adjust those.** Standard weekends were 100% instead of 60%, so 125 rooms a week instead of 105: about **$12,500** a week. Premium weekends were 80% instead of 40%, so 33 instead of 29: about **$4,600**. That's about $17,100 a week, **roughly $850,000 a year, about $120,000 more than this year**. **So the decline is driven by weekend utilization, which nearly halved.**

5 Why weekends dropped PARTLY ADDED

3 min

Beyond the original case: The reasons are the case's own; asking them as a separate question is added.

SAY

"Why do you think weekend utilization fell so much?"

HOW TO STEER

- Original case: push candidates to suggest reasons for the change in utilization.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures reasons: competition/supply, customer demand, our own marketing
- [ ] Several concrete reasons in each
- [ ] Links weekdays (business travelers, stable) vs. weekends (tourists, falling)

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Competition: new hotels opening nearby
- [ ] Competition: more alternatives such as Airbnb
- [ ] Competition: other hotels cutting prices
- [ ] Demand: fewer weekend tourists in Paris (other destinations, attractions closing)
- [ ] Demand: fewer weekend breaks in France, longer long-haul holidays
- [ ] Demand: price-sensitive weekend tourists more loyal to hotel chains
- [ ] Our side: changes in our marketing and distribution to tourists

ASK IF THEIR ANSWER IS THIN

- "Who stays on weekends versus weekdays?"
- "Could something have changed on our side?"

ANSWER KEY, DON'T SHOW

More competition/supply: new hotels nearby, Airbnb, rivals cutting prices. **Lower customer demand**: fewer weekend tourists in Paris, fewer weekend breaks, price-sensitive tourists loyal to chains. **Our own marketing and distribution** to tourists may have changed.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Three groups: competition, demand, our own actions
2. 2–3 reasons each
3. Link to the weekday/weekend split

Phrases to listen for: "I'd group possible reasons into three areas." · "This looks like a tourist problem."

EXAMPLE ANSWER, SAID OUT LOUD

> I'd group possible reasons into three areas. More competition: new hotels nearby, Airbnb, or rivals cutting prices. Lower demand: fewer weekend tourists coming to Paris, people taking fewer weekend breaks, or price-sensitive tourists choosing hotel chains. Our own side: changes in how we market and distribute to tourists. The weekday business is stable, so this looks like a tourist problem.

6 New revenue streams

3 min

SAY

"Besides rooms, food and drinks, what revenue streams could the hotel introduce or grow?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Splits guests vs. non-guests
- [ ] Several ideas in each

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Guests: airport pick-up
- [ ] Guests: commission on entertainment sales (city tours, shows)
- [ ] Guests: dry cleaning
- [ ] Guests: premium internet access
- [ ] Guests: spa treatments
- [ ] Non-guests: meeting rooms
- [ ] Non-guests: events (weddings, conferences)
- [ ] Non-guests: restaurant
- [ ] Non-guests: gym (paid for non-guests)
- [ ] Non-guests: business working space (by day or week)

ASK IF THEIR ANSWER IS THIN

- "What could people who don't stay at the hotel pay for?"

ANSWER KEY, DON'T SHOW

For guests: airport pick-up, commission on tours and shows, dry cleaning, premium internet, spa. **For non-guests**: meeting rooms, events such as weddings and conferences, restaurant, paid gym, business working space.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Split by who pays: guests / non-guests
2. 4–5 ideas each

Phrases to listen for: "I'd split ideas by who pays."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd split ideas by who pays.** **Guests**: airport pick-up, commission on city tours and shows, dry cleaning, premium internet, spa treatments. **Non-guests**: meeting rooms, events like weddings and conferences, the restaurant, a paid gym, and business working space by the day or week.

7 Recommendation

1–2 min

SAY

"What recommendation would you put forward to Roko Hotel to increase profitability?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Restates the question
- [ ] Diagnosis: weekend utilization fell; revenue ~$730k vs. ~$850k
- [ ] Possible causes: competition, demand, our marketing
- [ ] Short and long-term actions: raise premium weekday prices; win back weekends (packages, weddings); new revenue streams
- [ ] Next step: analyze costs too

ANSWER KEY, DON'T SHOW

"We were asked to diagnose Roko Hotel's profit challenge and suggest how to turn it around. A drop in weekend utilization of both premium and standard rooms drove the decline: revenue is ~$730,000 this year vs. ~$850,000 last year, possibly due to more competition, lower demand, or changes in our marketing. I propose: maximize revenue from weekday business travelers by raising the premium room price; get weekends back on track with weekend packages or events like weddings; and explore other revenue streams for guests and non-guests. As next steps, we should analyze costs to see if they've also contributed."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate the question
2. Diagnosis with numbers
3. Three actions
4. Next step: costs

Phrases to listen for: "We were asked why... and how to turn it around." · "As a next step, we should analyze costs."

EXAMPLE ANSWER, SAID OUT LOUD

> **We were asked why Roko's profitability fell and how to turn it around.** The main driver is weekend occupancy, which nearly halved for both room types: revenue is about $730,000 this year against $850,000 last year, likely due to more competition, lower tourist demand, or our marketing. **I recommend three actions**: raise premium prices on weekdays, when those rooms are full; win back weekends with packages and events like weddings; and add new revenue streams for guests and non-guests. **As a next step**, we should analyze costs to see if they've also contributed.

▼ Show the full sample interview

INTERVIEWER

"Your client is Roko Hotel, a family-owned, independent hotel in suburban Paris. Until last year, the hotel maintained strong profitability, but it's now facing declining profitability and the owners don't understand why."

"The hotel is in the suburbs, a 20-minute tram ride from the city center, and isn't part of a chain."

"The owners have asked you to help identify the reasons for the decline and recommend how to turn the situation around."

> CANDIDATE

Let me make sure I understand. Roko is an independent, family-owned hotel in suburban Paris, 20 minutes from the center by tram. It was strongly profitable until last year, profitability has dropped, and **the owners want to know why and how to fix it**. Could I ask how many rooms it has, and whether we know how big the drop is? **Could I take a moment to structure my thoughts?**

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the question?"

CANDIDATE

Since this is a profitability decline, I'd look at revenue and costs. **On revenue**: room revenue is the number of rooms, times average utilization, times price per room, times operating days; then other revenue like food and beverages and additional services. **On costs**: fixed costs such as salaries, building maintenance, insurance and taxes; and variable costs such as utilities, food and beverages, and booking fees. **I'd start with room revenue**, since it's likely the biggest driver. **Does that sound good?**

INTERVIEWER · THIS YEAR'S REVENUE

"Here's this year's data. Based on this exhibit, what's the annual revenue for this hotel?"

Exhibit 1. Prices and utilization this year

Room type	# rooms	Price
Standard	25	$100
Premium	5	$140

Average utilization	Weekdays	Weekends
Standard	60%	60%
Premium	100%	40%

CANDIDATE

Let me work out rooms filled per week, weekdays and weekends separately. Standard: 25 rooms at 60%, so 15 a night; 75 on weekdays and 30 on weekends, **105 a week**. Premium: 5 rooms, full on 5 weekdays, so 25, plus 40% on 2 weekend nights, 4: **29 a week**. Weekly revenue is 105 times $100 plus 29 times $140, **$14,560**, and over 50 weeks, **about $728,000 a year**. **One insight already**: premium rooms are full on weekdays, so there may be room to raise their price. **Next, I'd compare with last year.**

INTERVIEWER · LAST YEAR'S REVENUE

"Based on the additional data in Exhibit 2 on last year's performance, what insights can you draw about recent changes in annual revenue?"

Exhibit 2. Utilization last year

Average utilization	Weekdays	Weekends
Standard	60%	100%
Premium	100%	80%

CANDIDATE

Weekdays haven't changed; only weekends have, so I'll just adjust those. Standard weekends were 100% instead of 60%, so 125 rooms a week instead of 105: about **$12,500** a week. Premium weekends were 80% instead of 40%, so 33 instead of 29: about **$4,600**. That's about $17,100 a week, **roughly $850,000 a year, about $120,000 more than this year**. **So the decline is driven by weekend utilization, which nearly halved.**

INTERVIEWER · WHY WEEKENDS DROPPED

"Why do you think weekend utilization fell so much?"

CANDIDATE

I'd group possible reasons into three areas. **More competition**: new hotels nearby, Airbnb, or rivals cutting prices. **Lower demand**: fewer weekend tourists coming to Paris, people taking fewer weekend breaks, or price-sensitive tourists choosing

hotel chains. **Our own side**: changes in how we market and distribute to tourists. **The weekday business is stable, so this looks like a tourist problem.**

INTERVIEWER · NEW REVENUE STREAMS

"Besides rooms, food and drinks, what revenue streams could the hotel introduce or grow?"

CANDIDATE

I'd split ideas by who pays. **Guests**: airport pick-up, commission on city tours and shows, dry cleaning, premium internet, spa treatments. **Non-guests**: meeting rooms, events like weddings and conferences, the restaurant, a paid gym, and business working space by the day or week.

INTERVIEWER · RECOMMENDATION

"What recommendation would you put forward to Roko Hotel to increase profitability?"

CANDIDATE

We were asked why Roko's profitability fell and how to turn it around. The main driver is weekend occupancy, which nearly halved for both room types: revenue is about $730,000 this year against $850,000 last year, likely due to more competition, lower tourist demand, or our marketing. **I recommend three actions**: raise premium prices on weekdays, when those rooms are full; win back weekends with packages and events like weddings; and add new revenue streams for guests and non-guests. **As a next step**, we should analyze costs to see if they've also contributed.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 26 OF 26

Clean-All

Growth strategy | Easy | ~30 min

#26 · Optional · Repeats tools you've seen · Teaches: Easy growth case: prioritizing services and in-house vs. outsourced cost (repeats earlier tools)

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A Nigerian laundry chain has stopped growing as start-ups take share. The candidate structures growth options, prioritizes value-added services from an exhibit, evaluates free pick-up and drop-off, compares delivery costs (in-house vs. two agencies), and recommends.

THE ANSWER IN ONE LINE, DON'T SHOW

Only **free pick-up & drop-off** meets the **10% a year** growth goal (and it's the cheapest to launch), though it has a −2% margin. Delivery cost per trip: own **$15**, Agency A **$11.67**, Agency B **$11.08** → outsource to **Agency B** (check service quality). Recommend launching it, perhaps limited to larger orders to protect margins.

1 Read the prompt

2–3 min

SAY

"Clean-All, a fast-growing private company in Nigeria, runs laundry outlets in 5 regions. It does machine washing, hand washing of delicate clothes, and ironing."

"The company started ten years ago and grew very quickly almost every year, but for the last 2 years growth has plateaued. Five years ago there were only 5 players; recently many new laundry start-ups entered and took market share from traditional players like Clean-All."

"Clean-All's leadership has asked you to advise on possible revenue growth strategies. What factors would you consider?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's the growth goal?	"The owners want tactical growth initiatives that increase the top line by at least 10% year-on-year for 3 to 5 years."
What are the start-ups doing differently? ADDED	"We'll look at that shortly."
Can Clean-All invest? ADDED	"Yes, they have funds to invest."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Plays back: laundry chain, growth plateaued, start-ups taking share
- [ ] Asks for the goal (≥10% a year for 3–5 years)

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> To recap: Clean-All is a Nigerian laundry chain in 5 regions, offering machine washing, hand washing and ironing. It grew fast for years but has plateaued for two, as start-ups took share. They want revenue growth strategies. Could I ask: is there a specific growth target and timeframe?

2 Framework

2–3 min

SAY

"How would you structure your approach to the question?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Grow the core: more stores, more customers per store, more spend per customer
- [ ] Grow in new areas: new services under the brand, a new operating model like the start-ups'

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Core: open more stores (new cities)
- [ ] Core: more customers per store (marketing, deals)
- [ ] Core: more spend per customer (price, bundles, up-selling, loyalty)
- [ ] New: new product or service line (repairs, dry-cleaning)
- [ ] New: new operating model vs. start-ups (pick-up and drop-off)

ASK IF THEIR ANSWER IS THIN

- "How could existing stores make more?"
- "What are the start-ups offering that we don't?"

ANSWER KEY, DON'T SHOW

1. Grow the core: more stores (new cities), more customers per store (marketing, deals), more spend per customer (price, bundles, up-selling, loyalty). **2. Grow in new areas**: new service lines (clothing repairs, dry-cleaning), a new operating model to compete with start-ups (pick-up and drop-off).

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two branches: grow the core / grow in new areas
2. Core: stores, customers per store, spend per customer
3. New: services, operating model
4. Check in

Phrases to listen for: "I'd look at two ways to grow."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd look at two ways to grow.** **First, grow the core**: open more stores in new cities, bring more customers into each store through marketing and deals, and raise spend per customer through pricing, bundles, up-selling and loyalty. **Second, grow in new areas**: new services under our brand, like repairs or dry-cleaning, or a new operating model, like the start-ups' pick-up and drop-off. **Does that sound good?**

▼ Book's 8-bucket version also counts

If the candidate uses the 8 buckets from *Hacking the Case Interview*, this is a strong version. Credit it like the casebook's framework.

Customer segmentation & needs

- What start-ups' customers value (convenience)
- Spend and frequency per customer

Competitive landscape

- New start-ups and their services
- Share lost

Financial considerations

- Growth vs. 10% goal
- Margin and capex of each option

Company capabilities

- Store network
- Existing paid delivery service

The case's 'grow the core / grow in new areas' is a growth tree. The book's Competitive bucket points you to copying the start-ups' services early.

3 Prioritizing services

4 min

SAY

"Your team's research shows the industry is changing fast: new start-ups offer value-added services that lure customers in. This exhibit shows those services, and the cost and profit potential if Clean-All offered the same. Which should Clean-All consider the highest priority?"

HOW TO STEER

- Original case: the revenue impact is the impact on Clean-All. There's no single right answer.
- If the candidate hasn't asked for the growth goal (10% a year), share it now as they consider their answer.

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 1).

Exhibit 1. Impact of offering additional services

Value-added service	Capex ($)	Revenue impact (% a year)	Profit margin (%)
Tech assets (app, website...)	200,000	3	0
Free pick-up & drop-off*	100,000	10	−2
Clothing sanitization	300,000	3	2
Shoe shine	500,000	4	3

* A paid version is currently offered by Clean-All.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Compares on growth, profit and investment
- [ ] Shoe shine: best margin, but not enough growth and highest capex
- [ ] Sanitization: cheaper, decent, but below 10%
- [ ] Only free pick-up & drop-off meets the 10% goal, with the lowest capex, but a negative margin
- [ ] Picks pick-up & drop-off and says the margin must be fixed

ANSWER KEY, DON'T SHOW

Shoe shine looks best on profit, but its growth isn't enough and capex is high. Sanitization is cheaper with decent growth and profit but misses 10%. **Only free pick-up and drop-off meets the 10% growth goal**, with low investment, but it's margin-negative, so we'd explore ways to improve that.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Which of these meets the owners' growth goal?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Criteria: growth, profit, investment
2. Run each option through them
3. Which meets the 10% goal
4. The catch, and what to do about it

Phrases to listen for: "Only free pick-up and drop-off reaches 10% growth."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd compare them on growth, profit and investment, against the 10% goal.** Shoe shine has the best margin, but only 4% growth and the highest cost. Sanitization is cheaper with a positive margin, but 3% growth. **Only free pick-up and drop-off reaches 10% growth**, and it's the cheapest to launch. **The catch is its −2% margin**, so I'd prioritize it while finding ways to make it profitable.

4 Evaluating pick-up

3 min

SAY

"Clean-All is most interested in free pick-up and drop-off because of its revenue impact. How could you evaluate whether launching it would be a good idea?"

HOW TO STEER

- Original case: financial attractiveness was covered in the previous question, and assume Clean-All can invest. Once they answer, direct them to operational capability.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Financial attractiveness: revenue and profit impact
- [ ] Feasibility: ability to invest and absorb lower profit
- [ ] Operational capability, and whether current operations can handle more demand
- [ ] Notes they already run a paid version

ANSWER KEY, DON'T SHOW

Financial attractiveness: revenue impact (meets 10%), profit impact (negative, so improve it). **Feasibility**: ability to invest and absorb the margin hit; operational capability. They already offer a paid version, so capability is likely there, but can operations cope with more demand?

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Financial attractiveness
2. Feasibility: money and operations
3. What we already know (paid version)

Phrases to listen for: "I'd evaluate it on two dimensions."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd evaluate it on two dimensions.** **Financial attractiveness**: it meets the growth goal, but profit is negative, so we need ways to improve the economics. **Feasibility**: can Clean-All invest and absorb the margin hit, and does it have the operational capability? **Since it already runs a paid version, capability is likely there**; the question is whether operations can handle much more demand.

5 Delivery cost

5 min

SAY

"To make pick-up and drop-off free, Clean-All must cut its operating cost drastically. Today one delivery (either a pick-up or a drop-off) costs $15. Clean-All got quotes from specialist agencies. Should it keep running deliveries itself or outsource to one of these agencies?"

GIVE ONLY WHEN: RIGHT AWAY (EXHIBIT 2). WHEN ASKED: EACH COURIER DOES 8 TRIPS A WEEKDAY, AND DOUBLE (16) ON WEEKEND DAYS.

Exhibit 2. Agency quotes

Trips per courier per day	Agency A		Agency B	
	Fixed daily fee	Per trip	Fixed daily fee	Per trip
<5	$100	$5	$80	$6
5–10	$90	$4	$70	$5
11–15	$80	$3	$60	$4
15+	$75	$2.50	$60	$4

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks how many trips per courier per day
- [ ] Agency A: weekdays 5 × (90 + 4×8) = $610; weekends 2 × (75 + 2.5×16) = $230 → $840 ÷ 72 trips ≈ $11.67
- [ ] Agency B: weekdays 5 × (70 + 5×8) = $550; weekends 2 × (60 + 4×16) = $248 → $798 ÷ 72 ≈ $11.08
- [ ] Both beat $15; Agency B is cheapest
- [ ] Caveats: check service quality; A is cheaper on busy weekends

IF THEY SAY... YOU SAY

Uses one rate for all days	"Is the number of trips the same every day?"
Forgets the fixed daily fee	"What does each agency charge per day regardless of trips?"

ANSWER KEY, DON'T SHOW

```
Agency A: 5×(90+4×8) + 2×(75+2.5×16) = 610 + 230 = $840 / 72 trips ≈ $11.67
Agency B: 5×(70+5×8) + 2×(60+4×16) = 550 + 248 = $798 / 72 trips ≈ $11.08
Own network: $15
```

Agency B is cheapest, but service quality must be checked. Agency A is cheaper on weekends; if weekday volume grows, switching may make sense.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many trips a week, weekdays and weekends?"
2. "Which price bracket applies to 8 trips? To 16?"

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Trips per week (weekdays, weekends)
2. Cost of each agency: fixed + per trip
3. Cost per delivery for each
4. Compare with $15, pick one, add caveats

Phrases to listen for: "I'll compare cost per delivery for each option." · "So I'd outsource to Agency B, after checking its service quality."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll compare cost per delivery for each option.** Each courier does 8 trips a weekday and 16 on weekend days, so 72 trips a week. **Agency A**: weekdays 5 times $90 plus $32, $610; weekends 2 times $75 plus $40, $230; $840 for 72 trips, **about $11.67**. **Agency B**: $550 on weekdays plus $248 on weekends, $798, **about $11.08**. Both beat our $15, **so I'd outsource to Agency B**, after checking its service quality. Agency A is cheaper on busy weekends, which matters if volume grows.

6 Making it succeed

3 min

SAY

"What else should Clean-All consider to make the pick-up and drop-off service a success?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures: customer satisfaction vs. operational success
- [ ] Several concrete ideas in each

FULL LIST FROM THE ORIGINAL CASE: TICK WHAT THEY COVERED

- [ ] Customer: app or website to track orders and deliveries
- [ ] Customer: 5-star service, e.g. 24/7 phone line
- [ ] Customer: elite branding customers are proud of
- [ ] Operations: capability for good delivery times
- [ ] Operations: flexible capacity (partners, back-up agency for spikes)
- [ ] Operations: extra cash (delivering paid advertising flyers)
- [ ] Operations: branded courier outfits and packaging

ASK IF THEIR ANSWER IS THIN

- "What would make customers love this service?"
- "What happens on a very busy day?"

ANSWER KEY, DON'T SHOW

Customer satisfaction: tracking app or website, great customer service (24/7 line), elite branding. **Operational success**: delivery-time capability, flexible capacity with partners or a back-up agency, extra revenue (paid flyers in deliveries), branded outfits and packaging.

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Two groups: customers / operations
2. 3–4 ideas each

Phrases to listen for: "I'd focus on two things."

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd focus on two things.** **Customer satisfaction**: an app to track orders, excellent service like a 24/7 line, and a premium brand people are proud of. **Operational success**: reliable delivery times, back-up capacity from a second agency for peaks, extra income such as paid flyers in deliveries, and branded courier uniforms and packaging.

7 Recommendation

1–2 min

SAY

"What action do you recommend Clean-All takes to grow the business?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: launch free pick-up and drop-off
- [ ] Reasons: meets 10% growth; competitors offer it; cheapest to implement
- [ ] Caveat: it hurts profit; limit to larger orders
- [ ] Next steps: due diligence on Agency B; analyze the other services further

ANSWER KEY, DON'T SHOW

"Clean-All asked us for growth strategies delivering 10% a year. We recommend a free pick-up and drop-off service, for three reasons: it's expected to grow revenue 10% a year; competitors offer it, so it keeps Clean-All relevant; and it's the cheapest option to implement. As structured, it will eat into profit, so Clean-All might limit it to larger orders. With more time, I'd do due diligence on Agency B's ability to deliver laundry, and analyze the other value-added services further."

▼ Show example answer

HOW A STRONG ANSWER IS STRUCTURED

1. Restate and answer
2. Three reasons
3. The caveat (margin)
4. Next steps

Phrases to listen for: "We recommend..., for three reasons."

EXAMPLE ANSWER, SAID OUT LOUD

> **Clean-All asked for ways to grow revenue 10% a year. We recommend launching free pick-up and drop-off, for three reasons.** It's expected to grow revenue 10% a year; competitors offer it, so it keeps Clean-All relevant; and it's the cheapest option to implement. **It will reduce profit as structured**, so Clean-All could limit it to larger orders and outsource delivery to Agency B. **Next steps**: due diligence on Agency B, and a closer look at the other services.

▼ Show the full sample interview

INTERVIEWER

"Clean-All, a fast-growing private company in Nigeria, runs laundry outlets in 5 regions. It does machine washing, hand washing of delicate clothes, and ironing."

"The company started ten years ago and grew very quickly almost every year, but for the last 2 years growth has plateaued. Five years ago there were only 5 players; recently many new laundry start-ups entered and took market share from traditional players like Clean-All."

"Clean-All's leadership has asked you to advise on possible revenue growth strategies. What factors would you consider?"

CANDIDATE

To recap: Clean-All is a Nigerian laundry chain in 5 regions, offering machine washing, hand washing and ironing. It grew fast for years but has plateaued for two, as start-ups took share. **They want revenue growth strategies.** Could I ask: is there a specific growth target and timeframe?

INTERVIEWER · FRAMEWORK

"How would you structure your approach to the question?"

CANDIDATE

I'd look at two ways to grow. **First, grow the core**: open more stores in new cities, bring more customers into each store through marketing and deals, and raise spend per customer through pricing, bundles, up-selling and loyalty. **Second, grow in new areas**: new services under our brand, like repairs or dry-cleaning, or a new operating model, like the start-ups' pick-up and drop-off. **Does that sound good?**

INTERVIEWER · PRIORITIZING SERVICES

"Your team's research shows the industry is changing fast: new start-ups offer value-added services that lure customers in. This exhibit shows those services, and the cost and profit potential if Clean-All offered the same. Which should Clean-All consider the highest priority?"

Exhibit 1. Impact of offering additional services

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INTERVIEWER · EVALUATING PICK-UP

"Clean-All is most interested in free pick-up and drop-off because of its revenue impact. How could you evaluate whether launching it would be a good idea?"

CANDIDATE

I'd evaluate it on two dimensions. **Financial attractiveness**: it meets the growth goal, but profit is negative, so we need ways to improve the economics. **Feasibility**: can Clean-All invest and absorb the margin hit, and does it have the operational capability? **Since it already runs a paid version, capability is likely there**; the question is whether operations can handle much more demand.

INTERVIEWER · DELIVERY COST

"To make pick-up and drop-off free, Clean-All must cut its operating cost drastically. Today one delivery (either a pick-up or a drop-off) costs $15. Clean-All got quotes from specialist agencies. Should it keep running deliveries itself or outsource to one of these agencies?"

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INTERVIEWER · MAKING IT SUCCEED

"What else should Clean-All consider to make the pick-up and drop-off service a success?"

CANDIDATE

I'd focus on two things. **Customer satisfaction**: an app to track orders, excellent service like a 24/7 line, and a premium brand people are proud of. **Operational success**: reliable delivery times, back-up capacity from a second agency for peaks, extra income such as paid flyers in deliveries, and branded courier uniforms and packaging.

INTERVIEWER · RECOMMENDATION

"What action do you recommend Clean-All takes to grow the business?"

CANDIDATE

Clean-All asked for ways to grow revenue 10% a year. We recommend launching free pick-up and drop-off, for three reasons. It's expected to grow revenue 10% a year; competitors offer it, so it keeps Clean-All relevant; and it's the cheapest option to implement. **It will reduce profit as structured**, so Clean-All could limit it to larger orders and outsource delivery to Agency B. **Next steps**: due diligence on Agency B, and a closer look at the other services.

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Found the insight, said "so what"?

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Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

OPTIONAL WARM-UP, 5–10 MINUTES

Fit questions

Real interviews often start with 2–3 personal questions before the case. Ask one or two. Good answers last 1–2 minutes and tell a story.

Ask	A good answer...
"Tell me about yourself."	A 1–2 minute story, not a CV list: studies, 1–2 experiences, why consulting, one personal detail that makes them memorable.
"Why consulting?"	Specific reasons tied to their own experience (problem-solving, variety, learning). Shows they know what the job really is.
"Why our firm?"	Names something specific: people they've met, a program, values. Not just "prestige".
"Give me an example of leadership."	A real situation, what THEY did and why, the result, and what they learned. Admits a shortcoming.
"What are your three biggest weaknesses?"	Real weaknesses, not humble-brags, each with what they're doing to improve.
"Tell me about a time you challenged yourself."	A clear challenge, the steps they took, the outcome.
"Why should we give you an offer?"	2–3 confident reasons linked to what consultants actually do.
"Why aren't you working in the field of your major?"	A positive story about moving toward consulting, not running away from their major.

Red flags in fit answers

- Over 2 minutes long
- Sounds memorized word for word
- Lists facts from the CV with no story
- Can't say why consulting specifically